

CSB Bank (CSBBANK)

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"CSB Bank Limited
Q4 FY2023 Earnings Conference Call"

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Moderator: Ladies and gentlemen, good evening and welcome to the CSB Bank Q4 FY23 earnings conference call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chirag Gandhi from Axis Capital. Thank you. Over to you.

Chirag Gandhi: Thank you Ryan. Good evening and hello everyone. On behalf of Axis Capital, I would like to welcome you all to Q4 FY 2023 Earnings Call of CSB Bank. From the management, we have with us Mr. Pralay Mondal, MD and CEO; along with him, we also have Mr. B K Divakara, Chief Financial Officer. Now, I would request MD sir to begin by giving his opening remarks and then we can open the floor for Q&A.

Thank you and over to you sir.

Pralay Mondal: Thank you Chirag and thank you everybody for joining the Q4 and annual results call of CSB Bank. To start with I will give you a brief of our understanding of the global scenario and then the domestic scenario as well. On the global economic activity, we can see that it remains robust amidst the high inflation levels, tight financial conditions and looming geopolitical uncertainties. Amidst the slow growth and tardy easing of inflation, the global slowdown impact is turning out to be less severe than expected so far, at least that is what it looks, but we have to wait-and-watch. These conditions are expected to prevail for a while until inflation rates moderate significantly. Both IMF and the World Bank have projected world output year on year growth rate to be of less than 3% in 2023 and marginally above 3% in 2024. Market is expecting a 25-bps Fed rate hike in May 23 and then they may take a call to pause provided there are no major data surprises inviting rating action beyond May. On the domestic side, of course, the global challenges kept aside, Indian economy continues to be looked at as a bright spot both locally as well as based on some global commentary. Domestic growth was buoyant in Q4 of FY23. RBI has revised the inflation projection to lower levels and took a tactical rate - pause decision in the last MPC affirming its stance on withdrawal of accommodation to ensure a progressive alignment of inflation with the target while supporting the growth. In the latest MPC announcements, inflation for FY24 is projected at 5.2% and GDP at 6.5%. As the current inflation is within the target, no rate hikes are expected in the short term until and unless there are any surprise strong data releases. The 10-year GSec rates plunged from a band of 7.35 to 7.4% in March to around 7.1 to 7.15% levels right now after the policy announcements. The liquidity that was in a slight deficit mode went to a surplus of around INR2 lakh crores and it has normalized a little bit more now. The cumulative impact of monetary action taken in FY23 is still unfolding and the real rate transmission is being spilled over to FY24. As per the RBI statistics, the banking system deposits grew by around 10% and advances by around 16% for the year.

I was reading an article by Nomura that next year, while nominal GDP growth will be around 10% to 12%, credit growth is also not expected to be much higher than that. On that backdrop, let me just get in to the CSB specifics for this quarter and FY 23 performance. Overall the performance on both top-line and bottom-line was reasonably good on a quarterly and financial

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year basis. I will just quickly talk about the key highlights. Improved profitability - Net profit of INR 547 crores up by around 19% from

last FY. For the quarter ended 31.03.23, the net profit is at INR 156.34 crores, which is up 20% versus Q4 of last year. We have a provisioning buffer of around INR170 crores over and above the regulatory requirements. We could maintain the NIM above 5% for the quarter and FY 2023 at 5.38% and 5.48% respectively. ROA improved Y-o-Y from 1.9% to 2.06% for FY 2023.

On the liability side, I think the team put up a good show; deposits grew by 21% year-on-year as against the industry growth of around 10%. CASA ratio improved marginally Q-o-Q from 31.44% to 32.18%, though on a year-on-year basis, it was marginally lower. Advances grew by 31% Y-o-Y and 12% Q-o-Q, while, industry has grown about 16% Y-o-Y. Gold portfolio registered a growth of 48% Y-o-Y and 10% Q-o-Q. Yield on advances for Q4 FY 2023 is at 11.17% with an improvement of 15 bps from Q3 FY 2023. Yield on advances for FY2023 is 10.92% and it was 11.21% in FY 22.

Improved asset quality metrics is another key highlight. Fared pretty well in all key indicators like GNPA at 1.26% and NNPA at 35 basis points or 0.35% and PCR of 92%, which is with the write off included. Contingency provisions accounted in the books is higher than NNPA. We are continuing with the contingency provisions and accelerated NPA provisioning policy, which is higher than the RBI requirements. We have fully provided the SR portfolio in-line with RBI guidelines and on the capital, in spite of advance growth of almost 30%, the CRAR is above 25%, it is 27.10%. Low proportion of risk-weighted assets compared to industry has helped us in this. On the shareholder value-creation, book value per share has reached INR176, EPS - INR31.55 and ROE 20.35%.

On the investments, we are making major investments into branches and we plan to open at least 100 more branches in FY 2024. We are working on technology enhancements, lending systems, liability systems, payments, channels, core systems - there is a host of work that is going on in the technology side and this year our major investment will be on technology, distribution, people and channels. We plan to become a true pan-India bank because more than 60% of our branches that is incremental branches this year will be in North and West regions.

In conclusion, the success of any organization has four elements in it - Vision, aspiration, passion and execution. Our vision for now is SBS 2030, which is the Sustain, Build and Scale theme launched last year, which is well imbibed within each and every CSBian, and they are translating it into reality. The entire team is aspiring for this to happen and working passionately towards it. The achievements in the year gone by have boosted our confidence as far as the execution is concerned as we embark into the most crucial build phase of SBS 2030.

In FY 2024 we are planning a lot of investments especially in the technology space, which I just talked about where payback period will be closely tracked. We know that it will be an exciting journey with a synergistic approach and the bank will continue to expand our footprints pan-India and we will remain focused on our current year goals and we hope to have an even better year next FY. With that, I hand over the conference, back for questions once Mr Divakara offers his comments if any

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B K Divakara: Nothing specific from my side Pralay, you have elaborately covered it. So during question/answer session, if anything needs to be clarified I will chip-in.

Pralay Mondal: Sure, thank you. So we can get into the Q&A.

Moderator: Thank you. Our first question comes from the line of Jaiprakash Toshniwal from LIC Mutual Fund. Please go-ahead.

Jaiprakash Toshniwal: Hello good evening, sir. Thank you for taking my question. Two questions, first one, if you can comment on any more HR hiring which you are looking or which you have done in this quarter on the

senior leadership side?

Pralay Mondal: We are almost 70% done on the senior leadership side and when we say senior leadership, now we are no longer looking at the CXO level because at CXO level, almost 80% is done. We are looking at CXO plus one and CXO plus two as well and we have significantly enhanced that side of the leadership strength out there. We are also doing a lot of hiring on the front-end as well and for every product vertical and every business vertical and support vertical. We are enhancing everything because the way we are planning our growth next year and for the next seven years till SBS 2030, we are not looking at a single or two or three products; but we are

looking at a whole service franchise, for which the only way to do is to create the right verticalization, so that there is a clear focus on this and then integrate the verticalization through a common kind of a platform.

Because of that, we have actually significantly hired lot of senior people in the last six months and we will continue to have more hirings there. Overall, number of people we hired was around 2,200, last financial year, which is around 46% or 47% growth in terms of manpower. Next year, we are looking at even higher growth in terms of absolute numbers. In terms of percentage growth, it should be almost similar what we had this year. We will continue to invest into our human capital franchise.

Jaiprakash Toshniwal: Great sir. Thanks. On the SME loan book side, we have seen a sequential improvement this quarter, is it more to do a market or function or is it more to that you have the system, teams in-place, and now there will be a sequential uptick at least on the SME portfolio side?

Pralay Mondal: I have told before and again I'm repeating that, we took last year as an opportunity, because I felt in the past three quarters somehow, at least from our risk appetite the pricing of the risk was not happening in the market and given we are a bank with a NIM of 5% plus and given that our risk appetite is very low, we didn't want to significantly expand the business when pricing of the risk was not to our appetite.

However, we saw that changing in the Q4 of last year, last FY. If you see our Q-o-Q growth is around 10% on SME last quarter and we hope that we will continue the momentum going into next year unless the market scenario changes. At the same time, we also exited many accounts last year. Some, we exited because we did not like the business and some we exited because the kind of rates which they were asking, we did not want to participate there.

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But in terms of absolute growth in limit setting etc, we did a pretty good job in Q4 so we are happy that the momentum is starting to pick-up now. Also we are going pan-India in terms of our SME growth, in terms of franchise and one of our main models will be to work with every branch and we are launching our current account team, launched the transaction banking vertical headed by a senior resource and between the SME, the current account team and transaction banking ie, between these three triangulation we'll ensure that our SME business starts picking-up this year. SME will be our growth engine for the next seven years.

Jaiprakash Toshniwal: Great sir. Just last question on data keeping sir, your CAR increased to 27% on a Q-on-Q basis, while the profit is kind of same as Q3 and we also have the RWA to total asset has increased, so if you can help us to understand the reason behind CAR increase?

Pralay Mondal: I think Mr. Divakara will be able to answer this question better. Let me try and then I will hand over to him. I think one is the recognition of annual profits and second is the low risk weighted asset proportion because of the gold loan portfolio growth. Let Mr. Divakara add to this.

B K Divakara: Yes, apart from that as per RBI guidelines for taking

advantage of the benefit of external rating,

we need to incorporate bank's name in the rating report, in some of these cases, though they have promised to include our bank's name they couldn't do it, as a result of which almost INR 1,000 crores of risk-weighted assets have gone up. Otherwise, mostly, this is in line with movement of credit enhancement, apart from that this is also one of the major reasons why despite having shown a higher profit growth during the year, the capital adequacy ratio has not moved in tandem with this profit growth.

Maybe that is going to be corrected this year, this is what we have been told that at the time of next Annual exercise of this external rating, they have promised to include our bank's name. In quite a few cases, they could not do so and that is why we could not get advantage of the benefit of external rating of AA or AAA.

Jaiprakash Toshniwal: Sorry to interrupt sir, but just because of the Q3 to Q4, is a 200 basis-point increase in CAR while our RWA to total assets has also increased from 38% to 40%, so you are saying INR1,000 crores is because the CAR should be up more than the current number, that's what you're saying?

I did not get this answer.

B K Divakara: Yes, March 31st was the deadline for completing this exercise. That impact was felt in this quarter only and not for the earlier quarters, which is one of the reasons. Moreover, credit growth that happened in Q4 was quite sharp. These are the two main reasons why CRAR has not grown commensurate with the increase in profits.

Jaiprakash Toshniwal: Okay.

Pralay Mondal: I think Mr. Divakara the question he is asking is that in spite of the fact that risk-weighted assets has gone up, how is it that we have been able to show a sharp uptick in our CRAR. I think because of primarily the profit growth -right.

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B K Divakara: Profit will be reckoned for capital adequacy purposes only at the year-end. For the first three quarters though we have been making profit, we couldn't get that benefit. For capital adequacy purposes that has been accounted only in Q4 - only when the annual results are announced.

Jaiprakash Toshniwal: Got it sir. Thank you. I will come back in the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Pruthul Shah from Anubhuti Advisors.

Please go-ahead.

Pruthul Shah: Yes. Thank you for the opportunity and congrats on great set of numbers. My question is with respect to the loan book distribution based on interest-rate methodology. So what is the proportion of loan book, which is repo-linked, MCLR-linked and fixed-rate if you can give a number?

Pralay Mondal: Mr. Divakara, you will have that specific number. I know broadly, but if you have the specific numbers, you can give, otherwise, I will give the broad numbers.

B K Divakara: Fixed rate loans constitutes 58% of the loan book, because predominantly we are into gold loan. MCLR linked is 27%, Repo linked is 11% & 4% others.

Pralay Mondal: Broadly, the way it is, the corporate book is primarily MCLR linked, SME is primarily repo rate linked and the gold loan is mostly fixed-rate and on retail, it is a mix of both fixed as well as variable rate, but it broadly mirrors the portfolio mix in the bank.

Pruthul Shah: Okay, got it, sir. One another question with respect to cost of borrowing so Q-o-Q, if we see the cost of borrowings has gone up in this quarter. So what was the main reason for it? Our credit deposit ratio has gone up this quarter. So is it that because we are getting opportunity in case of advances, we are borrowing at a higher-rate is this understanding correct? Would you like to comment on that part with respect to cost of borrowing then CD ratio, both?

Pralay Mondal: I will give you my perspective on a macro / high-level then Mr. Divakara can dissect the numbers. We are very clear about

the scenario where we are in and we cannot be completely insulated from what is happening globally. We have also heard from RBI Governor's speech which was published in media today - that the liquidity management and the capital management is of top priority of the banking system because that ensures / insulates the banks from any kind of unnecessary risk. While none of that is hitting the Indian shores today, but I think one needs to be prudent. From that perspective on the capital side, we are very well protected because we have one of the highest CRAR ratios in the banking ecosystem. On the liquidity side, I was very clear that we are looking at growth - Strategically, I am saying. We are looking at growth for the next seven years and when you are looking at growth and I've said this before that I'm willing to sacrifice margins for growth because ultimately we are building a large franchise and we leverage this franchise over the next decade - two decades, so given that perspective, few basis-points here and there I don't want to lose my sleep on that. Given that perspective, we are very clear that we will focus on ensuring that our LCR, our liquidity and our ability to grow the asset side is not constrained by any kind of a liquidity risk or any kind of a liquidity availability and we have grown our deposits twice the system which is 21% vis a vis 10%, that's number-one.

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Even with all that, if you look at our net CD ratio, if you look at all the private sector banks we are well within that range; actually, on the lower-end of that range and I think we are 84. In spite of doing all that, and in spite of the fact our broad comfort is around 5% on NIM, we have been able to retain the NIM at a healthy rate. At this NIM and with this growth and with this level of LCR, I'm quite comfortable in having a few basis points going up on the cost of borrowing or cost of deposits. I have no issues with that and the good news is that we are seeing that 10-year G-Sec yield is tapering down and hopefully the rate cycle is coming almost close to peak.

Having said that, I think our strategy is playing out well. The other thing which we have done tactically is that we have not taken long-term deposits or long-term CDs. We have kept our maturities short-term. To that extent, whatever is there, we are not going to be bound by hard rate for too long a time once the interest rate starts getting flat or starts coming down.

Strategically we're going this way and I'm pretty confident that we should be able to be closer to 5%, 5% plus for some more time and given the perspective we are quite happy in building some buffer in the liability side. That is the broad strategic perspective, the bank has.

Pruthul Shah: Okay sir. In addition, one thing that this quarter gone, RBI has increased the repo rate, but we have reduced our MCLR in the same quarter. So what is the strategy there, if you can comment on that part?

Pralay Mondal: I will request Mr. Divakara to answer this. Before that I just wanted to add one more point, in

my previous response that we have also tactically brought down CDs from INR 520 crores as on 31.03.22 to INR 96 crores on 31.03.23. This means that most of the liability side of the business you are seeing is mostly deposit focused and hence core franchise. Mr. Divakara, you would like to answer that question on repo rate and MCLR.

B K Divakara: The MCLR has been reduced by few basis points because when it was computed as per RBI guidelines, the operating costs have slightly come down and that has been passed on to the customers. Our MCLR is already high and we thought as and when some opportunities are there to pass-on the benefit to the customers, why can't we do that, so based on that analogy it has been done.

Pruthul Shah: Okay, got it, sir. Thank you. I will get back-in the queue.

Moderator: Thank

you. Our next question comes from the line of Samraat Jadhav from Prosperity Wealth Advisor. Please go-ahead.

Samraat Jadhav: So two questions, one is, we had an impact in NIM quarter-on-quarter based on first quarter FY2023 it was a good increase and then we had a drop in last quarter. So what could be the reason behind that?

Pralay Mondal: As I said before, I'm not saying guidance but in general in all my previous analyst calls, I've said that we are quite happy to have our NIM closer to 5%, but we'll focus on growth because NIM by itself doesn't mean anything. We had a growth which is double than the system. NIM also is a function of the mix of businesses, the cost of funds and various other things. To that extent I think on a year-on-year basis, if you look at NIM, it's looking okay, maybe on a quarterly basis.

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basis, it has slightly tapered down at 5.38%. For the quarter, it has been slightly down, but when you look at Q1 vis-a-vis Q4, we are pretty much okay out there.

When you look at Q4 last year vis-a-vis this year, we are almost similar, I think we will play in this range between 5% to 5.5% and we hope to retain at this kind of a level. We should not have a problem with this, but we are quite happy being in this range. Too high a NIM is not sustainable when you are growing a franchise consistently.

Samraat Jadhav: True and you also said in your remarks that you have a target of opening 100 new branches. So that would be for the full financial year.

Pralay Mondal: Yes, for the full financial year. I will tell you strategically the thinking is that we are going to start focusing on building the CASA franchise now. I am sure some question will come on CASA at some stage so let me just clarify upfront. The CASA franchise will not be built on gold loan focused branches and we are expanding significantly in North and West. Almost 50 to 60% of our new branch openings this year will be in North and West. Along with that we are building products, which will also help us in building the CASA.

CASA is not always grown by just focusing on liability so we will start retail assets, we are starting payments, we are starting SME in a big way, we have been building transaction banking, we are focusing on current accounts, in a way both savings and current and nothing but float that remains in the account depending on either transactions or usages. Therefore, to that extent, we have to start building and we have significantly grown our new acquisition this year and we want to get significantly more new acquisitions next year. Accordingly, we are building a fairly large team to get new customers to the Bank and new customers to the bank only helps when we have the right products and services and the technology to on-board them and cross-sell other products.

This entire journey is a three-four-five year kind of a journey and we are starting it this year. Significant investment on technology is going to help us in scaling this from FY 2025. For our CASA journey, in a way, we are kind of tee-ing off this year and this will be on a larger-scale over the period of time and hence, as we see FY 2024 we should see similar kind of a CASA ratio as we have while we continue to grow at a similar kind of a pace next year both on deposits and on advances. That is broadly, what we are strategically thinking of.

So on the branches, I'd say that, yes, we will have 100 branches minimum and out of that 60% will be in North and West, and these are not necessarily gold loan branches.

Samraat Jadhav: Okay, great, that's it, thank you and best of luck for the next one year.

Pralay Mondal: Thank you very much.

Moderator: Thank you. Our next question comes from the line of Shrish Vaze from Moneylife Advisory Services. Please go-ahead.

Shrish Vaze: All right. Thank you sir for taking my question. My first question is regarding our gold loan

originations. Can you provide me with the split of what percentage of our gold loans are we

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currently sourcing in-house and what percentage are through externally through direct assignment, securitization, other means? Thank you.

Pralay Mondal: The gold loan portfolio what you are seeing has nothing to do with direct assignment. Direct assignment portfolio is reported separately and that comes under the who lesale banking business, which we do through some of the NBFCs. Gold loan business, which you are seeing, is grown organically through in-house acquired customers within the bank.

Shrish Vaze: Got it, thanks sir. My second question is around our treasury strategy. So I can see that we have a duration of about 4.57, so I just wanted to understand how are you thinking about the duration strategy going-forward, like, are we going to be increasing the duration of our treasury portfolio like if we have a view on our interest rates or are we going to be conservative and sort of holding low duration securities for now? Thank you.

Pralay Mondal: Thanks for the question, I will give a partial answer and then Mr. Divakara can add to that. Obviously, in overall global scenario the way things are playing out, in increasing the duration may not be the right kind of risk strategy or even optically, it may not look as the right thing to do. We will obviously watch things out because treasury strategy can change depending on how the macro changes globally and in India. What I say now may change after a quarter or after six months, or after a year. Right now, the way you are seeing that the yields have softened a little bit in India - 10 year yields. From that perspective, I think we can tactically move some portfolio and book not only profit but also reduce the duration of the portfolio. I think we will use those tactical opportunities to ensure we don't increase the duration of the portfolio. Mr. Divakara, do you want to add anything to that?

B. K. Divakara: M duration of AFS portfolio is hardly 0.37. We do not have anything in HFT also. For HTM, it stands at 5.61. Overall, it looks 4.57. However, as I said earlier, the AFS M duration is a hardly 0.37. Therefore, we do not envisage any issues on this.

Pralay Mondal: Yes. I understand what you are saying. I am just saying what happens if you do a hypothetical calculation of MTM on a HTM portfolio as well. We do all the calculations and assess the various related risks. Given that perspective, I think what Mr. Divakara is saying is right. At the same time, there will be tactical opportunities that you can move one time from HTM to AFS and (a) book some profit; (b) reduce the duration and things like that.

We will look at this tactical opportunity. Broadly, things do not change because we are not into majorly trading. As Mr. Divakara has just said, we do not keep much of AFS in our portfolio. That is our strategy. We are not majorly trading into this kind of portfolio. However, duration, I do not see how it will significantly go up from here.

Shrish Vaze : Got it. Thanks. I will go back in the queue.

Moderator: Thank you. Our next question comes from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Hi sir good evening. Sir, my first question is on the cost of deposits. we saw this rise of 55 bps Q-on-Q rise in cost of deposits this quarter. So, one, I just wanted to understand what exactly CSB Bank Limited

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led to this? and two, assuming that there is no interest rate increase, what sort of rise in cost of funds per quarter could one sort of anticipate broadly speaking?

Pralay Mondal: Thanks, Mona, for the question. In a way, I partially answered this question already that we wanted to ensure that we have enough buffer and dry gun powder in the system to grow not only for last year and last quarter but on

a sustainable basis especially when NIM and other things are looking very good. Somewhere, you have to ensure you take a call. Given that perspective, we have ensured that our LCR and our CD ratio and our liquidity is extremely strong.

Having said that, when so much of increases happen on the repo rate, at some point of time, some increase will happen on the cost of deposits also. This is only one quarter, where some increase has happened last year and we ended at 4.85%. Last quarter, we ended at 4.30%.

Having said that, I'll tell you what we did tactically. We said that (a) we will keep it little more shorter term because we knew that there is a reasonable likelihood of G -sec flattening out. Hence, we did not take too much of a longer call. That takes me to the second part of your question, which is what would be the outlook ahead for the next few quarters or next year. I think outlook ahead is reasonably flattish from here, and we do not see too much of growth on cost.

The marginal growth can happen, but I don't see anything which would impact NIM to that extent, which eventually impacts your P&L positively or negatively. That is not keeping me

awake at night, the NIM and cost of deposits, at this point of time.

Mona Khetan: Okay. So, when I look at your, you know so I see that most of the rises come from higher term deposits. Now when I look at your quoted rate or card rate, they have not necessarily increased over the quarter. So, is it like a lot of wholesale term deposits coming at higher cost, short term or something like that?

Pralay Mondal: You know how much business happens in a tight liquidity situation on card rates. We were lower than some of the larger banks where we are quoting. Most of these are retail but by RBI terminology these are wholesale because these are more than INR 2 crores. These are mostly retail customers except for a few which maybe rightly termed as wholesale customers. Otherwise retail branch banking team source them basically from that perspective, but they could be slightly larger ticket size.

Secondly, none of these businesses, which we did, I was very clear that we are not going to compete with some of the banks, which have given very high rates. We are not competing there.

I said that only when the top three largest private sector banks - the re, I said that either we'll match or we'll not do the business. To that extent, this is mirroring what the larger part of the market was and not some of the players which we're giving, because we didn't participate there.

Thirdly, the card rates generally one needs to do it very carefully because you have an existing book. You have existing, for example, savings book, FD book, term loans and all of that stuff.

You know how this entire thing plays out. One would handle the card rate very carefully.

Otherwise, the cost of funds can go high. That's the way, that's a very standard practice across all banks and we have also followed that. But yes, to some extent, special rates, if you ask -

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Special rates have gone up last quarter a little bit for the entire ecosystem and the industry, and that is true for us also. We have not given preferred rates in the market to buy business. We have not done a single deal, which is higher than any of the three largest private sector banks - at what rate they are doing those businesses.

Mona Khetan: Got it. So, I mean, the kind of rise we have seen in this quarter it's not something that will be sort of replicated in the subsequent quarters, maybe 20 bps per quarter or something?

Pralay Mondal: See, I cannot do that kind of a splitting of hair at this juncture. It's almost like crystal ball gazing.

What I can tell you is that I am not worried on this. I'm going to protect my NIM to a great extent. I mean, maximum one or two quarters, a few basis points here and there can happen.

Eventual

lly, it will actually start tapering down after that because we have not taken long-term funding. That was done tactically as ALCO decision and that is exactly how it is playing out right now.

Mona Khetan: Sure. Secondly, on the loan-to-deposit ratio, you mentioned you are at the lower end of average for private banks at 84% or thereabout. So, can one assume that loan deposit ratio can continue to rise from here on? Or it has reached at level where it should remain closer to where it is?

Pralay Mondal: I think it depends actually on our credit growth next year. If we are at around, let's say, if the market is at 10%-12% and if we grow by, let's say, 20%, 22%, 23%, 25%, then we should be able to retain this kind of a CD ratio. Suppose we do a better job and grow the book faster, then I don't mind having our CD ratio because 86%, 87%, 88% CD ratio I have lived with in my past, in my previous organizations. It's not a big deal as long as it remains below 90% for a good cause, not because we cannot mobilize liabilities, but because our credit growth has been faster because all the cylinders are firing, I would not lose my sleep on that as well. However, we will never go above 90%.

Mona Khetan: Got it. On the fee income side, we've seen a very strong uptick in fee income this quarter. So I mean, and the entire fiscal as well. So, could fee income continue to grow at a higher pace than loan growth, something we saw in this fiscal?

Pralay Mondal: This, I can tell with definite conviction that it will grow much faster than the loan growth. I'll tell you why. If you look at most of our operating metrics, Mona, if you follow my analyst calls in the past or our one-on-one meetings, most of these trajectory is exactly moving in the same line, which I've talked about before. That's what gives me and my management a lot of satisfaction that it is moving exactly as predictable, each of the operating metrics. On the fee income, let me tell you, which I have told before, that we had a significantly lower fee income this year on treasury and on PSLC income.

I think between the two, we did almost INR 30 -31 crores lesser than last year. In spite of that fact, we have grown by 28% on the fee income, which is in line with the credit growth. Next year, the PSLC income will come back for reasons which I've explained before. We do have a very good PSL book this year as well. Our momentum on the processing fees will only go up because with credit cards and retail assets and SME businesses coming in and transaction

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banking getting launched, the granularity of the fee income is only going to improve significantly.

Our TPP business, trade, forex, we are focusing a lot more on NRI and trying to ensure that, some of the remittance happens, from NRI book, directly through the bank. All of these will give us significantly higher traction on fee income. I'm very bullish on the fee income. I said that sometime back, if you take ex treasury and ex PSLC, our fee income is to be less than 5% of the total income. I said that at some point of time by FY 2030, we should be somewhere around 17%, 18%.

In fact, we are ahead of that trajectory. We have almost reached; I think 12% in the last FY. I think in the next two years, we should be able to reach at least 15% in terms of our fee income contribution to the overall income, which will be then in the same league as the big players. I think we are well on track on that front, and this is something which is doing very well.

Mona Khetan: Got it. so if I look at this quarter, the 44% growth in the core fees, which is commission and processing fees, so this already included or what has this benefited from? Is it the same thing you mentioned card, trade, forex, transaction fees?

Pralay Mondal: No, those have not yet come. This has come primarily from gold, insurance, some debit card small

little here and there, ATMs and all that. Again mostly it is core liability fees. Of course, core liability fees will continue to add to overall fees as the liability franchise grows. I think we have done the basics right. Next year, we will add on a few more cylinders to it. These basics, which we have done right, some of them will fire even better next year.

Next year, we'll not have a negative growth on treasury and PSLC. In both, we will have a positive growth. Therefore, if you add all up, you will see a reasonably good traction on the fee business.

Moderator: Thank you. Our next question comes from the line of Sheel Shah from Sameeksha Capital. Please go ahead.

Sheel Shah: Yes, thank you. Thank you for the opportunity. So, we had a great year in terms of asset quality, and we saw improvement each quarter. We had a negative credit cost for two years in a row. Now it is definitely outstanding. For FY '24, can you please share your credit cost guidance and your thoughts on slippages for FY '24?

Pralay Mondal: Before that, let me just tell you what happened in FY '23 and what the good news in that is. Other than recovery from written off book as well as up gradation of accounts, I think the other factor which is slippages is something which makes me very happy because the slippages has been pretty positive for us, the entire trajectory. What it tells us is that our risk management, our credit governance and all of that is working very well for us. That's number one. Hence, going ahead into next year and future, we see that we have a good risk and credit governance, which finally leads to credit costs.

Secondly, on the credit cost, yes, we have continued to improve on our credit costs, and we were more negative this year than last year as well. I think it is around 25 basis points negative this

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year compared to, I think, 7 basis points last year. But of course, this cannot continue forever as you grow your book. What I have told in the past, I'm telling again that our GNPA will be less than 2%. NNPA will be less than 1%, and our credit cost will be less than 40 basis points, and this I'm saying at least for the next three to four years on a CAGR basis.

I will hold on to that. Having said that, obviously, given the trajectory, we may not have a negative credit cost, but we may not reach that higher end of this limit. I mean, the higher end of this range. We should be doing reasonably well on our credit cost next year as well and well below the three, four year guidance.

Sheel Shah: Okay. Thank you. Just one quick question. If you can just share total investment, in tech that we have done for the current year?

Pralay Mondal: Total investment?

Sheel Shah: Yes. In the tech investment?

Pralay Mondal: Tech investment.

Sheel Shah: Yes.

Pralay Mondal: What we have done is we have built a structure and the architecture and clarity on what we want to do on technology this year in FY '23. The leadership team is in place, the structure is in place, and we have clarity on what we want to do. The easiest way to say what we're doing in technology is almost 70% - 80% of what is there in the bank won't be there after two years.

Whether it is a core system, whether it's the LMS, whether it is the LOS, whether it is the corporate net banking, whether it is the entire API integration, lead management system, the entire project management system, I mean whatever entire architecture .

We've got full clarity this year how much. We started investing this year, but the big investments are coming in the next two years. In terms of capex, most of the capex will be through in the next two years in the bank, which obviously on accounting principles will flow through our X plus 3 or X plus 5 basis. It's not that everything will hit the P&L, but maximum investments in terms of capex will happen in the next two years in the

bank. After that, obviously, we will continue to do bits and pieces here and there.

That's where the major investment will come in - in FY '24 and FY '25. We'll try and see if we can execute it right. A lot of that would get front-end loaded in FY '24 itself. This is a big investment for us, and this is a big strategy for us next year.

Sheel Shah: Okay. Can you just quantify it?

Pralay Mondal: I mean, it's a difficult number to give. What I can tell you is that in terms of, because I've told it before, I can repeat it, that whatever our annual profits are, hopefully, we should be able to invest that kind of money in capex. Obviously, it will get apportioned over three, four, five years.

Sheel Shah: Thank you so much.

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Moderator: Thank you. We take our next question from the line of Shrish Vaze from Moneylife Advisory Services. Please go ahead.

Shrish Vaze: Yes, thank you. So, I just had one small question regarding regulatory treatment of our bank. So in terms of RBI classification, we are classified as an old private sector bank. We are trying to kind of transform the business towards a new private sector bank. So just wanted to understand from a regulatory perspective, does that have any material impact on us that we're classified as an old private sector bank vis-a-vis competitors who are in new private sector banks? Thank you.

Pralay Mondal: Frankly, I have not thought through this yet. Since you have asked this question, I have to now think about it. But from a regulatory, I mean from a license perspective, whatever I understand is we can almost do everything what large new private sector banks can do. If there is any restriction anywhere, not that I'm aware of. Mr. Divakara, would you know anything?

B. K. Divakara: No, I don't think so any restrictions are there. We can do all business what they are doing as of now.

Pralay Mondal: I'll check this out. This has never crossed my mind because we have not actually faced any hurdle in doing anything so far. I have worked in two/three large private sector banks before - two large and one medium and whatever I have done, so far, nothing has been told not to do here. But let me take a clarification of this.

Shrish Vaze: Got it. Thank you sir.

Moderator: Thank you. Our next question comes from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes, hi sir. I just had two additional questions. So firstly, you mentioned that there is this plan of big investments, this fiscal as well. So, on the opex to assets, we had opex to assets of 3.5% or so this fiscal. So, could this continue to be at similar levels? Or will the other opex growth of 28% over the last two years moderate, given the high base?

Pralay Mondal: A very good question, Mona, and this is something, which I have been telling to all investors, including investor calls in the past, that we will significantly increase our investments primarily into four parts. One is distribution; one is people and leadership - including customer acquisition mostly in technology for the next two years. Fourth is building channels, including digital and other partnerships and things like that. These four investments, we'll do come what may. Given that perspective, yes, opex will go up because this is not cost, this is investment and each of these investments has a clear payback period.

I said that by FY '30, SBS 2030 as we call it, our cost-to-income kind of our target is somewhere between 40% to 45%. Having said that, I said in the short run, our cost to income target is between 55% to 60%. We have retained within that this year. Next year, probably, we'll be at the tipping point out there, maybe few basis points, may go up or down. From next year onwards, again, we'll be in the range within 50 to 60, and it will gradually start tapering down every year to about 45% by FY '30. That's my

plan and it will exactly play out that way.

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Mona Khetan: Okay. Got it. just finally, on the retail growth, we have seen a very strong growth in other retail. So where is this coming from if you could share some details around it?

Pralay Mondal: It's coming from a low base Mona. Our retail growth has not yet started . What you're seeing is primarily because we have started nibbling bits and pieces here and there. I'm very clear with the team that we will not grow retail till we have our systems in place, till we have the right to ask the right business from the right partner and till we get our branch distribution on retail cross-sell well and till we get our liability franchise where we have the acquisition machinery working like a machine to which we can cross-sell.

Frankly speaking, none of those will take off until FY '25. FY '25, we will start seeing some green shoots out there. Right now, it is low base and we are doing bits and pieces here and there. That is showing it up. But you will see, as I told before, I said that by FY 2030, we will have 20% gold, 30% retail, 20% SME and 30% wholesale and other businesses, including securitization . If you have to go to 30% retail, where are we in retail? I mean, we have to go there. You will see a significant scale up in retail between FY '27 and '30.

By FY '25 for the first time, we'll start seeing the real growth happening. What you are seeing is basically on a low base, we have started bits and pieces everywhere . That is what is showing, including agri, micro finance, a little bit of a PL, some of the home loans, some of these LAPs , some of these businesses here and there. These are all showing up as little bits and pieces. This is not the real journey. Real journey will start only post FY '25 after our system, processes are in place because I have done this business enough to tell that we should not scale this business unless all our machineries are ready.

By that, we'll be actually picking up a faster pace than doing it now and then taking two steps forward and one step backward. I'll not do that in retail. We'd only go all out only once we are fully ready. This growth you are seeing is basically because of low base.

Mona Khetan: Okay. So the systems are expected to be in place only by FY '25?

Pralay Mondal: No. The retail asset systems will be in place by FY '24, mid to end. Then what happens is based on my experience, I can tell you that once the system is in place, you need channel machinery to work, you need the process machinery to work. Also, what we need is customers. We are starting that entire sales machinery of customer acquisition. What we'll do is because we have digital access now unlike 20 years back, so onboarding of customers will happen with some retail asset businesses as well because of the digitized ecosystem.

All of that stuff will happen this year. The experience of cross-sell , all said and done, technology team will deliver, but we have to ensure the culture of retail assets cross-sell in the branches. I'm getting the team to get activated towards that. With the sales team, they will have a separate strategy. With the branch banking, they will have a separate strategy. With the OCC, which is outbound contact center, they will have a separate strategy. Only if these three machineries are working fine then we will look at DSAs and dealerships and start building the businesses, not the other way around because we should go with strength and not looking for businesses because our other businesses are not happening.

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That's the way we'll build retail businesses. So, to that extent, yes, the short answer to your question is, the systems will all be ready. Only system, which will not be ready this year, will be core system. Core system will come in FY '25 because that is so

nothing, which we are not going to compromise. We will get the best of the best. Hence, that will take a little while. That will come by FY '25. Then everything gets integrated around the core system.

Mona Khetan: Sure, got it. Thank you, that was very helpful.

Pralay Mondal: Thank you, Mona.

Moderator: Due to time constraint, we take our last question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes, sir. Thank you for taking my question. You just previously mentioned about the special deposits. So what will be the share of that in the total deposit mix? Secondly, on the NBFC side, we've seen some exposure picking up to that. So what kind of NBFC we see?

Pralay Mondal: I don't have that exact data, but I think we have always worked on 30-70 kind of model where 30 is large, I mean for us, large ticket is very small ticket also from an ecosystem perspective. But whatever reason, for the special deposits, generally, it has been 30-70. Maybe it would have gone up a little bit last quarter. It will come back to somewhere around 30-70 or 35-65 and most of these deposits are relatively, with maturity of not more than a year or six months kind of a thing.

Also, you must understand that we ran up our CD book almost completely. From a fairly INR500

crores of a CD book, we brought it down to INR95 crores. Given that, I think we had that special dispensation in a way to build some book on a shorter-term basis, which we have done. Hence, we have buffer on CD and things like that and CD rates are coming down

It will be a play of all of this till our entire CASA franchise machinery fully picks up. I'm not unduly worried on this percentage. It may have gone up a little bit this quarter compared to what is generally around 30-70. I'm giving you a very broad picture. I exactly don't have the data in front of me.

Pallavi Deshpande: It sounds like NBFC exposure, that is at 8.8%, is higher than 7% in the third quarter. So what are we seeing in that space?

Pralay Mondal: Mr. Divakara, would you like to answer this question? After that, I'll top it up. I don't think Mr.

Divakara is able to answer this. Maybe he's not able to connect. So, I'll answer this. What has happened is, see, when it comes to NBFCs, we generally do at a category of A / A plus category.

B. K. Divakara: Our advance to the NBFCs are mostly to the top rated borrowers - A-rated and above. Out of the total INR 3,000 and odd crore exposures towards NBFCs/HFCs, 94% is A and above type of accounts.

Pallavi Deshpande: Would this be primarily vehicle finance or the diversified finance?

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Pralay Mondal: No, no, it's not vehicle finance, it's highly diversified. A lot of this is to do with home loans and those kind of businesses. In fact, not too many is vehicle actually.

Pallavi Deshpande: All right sir. Sir, lastly on the recoveries from written-off accounts, what is the figure has been for this year, I guess it would be part of the other income

Pralay Mondal: Sorry, I didn't get the question.

Pallavi Deshpande: The recoveries from written-off accounts, how much of that has been this year versus last year? I'm talking about the amount that's included in the other income from this.

Pralay Mondal: Mr. Divakara would you like to answer.

B. K. Divakara: Yes, PWO recovery this year is INR 70 crores, last year it is INR 77 crores.

Pallavi Deshpande: Right. Okay. How much out of the 70 would have impact on the other income?

B. K. Divakara: It is netted off against the provisions to be made

Pralay Mondal: That is a new regulation, right? Mr. Divakara that you have to net it out.

Pallavi Deshpande: Okay, great. Thank you, sir. That is all from my side.

Moderator: Thank you. We have reached the end of the question-and-answer session. I now hand the conference over to Mr. Pralay Mondal, Managing Director and CEO for closing

g comments.

Pralay Mondal: Thank you very much. I would really thank everybody who patiently listened to our commentary and asked very relevant set of questions. What I can comment on behalf of the management is that everybody is very excited to build the bank based on the SBS 2030 vision. The first instalment is delivered this year, but more excitement to come in the next few years.. Thank you very much.

Moderator: Thank you, sir. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

"CSB Bank Limited
Q1 FY2024 Earnings Conference Call"

July 20, 2023, 05:30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
HEAD - STRATEGY & CORPORATE LEGAL - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to CSB Bank Q1 FY '24 Earnings Conference Call, hosted by YES Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Neeerav. Good afternoon and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO, Mr. B. K. Divakara, Head of Strategy and Corporate Legal, and Mr. Satish Gundewar, Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their results call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, for hosting the call, and thank you, everybody, for joining. Very good evening and we just announced our results for Q1 FY '24. I am sure you have seen the results already.

So to begin with, I think, global economy has started improving slightly, though at a very slow pace. Declining trend is projected for the global GDP growth even now, where 2024 might witness some gradual uptick as inflation moderates and real incomes strengthen. Headline inflation is projected to decline due to tighter monetary policy taking effect, lower energy and food prices and reduced supply bottlenecks.

Global growth has slowed sharply and the risk of financial stresses in emerging markets and developing economies is intensifying among the elevated interest rates. Uncertainty over the evolution of Russia's war of aggression against the Ukraine and its global impact remains to be a concern. From the recent hawkish Fed announcements, market feels that there could be another chance of 25 basis points rate hike in the next meeting. However, certain headlines are changing because of which, the bond yields are going down. Even yesterday, there had been certain inflation-related trends noticed globally including by BOE (Bank of England). Therefore, I think, certain green shoots are emerging where by the interest rate may not show the trend of going up continuously, but at least another 25 basis points increase in FED may be expected in the short term.

On the domestic side, India has been stable and resilient, as reflected in sustained growth in bank credit, low levels of non-performing assets, adequate capital and liquidity buffers. The narrow current account deficit, rising foreign exchange reserves, ongoing fiscal consolidation, and the robust financial system are setting the economy on a path of sustained growth. Headline inflation

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is gradually moderating due to the combined impact of monetary tightening, supply side measures and easing of global supply bottlenecks. The slowdown in monetary tightening by Central Bank had resulted in the declining of bond yields. However, taking cues from the hawkish FED announcements, 10-year benchmark, is showing an increasing trend, in a range between 7.07% to 7.13%. System liquidity is hovering around INR 2 trillion surplus. As per RBI statistics, the banking system deposits grew by around 13%, a little less than that, and advances grew by slightly above 16% on a Y-o-Y basis. I think that's broadly where we are now. Now coming to the CSB specifics, the overall performance on both top line and bottom line was good on

a Y-o-Y basis and highlights of our performance include improved profitability. Net profit of INR132 crores up by 15% from same time last year. Operating profit witnessed a growth of 17% on a YoY basis. We are having a provisioning buffer of around INR170 crores over and above regulatory requirements, which includes contingency provision as well.

We could maintain a NIM of above 5% for the quarter, i.e., 5.4%. ROA improved Y-o-Y from 1.75% to 1.79% for Q1. We improved the funding base with a deposit growth of 21% Y-o-Y, almost in line with what we did in the last quarter and as against the industry growth of around 13%. CASA had a growth of around 6% Y-o-Y and CASA ratio could be maintained above 30%. In my last call also I said, we would keep it in a range of 30% to 32% on a sustainable basis, as we continue to grow. FY '25 onwards, we will take it up much faster. On the CASA front, while it is a 6% Y-o-Y growth, average CASA growth is much faster than that for us, indicating that we are getting a sustainable CASA growth over a period of time.

On the Asset growth front, net advances grew by 31% Y-o-Y. Industry has grown by around 16%. Gold loan portfolio crossed INR1 0,000 crores mark and registered a growth of around 42% Y-o-Y. Yield on advances for Q1 FY '24 is 11.18%, with an improvement of 55 basis points over Q1 FY 23. Improved asset quality metrics is also there, faring well in all key parameters, viz GNPA 1.27%; NNPA 0.32%; PCR 93% and if you take out the written-off portfolio, then it is 75% around. Contingency provision accounted in the books is higher than NNPA and we are continuing with accelerated NPA provisioning which is higher than RBI requirements. We have fully provided the SR portfolio in line with RBI guidelines.

On the capital side, of course, we maintain a very high CRAR of 26 % with a low proportion of risk-weighted assets compared to the industry. Coming to shareholder value creation, book value per share has reached INR184, which is a consistent growth. EPS on an annualised basis for Q1 FY '24 is INR30.57 and ROE is at 17.5%.

We are planning to launch 100 new branches during FY '24 as well and 60% of those branches will be in North and West. Nowadays we are working majorly on technology enhancements. I am sure there will be many questions on this and I will elaborate at that point, including new core banking system during the Q&A session.

So in conclusion, on a Y-o-Y basis, we have done well; we will do better through the year on all key parameters. On a YTD basis, the quarter has been somewhat soft. On the deposit front, as I mentioned in the previous call, slightly high cost short-term deposits that we had mobilized to fund the loan book in Q4 were matured and rebuilding the book was done cautiously with due

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cost considerations. We have deliberately kept those deposits at a slightly shorter tenure because we knew that interest cycle eventually would flatten out. Hence, we will get the benefits of that maybe after a quarter or two as and when the interest rate cycle starts flattening or reducing. Few large value takeovers and prepayments affected our SME and wholesale book slightly. These are some of the accounts from the older book, but still we have shown a growth.

Higher investments in people, technology, systems, etc as required for the scale-up are affecting the cost side slightly. I have said before, costs can be seen as cost and investments; and in our case investments in people, investments in infrastructure, distribution, technology, all those are going full blown. We will continue to invest into those with a payback period. Over a period, we will see the cost to income starting to have a glide path towards our 45% kind of a guidance by FY '30. Enhanced focus on streams like, commission, trade forex, processing fee, liability fee, the insurance commission etc are

helping us on the income front. We will continue to work

towards the achievement of the milestones set under SBS vision for the year and try to achieve the vision ahead of the target.

The management team is confident about this. I also want to add that we have almost filled up

80% to 85% of our senior management positions now across most businesses, verticals, and support functions. Therefore, we are having the potential to build the bank of the future. The build phase of the bank will be over by FY '25 and then the scale phase will start from FY '26 onwards. FY '27 to FY '30 will be the absolute growth take-off stage.

With this, I conclude my opening remarks and hand over the conference call back for further questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Suraj Das from B&K Securities.

Suraj Das: Congratulations on a good set of numbers. I have a couple of questions. So first question is on the growth trajectory and NIM's outlook. If I see your growth this quarter, I mean, loan growth in absolute term is hardly INR450 crores, while deposits and investment are broadly flat Q-o-Q basis. In terms of growth, while the Y-o-Y growth percentage is great on absolute basis, the incremental business appears to be slightly sluggish. So my question is what are your views there? How do you see it going ahead? That is question one.

Question two is, if I see your LCR and CD ratio. LCR has come down closer to 100% and CD ratio is, high at around 86%. So it appears that there is hardly any excess liquidity left on the book. So on this backdrop, how do we see your deposit growth and loan growth in coming quarters and as well as in FY '24? Do you feel that you need to be more aggressive on the deposit front and then you need to increase the card rates on both SA and TD. I mean, what are your views there? Consequently, how do you see your earnings in coming quarters as well as for the full year '24?

One last question is on the data keeping side. In slide 9, according to me, in the prudential provisioning policy slide, NPA provision of INR 66 crores is there, which is over and above your, IRAC requirement. The question is, is this provision already accounted in net NPA

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calculation? I mean, has this INR66 crores being deducted from gross NPAs to arrive at net NPA figure? Yes, that is all from my side. Thank you, sir.

Pralay Mondal: Thanks, Suraj, for your questions. I will answer the first two, and I will request either Satish or Mr. Divakara to respond to the third question. Yes, on the growth side, year-on-year growth is robust, and we continued to grow like what we grew last quarter. Generally, first quarter had been soft for us and then it starts picking up. That is how historically it happened. But clearly, we are committed towards what I have said before that we will grow faster than the system by 30% to 50%.

Now the team is confident by saying that we will grow faster than the system by 50%, not 30% to 50% anymore. Therefore, my team is quite clear that we have to grow faster than the system by 50% at least, which means that if the system grows by 13% to 15%, we should be able to grow somewhere around 25%, and we are geared for that.

Coming to the second question on CD ratio and LCR. Yes, that has dropped a little bit for various technical reasons as well. CD ratio, of course, is a function of deposits. I already told before that we would remain in the range of 85% to 90%. So almost all the numbers if you take, including CASA, CD ratio, growth, and if you look at my commentary or transcript last time or last to last time, it has been pretty consistent, and the results are exactly in line with that.

CD ratio, we will keep it between 85% to 90%, because a bank which is growing by less than 10%, just two years back or 1.5 years back

is, is growing at 30% now. When you grow at 30%,

obviously, overnight granular deposit mobilization, which will help every thing, including LCR, CD ratio, cost of funds, not everything is easy. Therefore, we have to sacrifice somewhere. I think, we will hold ourselves to a CD ratio of about 85% to 90% this FY.

On the LCR, this will fluctuate a little bit here and there, but we are well above the regulatory norm, and we are confident that this is not going to be a challenge for us. If the question is on funding for our asset growth, I do not think there is any problem in the near future. NIM of 5.4% and the cost of deposits, etc, as you see, we are holding on to that. To that extent, I think we are having a stable growth trajectory.

Do we need higher interest rates for mobilizing deposits or CASA, answer is no. I don't believe in buying deposits or buying CASA. We will sweat the system to ensure that we get the right businesses. Having said that, we will focus on a lot more verticals, which include a TASC or Government Banking vertical. We will start implementing salary businesses. We are segmenting our quality of products and going gradually higher. We are adding 60% more branches in North and West, where the liability franchise is predominant and we are focusing on that. We have launched transaction banking. There are various initiatives, which will help us in building the CASA as well as the deposit franchise.

And lastly, we are adding 800 to 1,000 more people on the front end to get on the sales side to

add more customers to the bank. So all of these will build a deposit base, which is sustainable and build a compounding growth story. We do not need higher rates to build the liability

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businesses. These are the answers to your first two questions. On the third question, Satish you would like to add?

Satish Gundewar: So your question was in terms of our provisioning policy, which is more aggressive than the RBI norms. So simple answer to that is that if the provision is made on an NPA account, then, of course, on the net NPA when we calculate, it will be reduced from that. If the RBI norms require us to provide, say, 25%, and I provide 50% on that. If it is an NPA account, then, of course, that provision will be counted for calculating the net NPA.

However, over and above that also, we have spoken in our earlier calls also about the contingency provision. Now that contingency provision is held against some of the standard accounts, it is over and above the NPA provision. So I think that should answer your question.

Suraj Das: Yes, it does.

Moderator: Next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: My first question is on the cost of funds. So going forward, what sort of trajectory do you expect? We have seen another 15 bps rise in cost of funds. So could we sort of expect the same run rate on the rise in cost of funds? Or how do you see it?

Pralay Mondal: So on cost of funds, I think, gradually you are seeing flattening of rates. I think this is the last quarter where we will see anything on the cost of funds elevation. After that, it will start either flattening or tapering down. NIM will also follow that. From an NII perspective, maybe the current quarter also will continue to be a soft quarter. Third quarter onwards, we should start picking that up as well.

Mona Khetan: Sure. Got it. And secondly, on the fee lines, we've seen a strong growth on a year-on-year basis. So are there any one-offs out there or this kind of a traction could continue?

Pralay Mondal: Our bank cannot depend on a one-off. Secondly, I do not believe in one-off. Whatever you see will be sustainable franchise and a long-term growth story. What do you see this quarter; you will see better next quarter on fee income. We have been promising it for the last 1.5 years. I said that core fee income

me is my focus and now core fee income is becoming a sustainable story for the bank. We will continue to grow this part actually.

We are launching many other things on the fee side. From that perspective, we will see core fee income growth to sustain. This quarter, for example, we have not even created a PSLC income. While we have bought some PSLC on the micro side, we have not sold anything and we are sitting on a reasonably large book. All of that will also add to this income and I do not consider PSLC & Treasury as a core fee income. Core fee income will do even better than what you are seeing right now.

Mona Khetan: Got it. And when it comes to the employee expenses, so on a high base, we continue to see very strong growth. I understand you have plans to add employees in a big way this fiscal as well. So what sort of growth in employee expense could be envisaged?

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Pralay Mondal: So let me clarify one thing that this was a little bit of an aberration. This one is a one-off. Because first quarter employee expense, the way we have managed so far goes up a little bit, and then gradually it tapers down. Number of employees, we will continue to grow. If you look at it, Q4 to Q1, our number of employees has gone down instead of going up, but that will significantly go up in the next three quarters. Our employee cost has gone up primarily because of the expenses like bonus and other things. We had some higher actuarial costs, this quarter. If you net that off, then I think employee cost will be in line with our growth in employees. Actually, it will be lesser than our growth in employee because now we are expanding the base end of the employees rather than the top end of the employees, because that is 80%, 90% done. You will see employee expense going up, but not at the current rate, it will be probably at half the rate, which you saw this quarter.

Mona Khetan: Sure. Got it. I have two additional questions. Should I go ahead? Or should I come back in the queue?

Moderator: Ma'am, I request you to join the queue again. Next question is from the line of Shubhranshu Mishra from Phillip Capital. Due to no response, we move on to the next participant. Next question is from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: On the actuarial expenses, so how much would the actual amount of actuarial cost and what you

see for pension liability?

Pralay Mondal: I do not think those things are in the public domain and really not very large to be talking off. As I said earlier, there has been some additional hit as well, but it is not a very large amount.

Pallavi Deshpande: Right, sir. And sir, especially on the cost of funds, I think would you have any details on the bulk deposit rate? What would be the share of that in the total of cost of funds?

Pralay Mondal: We do not pay high rates for bulk deposits. We do it based on a relationship basis. Do we have large deposits? Answer is yes; but they are mostly historical in nature. Incrementally, we are primarily focusing on sustainable long-term kind of deposits, and they can be slightly large, they can be granular. We are confident of the kind of deposit franchise we are building, which is not price dependent. It will be a good, sustainable and long-term one.

Pallavi Deshpande: All right, sir. Thank you so much.

Moderator: The next question is from the line of Sumit Rathi from Centrum PMS.

Sumit Rathi: My first question is what is our strategy, for example, over the next two to three years on the percentage of the retail loan as a percentage of AUM and SME as a percentage of AUM, like, over a period of two years, three years, sir?

Pralay Mondal: So let me give a slightly elaborate answer to this. As a part of our Sustain Build and Scale 2030 strategy, we will have 20% Gold, 30% Retail, 20% SME, 30% Wholesale and other businesses, which i

ncludes securitization. The way we have broken it up is; now to FY '25 first phase, FY
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'25 to FY '27 second phase and FY '27 to FY '30 final phase and we have completely planned it out how we'll do in each block of this two years, three years etc.

So right now in the build phase until FY '25, we will continue to depend on building our revenue for investments. We have started those investments already and gold business will be the major income generator. Gold loan is continuing to do well for us. The losses are very low. Risk weights are low. We understand this business. Yields are very good, which I have shared with you.

From that perspective, we will continue to do something, which is doing well. Parallely, we are building the entire retail assets and SME franchise. We have been showing negative growth as the old portfolio had a rundown. You could see that, the retail franchise and SME book have started showing growth. These are green shoots, what we are doing. Although there is a tremendous growth in retail in the ecosystem; we would wait out a little bit from a risk perspective and grow slowly and cautiously.

More importantly, in these two years, we are building everything, including leadership, processes, internal customers, the sales channel, which will be the liability franchise and the liability customers etc. I still believe that you do not go out and distribute retail loans based on our credit bureau score and things like that. You need to understand the income of the customer, his or her relationship with the bank. We want to build a proper franchise and it will take us minimum two years.

Coming to the products that we are focusing on retail, while we have some new business -- forget the old portfolio, which is already there. In the new portfolio, there is a small portfolio in 2-wheeler and personal loans. The real ones, which you want to focus on is home loans i.e., in-home loans. We want to do retail LAP as well as SME LAP. We want to do commercial vehicles, commercial equipment and auto loans. We are also looking at specific education loans targeted toward certain segments, where risks are lower. We are also looking at health care. So all these businesses we are building with LOS, LMS etc. We are also building up the leadership team for all these products. We have created a business leadership team, the credit, and the collections leadership team, and we are gradually starting to build the technology, the processes and distribution.

The entire planning for the retail assets is now at play, and this will show up FY '25 onwards. As the base is low, you are seeing a good growth in retail, but in absolute terms, it is not much. On the SME side, I think a lot of what has been done in the last one-year or two years, is starting to show up now and we will continue to see the growth in SME now onwards, because now we are going to be seriously playing that game on the SME side.

In wholesale, from FY '25 onwards, we will take slightly larger strides there as well. So because of all this, '25 to '27, we will start seeing tapering down of gold loan as a mix, not as a growth percentage. From FY '27 to 2030, you will see a significant growth on the retail and SME.

Wholesale will also start picking up from there the way we are building the transaction banking and some of that. One needs a large balance sheet to build the wholesale business in a more realistic way. That is exactly the plan. If we do it right, the CASA franchise will automatically

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build. The fee franchise will get even better. If you get the transaction banking, if you get the CMS, then automatically TASC starts doing better, the SME does better. So through all of these, the entire-ecosystem banking, as we call it, we are building. This is the way we are building FY '25, FY '27

and FY '30.

Sumit Rath: Wonderful, sir. That was a great detailed answer. So in continuation to this, like, for example, SME, we have seen like from last two quarters, started giving those green shoots, which you were looking for. So I just wanted to understand what kind of underwriting practices related changes we have brought, because as I understand, gold loan underwriting and SME underwriting and other retail asset underwriting requires different kind of skill sets. So what are we doing over there? Are we going to make anything centralize or decentralize or what kind of people are we adding in our credit team? If you can give some color on that.

Pralay Mondal: First of all, there is very little credit risk in gold loans, it is more of an operational risk, because you have the metal with you. Only for the higher ticket sizes, CIBIL Score, and all is required. Here it is an execution risk.

On the retail side, of course, you need very different kind of credit underwriting, which is policy based, process-based, technology-based, score card based etc and more than underwriting, what is more important is the constant monitoring of the portfolio and constant correcting of that portfolio.

Coming to SME, there was a time in the bank many years back, where we had decentralized underwriting. We have moved away from that some time back. Now we are creating a very strong credit governance structure, because all my life I have been more of a credit guy than a business guy.

The way we are building is, under our CCO, we have created SME, Wholesale and Retail verticals. Under retail, there are various sub verticals depending on the products. Then we have created the entire debt management structure. Under debt managed structure, we are creating retail separately, SME separately and wholesale as well. Then we have a collection team and a strategy function because collection has a detailed strategy requirement there and MIS etc. So analytics is also falling under the Chief Credit Officer, who is looking after this.

In short, on retail, obviously, it will go on LOS and on the wholesale, it is more relationship-based and hence, you have to get into the full depth of the relationship and understand what kind of business we're doing, why we are doing this, and we focus on certain segments, certain verticals etc

However, one thing is common, there is nothing decentralized. The only thing decentralized is gold loan business because there is operational risk. Everything is centralized based on policy. I have worked in three, four banks before this, but let me tell you the amount of focus we have from Board and Credit Committee and the kind of governance; it is really good and I think, we are building up good credit, both on wholesale and SME.

On the credit front, I am confident that we are building a very good governance and culture. It is just not processes. We are getting great people. We have very good teams right now. Credit is

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an area, which we are very focused on. Its various parts can be seen as Credit, debt management, collections, analytics, systems, data and so on. That is how we are building credit.

Sumit Rath: So what kind of number of people we have added so far in, say, credit team and our collection team so far, whatever we have added?

Pralay Mondal: I do not have exact numbers, but we are building up a large team. What we are doing is unlike business where you go bottom up and top down both, in credit you need to go top down first.

This will help in creating the right team from the governance and processes perspective and we do not want to unnecessarily build a large cost structure on the ground until the business starts coming in. The framework, the management, the ability and the distribution, that is what we are building right now.

In terms of distribution, we are doing as and when, we

have those requirements. On retail, it is

not about just numbers, it is also about technology. We are investing significantly on the technology. I think the right answer to that is our structure is now in place. Now on the ground, it will be based on the requirement of the business.

Moderator: Sumit, sorry to interrupt you. I will request you to join the queue again for a follow-up question. Next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, I just wanted to understand, I think in one of the remarks you mentioned that till FY '25, the investment phase will continue, right, for the company?

Pralay Mondal: Yes, investment phase will continue. The major accelerator of investment phase will continue until FY '25 end. After that also, we will continue to invest into people, into technology, into geography, distribution, because I have said before also that by FY '30, you would like the branch distribution to go to 1,500 branches. This means that we are not going to stop by FY '27 or FY '30. However, right now, where we are to where we will be; the big heavy lifting will be done by FY '25.

Deepak Poddar: So I mean, on a steady state, what should be our aspirational ROA that we kind of would be looking at?

Pralay Mondal: We will be comfortable with an ROA between 1.5% to 1.8%. If we are lucky, in a few quarters, we may get 2% also.

Deepak Poddar: So between 1.5% to 2% is a range that we might be working with, right?

Pralay Mondal: We will not go below 1.5%, and it will be difficult to go above 2%; it is in that range, yes.

Moderator: Next question is from the line of Neel Mehta from Investec Capital.

Neel Mehta: Most of my questions are answered, but I just had one question as a follow-up on the LCR bit. Sir, you mentioned that there was a small technicality based on which our LCR has come down this quarter to say around 106%, 107%. Would you be able to elaborate, please, on what the technicality is?

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Pralay Mondal: It is not very complex technicality. This is because of the tactical play, of accepting short-term deposits in Q3/ Q4 of last FY based on our interest rate view that eventually it will taper down and then fall in FY '24. We had taken a call saying that we will not lock in for a very long-term kind of deposits because then we have to pay a very high interest on that for a longer period even when interest rate cycle reverses. So some of these deposits were not that LCR friendly.

Secondly, if your CASA as a percentage is coming down a little bit, it will also affect the LCR.

On the CASA ratio, we will remain in the 30 to 32 percent range. Even this quarter, some of the big tickets, which we had taken earlier, are also running off. I am ok that they are running off, because we are able to replace it with proper deposits now with longer tenure and with better rates. Q1, and to some extent in Q2, will have this impact. However, from Q3 onwards, we will be back where we were.

Neel Mehta: Got it, sir. That helps.

Moderator: The next question is from the line of Sonal Minhas from Prescient Investment Management.

Sonal Minhas: Hi, Sir. This is Sonal Minhas from Prescient Capital. I have three questions. First one is regarding the SME loan book. Just wanted to understand, I think, it has been like a few quarters now been seeing the growth and build up, it is kind of muted. I wanted to understand the concentration of this book, which is largely Kerala and TN. In addition, to understand the quality of the inbound proposals that you are receiving, is that something, which is of concern. Just to get a sense of this business growth over time.

Pralay Mondal: Thanks, Sonal, for your question. In the last FY, until Q3, we did not pick up SME business is because we thought that the pricing of the risk in the market was not to our appetite. From Q4 onwards, we saw that the

pricing to the risk was becoming more rational, and that is the time when we started picking up the business. We have picked up growth this quarter as well. In Q4 and Q1, we have done reasonably well on SME. Growth is not only going to sustain but going to go up from now onwards.

Second question, in terms of concentration. If you divide the old book and new book separately, the new book is national across North, West and South. There is no specific geography concentration. In fact, we are expanding significantly in West and North as well on the SME side, and just not South. We are also leveraging the branch-banking channel in a big way. We have picked up 20 specific SME focussed branches where we are running lot of SME related activities. We are also launching a new current account product variant, where the current account team and the SME team will work together.

Our Transaction Banking Head reports to the SME Head right now. They are building up solutions on TFX and other businesses, CMS, etc, which will help us in building the SME business. The new acquisition channel, which we have created for liability acquisition that would also have a current account team. They are also working with SME from a lead distribution perspective. We believe in going out and getting customers based on what we want, and through referral businesses and things like that. That is the second thing on the geography.

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The third point is credit concentration -- credit focus. I have answered that before. We are very focused on credit, and we do not do bad credit. Because of that, sometimes we have to sacrifice business and we will. We are rejecting more cases than we are approving at this stage in SME, and our approval rate is well below 50% right now in SME. That is the kind of credit results, which I am happy with.

Sonal Minhas: No, which is good to know, sir, because I think when we do talk to some of your peers in the same market, we hear not such tighter approval process for SME loan book. This is heartening to know. This is good. This answers my first question.

I have a follow-on, which is on your fintech partnerships; what part of your retail loans is being sourced through these partners? What is the quality of that book? How are you managing that? Just trying to understand that.

Pralay Mondal: We are currently incrementally sourcing almost nothing through the fintech partners at this point of time.

Sonal Minhas: Okay.

Pralay Mondal: We are also waiting for full clarity on how the regulators are looking at it, like the FLDG - of course, now there is a better clarity on that. Our API stack is just ready right now. I am very clear that, the building of the retail business cannot be based on unsecured businesses. However, we have a good partnership on the cards side, because we do not have investment planned in cards in the next few years. We are building the other tech stack and we can't build credit card stack right now. So that business is doing well, that partnership is doing well, which is with One Card.

However, are we getting to the state of readiness to do that? The answer is yes, from a technology perspective. Because at some point of time, the clarity will be there, and then we will join hands.

Sonal Minhas: And sir, out of the INR122-odd crores of other income that we are generating in a quarter, how much -- is that largely -- and I'm not going to ask a question of how much, but is that largely being driven by One Card like because they are steering quite fast as what we had in the market? Just trying to get a sense of...

Pralay Mondal: No. I have run a very large card business in HDFC bank. I understand where your point is, because our cards portfolio is very small, so we cannot generate that kind of fees. Our fees primarily, will be insurance, liability fee, PF, LCBG Commission, TFX income, Card Fees

etc.

It is a combination of many things and just not one thing. What we have done is, as we are adding a lot more customers to the bank now, our ability to generate lot more fees is higher -- because this, customer quality is better than what we had before in the bank. That is helping us. I am confident that we will be able to continue to grow this fee business on a sustainable basis, and we are investing on that. There are good partnerships, which we have on the insurance side that is also helping. So overall, it is a very good place to be in on the fee business.

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Sonal Minhas: I understand that, sir, that explains. Sir, this is the last question on CASA. Do we expect the CASA -- because, I think it is flattening out slightly in the negative territory. So just wanted to understand, do we expect the CASA to grow once your tech stack is up and running. Is that the key trigger point, and we should wait for that?

Pralay Mondal: You know this, how does CASA grow? CASA can only grow when one is able to utilize the money. That is how the float happens- whether it is current account for the businesspeople or it is for household CASA. Only when you are able to cross-sell, we are able to create utilities around it. Then only we will be able to get a reasonable ATS and reasonable value per account. Otherwise, it will not grow.

That will be in that state of readiness by FY '25 onwards. The granular real CASA will start happening from FY '25 onwards. Right now, the CASA growth we see is because of the new product launches, new acquisition strategy and improvement in the quality of acquisition. We have reduced our blue accounts, which are the lowest level accounts, and we are increasing our silver and gold variants -- I mean next level of accounts. We have also added premium accounts. We are experimenting with all this. Once our systems are ready by say 15 months from now, many of these things will be connected. The right time for the granular CASA will be FY '25, until then we will have to manage with a 30% to 33% kind of CASA ratio.

Sonal Minhas: Understand. We are reasonably sure of the triggers from 15 months from now. There are not too many moving parts from here and there, in terms of execution.

Pralay Mondal: Yes. FY '25. You tell me one thing, which I have committed, and we have not delivered in the last 18 months

Sonal Minhas: I have been tracking CSB for almost 10 years now. From a private side to the public side, so I

understand the business, but this is for the longer term growth of bank, that's why I wanted to understand this.

Pralay Mondal: FY '25 onwards, we will be in the next phase. The build phase will be over for us by then.

Sonal Minhas: Sure, sir. Look forward to being in touch.

Moderator: Thank you. Next question is from the line of Rakesh Kumar from B&K Securities.

Rakesh Kumar: Sir, just to add some clarity on notes to accounts (item no 12) with respect to labour code. So if you can help us understand what could be the likely impact, if any?

Satish Gundewar: It is a standard note on labour code and comes generally if you see in many of the banks. Since it is not yet implemented, the final contours are not known. And we really don't know when it will become applicable. So it is very difficult to comment on that.

Pralay Mondal: Okay.

Rakesh Kumar: But sir, what was the purpose of, like you know, we have put that in the notes of accounts, also like have we done any calculation on this

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Satish Gundewar: Currently, there is no clarity in terms of when it will become applicable. So we haven't done any such work in terms of what will be the impact of that because still it is in the draft format and final contours not known yet. Whenever the government will make it applicable, of course, there'll be time for implementation. At that point in

time, it will be clear.

Rakesh Kumar: Got it.

Pralay Mondal: I want to add, although, the question is not that. Let me tell you, in the last 18 months, we did not have any strikes in the bank; we did not have any labour unrest. Today, our productivity in terms of the way the businesses are happening on a day-to-day basis, is good. We do not have any such issues. We used to get many questions on this before, but let me tell you, everybody is working together in growing the bank today, and it is a very good environment to be in.

Rakesh Kumar: Got it.

Moderator: Thank you. Next question is from the line of Aravind R from Sundaram Alternate Assets.

Aravind may I request you to speak louder, please?

Aravind R: Yes. I just wanted to understand like a few things to take, in a very basic understanding. SME loans, like are they predominantly LAP -- are they predominantly secured -- that is one thing I wanted to understand. In addition, what kind of LTVs and yields we have in the SME loans and what kind of ticket size it ranges.

Similarly, in retail loans, I can see like 32% Agri, 16% MFI. So I was trying to understand, are Agri loans also like again secured loans.

Pralay Mondal: So first question first, which is SME, LAP secured, unsecured. We do not do anything unsecured in SME. LAP is a separate business. We do not mix the LAP business with SME. LAP, we track separately. Coming to LTV, on LAP, I think it is 60- 65%, and SME mostly it is cash flow-based lending and retail is mostly scorecard related.

Ticket size, the way we divide is two parts. Branches are lead generators and the respective verticals attend to such leads. Such businesses will be mostly retail and MSMEs. INR 50 lakh to INR 25 crore accounts are managed by the SME team where the turnover will be upto INR 250 Crs. WSB team mostly handles proposals above INR 25 Crs/turnover of above INR 250 Cr. The SME ATS is around INR 2 Crore & if we take the last quarter or so, the average ATS sanctioned could be Rs 7 to 8 Crs

Coming to Agri/MFI, yes, that's a part of the retail business. It is doing well. MFI business is done through BC partners at this point of time. Agri mostly it is KCC and agri ancillary businesses.

We have technically launched tractor loans, farm mechanisation and all that, but we will progress gradually here. MFI is doing pretty well for us. 58% of our branches are in semi-urban and rural areas. We leverage these branches for our Agri businesses as well.

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Agri business is mostly secured. MFI businesses are unsecured. These are typically JLG kind of loans.

Aravind R: Just one more thing, like you did mention about the retail loans and SME loans like as a proportion of the total loans to be at a certain range by FY '30. Can you just repeat it?

Pralay Mondal: So by -- it is very easy to remember. That is why I have done it like that. By 2030, it is 20% gold; 30% retail; 20% SME; 30% wholesale, securitization, and all other businesses together.

Therefore, 2030 is 20, 30, 20, 30; 20 gold, 30 retail, 20 SME, 30 wholesale and others.

Moderator: Thank you. The next question is from the line of Asha Rawal from Subhkam Ventures.

Asha Rawal: Yes. Sir, my question pertains to the things as you had mentioned. Next quarter also, we can see some deterioration in the CASA in terms of the short-term maturity. What would be our LCR?

I mean, how you see LCR ratio then. That is 107 now.

Pralay Mondal: CASA ratio will be between 30% to 33 %; that is our target range. Going forward we will do better than this quarter. LCR also hopefully will be better than this quarter. I would like to keep my hurdle rate at 110%, so this is 3% below hurdle rate. Both CASA and LCR ratios will start improving from Q3 onwards

Asha Rawal: Okay. sir, what is the target for the credit cost? It has gone up for the quarter.

Pralay Mondal: We had a negative credit co

st throughout last year and its only 7bps this quarter. I had told this

in my previous calls that our long-term thinking is our GNPA will be below 2%, NNPA's will be below 1%, and credit cost will be contained within 40 to 50 basis points. We are well within that range.

GNPA has reduced significantly compared to same time last year. So is NNPA 32 basis points. Slippages are well under control, and credit cost has marginally gone up. Credit cost has one component, which is upgrades and recovery. During this quarter, upgrades and recovery were slower than what we did in fourth quarter. All these are very small numbers to talk about at this point of time. I had always told that we can never remain in a negative credit cost zone forever. So sometimes, we have to cross that. We crossed that this time. We will see how it goes next quarter.

Moderator: Thank you. Next follow-up question is from the line of Sumit Rath i from Centrum PMS.

Sumit Rath i: So most of the questions are answered. I just wanted to check, like you have planned out till FY '30, every thinking -- in a very crystal clear manner. What would be the impact on our credit costs? Like how would it move? If you can give some clarity on that, like FY '25 and then beyond that? Because our asset mix will change, our credit costs accordingly would come -- go up. So how do you see credit cost panning out for this -- in these three stages?

Pralay Mondal: Very good question. Typically, what is happening right now gold loan is somewhere between 45% to 50% of the portfolio, the credit cost is almost negligible. Then we have credit costs

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coming from our older portfolio, which is also reducing balance. I mean, I am trying to explain how they counter each other. So one is positive, one is negative.

Now, third is we will launch new businesses on the retail side. Obviously, nobody can do retail business at zero credit cost. Credit costs will start going up. Having said that, at least for the next five years, once it starts picking up from FY '25 onwards, the way it will play out is, typically, it does not show up in the first two years because of the nature of the beast on the retail side, then it starts showing up. But because we will continue to grow the retail very well for the next few years, we have to look both at lag credit cost as well as coincidental credit cost, both we have to monitor separately. However, what you see is coincidental credit cost.

Now coincidental credit cost is going to continue to be slightly at a slower pace because the portfolio will continue to grow on the retail side because going from where today to 30% on our balance sheet, which is growing at 30%, will be significant. To that extent, at least internally, I have to look at both lagged delinquency as well as coincidental delinquency.

The next part is SME. Now SME will have its cycles. So however good we do, if somebody can tell me that GDP will continue to grow at 6.5%, 7%, 7.5% and will actually become a INR 7 trillion economy by 2030, then I can assure you that our SME credit cost will be very low. But if there is a cycle in between, we cannot escape that cycle also. That is again the nature of the SME business.

On the wholesale side, I think we will contain the credit cost reasonably well. We do not see -- but again, there could be a bulky thing -- it can be one account here or one account there that can come in. So overall, we have calculated all of that. That is why I am telling you confidently that this year, we will be probably single digit on the credit cost. Gradually, we will move towards the 40 basis points credit cost by FY '30, which is very good, the best banks are in that range. Credit cost will have this kind of a trajectory that will move on from FY '25 to FY '30. So I hope, I could answer you. Otherwise, this needs a longer conversation.

Sumit Rath i: No, that

was very good, sir. Thanks for patiently answering all the questions.

Moderator: Thank you. Next question is from the line of Narendra from Robo Capital.

Narendra: Most of my questions have been answered. So I just wanted some clarity over your opex costs. I mean you said that it would be around 45% by 2030. So what could be the trajectory? I mean, at what point of time will we see a decline in the opex cost?

Pralay Mondal: The way the opex works is that there are four , five elements in opex . One is, the technology, which is the largest for us. Second is distribution. Third is, manpower, which is linked to distribution, it is not necessarily linked to distribution when you launch so many products and functions and verticals and geography etc . Non-distributional manpower cost will also be there. These are the three main heads on the opex side, technology, distribution, and manpower. When you look at the breakeven of each of these, manpower cost breaks even typically in six months' time. The branch -- or distribution breaks even for us, faster before, because we are

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doing small branches with only gold loans. Once we do proper branches in larger markets, there we breakeven between two years to 2.5 years.

Then the technology breakeven between capex and opex, it may take three years or so on a rolling basis. When you do all this calculation and put it in Excel and do a rollout plan and because we will continue to grow the manpower by, let's say, anything between 30% to 40% at least for the next two years , three years, and then probably by around 25% to 30% or maybe more beyond that, so we have to make that investment to grow the franchise.

I have done this waterfall and we have already told in my last call how much -- what kind of investments we are making in technology. Then you break it into capex and opex and typically, the capex will be for us around 35% and now in our P&L, 60 %, 65% will be opex on the P&L. On the investment side, capex will be almost 70%, 80% and opex will be probably, 20%, 25%. So when you take all this, it brings us to around 43%, 45% by FY '30 in terms of cost- to-income. Cost- to-income is a ratio and you have to have many income assumptions out there. I have divided cost into two parts, cost, and investment. Investments are distribution, which is operating leverage on the branches. People -- operating leverage of the people which takes three months to six months and technology, which gives you that kind of a break even. With all the calculation, we have a phase-wise year- on-year CTI, which will take us to around 45% by FY '30.

Narendra: Yes, I was saying thanks for the patient answer. Just one more thing. Given all your assumptions, is it safe to assume that our NII will increase by about 20%, 22% in F Y '24 over the last year?

Pralay Mondal: Our NII increase was around 17% this quarter. Next quarter will not be better than this. Q3 onwards we'll start doing better. So exit '24, obviously, I can't crystal gaze and give that kind of a number, but we'll be probably better than where we are by the end of the year.

Q2, we may have a softer quarter on NII, but we'll make it up with fee income. Our ROA/ ROE will remain strong and will sustain.

Narendra: All the best.

Moderator: Thank you. Next question is from the line of Shrish Vaze from Money life Advisory.

Shrish Vaze: Most of my questions have been answered. My question pertains largely around something that was mentioned in the Fairfax 's annual letter. So they had mentioned that the bank owns 38 residential and commercial properties, including land banks, which we had acquired several years ago and some also from -- in lieu of security. Just wanted to understand the geographical distribution of this and the market value? What are our plans to monetize these properties?

Pralay Mondal: I will answer that. The way it work

s is these are typically the NBA assets, which by regulation, you can hold up to 12 years maximum. Within that, you have to monetize, we do not have a choice. Ours is a 100-year-old bank and you must understand that many of these are probably acquired, as there were no takers for the property in a sale. We are following RBI guidelines

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here and in certain cases, this goes into litigation and all that. So it is almost like a recovery procedures, but we have taken a position of all this.

We have not acquired any NBA property in the recent past. On geography concentration, I would assume that larger concentration would be in the South.

Shrish Vaze: Got it, sir. I am assuming that we do not expect a very large sort of income accretion from the monetization of these assets

Pralay Mondal: That is not even considered in. We have not looked at it from a P&L perspective.

B. K. Divakara: No, we do not have any own real estate assets as such for sale . Few non-banking assets are there in our portfolio, amount-wise it is actually negligible. We do not have any plans to sell any of our own properties as on date.

Shrish Vaze: Okay. Got it, sir. That was all from my side.

Moderator: Thank you. Next question is from the line of Nalin Shah from NVS Brokerage.

Nalin Shah: Most of our questions have been answered. Just two quick questions. Sir, this promoter shareholding, I believe from some RBI guideline, it has to come down. So if you could just tell us by what percentage, and by which year?

And the second question is that, with such excellent performance and profitable numbers, when can we expect bank to be under dividend list?

Pralay Mondal: On the Fairfax Holding. So technical answer is that if you go by regulation, within 15 years, it will have to be brought down in a phased manner. How it will be brought down and what is the trajectory is a conversation between Fairfax and RBI. We are not a decision-maker on that.

RBI may come back to us once Fairfax concludes their discussion and they will keep us informed. We cannot comment on this point now. I have heard from very senior people in Fairfax that they would like to hold it as long as they can. On their own, they might not dilute anything unless they are advised to dilute.

On your second question on dividend, I mean, as an equity investor, would you like dividends? Especially when our ROE is so good, other shareholder indicators are good and we are planning to grow the bank so well. Having said that, now the reason we are not giving dividends is that we had accumulated losses. Now as these losses have been wiped off, we can look at it. Now rest is a question of what Board guides and that we have to look at it. However, dividend is not always the best way to kind of a – get return on a high growing and high aspirational bank.

Moderator: Thank you. Next question is from the line of Vaibhav from Honesty and Integrity.

Vaibhav: Yes. So I have a couple of data points, so if you can help. For gold loan business, if you can help me – if you can give me average gold loan ticket size, and average gold loan per branch and opex to average assets for the gold loan part of the business, not the total part of the business?

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Pralay Mondal: This data is not in public domain. But typically, what I can tell you is that the gold loan ticket size for us will be within INR1 lakh to INR2 lakhs in that range on an average and gold per branch will be around Rs 15 Cr, but rest of the numbers are not in public domain. So it will be difficult to share.

Vaibhav: So would it be correct to say that gold loan will have higher opex than the other part of the operation, generally, given our ticket size. Would it be the correct?

Pralay Mondal: That is a correct interpretation, but in our business model, A) most of those branches have

already broken even. B), we are invested into those already. Therefore, when you are invested on that, we are getting from a marginal cost perspective and marginal benefit on marginal return perspective and it is good for us. From that perspective, you have to sit today and take a strategic call. Theoretically, we can say that gold loan, this is the opex, and this is IRR. It is somewhere between 11% to 12%, which is very good with very minimal loss and with very little risk weights. I think we have given that data in the presentation. We are actually working on a marginal cost, with only the people there and hence it is a good business to do. If you do only this business as it is so good, then we only become a gold loan bank. So the reason that we are expanding in North and West and building all those businesses because from a gold loan customer -- beyond gold loan, you can't do much with him. I mean, gold loan fee comes, but other fee businesses, cross sell of other businesses cannot happen. From that perspective, we have to diversify and we have to build those businesses. This is a very niche business and has to be seen in that way. As we are invested into it, we are sweating the system. That is exactly what it means in terms of marginal cost efficiency.

Vaibhav: Got it. And in terms of, like the scalability of this business, maybe because we might already be targeting areas, geographical areas where we can really scale up gold loan per branch, this is really fast into a reasonable amount. Maybe as of now, it's profitable to the extent it is. But if you go deep and kind of target lower-yielding areas, would the profitability will get affected for the gold loan?

Pralay Mondal: That is why at the places where it is low yielding, where your cost of premises is higher, cost of manpower is also higher and in those areas, you should not be doing gold loan business. In a primary location in Delhi and Bombay, why should we do only gold loan business? For doing other businesses, we need the right products in segment. That is why we have to create that segmentation of the pyramid, which we are creating, and we are starting to build some of those branches now. We may have gold loan as another product, but the main focus of those branches will not be gold loans.

Vaibhav: Got it. That is it from my side, sir.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Pralay Mondal: Thank you very much and thanks everybody for asking very interesting questions. I hope I could answer them. Again, we will come back after a quarter to meet all of you. Thank you very much for participating and have a good evening. Thank you very much.

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Moderator: Thank you very much. On behalf of YES Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2023

"CSB Bank Limited
Q2 FY2024 Earnings Conference Call"

October 20, 2023, 05.30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
HEAD - STRATEGY & CORPORATE LEGAL - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to CSB Bank Q2 FY '24 Earnings Conference Call, hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Enzo. Good evening, and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO, Mr. B.K. Divakara, Head, Strategy and Corporate Legal, and Mr. Satish Gundewar, Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji and thank you, everybody, for joining the CSB Q2 earnings call. I would like to also wish everybody a very happy Navaratri and Durga Pooja. There is some sound/music in the background as part of the festivities. Please bear with us for this disturbance.

Coming to our today's call, First, I'll start with a little bit of a macro on the global and domestic scenarios and then I will quickly move to CSB specifics. I will keep it short, so that we can spend more time on the call in terms of Q&A.

On the global side, while the inflation has shown signs of some moderation, the economic data continues to remain strong, leading to the prospects of current rate cycle staying higher for longer. With escalation in geopolitical risks, oil remains in 90s per barrel. With elevated interest rates and higher commodity prices, global growth is forecasted to get slower from 3.5% in 2022 to 3.0% in 2023 and 2.9% in 2024.

On the domestic side, in contrast to the global trends, the economic activities exhibit resilience on the back of strong domestic demand. With the start of busy festival season, the demand for currency is likely to remain strong. RBI has projected the growth at 6.5% for the year and kept their commitment to bring inflation to 4%.

Added to that, on the backdrop of the volatility of the global factors like rates, currencies and commodities; the liquidity in the system is likely to remain in deficit. The currency in circulation, is expected to be slightly higher. In view of that, we expect the liquidity challenges as well as elevated deposit rates for a while.

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Page 3 of 21 Coming to CSB specifics, overall performance on both top line and bottom line was good on a Y-o-Y basis. Highlights of the performances are improved profitability, with net profit of INR 265 crores for H1 FY '24, up by 13% from H1 FY '23. Q2 FY '24 PAT is at INR133 crores, 10% increase over Q2 FY '23. Operating profit witnessed a growth of

14% on a half yearly Y-o-Y basis. Q2 FY '24 is up by 11% over Q2 FY '23.

We have a provisioning buffer of more than INR170 crores over and above the regulatory requirements. Despite the margins are under pressure for most of the banks in a highly volatile market, we could maintain a NIM of 5.12% for the half year ended 30/09/23. For Q2, it is a tad lower at 4.84%. However, I am confident that our NIM has bottomed out in this quarter and as per our plan, we should be able to report a NIM higher than 5% on a full-year basis.

On a sequential basis, while cost of deposits increased from 5% to 5.22%, yield on advances declined from 11.18% to 10.88%; we are, though, confident t

hat we should be

able to arrest this decline in the coming quarters. Healthy ROA of 1.76% for H1 FY '24 and 1.73% for Q2 FY '24 annualized. On the liability side, we are improving the funding base. We have recorded a deposit growth of 21% Y-o-Y as against the industry growth of around 13% and CASA growth of 4% Y-o-Y.

On the asset side, we have a net advance growth of 27% Y-o-Y, where as industry has grown by around 15% Y-o-Y, if we don't consider the HDFC merger. Gold loan portfolio registered a growth of 32% Y-o-Y. Portfolio build-up has happened across all the sectors. Now we have more balanced growth trends across all the franchise, be it retail, gold, SME and wholesale; which will sustain now and actually grow. Yields on advances for H1 FY '24 is at 11.04%, with an improvement of 34 basis points from H1 FY '23.

On the asset quality matrices, we have some good news with stable ratios -GNPA of 1.27%, NNPA of 0.33%, PCR of 75% without write-off and 92% with technical write offs. We have a prudential provisioning policy in excess of RBI requirements. SR portfolio is fully provided, which we communicated before.

On the capital base, we have a CRAR of 23.96%, almost 24% and a low proportion of risk-weighted assets compared to the industry. On the shareholder value creation, our intent is to maximize the wealth of shareholders, fructified with attractive EPS, book value per share, ROA and ROE. Book value per share has reached INR191, which has shown consistent growth quarter-on-quarter. Our EPS & ROE is INR 30.51 and 17.08% respectively as on 30.09.2023 on a half year ly basis.

In conclusion, I would like to reaffirm that our endeavour has always been to deliver consistently and create a compounding growth story. The quarter gone by is no exception. We have done well in both top line and bottom line parameters. On the top line, while the advances and the deposits grew by 15% and 13% Y-o-Y in the industry, our growth is higher by more than 50% at 27% and 21%, respectively. This is exactly in tandem with what I told in my previous call also that our endeavor is to grow 50% faster than the system.

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Page 4 of 21 Gold loan portfolio grew by more than 30% Y-o-Y. Due to systemic liquidity challenges, deposit growth has come at a slightly elevated cost. CASA growth has remained muted, which is true for the industry as well. As communicated earlier, our cost-to-income has remained elevated due to significant investments we are making. As this investment starts paying back in terms of operating leverage, our cost-to-income ratio will start tapering from FY '25 and should go down below 50% by FY '30.

On the other front, we are taking rapid strides in strengthening the building blocks that will help us in leveraging our full-service banking license and build a 360-degree pan-India franchise across wholesale, SME, retail and gold loan business.

Our primary focus is to build a solid liability franchise by acquiring quality customers and onboarding them with all banking products and services. We are significantly investing in leadership, people, distribution products while transforming the technology stack to provide our valued customers our good service and the 360-degree banking facility.

In short, I would like to say that while every quarter, we will deliver the numbers what we are delivering, but the bigger picture for us is our SBS 2030 Vision and how we are sustainably and consistently moving towards that vision step-by-step and so far, we are completely on track in line with the milestones that we have set for ourselves.

With that, I stop here, and we can start the Q&A session. Thank you very much.

Moderator: Thank you so much, sir. We will now begin the question-and-answer session. The first question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Sir, my first question is around the yield

on advances, which sequentially declined 30

bps. So is it to do with the rise in gold NPA and the related interest reversal?

Pralay Mondal: Mona, you have asked the right question that yield has come down a little bit, and that is primarily because of gold loans. In the last quarter, you would know that the gold

prices have started dropping. To manage the risks, we took some measures like product alignment, LTV management, exit strategy of some customers with higher LTVs etc. This helped us in managing customers who were enjoying LTVs, higher than our comfort level. Given that perspective, our overall portfolio looks very good now in terms of risk parameters.

After that, because of the Israel war and things like that, gold prices have gone up again. This further added to our comfort and we are adding more business now. But again, we are very careful because of the uncertainties in higher gold prices, given that global US yield is almost at 5%, dollar index is where it is now and our bond yields are also higher. Given all these perspectives, we are not willing to take that kind of a bet, saying that let's go all out and book this business at this kind of a price. We have been very cautious and conscious on this business. So that's a combination of two, three factors why you are seeing what you're seeing. But I think it's a risk averse kind of a mindset, which made us do this because I always say that risk comes first and after that, profitability and yields.

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Page 5 of 21 Having said that, I must say that this is a one-time kind of a situation. We have bottomed out on NIM and our overall half yearly NIM is around 5.12%. We had committed before that our NIM will be above 5% for the year and we should be able to hold on to that commitment.

Mona Khetan: Sure. So while you're saying that you let some of the higher- LTV portfolio go and also high-yielding portfolio go, if I look at your reported LTVs and weighted average yields of the portfolio on the presentation, both of these have increased. The LTV is at 81% for the book, and the weighted average yields are at 11.7%. So what explains that?

Pralay Mondal: Yield on gold loan has come down by around 20 /30 basis points for us. I'll tell you the numbers. It was 11.78% last quarter and around 11% this quarter. On a half yearly basis it is 11.40%. This will again go up immediately this quarter. On the LTV, as you rightly said, if you do a little more detailed calculation and see that what our yield was and what our mix was and then kind of compare it with gold prices, which dropped, you will see that we have got rid of a lot of higher LTV book from the bank.

Mona Khetan: So basically, this 11.7% number is incorrect on slide 12 of your presentation?

Satish Gundewar: No. Mona, that is a half yearly carrying yield number. We are talking about the actual Q2 FY '24 number, which is 11%. On a half yearly average basis, our yield was pretty healthy.

Pralay Mondal: Whatever has changed has changed in Q2. Because you know that the gold price has dropped in second half of Q2. When you look at H1, it might be that number is correct. But when you look at quarter- on-quarter, which I have in front of me, it has come down by about 70 basis points. This will again go up this quarter. That is why I am not so worried on the NIM and gold loan yields because this was a tactical decision we took, which has been taken care of.

B. K. Divakara: This 11.70% of yield, what has been stated in the investor presentation, is the carrying yield. So that is why it has been stated at 11.70% and it is reckoned against the outstanding balance.

Mona Khetan: Sure. Got that. Okay. My second question then is around the margins. While you said that you'll be able to maintain that 5% or so for the full year. So in that case, we expect essentially that the margin should rise here on?

Pralay Mondal: I mentioned that we have bot

tomed out on our margins. Obviously, cost of funds is sort of flattening, but we still don't know if there is some more increase panning out there.

We believe that in spite of our yield going up now on the retail, on the SME, on the wholesale side, things are starting to improve. You will see that our increase in yields will be higher than the increase in cost of funds. And hence, our NIM will be higher than what it is today.

Eventually, we will be able to manage our NIM in line with what we had guided, which is above 5% for the whole year.

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Page 6 of 21 Mona Khetan: Got it. And just one final question. On the non-interest income, there is this INR60 crores of other income. What does that pertain to? And yes, and just again on this part, if I look at the other income ex of treasury, it's almost 1.9% of your assets, which is close to what some of the large banks are making. So is it fair to assume that other income growth will slow down incrementally?

Pralay Mondal: If you remember, Mona, what I said before that one of the critical focus areas for the bank will be to have a sustainable fee business focus in the bank. Few years back, we used to be below 5% ex-treasury and ex-PSLC. And you must have noticed that this quarter also, like last quarter, we didn't take any PSLC income.

Given this perspective, you can assume that whatever fee businesses we are showing, is our franchise fee income streams and hence, sustainable and will continue to grow. The ratio may be now around 17%, 18%, it may come down or go up a little bit here and there.

But broadly, our fee income will continue to sustain in line with the balance sheet growth right now because a lot of these are resulting from a pickup in processing fees, insurance-related businesses, TFX etc. We have put a lot of effort around it, it is starting to show results now and it will sustain. There is no one-off in this at all. In fact, one-offs have not come, PSLC has not come.

Mona Khetan: Got it. And just kindly, what is the INR60 crores in the non-interest income, the other income part?

Pralay Mondal: It could be including some of the insurance income, liability income, credit cards income etc. You know that we have started enhancing our book on the credit card side, which we do through the partnerships, and we are earning fee income there. It is a combination of a host of granular sustainable compounding growth kind of income.

Moderator: The next question is from the line of Pallavi Deshpande: from Sameeksha Capital.

Pallavi Deshpande: Just wanted to understand on the deposit growth that it was quite healthy, but just the LCR has declined. And so do we see a situation where this limits our loan growth, going ahead, the LCR regulation of 100%?

Pralay Mondal: Pallavi, thanks for your question. Deposit growth is, right now, in a systemic challenge and we have grown at 21% on a very small balance sheet vis-à-vis overall growth of 12% to 13% in the system. But this growth has to be managed by 4, 5 ratios in consideration viz, NSFR, LCR, CD ratio, CASA ratio and Cost of Funds.

There are five balls in the air constantly when we look at our deposit growth. Funds of the bank also has a certain amount of increase coming from CDs, a certain amount of refinance, certain amount of deposits and a slight increase on the CASA. It's a combination of all these four.

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Page 7 of 21 Coming to your question, will LCR become a limiting factor, the answer is no because we know structurally, there are three or four things which leads to the LCR issue and we are monitoring it. In fact, I myself monitor LCR. Satish also does it on a daily basis. So I don't see that becoming a limiting factor.

But if systemic liquidity remains extremely tight, we are also very clear that we don't want to increase our cost of funds beyond a point. I said before that, I will not sacrifice

growth for NIM. But at the same time, we also can't have a situation where we'll buy

liability business; that we will never do.

Will give you an example where you can validate that. Our SA rates still are below 3%; which shows that we are not in the business of buying liability. We will continue to grow and on a smaller balance sheet, we can do that.

As we create our overall franchise, there will be automatic growth on the liability side.

To that extent, when our CD ratio is almost 87.5%, we also have to have our deposit growth which is closer to the asset growth, and we'll sustain that. Hence you are right; deposit growth will decide our asset growth as well.

Pallavi Deshpande: Sir, just taking that one step forward, the loan growth, we will be maintaining the CD ratio here now, if that's what you're saying then?

Pralay Mondal: We will try to keep CD ratio within 90%. We have been able to do that so far and we hope that we'll be able to maintain that.

Moderator: The next question is from the line of Vikas Kasturi from Focus Capital.

Vikas Kasturi: First of all, congratulations on a fantastic half year. Sir, my question is more to do with the industry, if you could just help paint the picture for me. So we hear that even some of the large banks like HDFC Bank is adding a lot of branches and trying to get more of the retail business and so is another bank like IDFC bank and so on.

So in such a situation, could you just tell us, sir, what is the kind of competition that you're seeing in the segment that you are operating, like SME, wholesale and even retail? So how is the competition? Are we targeting a different set of customers than these other banks? Could you just help paint the picture for me, sir?

Pralay Mondal: Thank you very much for the question. I think the larger banks like HDFC - we are not competing with such large banks. But there is always a sweet spot for everybody if they know how to execute the strategy. That's how all big banks have become big. They were not big day one. People have become big over a period of time. Every bank has started like this and then gradually started playing in the mainstream.

For us, the first principle which is our Board guidance as well as our management philosophy is that we are in the business of taking risk, but we are in the business of bringing the money back of the risk we take. If we have any doubt anywhere that we'll

not be able to get the money back, we don't do that business. Basically, net-net, what it
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Page 8 of 21 means is we are extremely risk averse to a point, number one. Anywhere we see a risk, we don't do that business, as simple as that.

But our balance sheet size is relatively small. So our opportunities are also small. But within that balance sheet size, a percentage growth, there is enough scope. Considering the kind of distribution, the kind of opportunities which are there in India, HDFC or SBI Kotak or Axis cannot reach everywhere, all the time. There is always a scope, and we have to be at the right place at the right time. And hence, we have to find our sweet spots, that's what we are doing.

Third point is branch distribution, yes, there is branch distribution, which I always said is going to be key for banking in India. Finally, I think there's a realization that between digital and physical, both are very important. Digital augments physical distribution.

That's why I fundamentally believe that branch distribution is required, especially as you go into deeper geography.

In the main markets, even for wealth management, and such other businesses, presuming you are asking an industry question, banks need distribution. We are not into wealth management ourselves, but I have done that business before. You need that kind of a presence in metro markets. As we go into deeper geography, the Bharat banking, whichever way you call it, micro finance or Agri

kind of businesses, you'll need your distribution.

We are not doing niche banking in terms of products and we will do everything. But we will be finding our sweet spots where we think that we can give the right service to the right customer and the customer segment, which is probably not getting the kind of attention which they deserve in larger banks vis-à-vis what we can give. The number of walk-ins that happens in our branches is much lesser than in some of the other banks, which you're talking about. And hence, the personal attention we can give is probably much better. We may not have all the services today the way they can give, but some of the customers need personal attention, which we can give better. We are trying to find out which are the things which we can do much better.

SME, for example, which are the industries, which are the kind of locations, what kind of solutions we can provide, which some of the larger banks may not have the time or the bandwidth because they're doing much larger businesses. But what we don't do is we don't take any risk, and we are also elevating the quality of the portfolio on both the asset and liability side. So average balances are going up in our bank.

On the acquisition side, the quality of acquisition is improving and clearly, our growth in value is faster than the growth in number of accounts. Some of those parameters start showing up. We have built businesses like this in various banks before, so we know what to do and so far, we are on track.

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Page 9 of 21 Vikas Kasturi: Thank you for that explanation. Sir, I just have a specific question. Could you just give me some example of the segment or the niches where you can operate, but a larger bank would not find it profitable to operate?

Pralay Mondal: Most of our management team here have worked in larger banks and a fairly large portfolio they have handled. So we know that it's not a question of segment. It's a question of which customer gets what attention in which kind of a bank because when you have much larger set of customers to address, some of the customers may not get that attention which they will get in our kind of a bank because our branch managers, our relationship managers and our customer service officers are a little more focused. I will answer it in a very different way. But when you look at our customer pyramid, our customer pyramid is different to a customer pyramid of bank A, different to a bank B, different to a bank C. By FY '25, our customer pyramid will be very different to what it will be at FY '27 than our customer pyramid will be in FY '30. Defining this pyramid is very important because if I pick up a customer, who is at the higher end of the pyramid of HDFC Bank, he may not stay with me. We are finding those sweet spots, which are premium for me but at the mid kind of a segment for any of these banks. That is good enough for me to start with because then if I can do life cycle banking with these customers, as we grow and build our kind of other products and services, which we are doing, then it will help us.

I said before that our new core banking, we are just starting to implement any time next month onwards. LMS, LOS, Corporate net banking; we have done. I am just talking about the entire tech stack which you're building around the kind of products and services, transaction banking, SME, supply chain, CMS etc.

These things which we are doing, which eventually attract the right set of customers to us. Ultimately, I'll say that service, attention to detail, the attention to customers and being closer to customers is something which we can do, which maybe for this segment of customers, the bigger banks don't have the bandwidth to do. That's what we have chosen as our sweet spot.

Vikas Kasturi: Got it, sir. And if I may ask one more question. Sir, so as you're opening, let's say, 100 branches every year a

nd you're going into geographies where they may not be familiar

with the CSB Bank, do you have to raise the deposit rate to attract customers? I know you said that you will not buy liabilities. But my question is to attract customers in new geographies, do you have to raise rates, to keep market value or something?

Pralay Mondal: In comparison with various organizations I've worked in, say Wipro, HDFC Bank etc, pricing is not our strategy though Yes Bank was slightly different because we created a brand there with 7% on the savings, not that it was my strategy. I never believe in pricing as a way to attract a customer because then, that's not the way to build a franchise; because if I give 5%, somebody else will give 6%, somebody else will give 7%, they will go away. I don't believe in pricing as a strategy.

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Page 10 of 21 At the same time, we have to be competitive in the market. We have to be at par with whom we are competing with. If you look at our rate chart, we do not believe, either on the asset side or on the liability side, to play the pricing game out there.

Because in a sales situation, what happens is the sales guys gravitate naturally towards the lowest or highest kind of price, depending on whether you're talking about assets or liabilities. Once you open it up to the sales channel, then there is no control. So I do not believe in pricing as a strategy.

We'll always believe in execution, service, products, delivery etc and these kind of things are going to create our brand over a period of time. I don't think or like to have pricing as a tool to build a brand for the bank

Moderator: The next question is from the line of Prabal from AMBIT.

Prabal: My first question is sequentially, we saw growth being driven by gold loans. What then explains 12% sequential growth in risk weighted assets?

Pralay Mondal: Can you just be a little louder? Risk-weighted assets growth, you're saying, is it?

Prabal: Yes. I'm saying that credit risk-weighted assets grew by 12% sequentially, whereas the loan growth is being driven by gold loan, primarily. So why there is a sharp increase in all of this?

Pralay Mondal: If you look at it, while the mix has broadly remained the same, gold loan has remained around 47%, the mix has gone down slightly on the wholesale side, has gone up slightly on the retail side -- on the mix side, and SME has almost remained the same.

What it means is and if you look at the growth, for the first time, as I said before, all the 4 segments have grown. I think wholesale has grown by 17%. SME has grown by, I think, 22%, if I remember it correctly. Retail has probably grown by 38-40%, and the gold loan has grown by 32%.

To that extent, for the first time, some other businesses are growing faster than the gold loans. It's just that their quantum is lower, their base is low. That's why still, gold loan mix has not changed. As and when this quantum starts getting bigger and the momentum starts picking up say by FY 25, you will see the gold loan mix starting to go down.

Given this scenario, and given that some of the risk weights on the SME and on the retail side is slightly higher, some basis points change could have happened on the overall risk weights. Satish, do you want to add to that?

Satish Gundewar: Prabal, if you see, our capital usage is very limited because my RWA to my assets is always in the range of 43%, 45%. So year-on-year, my balance sheet has grown and accordingly increase in RWA and capital consumption

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Page 11 of 21 Prabal: My question is more on a sequential basis. What I'm saying is that gold loan has RWA of 0%. And since the growth was primarily driven by gold loans, so why was there an increase in RWA on sequential basis?

Pralay Mondal: Growth was not primarily driven by gold loans actually. Our retail growth was faster than gold loans. Wholesale a

nd SME segment growth was also higher.

This is actually the first quarter where gold loan didn't drive the growth on its own. Gold loan growth was very close to the bank's total advance growth.

Prabal: Okay.

Pralay Mondal: Sequentially, gold loan grew by 5%. SME grew by 8%, Retail grew by 6%. If you look

at it, gold loan growth was actually lower than two or three other segment growth sequentially. That's what the point I made in the first question that we took a conscious call of not growing the gold loan as we did previously and we actually exited a lot of our gold loan, which are slightly on the higher LTV side.

Prabal: Okay. My second question is just a clarification. So you said that we have INR170 crores of contingent provisions.

Pralay Mondal: INR170 crores of provisions. I'll explain that. Before that, one more point I wanted to say; we could build a credit card portfolio of INR171 crores and this also would have eaten up some amount of risk weights out there because some of these are unsecured credit.

On this INR170 crores, INR106 crores is COVID provisions as we used to call it before. Now we have called it additional provision. This is in excess of the regulatory provisions. We have given the break up in the presentation.

I'll tell you the breakup now. NPA provision, as against the regulatory provisions, we have an excess provision of INR67 crores. Others is INR106 crores, which used to be the COVID provision before. Total is at INR173 crores. Net of tax of INR43 crores, it comes to around INR130 crores. This is the point you are talking about.

Prabal: Okay. And the INR107 crores COVID provision, these are not earmarked against any specific assets?

Pralay Mondal: COVID is gone. Now internally, we have created a policy that these are earmarked against certain accounts and as and when those accounts are gone, then we can use this for something else. It is very easy to immediately take it into the P&L, but we somehow believe that we need to keep slightly higher provisions as a conservative process.

That's why though the COVID related risk was gone, we didn't want to take it back into our P&L. We just wanted to keep this provision in the system and as per our statutory auditors approval, we have taken it as other provisions.

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Page 12 of 21 Prabal: Understood. The next question was on the reconciliation of cost of term deposits. So the reported cost of term deposit is 6.5%. But if we see bank's website, then offering rate on 1-year and 2-year term deposit is just 5.5%. So why is there such a disconnect?

Pralay Mondal: I didn't fully get your question, but I think I've got a flavor of what you're saying because there's some disturbance in your voice. I'll tell you what is happening on term deposits.

Most of the term deposits, which are now coming for 1-year or 1 year plus kind of a tenor, nothing is coming below 7.5%, and some are around 8 to 8.1%. That's where term deposit costs are headed to and repricing also gets impacted based on various things. Based on that, what you are seeing is cost of term deposits has gone up to, 6.43% in Q2. It was 6.21% in Q1, 5.93% in Q4, 5.24% in Q3 and Q2, it was 5.18%. Overall, there is roughly, 125 basis points increase in term deposits cost. This aspect, you can divide it into two parts: One is repricing, and one is incremental term deposit costs.

We are growing term deposits by almost 30% and this growth is coming at a cost, which is at least 200 basis points higher than what used to be there in Q2 FY 23 ie, from 5% to 5.5% it has gone up to 7.5% to 8%. So there is a 200 to 250 increase. For the whole industry, incremental term deposit cost compared to 1 year back is at least 200 bps more. Given that this is not our exclusive story, this is the industry story as well. As we are operating in the ecosystem, naturally we are mirroring what is happening in the system.

Prabal: Okay. So would it be fair to assume that the cost of term deposit would be, for us, at maybe 7% or 7.25%. So there is funding available at another 60 to 70 basis points more?

Pralay Mondal: My belief is that typically, this is our franchise I'm talking about. We have seen our renewals. We have like every other bank does, introduced special buckets and things like that to ensure that renewals are not getting impacted. Our renewal rate is very high and such funds are coming at reasonable rates. It is higher because even that rate charts are also higher, they renew at the same tenors, and they are granular.

To that extent, a lot of these deposits will renew at higher but not at this kind of high rates. This also depends on where G-Sec yield goes, liquidity situation goes etc and in case we see that by the end of this year, hopefully, the 10-year G-Sec is closer to 7% to 7.25%, somewhere in between, then I don't see how this will significantly go up.

I think we are almost there by and large, maybe another 10, 15, 20 basis points.

Otherwise, we are almost there in terms of term deposit cost, is my view. Also, the yield curve is flattening, I mean, shorter term rates are going up more than longer term, which creates volatility. But if managed well, on a smaller balance sheet cost of deposits can be managed better provided eventually longer term bond yields starts going down in the next two quarters. That does not take the deposit costs up. What it does is create volatility in the deposits.

But if eventually, we think that the G-Sec is going to flatten, to start tapering down after

this financial year, then that will not matter in terms of the deposit pricing. Given all this
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Page 13 of 21 logic, I think unless the global situation changes and overall U.S. G-Sec, as you said, goes from 5% to 6% or something like that, I don't see this going up too much. 7% is out of question.

Prabal: Okay. Can I ask one more question?

Pralay Mondal: Yes, yes.

Prabal: Okay. Sir, on LTV at 81%, and if I compare this to other regional banks who are operating at 65% to 67% LTV, so I understand that we are focusing on gold, so we are taking slightly higher. But compared to the other regional banks, this is significantly higher than what they are operating. Any thoughts there?

Pralay Mondal: You're talking about gold loans?

Prabal: Yes, gold loans, gold loans LTV.

Pralay Mondal: I don't know who is operating at 60% or 65%. I know most of them are 70% and above and some are even higher than us. I track it.

Having said that, it is a function of the share of agri portfolio and non-agri portfolio in your book. As per regulation, non-agri portfolio has to be below 75%, and we are well below 75% out there. On agri also, we have kept a limit of 85% and we will not go beyond 85% in terms of LTV.

While you are seeing an elevated 81% LTV which used to be 78% for me only one or two month back. At this point of time we took the call that we don't want to go beyond this and hence let's get some of this portfolio out of the system. If I calculate my LTV now, it will be much lower because the gold prices have gone up. It's a sensitivity analysis one has to do.

Given all this, it's a function of how we are doing the business, what is the Agri portfolio etc. Agri portfolio contributes to PSLC income and gives a better earning. There is a lot more rigor in that because you cannot just classify agri without getting the right documentation, without gauging the scale of finance, without getting our unit cost, without getting the crop cycle etc

There is a lot of operating cost in doing this business, it's not easy. Just because we want to do more agri business, that does not mean it just happens like that. As we have been in this business for a while, we understand all this. I think we are able to manage this much better. This is a very clear strategy for us, and it gi

ves us also benefits in terms of
PSLC and other income.

Moderator: The next question is from the line of Mr. Shivaji Thapliyal from YES Securities. Over to you sir.

Shivaji Thapliyal: Yes. So I have one broad question, and perhaps there are essentially four related sub questions in that. So firstly, I wanted to understand the perspective, asset quality

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Page 14 of 21 evolution. Right now, the bank is gold loan focused, so credit costs are obviously extremely low. I mean it's next to nothing.

But just wanted to firstly understand the slippages in this particular quarter, what was the segmental contribution? I mean, which segments they emerged from? That's number one. And what is the slippage guidance for the future? And what is the credit cost guidance for the future, basically? So that's one.

And also secondly, in terms of growth, we are piloting a lot of retail segments. So where are we on that? And what will be the growth guidance as a consequence for FY '24 and '25?

Thirdly, if you could comment on the yield of the businesses and fourthly, on the opex evolution as well?

Pralay Mondal: Great set of questions. Let me try and answer one-by-one, and I'd request Satish to add whatever things he wants to add.

On the slippages, mostly it is on the gold loan side. Other than that, it's broadly in line with where it has been in the previous quarters. Gold loan slippages eventually does not lead to the credit loss, based on our historic experience, because you have the metal with you and you recover.

To that extent, our past experience is that it doesn't bother us too much. But broadly the gold loan slippage was slightly higher than last quarter.

The second question is on overall NPA and how do you see the credit cost. I agree that we have a negative 15 basis points credit cost this quarter also. I keep wondering how long will we be on negative because this is not real. In my previous commentary, I had said that we will be between 10 to 20 basis points on the higher side this year. From the next year onwards, we are making it a 40 to 50 basis points credit cost estimate when we

are at a full franchise level.

I think that's what we have baked into our P&L and in our projections until FY 2030. So long term, our thinking is that our gross NPA will be below two percent, net will be below one percent, and credit cost will be between 40 to 50 bps. That is what our FY 2030 guidance is and we hold on to that. But I am not complaining that we are 1.27% in gross and 0.33% in net n pa and minus 0.15% in net credit cost. But this is too good to be true. It will mirror the business mix eventually.

Coming to your question on segmental growth and opex cost and things like that, I'll take the opex cost first because that's very important.

For us, I look at cost as cost and investment as two different items, but Satish will take both the same because they both comes as hit to the bottom line from a cost perspective. But the difference is cost is something which is instantly gone, and investment is something which will give us long-term returns.

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Page 15 of 21 A large part of our cost- to-income escalation is primarily happening because of 3, 4 lines:

One is technology. The largest investment is happening in technology. As I said before, in our bank, we'll have nothing what we had 3 years back in technology, and we are taking the latest and the best technology in everything which we're doing. Technology will give us operating leverage and that will help us in reducing our cost- to-income over a period of time.

Second part is leadership, people, distribution, and processes. There also our attempt is to get the best in the market to ensure the scaling of business in line with our vision.

These are investments what we are making and eventually, it will pay off as the portfolio starts growing.

Third, of course, a

re natural costs, like the HR cost and other opex which will happen.

The third angle on the people side is that we need customers. We don't have enough customers to build sustainable long-term liability franchise. Ultimately, a bank is more about liability than assets. So there, we are investing significantly in terms of acquisition machinery.

Along with that, of course, we are also building things like contact centers, outbound contact centers, VRM channels and things like that. That is something which we are thinking like a bigger bank. We are small now, but we are aspiring to be a bigger bank and investing into this.

Coming to products, as I said before, we are not looking at becoming a niche organisation. I am very clear on this. We will be a larger bank and on wholesale, we wont be focusing on large corporates immediately, but we will be in the mid-market to emerging corporates because that's where we can play. In SME, we will be focusing on large tickets as well.

Gold loan will continue to sustain because this is a good business to be in, but it cannot really scale as much it is scaling at a 25,000, 30,000 Cr balance sheet. When you make it 250,000 Cr balance sheet, then gold loan cannot be obviously at that kind of a scale, right, because it's not possible. It's not a scalable business like wholesale, SME and retail. These 3 segments will scale and gold will continue to sustain along the way and do its own contribution.

The fourth point, which you didn't ask, but I want to upfront it on a strategic basis. While we are saying that we'll open 100 branches every year, but I'm thinking slightly different. I mean a lot of our branches are just doing only gold loans because of historic reason s. Actually, we can make two branches of the same branch just by making one part gold and one part other businesses. With more centralisation of operations, this can be executed smoothly. Just adding some right people and addin g some businesses in existing branches; I can leverage my branches to almost 2x. So that itself will also bring down my operating cost and cost- to-income. I am starting to think strategically on those lines now and execute it once our technology stack and product suite is fully ready.

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Page 16 of 21 None of this will happen overnight. None of this is happening next quarter. But all this will happen FY '25 onwards. The blueprint is in play, just waiting for the technology to deliver. That's broadly the three, four responses to your questions, Shivaji i.

Shivaji Thapliyal: Yes. But just some incremental numbers. I mean what would be, a, the growth guidance for FY '24 and possibly, FY '25? And what will be the cost to assets? Secondly, in '24, '25, -- '24 as well as '25? And I think you already talked about credit cost. Yes, I think these two numbers ...

Pralay Mondal: Yes, I'll give you some perspective. On growth, I have already said and I have been saying consistently, banking is about consistency. I have been consistently saying that

we will continue to grow 50% faster than the system on asset side, of course, if we are able to build the liability franchise right. But if our liability franchise cannot support that, maybe we will grow by 45% or 40% faster than the system.

But I think we'll sustain at least for the next two years, easily, 40% to 50% faster growth than the system. So that's number one. What is the other question? On the opex- to-assets, right? Opex- to-assets is around 4 %. How much is it right now?

Satish Gundewar: 4.12%.

Pralay Mondal: 4.12% for this quarter. It is high because of various reasons, including gold loan. This portfolio has a lot of good things, but it also has high opex. In wholesale which is the lowest opex business, I think we can leverage much more, which we will do. Opex- to-assets will come down once our SME and wholesale business starts growing and that is also going to help o

ur cost- to-income. So it's a fine balance between how do you want to do. I'm not in a hurry right now from our opex- to-assets ratio because gold loan is giving me the highest return.

I must add that opex- to-assets will come down once I have other franchise, which allo ws you to cross-sell multiple products to the same customer and start creating the semblance of our business. We will take another two years, three years to get into wealth business. But once we're able to do that, that's the time you will see that opex- to-asset starts coming down because here, people will be a lot more productive in the branches with relationship manager and all that.

For this to happen, we need the technology and the products first. Maybe it will happen by FY '25 onwards. That's why I said before that my cost- to-income will start showing a glide path towards 50% and below only from FY '25 onwards. It's a very well-planned and well kind of articulated structure which we have created for the next seven years. And so far, we are on track on each of these.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Just to follow- up, so can I have the interest reversal from the interest income in Q2 and the previous quarter as well versus Q1?

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Page 17 of 21 Pralay Mondal: Don't think we put it in public domain.

Mona Khetan: Okay. So just digging a little bit more into the yield and LTV to the gold portfolio that we discussed earlier, so while you're saying that the yields in LTV quoted in the PPT are that of H1 and not Q2 particularly, still, if I compare it with the last quarter, yields have increased from, say, 11.64% to 11.7%. So if this quarter, yields have fallen so substantially, the average yield for H1 should have been ideally declined. Now why is this increasing? And similarly with LTV as well.

Pralay Mondal: I didn't understand. I said that Q1 to Q2, yield has declined, right?

Mona Khetan: Correct. But the PPT says, it has increased.

Pralay Mondal: Wherever we didn't want to keep the higher LTV high-yielding gold loans, we exited. We didn't want to do all that last quarter. Since I was worried that if gold price falls further, then we will get into a 90% kind of bracket. We did the alignment this quarter. I couldn't guess that the gold prices will not fall any more, I couldn't know that there will be geopolitical crisis. So we did that.

Mona Khetan: Sure. But what I'm trying to understand is why are the data in the Q1 versus Q2 PPT not reconciling with what you're saying because the yields are actu ally increasing. So is it fair to say that there's something incorrect with the data we have in the latest PPT?

Pralay Mondal: Where are you seeing this data, Mona? I'm seeing in front of me, the yield of gold loan has dropped

Mona Khetan: It's on slide 12. I'm on slide 12.

Mona Khetan: So I'm seeing yields of 11.7% on gold loan and LTV of 81%.

Satish Gundewar: That a carrying yield, Mona. There's a difference between a portfolio yield and a carrying yield.

Mona Khetan: Okay.

Satish Gundewar: Portfolio yield is what is realized in your P&L already, whereas carrying yield is what is the portfolio that I'm holding today and what is the carrying yield for that. So that is more of a futuristic insight. Portfolio yield is what is actually baked in the numbers.

Mona Khetan: So when you say carrying yield, does it mean incremental yield that you're offering currently on average?

Satish Gundewar: Carryi ng yield says that suppose I have given a loan today, say, on 30th of September, okay? That wouldn't have given me any returns in my P&L because it's just a one day.

It is the aggregation of all the loans which are there in my book and the yield that is mapped against each of these loans. That is the process of carrying yield.

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Page 18 of 21 Mona Khetan: Okay. So th

e yield you're quoting here in the PPT is not a reflection of the weighted average yields in your portfolio?

Satish Gundewar: That is a carrying yield. There's a difference.

Pralay Mondal: Portfolio yield is 11% for Q2

Satish Gundewar: Portfolio yield, we already told that in Q2, our gold loan yield was 11%, and Q1 was about 11.78%.

Mona Khetan: Okay. And can you share the LTV likewise?

Satish Gundewar: LTV, I think, it is 81% Pralay Mondal: Currently, it will be lower. But may be at quarter end, it was around 80%.

Mona Khetan: Yes. So again, I mean, since you have given away probably higher LTV portfolio, the LTV should ideally decline, right? But from Q1 to Q2, it's increasing from 77% to 81%.

Pralay Mondal: No, maybe it's not an LTV issue. I am not looking at just LTV, I am looking at the portfolio which we don't want to carry. Since you are asking that question, let me tell you.

LTV say could be in the range of 75 to 100%. My intent would be to exit the account where I have discomfort. That may not bring down your LTV. I may not have a problem with 80% LTV, but I may have a problem with a 95% LTV.

Mona Khetan: Right. So if 95% you're doing away with, then your average portfolio LTV will ideally come down, right?

Pralay Mondal: Something else could have come at 80% because these are short-term businesses. We can share that number with you. Mona, what has happened is that the gold loan asset portfolio is also increasing. While I am getting rid of, say, a high LTV kind of portfolio, I'm also underwriting new.

Constantly something is going on and something is coming in. So what business would have come in, that could have some loans at 80%.

Mona Khetan: Sure, got that. But just a request on the yield side, if you could share the average portfolio LTV, that would be useful.

Secondly, I just wanted to double check on the segmental loan book that you share across SME, gold, corporate and retail. So while you mentioned, yes, just a reconciliation. So while you mentioned that SME has grown by 8% Q-on-Q, the number when I compare it with last quarter, it has actually de-grown. So is there some sort of reconciliation in numbers or something or where am I going wrong?

Pralay Mondal: SME has grown year-on-year by 22%. That's what I said.

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Page 19 of 21 Mona Khetan: Correct.

Pralay Mondal: It is around, what, 11% of the whole portfolio, right? 11% or 12%, something like that.

Mona Khetan: So I remember you having said that sequentially, SME book has grown. Last quarter, it was at INR 2527 Cr as per your PPT. And this quarter, it's at INR 2377 Cr. So according to me, it has de-grown, is that a fair understanding?

Pralay Mondal: Which page you are talking about?

B. K. Divakara: Whatever you have seen in the investor presentation of last quarter, that is inclusive of prudential write-off amount. This time we have modified the data and we have shown the figures net off prudential write-off. That is why it is looking higher last quarter and lower this quarter. Actually, it is the net off PWO, this quarter.

Mona Khetan: Okay. So can I have the SME number, just the SME number for last quarter likewise what we have this quarter?

Satish Gundewar: INR 2205 Cr which is a sequential growth of 8%.

Mona Khetan: So it's grown from INR 2205 Cr to INR 2377 Cr

Satish Gundewar: Yes.

Moderator: The next question is from the line of Vikas Kasturi from Focus Capital.

Vikas Kasturi: In the annual report, I read that CSB Bank would start offering cash management services to its retail customers. So could you just throw some light on what would this do for the bank? For example, when I say retail, I mean, the retail, the small SME. So does it mean that those customers would tend to bank more with our bank? And what is the cost that we will incur in this business by offering the service?

Pralay Mondal: All banks do it. The way we're doing it is we a

re taking a software which will help us in

getting new customers as well as offering cash management services. It will help us in two ways. It will help in getting more current account customers to the bank and effectively creating floats and then the opportunity to do SME business out there.

And the reverse is also right that when we get and talk to SME customers they will work more with the bank through all these solutions on the CMS and things like that say schools, trusts and all this. We are considering this as a part of our solution-oriented

approach.

We have a CMS team which is working on this and this will help us to leverage trusts, associations-TASC basically and SME customers to build solutions, which will create float, which will also, on a sustainable business, can help us getting not only current account but also savings account for some of these institutions as well, like schools and things like that, where you give the solutions.

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Page 20 of 21 Those are the kind of things we have done in previous organizations also. We are going to implement here as well and our team is already on the job.

Vikas Kasturi: Right, sir. And the logistics part.

Moderator: I'm really sorry to interrupt you, sir, but due to time constraints, you would have to ask your question later. Is that fine?

Vikas Kasturi: Yes. This is just one follow-up question, and I'll be done with it. So, Pralay sir, my question was the logistics part is something that the bank would do itself? Or is that going to be outsourced, sir?

Pralay Mondal: Logistics when we are talking about people who will be handling the cash?

Vikas Kasturi: Yes. Movement of cash, who will be taking care of that?

Pralay Mondal: That will be outsourced. But the point is that, that is a different kind of a cash management. That is a part of the cash management process, but we are talking about cash management solutions also.

One is managing cash or handling cash. The second part is cash management solutions, which is more from a solution perspective, which is mostly digital and other things. If you are talking about pure handling of cash, obviously, that will be outsourced.

Moderator: The last question that we have is from the line of Jai Mundra from ICICI Securities.

Jai Mundra: I have one question only. So on your LTV, just wanted to check if you have any cap when you originate a loan or when you start lending relations upon gold loan? Is there any cap on the LTV? And does this differ in retail and non-retail gold loan?

Pralay Mondal: Yes. First one is our regulatory cap, which is 75% for non-agri gold loan. Obviously, we follow that norm. Non-agri gold loan will always be 75% or below. For agri, we have sort of kept a cap, unless specifically approved by somebody as per delegation metrics, as around 85%.

Coming to institutional, I don't know what you mean, but we do have some businesses where there are aggregators who also will have some accounts with us; but that business is gradually declining in the bank right now.

Jai Mundra: Okay. Understood. Sir, and just on that, so if a customer, let's say, there is a 75% LTV, in your retail offering, does all the products are like 12 months bullet product, or you also have three months, six months which are...

Pralay Mondal: We have all kinds of tenors say 12 months, six months, four months and so on. Three months can be cost extensive to do as they'll keep coming back for renewals and all that.

On the LTV, as you said, 75% and 85%, but what typically happens is depending on the gold loan prices going up and down, effective LTV at any point of time for a person who

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Page 21 of 21 came at 75 also can go up or down slightly. That's a question of conversation with the customer to how to regularize that. Those things keeps happening, depending on the gold loan prices.

Jai Mundra: Right. So

sir, for a 12 months retail gold loan product, what would be the LTV that we would start with, right? Because if you add the interest of 10%, 11%...

Pralay Mondal: We consider interest when we talk about LTV.

Jai Mundra: Okay. This is not on the loan given, that is including the interest?

Pralay Mondal: Yes, including the interest applied. LTV calculation is always including the interest.

Jai Mundra: The customer will be getting 10% lower?

Pralay Mondal: He will get 10% lesser.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Pralay Mondal for the closing comments. Over to you, sir.

Pralay Mondal: Thank you very much. I think we had a very good interaction and interesting set of questions. And it was good that some of this question also challenged us because we had to go back to the numbers again-and-again and give back the answers. Hope fully, we could satisfy you with our responses.

Thank you very much for your patient hearing. Thank you.

Moderator: Thank you so much, Mr. Mondal. On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

"CSB Bank Limited
Q3 FY2024 Earnings Conference Call"

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Moderator: Ladies and gentlemen, good day, and welcome to the CSB Bank Q3 FY'24 Earnings Conference Call hosted by YES Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Dorwin. Good evening, and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO, Mr. Satish Gundewar, Chief Financial Officer, and Mr. B.K. Divakara, Head Strategy and Corporate Legal. We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their results call. The management will first be making some opening remarks after which we will throw the floor open for questions. I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji and Dorwin. Thank you so much for hosting this call, and thank you all for joining our post results call of Q3 FY'24. To start with, I think globally the high-rate regime has peaked out with many central banks now indicating a pause and a subsequent cut-in rates. The inflation has also moderated significantly despite some uptick last month due to base effect. Geopolitical risks however persist. Prolonged Red Sea blockages could spike the oil prices again. With this, the probability of rate cuts in the next 1 year has come down to 3 from 5 in the U.S., and Eurozone has extended its pause at least till June 2024.

On the domestic side, I think Indian inflation has showed some moderation, though the CPI turned higher to 5.69% from 5.55% in November, though it was slightly better than what was expected. On an average basis, the core and headline numbers are showing moderating trends. This also suggests that the rate hike cycle in India has peaked, and more inclined towards moderation in future. The main concern, however, has been the persistent liquidity deficit in the banking system, which even touched INR3 lakh crores in the recent past. It adds to bank borrowings and deposit cost. We expect the liquidity conditions to improve in FY'24 - 25. With credit growth outpacing the deposit growth in the banking sector even in this last quarter, the deposit rates are likely to remain elevated in the entire FY'23-24. On CSB numbers, we had a stable Q3 and we could grow faster than the system maintaining a NIM of above 5% on a quarterly and a 9-month basis.

Coming to highlights of our performance, the bank declared a net profit of INR415 crores for the 9-months ended 31/12/23, up by 6% over the corresponding period last year. Q3 FY'24 PAT
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is at INR150 crores, a 13% increase over Q2 FY'24. Operating profit witnessed a growth of 9% on a 9-month Y-o-Y basis. Q3 FY'24 is up by 12% over Q2 FY'24.

Provisioning buffer of INR 167 crores, over and above the regulatory requirements has been maintained. Despite margins being under pressure for most of the banks in a highly volatile market, we could maintain a NIM of about 5% on both a 9-month basis and a quarterly basis at 5.11% and 5.10%, respectively.

On a sequential basis, cost of deposits increased from 5.22% to 5.42%, while yield on advances improved from 10.88% to 11.49%. Recorded a healthy ROA of 1.78% and 1.84% as on 31/12/23 on a 9-month and quarterly basis annualized, respectively.

On the liability side, deposits grew by around 21% Y-o-Y as against industry growth of 13%. CASA, we had a muted growth

with relatively at around 6% Y-o-Y, and TD grew by around 27% Y-o-Y.

On the asset side, net advances grew by 23% Y-o-Y. Industry had grown around 16% without the merger impact. Gold portfolio registered a growth of 23% Y-o-Y on a net basis. Portfolio build-up has happened across all sectors. Gold, other retail advances and SME did well in the quarter with a Y-o-Y growth of 23%, 44% and 28%, respectively. On a Y-o-Y 9-month basis, our yield on advances improved by 39 bps to 11.19%.

On the asset quality matrices, Bank had a stable asset quality with GNPA of 1.22%, NNPA 0.31%, PCR of 75% without write-off. We continued with the accelerated loan provisioning policy in excess of RBI requirements.

On the capital side, bank could maintain a CRAR of 22.99%. We have a low proportion of risk-weighted assets compared to the industry, partially because of the higher share of gold loan portfolio in our bank. If you see the shareholder value creation, on a 9-month basis we had an attractive EPS, book value per share, ROA and ROE, which underlines our firm commitment towards the maximization of shareholder value. Book value per share touched INR200. EPS as on 31/12/23 on a 9-month annualized basis is INR 31.78 and we had an ROE of 17.29%.

In conclusion, I would like to say that market is offering ample opportunities for banks to grow their asset book. In order to tap the same, banks have to ensure availability of sufficient liquidity and funds and the tight liquidity conditions prevailing in the market, which is in the deficit mode now is making the job tougher for the banks. Cost of deposits and borrowings is at elevated level. Banks have to carefully manage multiple factors like CD ratio, LCR, NSFR, NIMs, etc. Fortunately, in most of these criteria, we have fared pretty well in this quarter.

Hope by this time, you might have gone through our numbers uploaded on our website. We sincerely believe that we have done exceptionally well under the given circumstances, as we could balance the growth, cost and liquidity aspects especially in a tight liquidity and competitive environment, with most of the ratios showing an improvement. We look forward to doing better in this quarter as well.

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Lastly, I want to talk about the additional recognition as the best bank. We got the Best Bank award in the small bank category in the prestigious Mint BFSI awards for 2023. The commencement of CBS migration project is propelling us to resolutely move towards fulfilment of our vision - SBS 2030, wherein we aspire to become one of the most respectable mid-sized bank.

We have just launched our CBS project. We are probably one of the first bank to go for Oracle OFSA OGL altogether in one transition at one go. We'll be leveraging our full service banking license and building a pan-India franchise. We will also be pursuing the branch expansion as a key strategy to fuel the growth.

Our management team is now complete and the entire senior management team has joined, including recent induction in the CRO position, in the treasury position, and also, we have our wholesale banking head, who has just joined us now. With that, we expect that our wholesale, SME, gold and retail, all of that will be the future cylinders of growth of the bank in coming years.

With that, I will open this conference for questions. Thank you very much.

Moderator: Thank you. The first question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Congratulations on a good set of numbers. So my first question is on growth. So if I compare versus last quarter, what you gave in your PPT, the segmental loan book, the SME growth has been flattish. So how are you looking at it? How have been the disbursement trends here? And is it more to do with the rundown that you've been alluding to in the portfolio?

Pralay Mondal: Thank you Mona

for your question. You asked the growth question, is it? I didn't get the exact question?

Mona Khetan: Yes. I'm trying to understand the growth. So if I look at Q-o-Q, which is last quarter versus this quarter, the SME growth was flattish- growth in the SME book. So I'm just trying to understand because this is your core portfolio, why are you seeing a flattish growth? And if it has to do something with the rundown in the portfolio that you've been alluding to some time back. And if you could give us some color on the disbursements in this book.

Pralay Mondal: Let me answer the growth question first. Yes, I think we had a 23% growth year-on-year on gold. In terms of disbursement, we had a relatively muted quarter on the gold side. There are two, three reasons for that. We just wanted to balance the portfolio a little bit more between gold and non-gold because with this growth also gold is touching 48% of our portfolio. We need a more balanced portfolio.

The second thing is on gold LTV. We have remained focused on gold portfolio with a 74% LTV.

When you look at that kind of an LTV, there are many players in the market who are willing to give higher LTV. However, we do not want to get in to higher risk because I still think that though global gold price has come down slightly, still it is at reasonably elevated level.

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that, we don't want to take a higher LTV on gold at this point of time. That's why we are cautious on that side.

Thirdly, we had put lot of improvements in the gold loan process from a system implementation perspective. Because of those kind of implementations, we have slowed down in certain products on the gold loan side, which we would like to continue to do.

The other side of the portfolio, whether it is wholesale, SME, retail, etc, is starting to pick up now gradually. We want to manage the gold loan book as a less risky & more compliant one, and where we should be able to manage the price volatility factor. That is the reason why our gold loan LTV has been reasonably stable, well below 75%.

Coming to your question on SME, I think we have grown by around 28% year-on-year. Quarter-to-quarter, obviously, situation may vary. I'll tell you the issue on both wholesale and SME. You didn't ask me the wholesale, but let me also say that wholesale also slowed down a little bit.

The cost of funding is going up in the system. Given our NIM objective, we actually did not want to do businesses, which would be very competitive in terms of interest rate because then interest rates will be lesser. SME loans are generally linked to repo and 6 months down the line, 7 months down the line, who knows when interest rate starts falling again.

When it is linked to repo rate, immediately when the repo rate falls, we have to reprice the SME portfolio. Given the liquidity challenges on the liability side and with still the repricing on fixed deposits going up, the cost of funds has not seen the peak yet. It may continue to go up a little bit more. Given that, we wanted to do business only what makes sense for us from a NIM and a profitability perspective. That's why you will see that both on the SME book as well as on the wholesale book, we had not done few businesses which would have otherwise picked up. The old SME book has been running off, as it normally does.

We had some run off of say 10-20 Crs on the old MSME book this quarter. Given that perspective, I think overall, the growth is relatively muted. This is also deliberate. All this contributed towards a 23% growth year-on-year for the bank, vis-a-vis what we do generally; say around 27% - 28%.

This also has helped us in maintaining a CD ratio of below 83%. Last quarter, the CD ratio was above 87%. Our LCR for period end is 123% and average is 113%. All these decisions helped us in managing a more balanced growth with an eye on how

the funding cost is going to go up

and how the linked books will have a challenge in terms of maintaining earnings. That is broadly how we took a prudent decision both on wholesale as well as on SME businesses.

Mona Khetan: Got that. That's very clear. Just one small aspect on growth. So within other retail, I just want to understand what is driving growth? Is it mostly secured asset?

Pralay Mondal: In retail?

Mona Khetan: Yes, when we look at other retail.

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Pralay Mondal: Yes. I think two, three products are doing very well for us. One is the auto loan. Inventory

funding is also doing well for us. Commercial Vehicles (CV) and Commercial Equipment's (CE) is doing well for us. LAP is doing well for us. These are the three four products which are doing well for us.

Credit cards that is on a zero base, is also doing well on a year-on-year basis. We started credit cards in alliance with two partners. While we had grown the unsecured business till Q2 of this year, we have significantly slowed down this quarter based on whatever we are hearing in the market.

We have almost slowed down our unsecured business growth, not because of any issue in the portfolio, but because what we are hearing in the ecosystem. It is too nascent a portfolio to have any problems.

Mona Khetan: Got that. So my second question is on the deposits. So you had earlier alluded to your comfort level with around 90% of CD ratio on the peak side. And we have this quarter seen a sharp decline in CD ratio. So would that comfort zone come down here on because we be hearing a lot that RBI has been guiding banks to lower their CD ratio level. So what's your take on that?

Pralay Mondal: We have to look at many ratios, just not CD ratio. On the CD ratio, we looked at two major aspects. One is the incremental CD ratio. That is where it went below our comfort level. So, I said that, we will bring down the incremental CD ratio, which automatically will bring the CD ratio down.

Secondly, I said 90% is a comfort zone in a comfortable environment when business is usual, and everything is fine. But that may not be right when you have a INR3 lakh crores liquidity deficit. I am a very risk averse person. Given that perspective, in that environment, relatively on a small balance sheet like this, these percentages can swing big time this way, that way in a very short span of time.

I would like to err on the side of caution, where it impacts my NIM. All this surplus money, will go into investments, which has resulted in negative yield right now on an incremental basis, whereas your funding cost is higher than that.

I still say that liquidity risk is also a risk in the system. Given the situation, what it is, how do we know what happens next year. Given that, I think we took a conscious call saying that let's wait and watch for a while. It's not that we targeted 83%. It is just that we said that we don't want to do business below a certain rate and with a certain kind of a risk.

So once we stop doing that, automatically, we reached a level of 83% on CD ratio. Is it that we can go up to 85%, 86%? Answer is yes. However, to ensure that we do not touch 90%, we need to apply this caution, so we have applied this caution at right time.

Mona Khetan: Got it, sir. And on the cost of fund side, so when do you see it peaking? Could it easily comfortably go up for the next two quarters as well, given the liquidity environment?

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Pralay Mondal: Yes. what will happen Mona is, it completely depends on the tenor of deposit portfolio. Typically, people who were sitting on a longer tenor, when the interest rates started going up, the deposits will come for repricing now. For people who are sitting on a short-term tenor, the repricing has already happened. So it depends on that situation, which bank is where

e.

Most of our deposits are typically around 1 year. We do not have very long tenor FDs right now. I would say that give it another 3 months, it will be a sort of peak. However, what we do not know is whether this liquidity challenge is over, because the problem is the incremental business. I thought this quarter it has peaked. However, until the end of the quarter, I saw CD rates in the market, especially on the shorter term - which is 12 months and below, at elevated levels. Given that perspective, it is very difficult to say that how the cost of funds will go. We are factoring in a situation where next 3 to 6 months, it can still go up. But for us, the deposit repricing reason - I think that will be over in the next 3 months.

Mona Khetan: Sure, sir. Got that. And just one final question on the credit cost front, so we continue to see negative credit costs for the bank for the last couple of quarters. So is this mostly driven by recovery from written-off accounts? And how big is the written-off pool as of now for the bank?

Pralay Mondal: That data may not be in the public domain, but I'll give you a sense of flavour to your question.

We have been on a negative credit cost for a while now. But will it continue forever? Answer is no. Next year, it may not continue at this level. But even if you look at this quarter, let's look at each of the parameters. The slippages are significantly lower than last quarter's.

The GNPA is lower. The NNPA is lower. Recovery is also slightly lower than last quarter, but still it is relatively ok.

Given all this, we are at INR 106 crores of contingency provision, plus another almost INR 61 crores of provision because of our conservative provision norm. Overall, INR 167 crores of overall additional provision, is there in the bankbooks. Not that we want to touch this contingency provision unless it is as per formula what we have decided. To that extent, we are

really sitting on a very safe quality portfolio though negative credit costs may not continue forever. But given that slippage is low, I think that is more important to me than recovery-based negative credit costs. That itself is very comfortable. So on this front, I think we are doing very well.

Moderator: We have the next question from the line of Manan Tijoriwala from ICICI Prudential Asset Management. Please go ahead.

Manan Tijoriwala: I just had one question. Sir, I see the yields have improved almost 68-70 bps quarter-on-quarter. So could you walk us through what exactly has changed from last quarter because last quarter, we had some gold loans issues which we pegged down, so that profit came down. So how does it come back now?

Pralay Mondal: Thanks for your question. So two things have happened, Manan. One is, as I said that we took a very conscious call of not doing businesses, which will come at a low yield. Because, I looked at it this way - what is my incremental cost of deposits? If I take that incremental business; on an incremental basis, why do & how I need to take that business on the SME side or on the

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corporate side, which I just explained to Mona. So those businesses were refused. I said that we'll not do businesses on averages. We'll do business on marginal costing vis a vis marginal additions. That's the way we actually very consciously improved our yield.

On gold loan also, if you see that last quarter, we ran off some of this book. We have started rebooking some of these businesses now because our LTV has now come down to a level where we wanted it to. So given that perspective, we could start booking gold loan at a higher yield again, because our LTV is at a comfortable level. But again, if we see our LTV going up to 78%, 79%, 80% not because of our reasons, but because of market reasons, which is price driven, say gold prices falls, then again, our yield will start coming down. Bec

ause then again, we will slow

down some of this portfolio which will come at high yield and a higher LTV.

That is the reason why this will be seasonal to some extent and will vary based on the gold prices. But primary reason for yield increase is basically we refuse businesses which are coming at very low yield and very competitive yield. We said that at our marginal cost of deposits, this is not making sense.

Manan Tijoriwala: But it's largely from the gold business, and if I understand correctly, the increase that we're seeing now.

Pralay Mondal: Our yields have gone up in retail viz Agri, MFI, gold etc. Overall yield also has gone up, thus creating a good story for us.

Manan Tijoriwala: Understood. Sir, one more question on the CASA plus retail TD, how is the performance going? And how do you see it from here on? As in if you could see -- if you could talk about what it was, say the same time last year versus this year now?

Pralay Mondal: We have grown CASA by 6%, I've told it in the past also that it will take us at least 1 more year to start building the CASA franchise. Because primarily, we have been a gold loan franchise and most of our customers have not been in that level where you can build a very strong CASA franchise.

While all other things are in place, like the branches, the distribution, the people, the leadership, the products etc, unless we have the system, I am not willing to invest. After acquiring so many customers where we cannot give the kind of a service, which HDFC or ICICI or Axis can give, then it will be difficult to build that franchise.

So I'm keeping the franchise growth on my CASA, including CA only after FY'25 onwards.

Until then we will depend to some extent on the retail TD. It's not that CASA is not growing.

CASA is growing, but only at a certain level. And that's the story of the industry also, they are growing slow, but we are growing slower. We are saying that we will build deposit franchise from FY'25 onwards.

Till then to ensure that we support our growth, we'll have a funding structure in place. Now the funding structure will be a combination of CASA - which will be a small portion of that, and we'll retain our growth of anywhere between 5% to 15%. So the CASA percentage is not going to come up too much, if you continue to grow at 20%, 21% on the deposit side.

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But what will happen is that we are looking at other borrowings as another way. Our CD book is also doing well. We have built slightly larger deposits, based on our relationship. We have created a vertical on TASC. While we are growing the retail deposits, but at the same time, we

are building from the other sources as well.

This will continue for another year or so, and then we will start building the liability franchise.

I am being very honest about it right now. There's no point talking too much about the CASA and retail franchise till our systems and processes are in place. Once that will be in place, we have completely planned it out from FY'25 onwards.

Moderator: The next question is from the line of Prabal from AMBIT. Please go ahead.

Prabal: Sir, my first question is again on the deposit side, so congratulations on the kind of accretion mobilization that we saw during the quarter. In term deposits are there particular schemes, say, 190 day schemes or 500 day schemes, which is helping up beef up the mobilization?

Pralay Mondal: Yes. Almost every bank has, we also have a particular bucket. Typically, most of the deposits gravitate towards that bucket - 401 days is our bucket where we get 7.75%. Most of the 1-year plus kind of a deposit is coming in that bucket.

Having said that, there are deposits which also comes at a slightly more elevated costs also closer to 8%. Those are typically slightly larger ticket deposits, typical institutional deposits, etc. Also, we have to understand that in

in such a way the entire design has happened between LCR, NSFR,

CASA ratio, deposit growth and CD ratio, the whole complexity is such that there is no escape of doing one kind of a business - you have to have a very balanced business model.

I must give credit to the team, that the way they have built up the entire business where we have ticked almost all the boxes. Deposit growth, we have ticked. LCR, we have ticked. CD ratio, we have ticked. Only we have not ticked the CASA ratio, and I'm telling you this will not get ticked for the next 2 years. Cost of funds, we have ticked. Almost all the parameters we have ticked.

So there must be something which we are doing right on the liability side of the business, in spite of the fact that we are not having our franchise, which will happen FY'25 onwards.

Prabal: Understood, sir. Sir, my second question will be, going ahead, the cost of funds rise for us which is true for the system as well. Which are the segments of the loan side where we can pass on these higher cost of funds? Because gold loans typically are quite volatile, they tend to be in the range of 11% to 11.5%. So are there some other segments that you've identified where you can pass on these rates?

Pralay Mondal: Yes. Cost of funds has typically gone up by around 1% or so in the last 1 year on a 9 months basis, cost of deposits have almost gone up by 1.1% on YoY basis. So roughly, anything between 90 basis points to 130 basis points depending on what kind of cost of funds/deposits we are talking about has gone up.

How do we pass it on? Answer is some we cannot. That's why you see that our NIM in spite of the fact it is 5.11%, last year on a 9-month basis it was at 5.52%. 40 basis points sacrifice on CSB Bank Limited

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NIM has already happened on a 9-month basis. We cannot pass on everything. Having said that, I think if every business starts picking up a little bit, there will be a change.

The way I handle it on the execution side, it is very simple, I tell who lesale that if you were at this level, you have to get me 20 basis points more. Same thing I tell SME. SME has actually given me a much higher yield this quarter; so has the gold loan portfolio

I think it's that incremental part, which is more of an execution story, it's not that one size fits all. But yes, there is some impact on the NIM, which you can already see when you look at a year-on-year basis, roughly around 40 to 50 basis points impact on the NIM.

Prabal: So let's say, 20 basis points higher on some segments. This is driven by more prudent or selective customer basis? Or how do they how -- how are they able generate more yields from same portfolio?

Pralay Mondal: It's very simple. I said that below this yield, we would not do business. In fact, when I look at data of other banks, the variation of yield between 1 portfolio or 1 customer to another portfolio and another customer is anywhere between 6%, to 8%.

For us, the highest yield is around 12%, lowest yield is around 8.7% or 8.9% or something like that. Our range is very low, between 3% - 3.5%. That's the way we operate in a very small range.

So what it means is, effectively, we are not taking the high risk. We are willing to sacrifice business, where we think that the business ROA is not right for our kind of a bank at this stage.

Some of the other banks can do it because they have other incomes, whether it's on the wealth side, whether in the transaction banking side. I'm not saying they're doing wrong business, they're doing the right business. But given the life cycle we are in right now, because our cross-sell opportunity into wholesale and SME is relatively smaller compared to some of these other large banks, so we have to primarily play the yield game.

We play in this 9% to 12% range. 12% for gold loans. Actually less than 12% here and more than 9% there. So in that range, we

operate. We refuse business which doesn't make sense for us. But that does not mean we're taking higher risky business.

Prabal: So let's say, if the maximum is 20%, and with our opex...

Pralay Mondal: There are some agri business, which can be slightly higher than that, some micro finance, which can be slightly higher than that, but they are small in terms of contribution to the portfolio. I'm taking out the agri and the microfinance business, but they are very small in terms of contribution to the bank.

Prabal: But we see the cost of funds of 5.5% and Opex to asset of 4%. If you are doing business at say 11%, that is hardly making us money in an environment where credit cost is benign, this could still be supportive to us. But as the environment normalizes, could there be a risk of ROA or return ratios getting diluted because of this strategy?

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Pralay Mondal: Let me put it this way. The way you're calculating then banking business would appear not to make any money. I can put our calculation and say that in spite of all this, I'm having a NIM of 5.11%. So it depends on which statistics you're looking at.

Plus, when you look at ROA, we have almost 1.8% ROA, which also happens because now on the non interest income to total income, we have now almost 14% on a consistent basis. This was below 5% at some point of time in the bank.

So how you create the ROA tree overall and how you ensure that you manage the cost of funds and build the right business depending on what ROA you generate. I don't think that calculation works for us, because there will be businesses which also comes with lesser risk weights.

There will be businesses which comes with a lot more franchise building on the wholesale side in the long run. Some of these are funded with lower tenure kind of deposits from ALM perspective. It's more complicated than this. But net-net, we are saying that our NIM will be 5% for the full year or more.

Next year, even if it comes down a little bit, it will not go below 4.5% under any circumstance.

ROA, we will be between 1.8 to 2%. Next year, we will be even in a difficult phase, where our other businesses are picking up, where ROA is lesser; we will be within 1.5 to 1.8%. Given that, I think that's the game we'll play, and we should be able to deliver that.

Prabal: Sir, just last one question. So you mentioned about balancing growth between gold loan portfolio and non-gold loan portfolio. So which sort of segments this quarter we can see retail picking up by 5% sequentially? Going ahead, which segments would you say that are ready for now growth traction and we should start seeing pickup there as well?

Pralay Mondal: See, for another 2 years, we are in love with gold. Gold will continue to do well because it doesn't need risk weights much. It has high yield. Our loan losses are minimal. The NPA in gold loan is lesser than the bank level NNPA, which itself is only 31 basis points. Gold loan NPA is lesser than that and the cost of operations is high, but that is already baked in to the system.

As long as these equations are there, we'll continue to focus on gold loan and do those business.

I said in the long run by FY'30 gold loan will come down to 20-odd percent, not because we will de-focus on gold loan, but because all other businesses will start picking up after system starts delivering, which will start from FY'25 onwards.

Having said that, to your question as to other than gold loan, which other portfolios will start doing well., this year was muted in wholesale. I think FY'25 onwards, our wholesale will start picking up, SME will significantly pick up. Already SME is showing a 28% YoY growth this year for the first time in a long period. I think they are fully engaged to take the growth further. Retail on a small base, will grow much faster, but will it materially contribute? The answer may be no

because ultimately, it is only 15% including Agri/MFI and 9% on a standalone basis. Some of the businesses which we did not do so well, like Agri, MFI this year, will start picking up next year.

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Overall, I think we should be able to grow. Growth in assets is not a problem for us. Our constraint will be, can we grow liability at more than 20% consistently with a reasonable cost.

So that is something we have to notice. If we are able to grow that, then we have to choose which one we want to grow. Therefore, constraint is liability; not growth on the asset side.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Just two here. Just first one would be what would be the increase in the rates that we've passed on to the NBFC given the increase in the risk weightage? And second question would be on the

retail loan side, what share of the book is unsecured which you referred to which slowed down this quarter?

Pralay Mondal: What is the second question, unsecured?

Pallavi Deshpande: What is the share of unsecured loans to the total book?

Pralay Mondal: On the first question, let me tell you that - yes, RBI did raise 25 basis points on NBFC risk weights. However, we have not passed it on as such, unless there is a renewal happening. Because my thinking is like this. If there is a risk somewhere, why take higher risk.

We have got little more cautious and seeing which are the kind of NBFCs, because it is a translated risk. Hypothetically, if there is a risk that is emerging in unsecured space and small ticket unsecured space, and if certain NBFCs are doing business there in a large amount, then if we lend there, then it's a translated risk, which is coming back to us. That's the challenge.

We have started getting lot more careful on this kind of NBFCs where this kind of businesses are happening. We have refused many of these businesses this quarter. So we have taken it more from a risk guidance perspective than a yield maximization perspective.

Secondly, going ahead, I think while our NBFC proportion is slightly high in our wholesale book, but we have taken a conscious call of actually growing the other portfolios, which will automatically bring down the NBFC as a part of the book. That's the way we are going to manage this. We are taking the RBI direction, not as a yield maximization but as a risk management tool.

On the second question on unsecured to total? What is it, Satish?

Satish Gundewar: Pallavi, we don't have this information in the public domain in terms of what is the total unsecured. But if you look at the overall book composition, 48% is the gold loan, which is anyway fully secured. Then within retail also, quite a few products which we are doing are secured like CV/CE and all. Even SME also, it was secured businesses. It is a very small kind of a percentage.

Pralay Mondal: So Pallavi, I'll tell you a simple answer. Our unsecured retail book in the whole bank is around 5%.

Moderator: The next question is from the line of Shivaji Thapliyal from YES Securities. Please go ahead.

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Shivaji Thapliyal: Yes. my question is really regarding having some more color on the SME -- broader SME segment. So just, wanted to understand what are the sub segments within SME? In addition, what are the ticket sizes and what is the yield maybe for those sub segments? And between these sub segments, would -- are you getting the sense as you are piloting initiatives that maybe one segment is more attractive for you to do at this point in time over the next couple of years. Just some color around what is happening within the SME segment. And also on the retail side, while you have answered which are the segments that you are seeing traction, but maybe from a long-term perspective, what will

be some of your bread and butter retail segment? Will it be affordable housing, which part of vehicle finance and some color on the sub segments within SME and retail would be helpful.

Pralay Mondal: Thanks, Shivaji, for both the questions. Both are very critical questions. Let me answer the retail first, then I will invite our Head of SME, Shyam Mani to give you full color of the SME business that he's building. On the retail side, again, because you said long term, I will divide into short, medium and long.

Long term, our retail verticals will look at building the portfolio exactly the way the industry does it; home loans, personal loans, auto loans, credit cards, all of that in a similar kind of a proportion. Fundamentally the way we'll build our retail portfolio is based on how our liability franchise is getting built, which means how a customer getting acquired, cross-selling is done and so on. We are not going to go out and buy retail business through DSAs and all this external kind of channels.

If that does not happen, our retail book will mirror how the customer franchise is building and based on this, cross-sell to them. This is how I had built businesses always. This is how we'll build it here. In the short term, till the liability franchise starts picking up, which will take 1 or 2 years till then we are doing businesses primarily through our internal customers. We are building bridge with the manufacturers, with the end customers directly etc. Hence, short term is mirroring those kinds of products like our auto, commercial equipment, commercial vehicles, loan against properties, health care business etc. These are very niche businesses direct to customers, and you can address this segment in a wholesome manner because these are not distributed segments.

These are very concentrated segments, so we can address these customers and with our value-added services, with the manufacturer tie ups etc, we can do these businesses. That's primarily where our focus is in the short term is. But medium to long term, we'll be exactly mirroring the franchise we will build on the liability side of the business.

That's the way we'll do retail asset business, the typical and classical way of building that business. On the SME side, you talked about the yield and all that. On the yield, I think we are somewhere between 10% to 11% in SME book. Rest of the things segmentation and all, let Shyam answer this.

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Shyam Chandher Mani: Thank you, Pralay. Just want to give an overall brief in terms of the way we have started scaling up on SME business. If I look at purely on a top line growth, volume of disbursement, both fund-based and non-fund based put together, we have grown 108 percentage as we speak.

Net growth is what it's hovering around 28 percentage YoY at this point of time. Of course, there's been a late pickup because we were working on setting up our process, systems and the platforms right and also in giving effect to some of the policy upgradations which were required. Post that, we are starting to see a momentum in the business. If I have to compare FY'23, we had ended up at around 4 percentage, currently it has moved up to 28%. So this time, quarter-on-quarter, there is an upside movement of about 5%, in the overall net SME book as well.

This year, as we speak, on a fund-based book alone, an overall disbursement/limit setting of around INR1,066 crores has been done. Both non fund-based and fund-based put together it is INR1,456 crores. So that obviously talks about the growth momentum. We had to let go of some clients due to interest rate pressure/ stress signals etc

As Pralay was mentioning that we're not compromising on the yield, and that's why overall the momentum and the yield were in line with our expectation. Specifically, on the ticket size, which you asked, the new-to-bank ticket

size is around INR 6 crores, and overall ticket size at the portfolio level will be around INR 2 crores to INR 3 crores.

We follow a branch centric hub-spoke model, where SME clusters and the key branches are identified and thus we focus on the top 42 branches. Within that, we focus on top 20 branches as catalyst and the next 22 branches as prime branches. And around that, we work with trade bodies, industries, associations etc in terms of engaging with them so that we go and reach out to them with an industry solution.

We had certain knowledge banking advisory tie-ups as well so that there could be a value add to these associations and industries. Primarily, the focus sector for us is manufacturing. Within manufacturing, light engineering as well as automobile, health care, pharma, food processing and to some extent, textiles and apparels. And that's the way the progress has been, and we're very positive about further growth on this.

Shivaji Thapliyal: My next question was around operating expenses. So I mean, while you have given an ultra long-term guidance that cost-to-income ratio will decline several years later. But -- just how -- what is the composition of the cost at this point in time? I mean, how much of that may be technology investments and for how long will these technology investments kind of continue? And when will they start to taper off? What -- so just some understanding of the glide path when it comes to operating expenses would be helpful.

Pralay Mondal: Yes. There are 3 primary costs if you look at the cost line. One is people. One is infrastructure/distribution and the third one is technology. These are the 3 primary cost lines for us. Within that, as you rightly said, technology is highly front-end investments because we are rebuilding and rebooting the bank from an infrastructure perspective, technology as well as other infrastructure.

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However, a lot of this is capex. So it will flow through the P&L over the next 4, 5 years. But most of these investments will be done in the next 2 years. Then only MCS and some add-ons here and there will keep happening, which are like opex post 2 or 3 years. It will go through for the next 4 or 5 years, but it will start tapering off maybe by FY'27, '28 onwards, and then it's a two-year payback for technology starting from FY'27, '28 onwards and hence, the cost to income ratio will severely taper off to below 50% by FY'30

Coming to the next, which is distribution cost, typically, we will add around 75 to 100 branches every year, which as a percentage will be going down as the branches start picking up. On the manpower side, that cost will keep growing because we want to keep investing on the acquisition side because once we have the technology ready for building the retail franchise, our manpower costs will continue to elevate, but not at the same level.

We have an increase of somewhere around 30% in manpower costs. That will start tapering off in 2, 3 years because as the wholesale starts picking up and the SME starts picking up, then on

a cost- to-income basis, it will be lower as those are low cost- to-income businesses. Once that mix starts going up and revenue starts coming from there, then cost to income also starts tapering off.

Also on branches, not only percentage of new branches will start coming down, some of these branches we are investing will also start breaking even within 2 to 3 years of setting up, and that also will start tapering off.

We have done all these calculation, and that's where we are saying how confident we are that by FY'30, our cost to income will be well below 50%. Currently for the next 1, 1.5 years, it will remain around 65-odd percent or close to it. Then it will start tapering off maybe by FY'25, '26 onwards below 60% and then below 50% by FY'30.

Moderator: We have the next question from the line

of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: So just wanted to understand again on the previous, the cost to income side. Like you mentioned, we have this -- where does it peak, I mean up or are we exclusively implementing now. So that is implemented by when? And 65 is the peak or do you see it going beyond that in the short term?

Pralay Mondal: CIR is hovering between 60 to 65% right now. We were very close to 65% a quarter or two back. Now we are back to somewhere around 62%. But this will keep happening because of other income or cost because it's a ratio at the end of the day. In the short term it will be hovering between 60% to 65%.

But for sure, it will start on a glide path starting from FY'25, '26 onwards. And then it will go to below 60% and then below 50% by FY'30, that's what I said. But right now, it will fluctuate a little bit because it will vary in terms of income and costs and things like that. But for sure, the technology costs will be hitting us for the next 2 years.

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Pallavi Deshpande: The tech spend would do will be what percentage of PBT number, I think for the large bank, it's around 9%, 10%, perhaps you could...

Pralay Mondal: It will be well above that.

Pallavi Deshpande: Right. On the income side, you can have other income and the absolute amount, or do you have some guidance, right, the increase in absolute amount for the mix.

Pralay Mondal: We know that number, but we don't give it in public domain, but it's a significantly higher percentage compared to what you just mentioned for the next 2 or 3 years.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes. I just had one query on the fee income side. So we have seen a strong growth on the fee side in the last few quarters. But I just want to check whether we still have more levers? Are we already seeing a good contribution from lines like transaction banking or that's yet to play out for the bank?

Pralay Mondal: Very good question, Mona. The transaction banking vertical, we have just started. The TFX income will continue to grow as our wholesale and the SME side of the businesses starts doing the sophisticated conversations with customers, and that will happen now.

Thus transaction banking fee will start going up from next year. We have set up the team. In terms of percentage, you will see that we are hovering between 13% to 15%. Last quarter was exception. But generally, we will be happy with this range because most of the other banks are in this range, except for some large banks who are in the 17% range.

This is where our sweet spot is -around 15%. We were actually at 5% in the recent past. From there, once we reached there, the easy job is done. Now how do we go from 14 to 17 on a consistent basis is the next journey. We'll be happy to be there. I think we'll achieve that also at some stage. But also, you must understand that NII is also a little muted.

Because of that, the ratio is sometimes very high. The ratio is a very funny subject. So now NII also starts picking up, if noninterest income also goes up, interest income goes up, our overall income goes up, so that is fine. But generally, our sweet spot is between 13% to 17%.

Moderator: We have the next question from the line of Shivaji Thapliyal from YES Securities. Please go ahead.

Shivaji Thapliyal: Just one clarification. You pointed out that the tech spend is more than the figure that was quoted by one of the previous participants. So the 9% figure that was quoted is to be taken as a proportion of total Opex or PBT, I mean...

Pralay Mondal: I thought you said PBT

Satish Gundewar: Yes, PBT.

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Shivaji Thapliyal: So it's more than 9% of PBT. So how much will it -- so it may not be more than 9% of total op

ex

or what would you peg it at as?

Pralay Mondal: I only responded Shivaji to the question which was asked that some of the other large banks are around 9% of PBT. What I'm saying is that ours is higher than that at this point of time. It may not be forever, but at least for the next 2, 3 years.

Shivaji Thapliyal: Yes. But just to clarify, I think the 9% figure is the ballpark that we have been noticing in other conference calls is as a proportion of total opex and not for PBT.

Pralay Mondal: But I calculate it as a PBT, so it will be higher than the PBT. On the total opex, what is our opex, Satish?

Satish Gundewar: INR312 crores for the quarter.

Pralay Mondal: Then it will be much higher than that

Shivaji Thapliyal: So it's much higher than 9% of total opex.

Pralay Mondal: Absolutely. And this is for the quarter or for the year?

Satish Gundewar: No, this is for the quarter I'm saying.

Pralay Mondal: Then it will not be. It will be around that number, close to that number. Because when I reacted, I thought it is talking about the PBT. If it is Opex, then our ballpark will be roughly 9% of Opex

Moderator: We have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pralay Mondal: Thank you, Shivaji. Thank you, everybody, for participating in our conference call, and look forward to even more exciting Q4. Thank you very much.

Moderator: Thank you. On behalf of YES Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

"CSB Bank Limited
Q4 FY2024 Earnings Conference Call"

April 26, 2024, 05.30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the CSB Bank Q4 FY '24 Earnings Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Dorwin. Good evening, and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO; Mr. B.K. Divakara, Executive Director; and Mr. Satish Gundewar, Chief Financial Officer. We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call.

The management will first be making some opening remarks, after which we will throw the floor open for questions. I now invite management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, and thank you, everybody, for joining our Q4 and annual result analyst call. To start with, on the global scenario; I think the world has geopolitical risk at this point of time, though it is stabilized right now. It is leading to fluctuations in commodity prices and strengthening of the U.S. dollar, which is further aided by the strong economic performance by U.S. and stagnant U.S. inflation.

We believe that the current situation may delay the rate cuts a little bit in U.S. and this may stay higher than anticipated. We do not believe that the current situation will force U.S. to change the rates further either way. When RBI looks at the rates, I think they will also have a close eye on what global scenario is and take calls on how the rate cuts will be in India as well.

On the domestic side, the system liquidity has moved back to deficit mode again for the last few days, after staying in a surplus mode for a fortnight. The liquidity deficit will continue and we do not expect it to stress deposit rates for this quarter.

The inflation has been easing slowly. The heatwave and the drought forecast for some parts of India may impact food prices in the short run. This impact will be transitory. The overnight rates will remain range bound between 6.5% and 6.75%, and 10 year G sec is likely to range between 7% to 7.25% this quarter, though I think today - it was on the higher end of this range. The good news is, so far, the projections on monsoons is good, and that is good for the rural economy, as well as India as a whole from an inflation perspective.

On CSB specifics, overall performance on both top line and bottom line was stable on a quarterly and financial year basis. Highlights of our performances are - slightly improved profitability, Net profit of INR 567 crores as on 31/03/24, up by 4% from 31/03/23 on a Y-o-Y basis. For the quarter ended 31/03/23, the net profit is at INR 151.46 crores, which is almost flat compared to Q3 of the same year.

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We have a provisioning buffer of around INR 171 crores over and above the regulatory requirements, including the contingent provision of around INR106 crores. We could maintain the NIM above 5% in a difficult market scenario for the quarter as well as for the FY and it is 5.04% and 5.09%, respectively. ROA, we have been close to 1.8%.

On the liabilities front, we focused quite a bit on deposits and had a growth of 21% as against the industry growth of around 14%. CASA ratio stands at 27.2% because we grew the term deposits faster. On the asset side, net advances grew by 18% Y-o-Y. Industry has grown at ar

ound 16% Y-o-

Y. We took a conscious call to moderate our growth. We'll talk about it as we go through the Q&A. Gold loan portfolio registered a growth of around 22% Y-o-Y. Yield on advances for Q4 FY '24 is at around 11.77% with an improvement of 60 bps from Q4 FY '23. FY '24 is 11.35%, Y-o-Y, which was 10.92% for FY '23, up by 43 bps. On the asset quality, metrics is stable in key indicators like GNPA, NNPA, PCR, etc. I'm sure we'll have some discussion on this in the Q&A session. We will detail out why our GNPA, NNPA and PCR deteriorated slightly, but still is one of the best in the ecosystem with 1.47% on GNPA, NNPA of around 0.51% and PCR of 86.44%, including technical write-off and 65% without technical write off.

Continuing with the accelerated NPA provisioning policy of providing higher than RBI requirements and holding the contingent provisions, which I just talked about, we are holding INR 170 crores plus there. We have a robust capital base with CRAR of 24.47%, low proportion of risk-weighted assets compared to the industry, primarily because of the gold loan portfolio. In terms of shareholder value creation, book value per share has crossed INR 200 mark and is at INR 209. Book value has grown exactly in line with our business growth of around 20% year-on-year. EPS for FY '24 is INR 32.67 and ROE stands at 17.37%.

On the distribution, we added a good network of branches & ATMs - we have an overall network of 779 branches and 731 ATMs. We added 76 branches during last FY. While we go ahead with our branch opening strategy, we will also invest into omnichannel banking. We have also experimented with about 20 branches where we have divided the branches into gold and other businesses, effectively creating 2 separate operations in the branches, and that experiment is working well for us so far. Based on the success, we will expand on that this year in a significant way. So those are the numbers.

I will take a little time on this concluding message because there are lot of things, which are happening in the bank, which are beyond numbers. In the last 2 to 3 years, we have worked meticulously in getting our building blocks in place, which will put us on the right track to reach our SBS 2030 vision of becoming a respectable midsized bank.

These building blocks would include creating the right culture, right leadership; kind of hands-on leadership defining the culture that will take us and our bank to the next decade and putting clear process and practices in place to ensure that these are not just mere words, but communicated and practiced starting from top management. We have experienced leadership in place in each function at top 3 to 4 levels, including regional leadership and they are leading through the examples.

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Why I'm talking about some of these 4 or 5 points is that this is really what we are now living, breathing, eating every day because we believe that to build a long-term bank, quarterly numbers will come and go. However, these are the building blocks, which will create the bank for the future and we are clearly focused on SBS 2030. These are more important, at least to us as management at this point of time, than few basis points here and there on numbers.

The second part of the pillar is governance and compliance. We all know how important it is.

Globally, this is becoming more and more important. We are focusing on the highest level of governance and compliance, including experienced and knowledgeable Board and implementing the compliance culture in letter and spirit. I myself look at each compliance part in the bank on a regular basis, and this is a key focus for me personally from the MD's office.

On risk management, we are working on solid risk governance, mind-set and defined structure with clear guardrails, be it credit, policies, cybersecurity, market ri

sk, liquidity risk, operational risk,

reputational risk, etc. One of the reasons you saw that our liability growth has been faster than credit growth, is from a liquidity risk management perspective because we think that these are important parameters, which creates a long-term sustainable organization.

I have been part of building a large organization in the past. I can say with reasonable conviction that these kind of things are more important, at least from my perspective. Hence, I tell my

management, to sustainably build these kind of pillars, which will build the bank in the long run. The fourth one is customer centricity and customer focus and we have clear focus there. We are actually working hard towards making this as a key differentiator in the long run. I personally feel that we are a long way from that and we have to do a lot more, but we will be there. We have a separate vertical under our Service and Process engineering head, Tapasya Vaid, who looks up to this. I myself chair the Service Governance Council meetings, where all CXOs meet periodically and discuss progress on identified areas of improvement, customer delivery and service. This is a subject very close to my heart and one of our top most priorities. I have built businesses in the past, primarily based on these kind of parameters.

Last but not the least, is technology. The most critical lever in the current phase is technology for us, as that is where we are putting our everything now. The bank won't have almost anything in technology that was running in the bank 4 years back, and everything will be new age and new implementations.

We are talking of a complete transformational journey on the technology side. There, our motto is incremental to transformational mindset. We don't want to incrementally improve instead, we want to transform the entire technology stack and this mindset is there among all senior management, participated through the entire leadership team and driven by our CIO - Rajesh; and our IT SC Chair - Mr. Sharad Saxena.

We are on track with the various project implementation timelines as of now. We are planning go live of Phase 1 in current FY on our core system migration. We are told by our implementation partner, that we are one of the first banks who are doing our Oracle – OGL - OFSA implementation

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together. We should be able to finish Phase I in this FY, which will lead to process streamlining as well. Many products and services, which we plan to launch, will be launched on the back of this. On the distribution front, we are looking at opening of around 60 to 75 branches in the next FY, plus the project, which I just talked about initially. We, as senior management in this bank, want to think big and be accountable for the delivery on all of our priorities. That's why I mentioned these priorities. That's why I believe that we are ready to communicate this confidently to all our external stakeholders, just like I'm doing it right now. Unless you put it up front, you do not become accountable for this and this remains as mere English.

We envisage FY '25 to be the most challenging and exciting year in our 7-year SBS 2030 journey. We are ready as a team now and each member of the CSB family is geared up to meet this challenge and will engage more, involve more and strive to do better in the coming quarters.

We have four verticals on the business side: Wholesale banking, SME banking, Retail banking and Gold. Each vertical is now led by extremely senior and very capable leadership. Our wholesale banking vertical is led by Manish Modi - who is a well-known wholesale banker in the industry. He is building his entire team and hence, we will see many changes, which we will bring in, in wholesale banking now.

SME banking is led by Shyam Mani, who for the last 2 years has done well and now we are starting to

see the fruits of that work, and we will see a lot more in the coming years. Retail banking, of course, by Narendra Dixit, a veteran across various organizations/ big banks, and he is building up on the retail side. Gold is a part of Narendra Dixit's vertical itself, which is integral to our branch banking today. With that, I stop here, and I would welcome questions, and I am sure there will be a lot today. Thank you very much.

Moderator: Thank you very much. We have the first question from the line of Sumit Rathi from Centrum PM S. Please go ahead.

Sumit Rathi: Sir, congratulations on a steady set of numbers. Though there were some surprises and as you alluded that we would be discussing that. I had questions regarding: one, the slippages, there is almost a 3x jump in our slippage ratio. Another thing that came slightly negative to me was advances growth Y-on-Y. As we have always kept the notion that we would be growing 1.5x the industry growth, if not more. And you alluded to some extent that you took a conscious call, so you shall give more idea about that, that would be very good to start with on the asset quality, including slippages and advances growth that we'd like to hear from you.

Pralay Mondal: Thank you, Sumit, for your question, very relevant set of questions. On the slippages, if you ask me, there is only one item there. Rest are all business as usual for us. One account, which is an INR70 crore kind of exposure slipped, though it was not expected, because of some technical reasons on their side. We are reasonably confident that through this year, we should be able to pull that back, because there is not too much of a problem there. If you take that account out - which led to around INR 17 to INR18 crores of provisioning; as we do 25% provisioning and another INR 2 crores interest reversal, with a total impact of almost INR20 crores, then pretty much everything else is business as usual. This specific account and INR20 crores will answer the other two questions, which

you have not asked, on GNPA, NNPA and provision coverage ratio. If we calculate all of the m, you will see it normalizes back to where we were before and where we'll be again very soon. Coming to your second question on asset growth. I'll tell you why we were a little careful. We take the RBI inputs and guidance very carefully and post their guidance on lending to NBFCs or unsecured segments, we became cautious. I'm not saying there is any problem there. Since we have a small balance sheet, we need to look at these things a lot more closely and carefully compared to some of the larger banks who have a large cushion. I am not saying that anybody who is growing fast in these businesses is doing anything wrong. For a bank like us, you saw that just a slippage of one INR70 crores account, which will repair itself very soon, can create so many questions. Accordingly, we are very careful in some of these things and we have stepped back in some of those businesses. That's number one. Number 2 is that on the wholesale side, we have grown negatively this year, primarily because of two reasons. We have de-grown our DA book - the direct assignment book, which is not really a wholesale business. We consciously decided that given the cost of funds where it is today, and for the yields, what we get there and for any kind of a risk which can emanate from there, we would not grow that book at this point of time, unless things change. Secondly, LCBD is also a rate-oriented business and not a franchise business for us yet. At this level of cost of funds, we said that we would not do this business. Except these two, you will see that we have grown -- SME has grown 28%. Last quarter question was there as to why SME is not growing. Now SME has grown. Gold also, we took many pre-emptive actions in view of some regulatory concerns in the

system. We did everything to ensure that we plug in any kind of operational issues, which can be there in a gold loan. Based on what we have seen in the system and regulatory expectations, we have proactively managed some of these things. Gold loan has grown by 22%, SME has grown by 28%, Retail has grown well. The only business which has not grown is wholesale and it was more of a commercial decision that we took.

Again, because these are not franchise business, this can be built any time. Right now, we are building a very strong wholesale banking team and we will look at a real mid-market, emerging markets and even large corporates entry in some places, wherever we can. You will see a very clear turnaround on wholesale business in the next 2 years. So that's the primary reason where we didn't grow as much. Liability - you saw that we grew at 21% against a 14% industry, which is almost 50% faster than the system. On the asset side, it was a conscious call - as I mentioned in the opening remarks.

Sumit Rathi: Yes, sir. Very well understood, sir. Another one aspect which I wanted to check on was our opex to average assets have also shown a slight high trajectory this time. I know we are into building phase and there can be expenses here and there in order to build the kind of vision we have for FY '30, and we really respect that, and we are looking forward to that. Still, are these just one-offs or this kind of surprises on opex too and can come again in the future?

Pralay Mondal: Opex to average assets - I think the primary reason for that is the investment in technology at this point of time. There are two investments that we are making today. One is investment into technology, which is both opex as well as capex. Secondly we are building distribution. Along with

that, we are creating various verticals and building the teams for future. Because we know that in the next 18 months, we will be fully ready with all our technology. If we do not start investing into the verticals today and start doing it sequentially, then we will not be able to achieve what we want to achieve by FY 2030. That is why we are starting to invest into the verticals. We are doing bits and pieces of business everywhere so that the branches understand how to do cross-sell, what are the products, how do we do business, how do you have manufacturer relationships, key relationships, all of that stuff we're doing. On the transaction banking, we are building teams; wholesale banking, we're building teams; retail, we are creating a sales vertical, which will be in the customer acquisition and all of that.

There are two primary areas where we are investing - one is investment into new verticals and people with a vision of building a larger bank; and, the other is significantly into technology because if you are saying that you're rebooting the bank and changing every thing in technology, you can understand that there is so much investment going in there. Having said that, what I can tell with reasonable confidence based on my calculations until FY 2030 is that from FY '26 onwards, you will start seeing tapering down of this. By FY 2030, our cost to income will be well below 50%.

Today, it will hover around, I've told in my last call also, last to last call also, that we'll be around 65%, sometimes 2% higher and sometimes 2% lower. But clearly, FY '26 onwards, you will see sharp tapering of this, and we will be well below 50% by FY 2030. So that's the way -- and that's the answer to your question.

Sumit Rathi: Great, sir. But one last thing, sir, on advances growth since from last 2 quarters, we are taking a conscious call of not becoming a victim of rate challenges and reducing NIM. Going forward, should we expect a similar kind of, say, for next 2 quarters? Or are we going to address it and we'll get back the advances in shorter

term. I understand the medium to long-term, we are there. But in shorter terms, are we going to address the advances challenge by somehow and getting back to our growth rate of 1.5x the industry?

Pralay Mondal: I have always said that we'll grow 30% to 50% faster than the industry. At an 18% growth, we are closer to, probably 20% faster than the industry. But yes, I've said before that we will not compromise growth for margins. You will see this year that we are not emotionally attached to a 5% margin. We will be lower than that. We'll be somewhere between 4.5% to 5%. We will get our growth back. But one of the reasons we are not growing is not because of margins necessarily at that high cost of funds we are also trying to focus on our average LCR - which was 117% in Q4. Average LCR of 117 would mean that many days; we could be at 126 or 128 also. So managing our average LCR of 117 and managing a CD ratio of 82% in this kind of dynamic and slightly uncertain environment, was a bigger trigger for us than just margins.

But I will never shy away from building business even at lower yields if it's a franchise business. DA business and LCBD business is not a franchise business at our life cycle of a bank. However, if tomorrow Manish Modi comes and tells me that I want to enter this franchise group at this rate - that is where I am having a very low margin, I will be happily taking that because that is a franchise business. Or if somebody tells me that I want to do this on the retail side and there the margins are

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low, let's say home loans or something else, I'll happily grab that because that's the franchise business.

We are here to build a bank. We are not here to build and run a niche bank. We are here to build a medium sector bank by 2030 and then try and look at even beyond that. But at this stage, growth will come back provided the ecosystem is helping us getting that growth in a very balanced manner between liquidity, margins and risk.

Moderator: We have the next question from the line of Mona Khetan from Do lat Capital.

Mona Khetan: Congratulations on good set of numbers. Firstly, on the deposit side, I just wanted to check how much of repricing is with you and where do you expect the cost of funds to be?

Pralay Mondal: I think it is almost 80% is done, because generally deposits are of 1 year or lesser average tenures in most banks, including us. Given that and since the deposit repricing has been happening for a year or more; we are almost done. A small quantum is left, which will be repriced maybe in another quarter or so. Our cost of funds is well below 6%.

We are one of the few banks, despite being a small size bank and the entire liquidity challenge; we have managed our cost of funds reasonably well. But yes, the cost of funds has gone up -- cost of deposits has gone up, which has impacted the NIM a little bit, but I think that's an industry phenomenon.

Mona Khetan: Got it. And secondly, you expect basically that next quarter or so ideally how cost of funds could be?

Pralay Mondal: It is difficult to say. I don't think more than 10 - 12 basis points here and there will be left anymore. So we're almost reaching the peak in my view, unless some major global geopolitical issues comes up.

Previously we were thinking that there will be a sudden interest rates cycle reversal and things will change overnight. You see how it is today; the 10-year G-Sec is 7.23%. Globally also, say in US, it has now moved to almost 4.6%.

I think it is not changing very much. I am not seeing too much of a change happening in the next 2 to 3 quarters. So we'll be pretty much where we are for the time being, and that's what I'm baking into my plans right now. But it will be difficult to retain 5% NIM given that we want to grow again.

But overall, I think we'll be somewhere close to between 4.5% to 5%, maybe closer

to 5%.

Mona Khetan: Got it. Secondly, on the yields aspect. So this quarter, we saw a lot of growth also coming from SME where I assume the yields are lower. And yet, when we look at the reported yield on advances, they have increased by about 25 bps from Q3 to Q4. So what is helping the yields, if you could give some color?

Pralay Mondal: On the SME, I told it last quarter also when this question came up. You can see that the SME growth

has now started showing up in the system.
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On the yields in SME, our yield is somewhere around 10.7%, but if you take the MSME yield, it is slightly higher. Broadly, wholesale works in the range of 9% to 9.5%; SME works in the range of 10.5% to 11%; and gold works in the range of 12%

Rest are very small segments, like microfinance and agri and all that, where yield is in the range of 12 to 15%. Retail is also again around 10% to 11%. This is the range where we are in and this has been consistent all across. Maybe, it has gone up by some basis points here and there.

Mona Khetan: Okay. And sorry, can you come again on the corporate yield, wholesale book yield?

Pralay Mondal: Between 9% to 9.5%.

Mona Khetan: Okay. Got it. Just one last thing. So there have been media reports suggesting probable mergers with IDBI Bank if the Fairfax bid for IDBI Bank goes through. So if you can just share your comments, if any around -- how this will play out and how do you see it?

Pralay Mondal: Media reports, I can't comment on, because I think it's a flavor today. Last 2 days, it was in a different flavor. Before that, that was another flavor. So they will report what they think right. But from my perspective, purely from CSB perspective, I have absolutely no information about anything.

Fairfax, being an investor, they can look at any opportunity at any time. But I don't think that there is anything which I am aware of on this. In one of the town halls in Chennai, somebody asked me this question, one of my employees - I have a simple answer that if I knew anything like this is happening, then I would have taken Finacle as a software and not Oracle as a software - Because IDBI is on Finacle and we have taken Oracle.

So I think that settles the question -- we are building the bank purely based on organic growth, and that's what we have been told to do and we are investing into the bank in the same manner. Beyond that, I have absolutely no idea.

Moderator: The next question is from the line of Prabal from AMBIT Capital.

Prabal: Am I audible, sir?

Pralay Mondal: Yes, Prabal. Thank you for coming on the call.

Prabal: Sir, my first question is on your deposit strategy. We have seen around 30 to 35 branches being added during the quarter, but sharp rise in the ATMs that you have added, around 200 new ATMs.

So just, trying to understand your thought process behind this?

Pralay Mondal: Our bank, in the past, was not having ATMs in all the branches, as we used to run gold as a primary product, many of the gold-focused branches did not have ATM. I just explained in one of the previous questions how we are converting many of our gold-focused branches also into universal branches as those locations are potential locations, and we never leveraged them for the other businesses.

Now we are adding ATMs and many other things in those branches to ensure that they become full-service branches and not just gold loan branches. That is why you are seeing increase in the number of ATMs in addition to, of course new branches.

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If the question is, are we adding too many offsite ATMs? The answer is no unless there is a strategic location or strategic decision. In certain branches where we are seeing more than 200 to 300 transactions in ATM, there we are putting our second ATM also. However, primarily, we are transforming most of our branches to full

full-service branches and these ATM additions are happening.

Prabal: Sir, second question will be on gold. This quarter, of course, there was increase in gold price and that would have led to even growth. But our LTV has not changed much. So how to think about LTV going forward because it is still relatively high at 74%?

Pralay Mondal: Our tonnage growth was around 8% and our overall growth was around 22% in gold. I think our LTV was around 80% in H1, which has now come down to 74%.

Almost 79% of our gold loan business is Agri gold loan. If you put all these numbers together, I think the math will work out.

Prabal: And going forward, how should we think about LTV, any range that you want to stick to?

Pralay Mondal: LTV has to be seen in two parts. We will keep Agri loan LTV to be below 85% and non-Agri loan LTV to be below 75% because that is the regulatory norm.

Given that, our gold business is heavier on Agri in terms of portfolio, our LTV looks higher at around 75%. In addition, interest application adds up to the LTV. You can see that if our LTV is 74% at this point of time, with an Agri share of close to 80%, the non-Agri portfolio LTV will be lower.

We always factor in a sensitivity analysis in a scenario of 10% drop in gold prices, and then see in terms of risk where we stand, and we are comfortable there. We know that gold prices are almost at

all-time high at this point of time. We will keep the LTV below 80%.

Prabal: Now the retail and MSME portfolios have started growing 25% and above. Should we start expecting that eventually gold will start seeing reduction in share and SME and retail will make up for that?

Has the time come now?

Pralay Mondal: Yes, absolutely, that is what we envisioned under SBS 2030, where gold will be 20%, retail will be 30%. SME will be 20%, and wholesale will be 30%. The only segment, which will be a little back-ended, will be retail, as the real heavy lifting will happen between FY '27 to FY '30.

Rest of the things, SME is now already happening and wholesale will happen in the next 2 years, and this will help us in the overall growth as a bank in a faster pace. Today, we do not have levers.

With larger balance sheet, we will actually grow faster because we will have more levers and hence, during FY '27 to FY '30, we will grow much faster than what we are growing today just because of additional levers.

Once we do that, it is not that gold growth will come down – It may come down a little bit, but not necessarily to a significant extent. However, as other businesses start picking up, they will automatically take the business mix of gold down. This is a part of our clear, structured, strategic kind of a road map, which we have designed for ourselves.

Prabal: Sir, I have two more questions -- small questions. Can I ask?

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Pralay Mondal: Sure.

Prabal: Sir, on the yield side, we have seen a good jump this quarter. Going ahead, what are the levers that can help us improve yield thereon?

Pralay Mondal: You will not see too much of improvement in yield. If the business mix changes and gradually gold starts coming down even by 1%, 2%, 3% here and there in the overall business mix and gets replaced by wholesale and SME and to some extent by retail, weighted average yield will not go up; if at all, it may have some compression.

However, we will not do business, which does not make sense for us, unless it is a franchise business.

We are willing to build franchise business at any cost, as it has a long-term impact. We will not do tactical business just for the sake of balance sheet growth. It will work that way. On the overall, yield; we will be happy to hold it where it is today, primarily because business mix will change.

Prabal: Right. And the last question will be on other income. We saw a sharp jump during the quarter, any one-offs there?

Pralay Mondal: No one-off at a

II. We are happy with the growth on the other income. It is not because of the number but because this exactly played out as I told 2 years back, 1-year back, 6 months back. When I took over, our core non-interest income to total income was low and there was a gap there.

There used to be income on the treasury and PSLC side. For us, PSLC income has been somewhat okay. Previous year was much muted. To that extent, we focused on core fee income business, and this business in my experience is not only sustainable, but it also keeps growing as new businesses come. We are not even heavy into payment business. We are not even heavy into retail assets business. Wholesale transaction business is starting to come. Even then, our non-interest income to total income is reaching around 17% now, which is in line with some of the best players in the market. My vision was to take it to 13%, 14% and it is 17%.

What is good about this is that it is sustainable. What I am committing here is you will see a sustained growth in this noninterest income. We are not up fronting any income; we are not doing any of those things. We always do the right practice. This is core income, which will continue to sustain over the next years to come.

Moderator: The next question is from the line of Saptarshee Chatterjee from Grow Asset Management.

Saptarshee Chatterjee: Sorry sir, harping on this again on the slippage part, the account that has got -- so you have talked about there is some technicality and therefore it has got slipped. I did not understand fully. Can you please elaborate on this too, what had actually happened? And this is from which industry, which credit rating, some details on this, please?

Pralay Mondal: So that level of details I may not be able to share. Nevertheless, let me put it this way, that even 6 weeks back or 8 weeks back, we did not know that this slippage would happen. Otherwise, I would have given some kind of disclosure, as I do not believe in giving surprises to the market.

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There is no way I knew anything about it last quarter when we talked about it. This will give you a perspective that this is a sudden event, where remedial action is not difficult. We believe that remedial actions should happen in 1 or 2 quarters' time. I can tell with almost 99% confidence that

in FY '25, when you look at it, we will not even discuss this account.

This is of not much relevance to me in the longer term of things as this happens one quarter here, one quarter there. This is not taking my sleep away because remedial action is being taken and reversal will happen sometime in this year. When it will happen, I cannot say precisely, but it will happen because this is not one of those issues, which will drag on for quarter after quarter and year after year. We are confident about it.

Saptarshee Chatterjee: Got it, sir. In addition, generally, when we see the larger peers, they are maintaining around 1% plus kind of contingent provision. Any thoughts on building contingent provision or you are comfortable at this level?

Pralay Mondal: We have around INR171 crores of excess provision over and above the regulatory provisions including INR105 crores of contingent provision. I think, is a reasonably good number for us, especially because our provisioning policy is conservative at this point of time. Again, you have to see it from a business mix. Other banks could have different kind of business mix. When we are into a different business mix, we may change some of our philosophies. But when 40% of the book is gold loans where there is effectively no risk other than some small operational risk and we have not seen any kind of a major issue in other segments, having more than INR170 crores of excess provision does not make any sense for us at this point of time. We have a stable PCR as well. Now this quarter it has come down

for technical reason and it will go back to 75% range. Therefore,

I think we are quite comfortable with INR171 crores of additional provisions with a vision of having our 75% PCR kind of range.

Saptarshee Chatterjee: Understood, sir. And two data keeping questions. One is, you have talked about the yield across segments. Can you also give some idea on the yields on the retail part, like you have given microfinance, but the other parts like supply chain or CV CE book, what are the yields on which you are working? Second is, what is the -- our non-gold branches where we have other products available along with gold, the number of branches?

Pralay Mondal: Very transparently, I am telling that our wholesale yield is between 9% to 9.5%. It is not that we will not do business below 9%, but average is in that range. Our retail yield is somewhere around 10-10.50% SME is in the range of 10.5% to 11% and gold is somewhere around 12% and microfinance and Agri is somewhere around 12% to 15%. What is the second question?

Saptarshee Chatterjee: The number of branches where we have other products along with gold?

Pralay Mondal: We do not want to have any branch, which is only doing gold business. You have to have branches with tellers, with cash, with everything. But I assume your question is retail assets, fees, everything. All branches do most of these things, but SME is concentrated in few clusters / locations -- the real SME/ the larger SME is focused in one hundred branches, and MSME is focused in two hundred branches. Fees, we do almost everywhere. On the Retail assets, we are gradually building because

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we do not want to go all over the place now. We are going slowly. Liability products like savings; current accounts etc are there everywhere.

There are some branches, which are little more gold focused, and they are mostly in three locations, Kerala to some extent, Tamil Nadu to some extent and Andhra Pradesh and Telangana to some extent.

Saptarshee Chatterjee: Can I have just one small follow-up on this -- on the retail yields?

Pralay Mondal: Yes, yes.

Saptarshee Chatterjee: In the retail, when you said that it is between 10%, 10.5%, like can you give some order of which are at higher yield, and which are lower yield within retail?

Pralay Mondal: It is difficult to say, as I do not have that exact number with me. However, having run large retail businesses in my life, I can tell you, which range the industry is at. We cannot be outside the industry. I can give an indication of the industry trends. CV CE business will book loans in the range of 9% to 10%. Auto business will be somewhere around 8.5% to 9%. Then home loans will be somewhere around 9%. Then inventory funding will be around 9.5% to 10%. Then some used vehicle businesses, where yield will be slightly higher, maybe 12%, and 13%. LAP businesses will be somewhere around 9.5% to 10.5%.

I do not think we are anywhere too different compared to what these markets are because we do not operate in a different market. We do not have a yield maximization strategy; instead, we have a risk minimization strategy. We will be generally in this range only in most of the businesses.

Moderator: We have the next question from the line of Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande: Just wanted to understand on the gold loan business. Are we getting any benefit from the recent problems for a leading NBFC, and do you see higher growth next year on that account?

Pralay Mondal: Thank you for your question. First of all, I do not feel good if there are any issues anywhere in the banking ecosystem or financial ecosystem because there is a learning for all of us from the regulatory measures. The market is too big. We are not even a large enough player. Our business mix in gold

can be large, but with an INR11, 000 crores book, we are small.
We are f

ocused internally in terms of what we can do and what we should do. I do not even think we are in the same segment of customers compared to the NBFC, which you are talking about because our yields are around 12%. I would believe that any NBFC would be charging between 16% to 20%. However, philosophically, I am not in a thought that somebody else is losing business and I will take it. We will have our own way of doing business.

Pallavi Deshpande: Is there any target for next year in terms of growth for this business?

Pralay Mondal: For gold business?

Pallavi Deshpande: Yes.

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Pralay Mondal: Yes. As I said before, that as a bank, we will grow around 30% to 50% faster than the system. Within that, I would say that probably gold would grow similar or maybe a little lesser. If the system grows, let us say, next year by around 13% as estimated by few credit rating agencies, we will grow at roughly 19%. If we grow at 19%, then probably gold will grow somewhere between 15% to 20%.

Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Sir, my first question is on wholesale banking. We have added people, we have hired Manish Modi.

And you mentioned that as of now till this quarter, it was not a franchise business. I wanted to understand, what could be the pace for this business to become a franchise business? And of course, the wholesale market is a large market, considering our size, our cost of fund advantage, our distribution, and maybe the corporate connect, how would you segment the entire wholesale market? What could be the near-term segments, which you would prefer to play in, maybe by ticket size, maybe by certain industry or maybe any colour to understand the thought process on this business becoming franchise business?

Pralay Mondal: That is a great question; let me take a little time in answering this question. First of all, if you look at the kind of leadership we have got into the bank today, be it on the SME side, be it on the retail/gold or now be it on the wholesale side. These are all people who have seen businesses, which are say 20, 30, 40, 50, 100 times bigger than we are. This means that they understand the entire market in their respective areas of operation, whether it is SME, wholesale, or retail.

However, the challenge is that one could have handled the largest credit card business, but we do not even do credit card business ourselves directly. The question is where we stand as a bank. When Manish has come in, he has to first see where we stand and what are the steps to build. We are not in a hurry. Let me put it this way. Retail assets, I could have built just like that by appointing DSAs and getting businesses. Those are easy things to do, and I know DSAs, I know the market. We said, no, we would not do this.

Manish also has to build the building blocks right to build the franchise business. Coming to our preferred segments, with the existing size of our balance sheet, we cannot even participate in most of the larger tickets or larger consortiums or larger kind of partnerships. Having said that, Manish is building a good team across the country. Each of them have worked in institutions that have lent to largest companies in the country also.

Those connects has to be maintained, and in some form through supply chain etc, we can build some businesses. We are working on it. Without taking names, I can tell you that after he has joined, I have gone and met 3 to 4 largest business houses in the country, and I know that we cannot do business with them all, with our size. However, we are meeting them and trying to see that how we can associate with them, because each of these large companies or largest conglomerates also have small units with them, which are a part of their group. We are trying to see if we can work with some of these smaller com

panies, which have guarantee of this larger company. That is one segment, which is attractive to us. They will not come with great rates, but still, we need an entry. So that is one.

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We will clearly operate in the mid-market in most of the geographies and in segments, which will work well for us. We will work in emerging corporates. The way he has divided his team is, under him, Vatsal looks after the corporate banking, Avinash looks after the emerging corporates, and Runa looks after the FIG business.

We never had these segments in our wholesale business. Under each of them, they are now building regional heads and things like that, which is like good, experienced people who are going to handle

this business. We are driving the classical way of building a wholesale franchise. Parallelly, we are also having, transaction banking team head Aman Singla who is working both with Shyam Mani, the SME head as well as Manish, the wholesale banking head. He is building products like CMS, supply chain etc.

We are going to have TFX systems. We are building products out there. We are building the blocks for a proper high-end SME business and mid-market wholesale business. That is the second part. In the NBFC segment, we are always strong. As some of these manufacturing or other parts of the businesses starts growing in parallel to the pickup in capex, maybe 1 year from now, we have to get ready for some of those businesses. So naturally, as a proportion, as other wholesale business goes up, NBFC business proportion will go down.

Government business is something else, which they are focusing on, but that is primarily for liability. Because they also will have a target for liability and fees, and you know that in the wholesale side, fees is important. We would like to have at least a 1.5%, 1.6%, 1.8% fees in the wholesale business. We are taking this kind of approach. In short, what I can tell you is that we have a good treasury team, TFX and other businesses. We have Alok, who is a good treasurer. The treasury team, the transaction banking team, the wholesale teams are working together in building a wholesale franchise. It does not take that kind of a time that retail business usually takes. Still, it will take a year to start full-blown wholesale business because you need technology and other things as well to come together. Given the pedigree they come with, they should be able to build the business along the way. They will not have to wait for everything to come to build the business. We are hopeful that both SME and wholesale will do well for us this year.

Jai Mundhra: Understood, sir. That is an elaborate answer and very insightful. The other questions were partly asked, and you have given your thoughts. But if I understand it correctly, sir, I mean, the credit environment has been very good in the last few quarters, and we had a large INR70 crores kind of slippages. And if I were to see out of INR6,000 crores corporate portfolio, this maybe one of your top twenty to top thirty accounts,

I do not know, but because it has turned very suddenly as you said, without too much of a warning. But I mean, does this worry you in terms of risk management or what is the comment that you can offer there because it looks like it is not a run-off kind of slippages?

Pralay Mondal: It is a surprise slippage, and it was not in our radar because it was not supposed to slip. Beyond that, I cannot say anything. That is the reason why we are also quite confident that we should be able to cure this. Having said that, on your original question, if I have to put top ten things which can keep CSB Bank Limited

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me awake at night, these slippages does not fall in the top ten in the bank. I have ten other bigger worries than a slippage right now.

Having said that, what we have also done is

that we have taken potentially top twenty stressed

accounts in the bank, and we have earmarked the outstanding contingency provision of INR106 crores against these accounts. This was done after talking to our statutory auditors and Audit Committee. We do not need to use it at this point of time, and this was the most conservative approach we took.

This account by the way was not even a part of this twenty list. That is why I am saying that this was a surprise one. If it was not a surprise, even with a slightest indication of it, I would have given an early warning to the market. I am confident that we will be able to cure this. I do not have any concerns on this, and I do not worry too much about stray slippages on the corporate side of the business.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pralay Mondal: Thank you very much. Thank you, Shivaji for organizing this call. We had a great set of questions. I want to reiterate that we are building the bank for the long run. SBS 2030 is our vision. I have not seen as much excitement in the bank as we are seeing today. I am hopeful that we are on the right track. Hopefully, from FY '27 onwards, the real colour of the bank will emerge, which would be very positive.

Thank you very much and have a good evening.

Call: Aug 2024

"CSB Bank Limited
Q1 FY2025 Earnings Conference Call"

July 29, 2024, 05:30 PM IST

MANAGEMENT : MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

CSB Bank
July 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to CSB Bank's Q1 FY25 Earnings Conference Call hosted by YES Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from Yes securities. Thank you and over to you, sir.

Shivaji Thapliyal: Thank you, Yusuf. Good evening and a warm welcome to all those who have joined the Call. The CSB Bank management is represented by Mr. Satish Gundewar – Chief Financial Officer, and Mr. B. K. Divakara – Executive Director. Mr. Pralay Mondal, MD & Chief Executive Officer could not join the call due to health issues. In his absence, Mr. Gundewar will be leading the call.

We specifically thank the Management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Satish, over to you.

Satish Gundewar: Thanks, Shivaji and good evening to everyone who has joined the call. Pralay wanted to be part of this call; but could not join this call due to health reasons and he has apologized to all the investor community.

I will be making certain opening remarks about the economy - the market that we are operating as well as some of the key numbers for the quarter and then we will open the call for question and answers.

The global economy is currently witnessing the changes in political leadership in major economies of the world. UK and France have already seen a change in leadership, whereas India has chosen a continuation, albeit as a coalition government. With Mr. Biden, withdrawing from contesting again, US is also poised for a close contest. We have seen rate cuts in Eurozone and lowering of inflation globally. We do not expect US to cut rates anytime soon. However, a start of rate cut cycle cannot be ruled out in year 2024.

Coming to domestic market overview, the fact that systemic liquidity moving back to surplus is a welcome change. It has reduced the stress in the short-term money market, thus lowering the short-term rates. The systemic credit growth is still robust and we do not expect the chase for deposits to abate. However, the surplus liquidity, if it persists for a couple of more months, will prevent the deposit rates from going up any further. The monsoon has begun well though the

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rainfall distribution is not symmetric across India. It gives us hope that the inflation will continue to ease. The fiscal deficit path towards 4.5% augurs well for the country and the financial markets. The overnight rates will remain between 6.5% to 6.75% and 10 year is likely to range between 6.8% to 7.05% this quarter.

Now coming to highlights of our performance:

Profitability:

The Bank reported a net profit of Rs. 113 crores. The Bank is holding a provision buffer of about Rs. 182 crores over and above the regulatory requirements. Net interest margin was 4.36% for the quarter, impacted by higher cost of funds and regulatory guidance on penal charges. Return on asset was at 1.27%.

Liabilities:

We are improving our deposit base. Deposit growth has been 22% year-on-year as against the industry growth of around 11%. The CASA ratio stands at 24.9%.

Advances:

We had a net advance growth of 18% year-on-year, whereas industry has grown at about 14% year-on-year. Gold portfolio registered a growth of 24% year-on-year. Yield on advances for Q1 FY25 was at 11.25% with an improvement of 7 bps from Q1 FY24.

Asset Quality :

Gross NPA ratio was at 1.69%. Net NPA ratio was at 0.68% and provision coverage ratio at 82.53%. We are continuing with the accelerated NPA provisioning policy of providing higher than RBI requirements and are holding the contingency provisions intact.

Robust capital base :

We have a very robust capital base. Our capital adequacy ratio continues to be strong at 23.61% with a tier one ratio of 22.23%. We have a very low proportion of risk-weighted assets compared to the industry. The RWA to our exposures is very limited to about 43 % to 44%.

Value Creation:

In terms of the shareholder value creation, our book value per share as at the end of this quarter is Rs 217. Earnings per share was Rs 26.2 and return on equity was at 12.69%.

Distribution :

We have a network of 794 branches and 757 ATMs as on 30th June. During this quarter, we have added 15 branches. We will continue with our branch expansion plans on a moderate scale this financial year. This expansion targets to further the pan India presence and reduce the concentration risk.

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The quarter gone by was somewhat a soft quarter. On the deposit front, cost continued to be at elevated levels. The signs of policy rate reduction are clear now and it is anticipated that the cost of funds will level off in the coming quarters. On the advances, regulatory guidance on penal charges and a couple of slippages has impacted the yields. The elevated costs and reduced yields resulted in NIM compression during the quarter. The quarter also witnessed continued investments for supporting the build phase. However, the other income growth helped to offset this partially. We have done a detailed analysis of the numbers and required efforts are made to deliver consistently in line with the stakeholder expectations. We believe that the cost to income, GNPA, NNPA and credit cost ratios have peaked out as of now and net interest margin will go back to the trajectory upwards of 4.5% and ROA upwards of 1.5% from Quarter 2 onwards. We should be able to deliver a much better Quarter 2 performance and overall year should be in line with our past commentary. The build phase is progressing on the expected lines and executing this right will help us to initiate the scale phase and achieve the SBS 2030 vision set for the Bank.

Now we can open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Firstly, on the cost of funds, we saw interest expenses increasing by about 15% Q-on-Q and within term deposits, the share of bulk has been on the rise consistently over the last one year, much higher than what we are seeing for industry. So, how do you look at this cost of deposit profile?

Satish Gundewar: Let me give a little background in terms of the composition of our deposits. In the savings

account, almost 90% and in the term deposits, about 65% are retail granular deposits which are less than Rs. 3 crores. On an overall deposit basis, we will have around 25%-26% bulk deposit share and rest will be granular. These term deposits will go through repricing. As we mentioned in our opening remarks, the liquidity was tight throughout the last couple of months, which had an impact on the cost of deposit and we have seen this across the industry as well. To augment our funding base, we have been availing refinance. We have raised funds through overseas borrowings so that our growth is not impacted. From that perspective, our overall cost of funds is still reasonable and our overall cost of SA is in the range of 3%. These measures help us in maintaining our overall cost of funds.

Mona Khetan: Sure. So, we earlier were guiding for margins of 4.5%-5%. Where does that stand now with the impact on cost of funds

that we are seeing?

Satish Gundewar: Last year, when we were giving commentary to the investors, we had said that the current year's guidance in terms of the net interest margin would be in the range of 4.5% to 4.8%. Thanks for asking the question, because that will be a question in quite a few people's minds. I think I should clarify on that. NIM was impacted during this quarter on account of multiple things; one was the

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regulatory change in terms of the penal interest. Now the interest, which was collected as penal interest and part of the gross interest income, has gone to fee income as penal charges. We have seen marginal reduction in our overall SMA book. To that extent, the incidence of penal interest/charges also came down. Almost 40 bps kind of an impact has happened on account of this regulatory change, this quarter. This was implemented from 1st of April 2024. The other impact was in terms of marginally higher slippages, which resulted in interest reversal on those accounts, which is covered in terms of our increased GNPA ratio. Cost of funds - for the industry as well as for us, has seen an increased trajectory. However, our overall guidance for the full year remains intact. We will be closing the year in line with the guidance that we have given in the earlier quarters - which overall NIM will be in the range of 4.5% to 4.8%.

Mona Khetan: How about the ROA? If I remember it right, the earlier guidance was between 1.5% to 1.8%.

Does that change with slightly lower margins here?

Satish Gundewar: In my opening remarks, what we said is that parameters in terms of cost to income ratio, GNPA, NNPA, credit cost etc seem to have peaked out for us in the first quarter itself and we will see a better trajectory from Q2 onwards. Overall, full year guidance remains intact. The ROA will be in the range of 1.5% to 1.8% - in sync with the guidance that we have been giving during last year. We will have an improved net interest margin from Quarter 2 onwards. If you look at our fee performance for last 3 to 4 or at least 5 quarters - what we have seen is a very robust performance. Even for this quarter, fee is contributing at almost 1.92% of my average assets, which is very good number to have. Overall, full year guidance remains intact - ROA will be in the range of 1.5% to 1.8%.

Mona Khetan: Sure. And just lastly, what is our LCR currently and what is the impact from the changes in the recent guidelines by RBI?

Satish Gundewar: For the quarter, our average LCR was about 118%. The guidelines, of course, will apply to the entire industry as well as to us, but ballpark at least 10% impact will be there on the LCR. We still have a lot of time to take corrective measures. These guidelines will be implemented from 1st of April next year. Most of the banks will have some impact, but we have at least 3 quarters to work on that.

Mona Khetan: And just on the slippage as well, so if you could just give some color as to what were these and if there was any large size exposure on the corporate side or anything, yes?

Satish Gundewar: On the slippages, we had a handful of accounts in the SME segment, which slipped during this quarter and one account in the corporate banking. We have explained earlier also that this financial year, there will be a complete rejig of the entire corporate banking business for us and we will be looking at all the exposures that we have. We are exiting not only the accounts, which are not good but even standard accounts thinking from a coverage perspective, relationship management perspective, comfort point of view etc. This year will be kind of a complete rejig of the corporate banking portfolio and probably on the corporate banking book, we will be flat

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as compared to last year. If you see, two years back we did a similar rejig in our SME business also

. We exited few legacy accounts that we had and now if you see our SME trajectory for last 2 to 3 quarters - we have been delivering good growth. Even this year first quarter, it has grown

by 28%. Our expectations for full year is - SME will show a growth of almost 35% over last year. Same thing we can expect going forward from the next financial year for corporate book. This year will be largely a cleanup year for the corporate banking and from next year, we will see a steady growth there as well.

Mona Khetan: And what is the size of this corporate slippage? I mean, last quarter the one corporate slippage was about Rs. 70 crores. So, if you could just let us also know what the quantum of the corporate slippage was?

Satish Gundewar: I think the overall slippage for the quarter as in the investor presentation is about Rs. 100 odd crores. Some slippages happened in the Agri and MFI portfolio as well, which is again an industry wide phenomenon. Then a handful of accounts in SME and one account in corporate banking. It is a mix of all.

B. K. Divakara: Rs. 33 crores, is the highest slippage what we had witnessed.

Mona Khetan: This quarter?

B. K. Divakara: Yes. Of the 103 Cr slippages, that is the only major account. Rest are a combination of so many other accounts in various segments.

Moderator: Thank you. Next question is from the line of Pruthul Shah from Anubhuti Advisors. Please go ahead.

Pruthul Shah: My question was with respect to the NIM. On the QoQ basis, we are seeing a dip of 50 bps and as per your commentary, 40 bps out of that is attributed because of the penal charges decategorization. So, is this understanding correct? Broadly, because of the actual yield on advances, there is only 10 bps dip for this quarter?

Satish Gundewar: 40 bps impact is on account of this regulatory change and there was interest reversal because of the slippages during the quarter. On a like-to-like basis, we would actually have marginal improvement in the gross yields on the portfolio. However, because of these two factors, the gross yield has seen a dip and that has impacted the NIM. If you remove these one-offs - the gross yields would be largely flat to positive.

Pruthul Shah: And sir, with respect to one account which became NPA and we have I think provided 25% in the last quarter. As per your commentary on last quarter, we are hopeful to get resolved within FY25. So, is there any update with respect to that specific account in this quarter?

Satish Gundewar: Generally, we do not provide specific customer or client updates. The efforts in terms of recovery is happening on an ongoing basis and of course, we have security in our hand.

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Moderator: Thank you. Next question is from the line of Parag Jariwala from White Oak Capital. Please go ahead.

Parag Jariwala: Regarding the slippages of Rs. 100 odd crores, I mean, if I just see the annualized slippage ratio is around 1.7%. I know you did mention that being a fourth quarter and also some problems with microfinance and all, some of the agri and microfinance, you did see some of the slippages with respect to those sectors, but how should we see this Rs. 100 crores in the overall context? I mean for the quarters to come by. I mean are we expecting some recoveries out of there or what is built into our annualized slippage for the remaining quarters and the corresponding credit cost for the full year?

Satish Gundewar: If you see the slippages of the last quarter as well as this quarter, we are seeing elevated slippages. If we go back couple of quarters, our slippage ratio was less than 1% on an annualized basis. Only for the last two quarters, we have seen elevated slippages and going forward, we do not expect slippages at these levels. In terms of the recovery, we have a large pool of written down accounts for which we see recovery every quarter and we see that momentum picking up

from Q2 onwards. That will also help us in terms of the overall credit cost. In spite of these elevated slippages and provisioning that we have done, our credit costs for the quarter was only 22-24 bps. Overall credit cost for the year will be in the range of 20 to 30 bps. To that extent, because of 1 or 2 quarters, it has not really altered the overall story.

B.K. Divakara: Even if the credit cost is reckoned, it is based on the accelerated policy i.e., providing more than what is required to be provided as per RBI guidelines. If you are going strictly as per RBI norms, then it could have been still lower than this.

Parag Jariwala: Regarding the slippage, you also mentioned that the largest account is around Rs. 33 odd crores. So, are these kind of technical in nature like, in first quarter you see some bit of higher delinquency in the second, third quarter probably there are chances of recovery or upgradation and all. Or you will take them as a one-off for a normal course of business and there won't be any meaningful upgrades in the quarters to come by?

Satish Gundewar: I would say that on a normalized basis, you would not see these kind of slippages and the slippages will come down. This would also be reflected in the overall credit costs going from Q2 onwards. As I said, right from the Q4 of last year plus the current financial year first quarter, we are doing a rejig of the entire corporate banking book and maybe it is the result of that

exercise. I would say that it is one off and we cannot say that this is the trajectory going forward.

I would say these two quarters have been one-off.

B. K. Divakara: It is an aberration only and it is expected to get rectified during the course of the year. No major accounts are under threat even as per our SMA portfolio analysis.

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Parag Jariwala: And these changes in corporate book and all which we are trying to do for last two quarters. Is this fully done now or it is an ongoing process currently as well, so can there be a surprise in second, third quarter?

Satish Gundewar: In the corporate banking, the entire DA book will have a dip this FY. In March '24, we had almost Rs. 900 crores of DA book, which is in a downward trajectory. Incrementally, we are not doing any DA transactions. On a year-on-year basis, we will have a flat corporate banking book, but I do not think that there will be any major surprises going forward.

Moderator: Thank you. Next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Just a couple of questions. One again, going back to cost of fund, cost of deposit trajectory, I think last quarter you had guided that at 10-15 basis point would be the increase from last quarter and then that would be the peak. However, this quarter we have seen probably more than 20 basis point increase and I think till last quarter you were also publishing that savings account cost and term deposit cost. Therefore, it looks like your term deposit cost is something like more than 7%. So, my question is if I see your term deposit offering, maybe only couple of buckets have more than 7% card rate. So, would it be fair to assume that whatever incremental deposits are getting mobilized would be in those buckets only?

Satish Gundewar: We have changed the format of our investor presentation. Probably that is the reason it is not visible now. Savings cost, which is in the range of 3%, did not change materially. The overall CASA book is largely flat. In terms of term deposit, if you see most of the deposit that we get will be in that 12 to 18 months kind of a range. Largely it will be at that kind of a card rate. However, if you look at the overall deposit structure, almost 25%-26% will be bulk deposits that is more than Rs. 3 crores and 74%-75% will be granular deposits. Of course, we participate in the bulk deposit

market as well and that you can see for other banks as well. From a funding perspective, we have been also using refinance because quite a few of our portfolio becomes eligible for refinance and in refinance the kind of rates that we get - they are CRR, SLR free and cost efficient money and we are using that. We are also using avenues like FCY borrowing and converting into INR at attractive rates. In the last 12 months, we have mobilized almost Rs. 1000 crores through FCY borrowings. Same thing goes for CD as well. We have borrowed CD during the year and have a book of close to Rs. 900 crores at quarter end. We have multiple sources of funding and to that extent; we are able to manage the overall cost of funds much better I would say.

Suraj Das: Sure. These special schemes are like 401 days or 750 days. You want to continue these schemes given that probably cost of deposit is peaking and there could be no rate cut somewhere 6-9 months down the line?

Satish Gundewar: We are managing that effectively. Our general objective is not to lock ourselves in a very long-term kind of a borrowing or long-term deposits, and it is managed based on the requirement at

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each point in time. We will never be borrowing for a very long period and locking ourselves in higher cost deposits.

Suraj Das: Sure. And last question sir, on the OPEX side, was there any one-off in the staff cost? And the second question would be this other OPEX has seen QoQ jump and as well as YoY, so is this the normal trajectory now given that we are continuously investing in the franchisee. So, yes that will be my last question. Thanks.

Satish Gundewar: This year, there is not much of a one-off in the staff cost. However, from the OPEX side, I will like to address that in 2-3 fronts. Last year, we opened 76 branches, this quarter also we opened 15 branches and when we open branches, there will be CAPEX involved in terms of furnishing that is capitalized. As you are aware, we are also making significant investments in technology and some bit of that investment also is capitalized every quarter and that will start getting reflected in depreciation. Accordingly, depreciation for both the non-IT as well as IT CAPEX will be there and this is very well articulated by us in earlier calls. Some of the opex items are directly linked to the business also - like any kind of BC cost will be linked to the BC business/collections and all that. From an opex perspective, that is on our expected lines. However, in the current quarter because the income got impacted, which we have spoken about

in the earlier part of the call - our cost to income ratio for the quarter is elevated. We feel that from Q2 onwards, this cost to income ratio will also get rationalized and will come within the guidance that we have been providing to the market.

B. K. Divakara: Actually, as compared to Q1 of FY24, staff cost is almost flat.

Moderator: Thank you. Next question is from the line of Prabal from Ambit Capital. Please go ahead.

Prabal: Sir just one question. Our cost of fund is already closer to 6% now. Is the pursuit of growth not hurting our competitive advantage because at 6% cost of funds, if you are trying to get and still maintain a margin of 4.5%, you're essentially looking for a 10.5%-11% retail customer. So, while you can maintain the margin for few quarters, but eventually that will also translate into higher credit cost. So, why not slow down the growth, build more robust deposit franchise, have competitive advantage and then move further.

Satish Gundewar: Prabal, if you see our investor presentation, almost 50% of the book is gold loans and there our yields are good enough say 11.6% -11.8% is the kind of range that we get on the gold loan book. In the SME space, we get close to 11%. In the retail, also we are in the range of 10.5% to 11%. In retail, we are present only in ha

ndful of products like CV/CE, inventory funding, credit cards etc. Corporate book yields will be in the range of 9%-9.5%. Therefore, from an overall yield perspective, our gross yield will still be pretty healthy. This quarter was impacted for the reasons stated earlier, but otherwise from Q2 onwards, we will be going back to the same trajectory of 11.6% kind of yields. From that perspective, we should be able to maintain the NIMs between 4.5% and 4.8%. From a cost of funds perspective, I explained earlier that we have multiple sources of funding and we judiciously use the various instruments available at our disposal so CSB Bank
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that the overall growth is not impacted by non-availability of funds. To that extent, I think we will manage the NIMs appropriately.

Prabal: But as we are moving from this year onwards, since our target is to move away from gold towards more retail and other products that could have some bearing on our fee and at the same time as cost of funds are going up, then we have to move down the risk curve in order to maintain our accounts?

Satish Gundewar: For the current financial year in the overall pie of my advances, we do not expect gold share to reduce significantly. It will continue to be in this range of 47%-50% and that gives us a good yield. For the next financial year as the year progresses, we will start giving guidance in terms of what is the mix that we are looking for.

Moderator: Thank you. Next follow-up question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: I just wanted to check on this loan mix. When we look at other retail, which is retail except gold, there has been a sequential decline of about 12% in the book, so if you could just highlight which segments or what is contributing to that.

Satish Gundewar: Mona, where are you able to see a dip?

Mona Khetan: So, if I could refer to your presentation the loan mix which is on slide 15, so the Rs. 3,541 crore of retail book, if I compare it with what you had shared in the Q4 FY24 presentation which was about 12% lower essentially. So, what has led to this? So, last quarter this quantum was about Rs. 4,029 crore and it has fallen to Rs. 3500 crores. So, what has led to this decline sequentially? What segments are contributing to this?

Satish Gundewar: The agri and MFI book, which was about Rs. 1500 odd crores in Q4, has come down to Rs. 1300 crores - That is one reason. From a percentage perspective, it looks high because the overall retail composition is small. We had earlier also spoken that we have slowed down disbursements in unsecured personal loans. Therefore, we will have some downward trajectory especially on the unsecured book.

Mona Khetan: So, it's fallen by about Rs. 500 crores, so Rs. 200 crore you explained is because of the agri and MFI book and what about the rest of Rs 300 crore? Is it mainly the other unsecured pieces like credit card/PL? But those are too small to be having such a sharp decline.

Satish Gundewar: We have done some reclassification in terms of the LAP book from retail to SME. We have now internally bifurcated the entire LAP as SME and retail. It is a reclassification.

Mona Khetan: How much of the book has moved from other retail to SME, just to understand this better?

Satish Gundewar: I do not have that specific number with me at the moment.

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Mona Khetan: And just one more. So, on the loan to deposit ratio, what is our comfort level as on today?

Satish Gundewar: CD ratio if you see, currently it is comfortable because overall our deposits for last 2 quarters have been growing better than the advances. We are currently at a CD ratio of 83.89%. Our

guidance was also earlier that we are comfortable up to 85% of the CD ratio and we will continue with that guidance.

Mona Khetan: So, 85% would be the peak on this front because

se earlier I think at some point it was also 90%.

So, just wanted to understand this better.

Satish Gundewar: Yes. Last 2 to 3 quarters, we have seen a moderation in the CD ratio and that has been our stated intent as well, but one or two quarters aberrations can happen. Our general intent is to be in the range of 85% but below 90%.

Moderator: Thank you. Next question is from the line of Dhaval from DSP. Please go ahead.

Dhaval: Sorry, I joined a little late and I missed the opening comment, but I just wanted to understand what's the path that from the current levels you will be able to reach 4.8% margin guidance that you have given on the upper end of the band. I am able to understand 4.5% - but just where we started the year, what will be the path to that 4.8% - that you have as the upper end of your band.

Satish Gundewar: Dhaval, I explained this in the initial part of my call that the current quarter has got impacted because of the regulatory changes in terms of the penal interest moving to penal charges. That had kind of almost 40 bps impact for us on the yield. Apart from that, we had elevated slippages and interest reversals in the current quarter compared to our normalized trends. Both these factors probably will not be there from Q2 onwards and that will bring our gross yield to the normalized state that we were reporting earlier. It will help us to reach to that 4.5% to 4.8% kind of a NIM pattern that we are targeting.

Dhaval: So, in this next quarter, the yield has to move closer to 11.6% or so. Is that the normalized level that you talked about like what is the normalized yield adjusted for these two factors?

Satish Gundewar: Yes, generally it has been in the range of 11.6% - 11.8% at an overall portfolio level. We do not see that there will be any major change in the mix of the portfolio in quarter or the full year also. To that extent, we should be able to deliver that kind of gross yield for the portfolio.

Dhaval: So, basically from where we are, we are looking at about 40 bps of jump in the yield and cost of funds remaining around these levels directionally.

Satish Gundewar: There will be deposits, which will get repriced. To that extent, there will be marginally upward trajectory in the cost of funds. However, from a yield perspective, what you said is right that the 40 bps went only because of regulatory reasons. In addition, we do not foresee that kind of slippages in the next quarter. Not only that, the other lever that we have is the recoveries from the written off accounts, which is also likely to improve going forward from Q2 and which will

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have an impact on the overall provisioning. There are 2-3 things, which actually has impacted this quarter and probably from next quarter onwards, we will not have those one-offs and hence we should be able to go back to our earlier trajectory.

Dhaval: And just one last thing on this is the upper end for that to play out, you have to see cost of funds to stabilize, right? Otherwise, mathematically I am unable to see 4.8% even assuming these 40 bps of normalization and some bit of cost of fund increase. The 4.8 looks very elusive right now, so would that be a fair - like it is as you're predicting the fact that the rate has to peak, is that a broad thought process that you have in the 4.8 guidance?

Satish Gundewar: The entire book also gets repriced and because the major product that we have is gold loan, which is largely not a very long term kind of a product. If we see elevated interest cost, then we also have the ability to reprice our advances in both SME as well as gold. Therefore, to the extent of repricing, that will help us in terms of maintaining our NIMs.

Moderator: Thank you. Next question is from the line of Neel Mehta from Investec Capital. Please go ahead.

Neel Mehta: Sir, just a simple question following up from the previous one

e. If we are structurally going to

stop recognizing penal interest as part of gross interest income, shouldn't our NIM settle 40 bps lower on a structural basis going forward because we are no longer recognizing that as interest and that's getting passed in fees?

Satish Gundewar: Neel - 40 bps is a ballpark number that we have given, but the overall penal interest depends on multiple factors largely being the SMA book. If the SMA book falls down, then that incidence of the penal interest will also actually fall down in the normal course of business. If the SMA book finds a lower trajectory that is good from an overall Bank perspective, but what you say is right - in terms of that incidence of income, which was part of the interest income now will be part of the fee income. From an overall P&L perspective, it will get shifted from the net interest income to fee income and ultimately it will be part of my ROA. Therefore, overall from an ROA perspective, it does not get impacted adversely because it will just move from one line to other line. Considering these aspects, we will look at the product construct as well. We are studying this closely - all the businesses in terms of this movement of penal interest to penal charges and possibly, we will make certain changes in the various product construct so that overall NIM is

maintained.

Neel Mehta: So, broadly ROA neutral, but from a NIM perspective could be structurally lower if your SMA accounts are decreased?

Satish Gundewar: If my slippages are reduced, in which case it will be NIM accretive because all the interest income just suspended, that will come back. NIM is actually a very complex thing. There are 7-8 factors, which actually impact the NIM, so it is very difficult for anybody that way to really say exactly what is going to be the NIM. However, the guidance that we give is a general one based on what is our business model, what is the general yield on various businesses that we

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generate, what is our expectation about SMA as well as slippages etc. What we are talking about is on an overall basis for one full year, that is, for FY 25 we should be in the range of 4.5% to 4.8%.

Moderator: Thank you. Next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Just wanted to double check on the slippages, not getting into the specifics of the loan but because the elevated numbers are driven by a few loans. So, is it that you are seeing some kind of stress building up in a certain industry or are they from a particular vintage? Is there anything to read into it? That is the first question. And the second thing is if you could talk about what kind of early warning signals do exist for such accounts, what kind of visibility do you have on the asset quality of such large loans or if they come as a surprise to you as well?

Satish Gundewar: There is no pattern as such, so I do not think that one should read that if there are elevated slippages - it is a question on the overall portfolio. These are only handful of accounts, especially on the corporate banking - as I said that we are rejigging this entire business, one or two such accounts will fall into NPAs. However, portfolio kind of a trend is not there. A handful of accounts in SME and one or two accounts in corporate banking that have slipped into NPA, will get normalized going forward. We do not see a trend as such emerging. We have small slippages in the Agri and MFI book also, but our book is not very large enough to really cause any dent in the overall profitability or NPAs.

Moderator: Thank you. Next follow up question is from the line of Pruthul Shah from Anubhuti Advisors. Please go ahead.

Pruthul Shah: Just want to directionally understand that now that the penal interest is not categorized within the interest income and it is in the other income, b

ut directionally, whether the amount that we are going to earn, whether that is remaining same or that is getting impacted and to how much extent. If you just give a broader color on the same?

Satish Gundewar: It is too early to really say whether it will have a negative impact on the overall P&L. We are analyzing this and because it is just the first quarter where these regulatory changes happened, similar kind of a trend for other banks will also be seen. We are studying in terms of the overall penal charges collected versus what was the penal interest - trying to study that basis the SMA trends, what was our trajectory of earning penal interest versus the penal charges that we are collecting. We are analyzing that and if required, we will make necessary product changes or changes into the penal charges structure so that we do not lose any such income.

Pruthul Shah: So, broadly, the understanding it in case we are losing, we will reprice the products and gain back the profits that we are earning in the earlier period, right?

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Satish Gundewar: We do not expect that this will be a negative kind of a surprise for us. This is just the first quarter and we will study product by product, segment by segment and we will do course corrections in that.

Moderator: Thank you. As there are no further questions from the participants, I'd now like to hand the conference over to Mr. Satish Gundewar for closing comments.

Satish Gundewar: Thank you everyone for joining this call and patiently being part of this call for all through one hour and it is very nice to speak with all the analysts every quarter. We will see you again next quarter. Thank you very much.

Moderator: Thank you. On behalf of YES Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Oct 2024

"CSB Bank Limited
Q2 FY2025 Earnings Conference Call"

October 24, 2024, 05.30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to CSB Bank's Q2 FY '25 Conference Call hosted by YES Securities.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Siddhant. Good evening, and a warm welcome to all those who have joined the call.

The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director & CEO, Mr. B. K. Divakara – Executive Director and Mr. Satish Gundewar – Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, and good evening. I would like to specially thank everybody for taking the time to join our call today; despite so many results announcements today, including BFSI.

I will give a brief understanding of what is happening globally and in our domestic market and then quickly move onto our results. Globally, the economy is heading towards the year-end with unexpected tailwinds as slowing inflation clears the path for a soft landing. However, the impact of geopolitical hurdles that lie ahead is a key monitorable. Oil prices have also eased a bit despite the ongoing geopolitical tensions and U.S. 10-year yield has gone back to above 4%. Gold prices are touching new heights and is trading reasonably above \$2,700 per troy ounce levels in dollar terms.

The biggest support for the dollar over the last few weeks has been a shift in the Federal Reserve policy expectations to a more moderate easing phase after a slew of solid US economic data started coming in. Markets are widely expecting Fed to further cut rates by 25 basis points in November.

On the domestic side, after the Fed rate cut of 50 bps in September, dovish outlook had permeated the financial markets in India as well. However, RBI maintained a status quo on the rates while changing the policy stance to neutral. Though retail inflation in India has been volatile and industrial output was marginally negative, growth outlook remains stable.

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With such economic and geopolitical background, an immediate rate cycle easing by RBI is not expected and we have to wait and watch for any reduction by RBI in the next few meetings. The recent statement by RBI Governor probably leads to status quo for some more time. The surplus liquidity condition may prevail for a while.

Coming to CSB specifics, the highlights of performance of Q2 FY '25 were:

On the profitability, net profit of Rs 138 crores, up by 22% Q- on-Q and 4% Y-o- Y. Bank continued with accelerated NPA provisioning policy of making provisions over and above the RBI requirements and holding the contingency provisions intact.

NIM sustained at 4.3% for the quarter despite the cost of funds going up universally and the regulatory guidance on penal charges. ROA was 1.5%.

On the liability side, we improved the funding base significantly . Deposit grew by 25% Y-o- Y as against the industry growth of around 12%. CASA ratio stands up marginally above 24%. Net advances grew by 20% Y-o-Y against the industry growth of approximately 14%. Gold portfolio registered a growth of 28% Y-o-Y. Yield on advances for Q2 FY '25 is at 11.21% with an improvement of 33 bps from Q2 FY '24.

On the asset quality matrices, it has remained reasonably flat quarter- on-quarter on most of the parameters. Slippages have been significantly lower compared to the last two quarters. GNPA has been 1.68% , NNPA at 0.69% and both the ratios are almost sustained at the June level. PCR now stands at 81.49% considering the PWO , and 59.45% without considering PWO.

Bank is holding a provisioning buffer of around INR 183 crores over and above regulatory requirements. This is a key point because there are ways and means by which we could have used the additional provisions to improve our PCR, but we decided that we will have a conservative policy on this and we continue to hold additional provisions in excess of RBI guidelines.

We have a robust capital base with a CRAR of 22.74% and Tier -1 ratio of 21.37%. Low proportion of risk-weighted assets has been sustained compared to the industry.

On the shareholder value creation, book value per share is at Rs 229. EPS for the quarter is Rs 31.65, and ROE - is close to 15% at 14.53 %.

On the distribution, we have a network of 802 branches and 770 ATMs as on quarter end. We have added 23 new branches during the first half year. On a year-on-year basis, we have added more than 80 branches.

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On the branch expansion side, we are on track in this fiscal. The same will be completed as planned in the second half because generally the second half is heavier in terms of branch expansion like it happened last year.

To conclude, the good thing about this quarter went by is that we are back on track as far as the guidance on the business growth is considered, which is growth of 30% to 50% higher than the system trends. Actually, we are significantly higher than that this quarter.

The strenuous efforts taken towards maintaining a balance in terms of various regulatory ratios like CD ratio, LCR, NSFR, etc., and keeping sufficient liquidity for advance growth has paid off. Borrowings are also resorted to as an additional window of fund raising based on cost considerations. We resorted to more borrowings, just to ensure that we have a long-term sustainable growth on the credit side because we cannot keep looking at the rear window and keep seeing that how much we need to grow. That way we can not build a franchise. We will continue to have a lesser liquidity risk in the bank from the long-term growth perspective.

On the profitability side and asset quality numbers, ratios are looking stable. Though the liquidity conditions have improved a bit, the interest rate on deposits continues to be at elevated levels, and we believe that this will continue for a while at a systemic level. The attractive term deposit rates and inclination towards other investment opportunities like mutual funds, stock markets , etc., continue to put pressure on the cost of funds of the banks at a systemic level, and we are no exception. We are not able to fully pass on the same to the borrower given the competitive environment in the market. This, along with the regulatory guidance on penal interest, continues to impact the NIM this quarter as well. I personally feel that NIM has bottomed out for us, and we should start seeing better days, maybe Q4 onwards on the NIM as well. Except NIM, which is almost sustained at June '24 level, all other critical ratios like ROA, ROE, EPS, credit cost, book value per share, etc registered improvement in Q2. Growth of other income was also good to negate the quantum increase in Opex resulting in better operating performance. The build phase progress is going to accelerate in the coming quarters with the planned implementation of CBS migration and resultant improvement and stabilization in the products, process , systems, etc. You will see one slide in the investor presentation on technology, which is basically giving

clearly the rollout plans and the dates; because that is our biggest story - how we are rolling out the technology piece and how businesses, from the current business mix, will go to the 20:30:20:30 levels, which we keep talking about. This transformation will depend on the technology rollout. That is why we have deliberately put one slide on the technology rollout piece for the first time in our investor presentation. While these investments will have an impact

on the cost in the near term, we have been able to sustain the CIR at around 65%. In the long run, we will bring it below 50% by 2030. Our endeavor would be to ensure results to accrue in the long-term in line with the payback period estimated for each of these initiatives. With the continued cooperation from all stakeholders, we will strive to deliver quarter-on-quarter in line with the expectations.

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I stop here. This is broadly on how our quarter went. Look forward to your questions. Thank you very much. Over to you, Shivaji.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Our first question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Just a bookkeeping question from my side. If I look at the retail book in the presentation, it is at Rs 5,332 Cr. But, in the last quarter, it was at Rs 3,541 cr. That is a delta of about Rs 1,700 crores. The disbursement number is at Rs 300 crores for the quarter. Am I reading something wrong? Just want to check that, sir.

Satish Gundewar: The retail book also includes the LAS portfolio that is Loan against Securities, where the secondary security is gold and this was part of the gold loan book earlier. From this quarter, we have included that as part of the retail book, and that is the reason that you are finding that difference.

Chinmay Nema: Could you share the breakup of the retail book between gold loan and the unsecured portion and what is the asset quality trend that you are seeing on the unsecured side, if you could share the break up?

Pralay Mondal: In our retail book, we have de-grown our three businesses over the last one year- Personal Loan, Two-wheeler, and Microfinance. Some of the stress, which you are seeing in the environment now, we saw it coming more than a year back. We consistently degrew these businesses this year.

We have grown in CV/CE and LAS – which we have reclassified and where we have gold as a collateral security. We have grown in Healthcare Finance; little bit of Credit Card business based on a partnership model and then Inventory Funding. These are kind of pseudo-SME businesses that we have grown. Pure play retail we have definitely not ventured in troubled waters right now because as a new entrant, we did not want to take unnecessary risks. We have done businesses which we understand and which our franchise can do taking relatively lesser risk. In spite of that fact, we slowed down few businesses, we have seen little bit of slippages on the MFI side and on the unsecured side. While for the system, it may not be picking out, for us it will be picking out sooner because we had started de-growing these businesses quite some time back.

Moderator: Thank you. Our next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Firstly, on the margin, so for H1, we have seen margins of about 4.3%. Do you still believe that we will be able to maintain the guidance for this year, which is 4.5% to 4.8%? And if at all, what will drive this improvement in H2?

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Pralay Mondal: Hi, Mona. A relevant question. We knew that cost of deposits is going up in the ecosystem and this is not happening to us only, but with other banks as well. We have not been able to pass on this equally to the yields on the as

set side of the business. In spite of that fact, we could have done 4.5%, which we had guided. However, the penal interest, which is impacting us by somewhere around 25 basis points, continued to impact us. If you add that, 4.3% plus another 25 bps, we would have been around 4.55%. I think that is going to permanently impact us to a great extent on the interest income part. Even if we are able to recover, that will come back with a lag on the fee side. Technically, NIM will have this impact.

Having said that, if we are able to recover some of our NPA portfolio over the period, which we will try and if we are able to reprice some of the books here and there, I think we can try to come closer to 4.5%. I think we have sort of bottomed out in NIM and I am not seeing too much of an upside from here as well.

I will say that guidance will be between 4.3% to 4.5%, primarily because about 25 basis points have been shaved off because of the penal interest guidance. It is not that the guidance was wrong, but the guidance has to be re-looked at in view of the regulatory reasons.

Mona Khetan: So not just for this fiscal, but even going forward, you feel that 4.3% to 4.5% will be a fairer assumption for margin.

Pralay Mondal: I will reserve my comment on that right now. I am hoping that from next financial year, we

should be able to do better on the NPA compared to this year. We will try our best to recover NPAs which we have booked in the Q4 and Q1, and if recover some of that, we will probably be able to get some NIM back into the system. I think 4.5% to 4.8% looks to be difficult and it can happen only sometimes mid of next year onwards once the interest rate starts coming down faster than the yields going down.

We have one advantage, because for another 15 to 18 months, the gold loan continuing to be more than 40% of our book. Gold loan yields are not elastic either. Our EBLR-linked book is not very high. Hence, as and when the interest rate cycle reverses, probably banks like us will be able to retain larger NIM compared to banks, which are wholesale oriented portfolio where EBLR-linked or MCLR-linked businesses are higher.

In retail businesses, even if they are fixed loans, new businesses get booked at lower prices. In businesses like credit cards, gold loans etc, the elasticity is lower and to that extent, we hope that once the interest cost starts coming down, if at all sometime mid of next year, we should be able to get some benefit out of it in our NIM.

Mona Khetan: With the margins lower by 20 to 30 bps, how would the ROA guidance stand now, which is between 1.5% to 1.8%? Would that also be lower down by the same extent or some of it will be covered in other income and Opex?

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Pralay Mondal: Our other income has been retained at around 18%-19% of our overall income. In spite of heavy cost investment that is going into technology, distribution and people, we have been able to increase our ROA this quarter to 1.5%. My feeling is that we should be able to do better than this and hence, the guidance that ROA will be in the range of 1.5% to 1.8% sustains because we will be able to build up other income, and we will be able to manage costs better. I think if in this quarter we could go to 1.5%, I think we should be able to do better than this. I am not making forward-looking guidance, but I am just going to push the system for that.

Mona Khetan: While you partly touched on this, I just wanted to check on the corporate slippages that we had last two quarters. What are the recovery prospects? Will it be possible to recover them this year or I mean, generally, what are the prospects as well?

Pralay Mondal: If you look at our slippages, trending on a quarter-to-quarter is looking better. The March slippages were Rs 122 crores, June quarter, the same was Rs 103 crores, and September it is Rs

64 Crs. From that perspective, I think the slippages are coming down, and some of the slippages, which were added in this quarter, are trending downwards like in case of retail loans, Agri MFI etc. There the books are shrinking and if books are shrinking, it means the portfolio, which is leading to slippages viz, unsecured MFI, Agri, those kind of businesses are shrinking. To that extent, I see slippages coming down. Some of the slippages also do not lead to necessary costs because of the kind of arrangements we have. Given that, it will be net ROA neutral.

Given all of this - from an NPA perspective, unless there is something, which is a surprise, which is not known to me today, we should be able to retain this level. Once we start reversing the migration provision for some of the slippages, which has happened, or recover them, we should be able to see a slight downward trend on NPA over the next one year.

Again, this is something, which we will really want to work and not as a forward-looking statement. I have always said that Gross NPA will be below 2%, Net NPA below 1%, and credit cost below 0.4%. We will be well below each of this parameter - that much I can say. This quarter, we have reached a credit cost of 15 basis points. This was at 22 basis points last quarter. I want to also tell you that unlike last year, we have made one small change, which is, we have added the standard provision for computing credit cost. I am just saying that we have been more conservative in reporting on our credit cost now. In spite of the 15 basis points, which is well below what we have been giving as guidance, on slippages, on NPA, on credit cost - we are looking good. I hope that we can recover some of that and then it will even look better.

Mona Khetan: Just one last question. It looks like we have had some reclassification in the book this quarter. If you can give like-to-like loan mix for Q1 as well as for reference between corporate, SME, gold and other retails, that will help.

Pralay Mondal: I will give you a detailed answer on this. The wholesale book has shown de-growth primarily because the DA portfolio is running off. A small portion - around Rs 400 crores is left. That will also run off in the next four months. LCBD businesses has come down. We are also exiting some

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of the large corporate accounts though they are not NPA accounts, on various other considerations. In fact, we have just exited one this quarter - a large account. In spite of all these things, the fact is wholesale book is somewhat flattish, and it is around 23% of our overall book, which I think was 26 or 27% last year. Now all that is done and you will see wholesale book

starting to pick up from here because fresh credit disbursements are happening significantly in wholesale in the kind of businesses we want to do. Now we have built up a good team with a good coverage across the country and you will see that next year wholesale book will grow at a significant pace.

On the SME side, it has sustained the kind of growth, which we have been doing, and which we had committed last year and all cleaning up has been done already. They will continue to sustain. They are growing somewhere around 26 %. I think they will sustain or do even better. On a conservative basis, I think SME book should be able to grow at around 25%.

Gold is growing on a YoY basis at around 28%. Last quarter itself, it has grown by 10%. If I extrapolate that, it is much higher than 28%, and I think we should be able to grow by around 25%-30% on the gold loan side.

On Retail, we are bit conservative . As you rightly said, there has been some reclassification. It is done for better alignment with the nature of that loan where gold is taken as collateral and is classified as LAS business and not kept under Gold business classification. However, e

ffectively

the collateral is gold only. The portfolio size is somewhere around Rs 1,600 crores.

I am giving full disclosure so that there is no confusion. This Rs 1,600 crores has moved out of gold loans. If we had not moved it out, the gold loan business would have been somewhere around 51% of the book . It is reclassified to be on the better side of the compliance. Rest is our MFI book, which is around 2%, Agri book is around 3% and 15% is retail. 15% of this retail includes this Rs 1,600 crores of loan against security. This is the full disclosure .

Mona Khetan: Just one thing . on this kind of disclosure , what is the sequential growth in each of the four portfolios if you can tell us between Q1 and Q2?

Pralay Mondal: Yes, I will tell you that. I will give Qo Q and Yo Y both together. That will help you. Gold- QoQ, we have grown by 10% and Y-o- Y by 28%. Wholesale we have grown Qo Q by 5% and Yo Y marginally degrew by 1%. You can see that in wholesale, we are already reversing the trend. Yo u will start seeing it better from next quarter onwards . SME , MSME , 5% growth on a Qo Q basis and 26% YoY . Retail , 7% QoQ, 45% year- on-year, but there is a noise in this as I said before because here, we have the loan against security as gold . Agri, 4% QoQ, minus 5% YoY & MFI , minus 6% QoQ, minus 13% YoY.

Moderator: Thank you . Our next question is from the line of Sonal Minhas from Prescient Capital. Please go ahead.

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Sonal Minhas: Sir, I am looking at your GNPA movement table and two things around this . I wanted to request you that if from a disclosure perspective, if going further you can actually classify these additions by the four sectors that you are primarily working in, which is gold, corporate, SME, and retail, so that we get a sense of incrementally where these additional slippages are coming from. That is one.

The second one is linked to this , that if we consider last quarter, this quarter, you could throw some color on where largely these additions are coming from, from the segment that you talked about, from the retail and gold segments, that would be great. That will just help us understand the business gross NPA movement.

Pralay Mondal: To answer your question – Normally we are not giving this level of information in public domain. However, to give you a color and flavor, because this is a call, which is open to all, we had a little bit of extra slippage - one account each in Q4 and Q1 for the same customer group in wholesale, but after that, it has been consistent .

Slippages in Gold loans does not happen much. Even if it turns SMA, but eventually it would be recovered and so, there is no slippage. In wholesale business, nothing much has happened in SMA during Q2. There has been a little bit of slippage , in the retail and agri and MFI portfolios, but that is going to be on a declining trend for us now onwards. Given the arrangements, we have on the portfolios like MFI and all , though the accounts slips , but it does not lead to actual losses ... Given this perspective, I am not so worried on slippages of this kind . Yes, some of the retail loans and agri, what slips will lead to loss, but that is sort of stabilizing. It will stabilize from next quarter onwards. To that extent, I am confident of my slippage number and the GNPA and NNPA and credit cost number from now onwards. I feel that this is where we will be unless there is some big ticket, which hits us, which as of today we do not know. It can happen always , one case here, one case there, and on a small balance sheet we have, one case can create some noise. However, right now, we are not aware of anything.

Sonal Minhas: Sir, the second question is a little bit longer term two , three years out kind of a question , which is linked to your CASA because you understand better than us the dynamics of deposit franchise.

The

re is an incremental level of technicality in your business compared to large banks, which do CASA. Just wanted to understand like, what does it take on the ground for CSB to mobilize that? Is that a part of the agenda? Where are the constraints? Just trying to understand the subjective part of it, as you see yourself growing and becoming like a new age bank growing for the next two, three years?

Pralay Mondal: Thanks for the question. I try to respond to this in almost all the calls, and this is the biggest part of the strategy of the bank. If you look at it, our growth in SA has been around 9%, our growth in term deposits is well above 30%. Nine percent is not bad, but it is not good enough when it comes to looking at overall deposit growth of 25% and hence the CASA ratio comes down.

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None of this is franchise business, if you ask me. Franchise business will start sometime later and after this call, I would like our Technology Head - CTO to come and spend five minutes on explaining what we are doing in technology because now we are definitive about what we are doing and how it will help the bank because we are creating a new bank. What we are doing right now is managing the bank as it is.

Come FY '27, maybe by mid of '26 we will be a completely new bank. That's the time what you are asking will go to play out and most of the people who are in the bank right now or who have joined the bank in the last one or two years, they have all been part of building large franchise in very large organizations like HDFC, YES, Axis, ICICI etc. We know what it takes to build that franchise. The reason I am saying that our retail, which is today 20%, but not really 20% because of loan against security, which is gold collateral, backed loan, if you take that out, it is not even 20% that has to go to 30%.

Effectively, this 15% has to go to 30%, and that can happen when you build a CASA franchise. Retail assets cannot be built without a CASA franchise because you need customers, and that is something which will happen FY '26-'27 onwards where significant focus on customer acquisition will be there, and that's where we know that the larger franchise has to be built pan India.

That is why we are creating distribution, and many of those branches are not still fully productive because we do not have the systems, which is required to be making them productive in building the CASA franchise, but we have to put all investments together so that all of this has to culminate into results from FY '27 onwards.

We are putting all of those investments today in people, technology, leadership, products, and distribution. Once the CASA franchise starts picking up from FY '26-'27 onwards and then retail assets will start picking up, then payment products will start picking up, granular fees will start picking up, and then the real retail franchise will start building up. That is the plan.

We are just waiting for this. I would like Rajesh Choudhary, who is our Head of Technology, to give a briefing on what we are doing on the technology side and what we need to. We are keeping the entire readiness for the rest of the bank to leverage the technology to build that retail franchise and the CASA franchise.

I will give you the roadmap. The reason that the retail franchise and retail businesses will pick up from 15% to 30% will be a little back-ended from FY '27 onwards. Wholesale is a relationship business. We of course need technology there. We of course need transaction banking there. We need a lot of products, fees, and everything. Still it is a relationship business. Next year onwards, you will see the wholesale side will start picking up faster because even without full play technology, they can build these businesses.

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SME businesses even without full

play technology are already picking up. Retail we are keeping for the last. Not only because we are not fully ready on the technology, but we also want the picking of the right cycle to happen in retail. That can only happen when the overall growth in the system comes down below 10% on retail. That is the time we will enter the market in a big way, and that will happen in terms of liability, customer acquisition, retail assets and all of that because we don't want to go out and build businesses through DSAs and purchasing asset businesses and all that. That is not the way we will build it.

Gold business will chug along the way it is growing, around 10% -20% growth, but as a mix it will come down because rest of the businesses will grow much faster. The picking of retail assets businesses will happen in the end of the decade, last 2-3 years. Wholesale will start picking up from next year. SME and gold will chug along. That is the way the entire franchise is going to be built.

Sonal Minhas: Sir, I have a follow-up question on CA and SA, just splitting with this into, as you were talking wholesale doesn't require technology, splitting CA and SA, do you also require heavy lifting on

technology for CA or because you are fairly ingrained in the south market, in the macro markets you have been? That's one. And of course, same is for SA because you have been in Kerala for more than 100 years. I thought that the deposit side is more a trust-based business than a technology business. So, correct my understanding, if I am wrong on that, just on the liability side actually.

Pralay Mondal: Either you can buy business by giving higher rates in SA or you can build business by making SA as a float based on various activities he is doing with you. The first is not the best way to do this business. The second is something, which we will attempt. That is why you will see our savings account rates are not very high. Effective rates are also not very high, somewhere around 3% net-net rates across the portfolio.

Given that our thinking is, the second model is what we will build, and it's just not trust based. It is usage based. It is float based. EMI based and all. You have to have usage of that account. For that we have to launch salary accounts, we have to launch various payment products, we have to launch various asset products, we have to get those EMI through this, we need to grow the transactions through it.

In a way, CA is no different because you need technology because you need CMS, you need supply chain, you need transaction banking, you need the rationale for usage of those accounts by a customer and you have to have those kind of franchise and those kind of customer penetration will happen through wholesale and SME.

Of course, we will have a retail kind of a CA also in branches, but unless you are able to give a better service, unless you are able to give a better turnaround, unless you are able to give better transaction banking kind of products, be retail, SME, or wholesale, it is not sustainable.

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That is the way that CASA businesses are always built and will be built. We will not play the price game ever in CASA. CA you cannot play the price game, but SA we will not play the price game. Because CASA is just not a liability. CASA is a franchise, which helps us in building the assets business. Otherwise, you have to go out and buy businesses through DSAs, which we will not do.

Customer acquisition is going to be the biggest play in this bank starting FY '26-'27 onwards.

The start will happen in FY '26 and FY '27 onwards it will take off in terms of customer acquisition, and then on boarding those customers, retaining those customers. For that, we need the right solution, right products, the right systems, right turnaround time etc.

That is something, which you are

probably asking the question on the CASA franchise, and CA

is no different to SA. It is just a different kind of segment, which you need to focus on. That is what the strategy is. We do not want to take a shortcut route to any of this right now. That is why we are saying that we will do businesses what we understand, what we can do, and hence wholesale will start picking up next year. SME has already picked up. Gold, we understand better and it will continue to do well and retail will pick up only when you have the CA SA franchise momentum picking up.

Sonal Minhas: If I may ask a short question, the last one, who is your credit card partner. If you can mention your partner as well?

Pralay Mondal: We started doing it with both One Card and Jupiter. Right now, we are servicing the portfolio, which we have done with One Card. We are not adding any more cards with One Card right now, and with Jupiter, we are continuing to add more cards, but it is not a huge portfolio. Let me tell you credit card, micro-finance and personal loan, all products together is somewhere around Rs 1,000 crores. It is a small business for us, and we are not growing any of these businesses that much.

Moderator: Thank you. Our next question is from the line of Shivaji Thapliyal from YES Securities. Please go ahead.

Shivaji Thapliyal: I just had some basic questions around guidance, because I think basic numbers are always helpful to learn about. We have already got sense of the margin. But what would be the overall loan growth guidance, number one, for FY '25 and possible for FY '26? And you know, these are all sort of near- to-medium term guidance that I am seeking. Firstly on loan growth.

Secondly, credit cost obviously is evolving and some of the loan books are not seasoned. Just wanted to understand where the number do you think will end up for FY '25, and if possible, you can get a sense of FY '26.

Thirdly, on cost- to-income number that is evolving as we speak. This year and next, your sense on these three aspects, loan growth, credit cost and cost- to-income ratio.

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Pralay Mondal: Shivaji, thanks for your questions. Let me first start with what ball park strategic vision, which we have in the bank. I will just repeat it and then answer your question. The strategic vision or what we are aiming by 2030 - GNPA 2% and NNPA 1%, credit cost 40 basis points, cost-to-income below 50%. SME, wholesale, gold, and retail I have already said 30% retail, 30% wholesale, 20% gold and 20% SME. NIM, I have always said that medium-term will be between 4.5% to 4.8% and longer-term will be in the range of 4% to 4.3%. I have said that because when we gave this guidance, we did not know the impact of the penal interest. Because of the impact of the penal interest, we have to wait and watch how this plays out, and hence it could be coming down between 4.3% to 4.5 or 4.6% because of this reason. We have to see how this plays out now. Similarly, in the long run, it should be remaining between 4 to 4.3% or around, and the reason for that is the business mix will change because as we move our wholesale from 23% today to 30%, obviously your NIM will start coming down on that, so will be the cost-to-income ratio.

A healthy good portfolio for our kind of franchise by 2030 will be one where, NIM will be 4 to 4.3%, cost-to-income below 50%, ROA and ROE levels sustained, ROE between 15% to 17%, ROA between 1.5 to 1.8%. Some of the components within the ROA tree can make a change based on the business mix that will change.

Your question on near term ie, for the next two years, I think next two years nothing much will change because none of these mixes are making so much of a change right now. Given that, I think our NIM will be somewhere closer to 4.5%. Once the interest rate starts coming down, the deposits

interest rates - as I explained before- and the non-elasticity on our asset side, we may not have to pass on everything given our book and our fee businesses will keep going up. I think we will do even better than today on the fee businesses. I will not be surprised if we go to 19% to 20% of our overall income as fee, and that is what we are targeting.

On the NPA ratios, I said that we would not touch 2%, 1% and 0.4% for gross NPA, net NPA and credit costs respectively. We are now around 15 to 16 basis points on the credit cost. I think we will contain the credit costs below 20 basis points for a while now, and GNPA and NNPA, we are picking out. That is where I think we should remain in the next two years.

On longer-term guidance, once your retail starts picking up and all that, credit cost will also start going up little bit, but it will give other businesses because in retail businesses what happens is for the same customer, you get lot more businesses, and hence the ROA between 1.5 to 1.8% is really sustainable. That is the way we are planning our overall strategic ratios.

What I will do, Shivaji, if there are no further questions, I would request our CTO Mr. Rajesh Choudhary to speak, because we have put one slide on the investor presentation on technology transformation at CSB Bank. Very quickly, if we can just spare few minutes, Rajesh will explain what we are doing on the technology side because this is the biggest story going ahead, what we are trying to build in the bank. Can I hand it over to Rajesh to give a brief on the technology side?

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Shivaji Thapliyal: Sure.

Pralay Mondal: Over to you, Rajesh.

Rajesh Choudhary: Thank you for that. Good evening, everybody. This is Rajesh Choudhary. I am CTO for the bank. In March 2022, we put the IT strategy to the Board and since then we have been executing that strategy. What we are trying to do is, we are replacing almost all the systems in the bank and the slide, which we have put across, and there are four different dimensions over there. One of the dimension on the top left talks about the entire technology infrastructure what we are changing in the bank. As part of that, we have built four data centers, two in Mumbai and two in Chennai. All the data centers are ready and operational. We have also set up private cloud for the bank, which is also ready for use now. All the bank branches across the country are running on high resilient bandwidth, which means that if something goes down, there is a resilient bandwidth, and the business will keep on happening. As part of the transformation program on infrastructure, we are replacing all the hardware for all the servers in all our data centers with the modern cutting-edge technology, which very few banks in the country have. We have also set up a modern technology command center in our new Turbhe office in Navi Mumbai, which is monitoring the entire bank, the entire technology estate of the bank. That is our tech transformation from the infra perspective.

Now coming to Core Systems, which is the big story, which our MD also spoke about, we have invested in one of the most modern new core banking system from Oracle, which is called Flexcube. We started implementing this from January, this calendar year. We are currently halfway, and sometime in Q1 FY '26, this system will go live. Along with this system, we are also setting up new payment systems, a new digital channel system, which means new mobile banking, new Internet banking, all of this. We have a very old database in the bank, which is

almost like 17-years-old and similar to the core banking that we have, and that has significant limitations in doing business today. We are replacing that with a modern database from Oracle that will also help us in going ahead significantly.

Along with this, a new trade finance system, we a

re setting up a new finance management system

from Oracle, which is called Oracle General Ledger, which will also go live by Q1 FY '26, and the new risk management system called OFSAA, that will also go live in the first quarter of FY '26.

We spoke about the infrastructure. Then we spoke about the core system. However, there are many systems, which are surrounding the core systems, and we are replacing almost all of those. Some of those have already gone live. We are setting up lending systems for all the various products, so gold, two-wheeler, LAP, these systems are live and remaining are under implementation. Our lending system for corporate and SME is already live. We have many systems for various support functions. Our new HR system has already gone live. New compliance system is live. We have set up a digital customer onboarding system, which helps

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our customers to have better experience while joining the bank for any of the services. We have set up a new digital call center in the bank, which is ensuring that our customers are being serviced in a better way.

We have set up a sophisticated Service Now platform in the bank. This is one of the leading enterprise in the world, and we were told we are the first bank in the country to implement finance FSO module from Service Now, which gives us immense agility to launch new capabilities, new system on this platform. This platform has gone live, and we are setting up one by one multiple systems over here.

There is another capability, which is the API Ecosystem. API ecosystem combined with Enterprise Service Bus, this gives us enhanced capability to work with our fintech partners or any other partners and partnership strategy is one of the key part of the SBS 2030 as our MD spoke about. API Ecosystem and Enterprise Service Bus will ensure that we are able to integrate our partners in a seamless and efficient way. All our systems will also talk to core systems in an effective and efficient way through these integrations.

Then, of course, while all of these business systems are in place, infrastructure has been transformed; cybersecurity is sitting at the center of all of this. We have invested significantly in various areas of cybersecurity. We have our new security operation centers already installed and implemented from where we are monitoring the entire bank, and checking if there are any threats coming from the external world, various systems on the perimeter level, on the internal level. We are checking the dark web if there are anything from the bank-related information sitting there. We have intense focus on cybersecurity systems to modernize the bank.

This is the summary, which is a high-level view on the technology transformation in the various areas that we are doing right now.

Pralay Mondal: This is in a summary what Rajesh covered, but actually, we can have a full day on what we are doing on technology, because I really believe the bank has to build on the back of a strong technology for better efficiency, cost and scaling the bank in a faster turnaround term with a better service. With that, Shivaji, if there are any further questions, we would be happy to answer.

Moderator: Sure. Thank you, sir. Our next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Yes, sir, I just have two follow-up questions. Firstly, if I could get the mix of loans between EBLR and MCLR and fixed rate.

Pralay Mondal: We have floating rate loans around 38.2%, 61.8% is fixed rate. Out of that 38.2%, EBLR is 10%, MCLR is around 24% and 4% is other floating rates.

Mona Khetan: 24% MCLR.

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Pralay Mondal: MCLR is 24.41% and EBLR is 10.22%. Base rate, TBILL, SOFR, all these are around 3.84%. All these totals up to 38.20%, and balance which is 61.80% is

fixed rate. I would like to also

say, Mona, that it looks like a fixed rate, but you know, gold loans are generally kind of shorter tenure products. Hence, you have to take it with a pinch of salt.

Having said that, gold loan prices even when interest rate goes up, it does not go up, interest goes down it does not go down that much. To that extent, it remains fixed only - even if it is a shorter tenure product, so that is why you can call it fixed rate only.

Mona Khetan: Secondly, while you mentioned that the penal interest impact is still there on the margins, but when it comes to incremental gold loan, are we able to reprice it at a higher rate or?

Pralay Mondal: Mona, what happens typically is - this is customer psychology. It is a competition and will work if everybody says that okay, it is impacting me by 25 basis points and hence we will raise our rate by 25 basis points, but market does not operate like that. If the whole market does it, we will also do it, but ultimately, we are in a competitive market. I think it is a permanent damage to the NIM of around 25 basis points for banks with our kind of a business mix. We will figure out a way to manage the ROA by improving our fee businesses, but increasing NIM by increasing the interest rates, I do not think the whole market will operate like that.

Mona Khetan: What is driving such strong fee lines in your case? It is now almost 1.8% of assets, which is like on higher end of what we see in industry and very comparable to large private banks. So, what is driving this fee income?

Pralay Mondal: At least somewhere, we should be in the best in class. When I joined the bank, you remember, Mona, where our core fee used to be around 5%. We have now taken it up to 17%-18%. I think we can go up to 19%-20%. You can give some credit to the leadership team which we have built who understand these businesses well and still some more to come because once the retail asset business starts picking up, you will see more fees.

Good wholesale business run by large banks, and we have all worked in large banks, can be up to 1.8% to 2% comes on the fee side. We actually did a syndication last quarter. You may or may not believe this, but this is the kind of expertise we are building in the system on the wholesale side. Some of these fees, whether its transaction banking fees, syndication fees, processing fees, insurance fees- all this has been doing well.

There are four such large companies - ETLI, HDFC Life, ICICI Pru and now Max, there is a reason that they are tying up with us or they are chasing us because we are doing well. They are seeing the kind of a process, which we are following to do all these. Believe it or not, we have only few complaints, which we resolved in insurance, after doing so much of business within turnaround time. The pendency is minimal right now. That is the level of our persistency ratio - which is one of the best in the system.

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Given all these things, we know how to run these businesses. We know how to run various businesses, but until Rajesh delivers all the systems, we are not able to do it. At least these things, we are leveraging somebody else's systems to do it. To do some of these businesses, we do not need our systems, like when you do insurance businesses. At least where we can do well, we are doing well right now. Take the core fee business. Core fee business for us is around 14% of the total income. I see it sustaining, if not growing, going ahead.

Mona Khetan: Just one final question. When it comes to the corporate book, you mentioned that there is some rebooting going on, based on what led to slippages in the past quarter. Could we have some more of these slippages in the ensuing quarters, or do you believe that this is done with?

Pralay Mondal: Mona, I wish I could say that, you know, nobody

can do a crystal ball gazing, but whatever we

can do, we are doing. We can always have a surprise item, but I think we are doing whatever best we can. That is the reason I said that last two quarters, we have been exiting relationships, which are perfectly regular businesses and are not NPA. They are not even SMA.

We just exited a large relationship and which is not NPA or even SMA, because we think that that is not the line of businesses we want to follow. We are completely changing our wholesale franchise in a different way.

Having said that, we have a legacy book where something will fall, we do not know. That is why we are granulizing. Any large businesses in wholesale, which you have done in legacy, we are gradually reducing that and hence the shock, if at all, if there is anywhere, which we do not know of, is going to be very low.

I would like to add one more point that we have Rs 183 crores of provisioning buffer beyond the regulatory mandated provisions. Out of that, Rs 106 crores we had taken under COVID provision. Now there is no COVID, so we have put it under contingency. What we did is wherever we thought of stress in accounts, which does not necessarily mean that they are NPA accounts, or they are SMA accounts- anywhere we didn't feel good about it, we keep the provision against those accounts. Out of that, one big account is gone, but we are trying to put some more accounts into that to retain that.

We are taking a conservative provisioning policy. Otherwise, we could have written back a large amount and improved our PCR. We are not taking that route. We are doing it in such a way that we will add some more so that if there is an accident somewhere, which we do not know yet, we have already provisioned that. That is the way.

We are following a strong and a conservative provisioning policy. Beyond that, if something happens, we have to see. But truthfully, we do not know anything, which can just hit us near

time. If we know, we will exit that relationship.

Moderator: Our next question is from the line of Sonal Minhas from Prescient Capital . Please go ahead.

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Sonal Minhas: I have two questions. The first one is related to your PCR. I wanted to understand like what is the steady-state PCR that you target or where is the direction there that you want to head to?

Because given your chart, given how we see this, PCR including write-offs has been coming down. If you could just explain that a little bit, that will just help to understand that.

Pralay Mondal: Our targeted PCR (excluding write off) is above 70% - in the 70 -75% range. We will get there sometime next financial year. We were there, but there is that one account which previously slipped, which is a legacy account, which led to this problem. Either we will recover, or we will write off. We will go back to somewhere close to 70% .

We had a choice, as I just explained before, from a contingency provision because one of the accounts we have just exited . We could have written back some of the provision we have taken against this, but we will add some more accounts and would retain it as contingency because if you move from contingency to incremental provision, we can increase our PCR easily.

However, from a bank or from a Board perspective, we have said no. We will not use those routes to raise PCR. We will raise the PCR only by either recovering or by an additional provisioning, which is not under the contingency provisioning.

Our model is around 70%, without PWO or 70 to 73%, somewhere around that. We will take little time because we hope to recover some of this. If we cannot, we will do a provisioning or accelerated provisioning and move on. That is the way we will plan it.

Sonal Minhas: The second question is regarding the LTV for the gold loan. I see this is coming down over time, but just asking you,

subjectively, from an operational perspective of risk assessment. Let's say, credit customer, what the gold is given as a collateral, basically, are we there in terms of systems and processes and technology for gold loan or there are still some hoops to cross for us to say that our systems are at par or better than, let's say, the other large gold loan players in the market ? Just trying to understand the significance of this business.

Pralay Mondal: Thanks for that question. Let me put it this way. Given that gold loan is anywhere between 44 to 50% of our bank, depending on whether you take the LAS business or not, but effectively it is like a gold loan business, it will only be prudent to ensure that we have the best systems and processes. Unbelievable amount of work has been done in the last two years in gold loan business from being average gold loan player to probably we think we are one of the best compliant gold loan business player right now.

That is the reason I said in the beginning of the call/media, that we have put so many things in place in the gold loan business that when this RBI circular came, we found we tick most of the boxes proactively . That's the kind of work which has happened in this bank on the gold loan side.

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Being a touch and feel physical distribution-oriented business, you can never say that we are 100% there. We can only find it through proper audit process and proper review mechanism, which we are expanding, and we are expanding our scope of audit everywhere lot more.

Let me put it this way. From an intent perspective, we are 100% there. From a process perspective, we are 100% there. From an execution perspective, maybe we are 70%- 80% there. Rest 20%, it can never be 100%. We are trying to see how we can inch it a little bit more over a period of time.

Having said that, on your question on LTV, let me say that actually we are close to 70% on LTV right now. It varies every day. I see a different number, 70, 71, 72%. We also do a sensitivity analysis constantly, what if kind of a scenario on the gold loan price and that data I see every day. Of course, the retail, risk teams etc monitors this data. Meticulous monitoring is done for this and the LCR data.

Given that, our tonnage increased by around 10% and our growth was around 28%. Hence, you can understand that we focus on tonnage because that is the real growth and gap between 10% and 28% is because of the value of the gold.

Now, one can argue that given what is happening globally next one year, there are no risks. Next one-and-a-half years, there are no risks, but who knows what is going to happen. Given that perspective, I think we continue to do sensitivity analysis, we will take action as, and when we require; proactively in case we see there is a risk on the gold price because we have to be sensitive to that. It is happening because of the environment. It can happen the other way around at some stage when the gold price starts falling. Hopefully, by the time that phase comes, we will be

ready with our other businesses by FY '26-'27. To that extent, we are at a sweet spot at this point of time.

Sonal Minhas: Sir, On the gold loan business reconciliation side, at the branch level, let's say, if the loans are being given against the right collateral, or let's say, hypothetically, we are saying that the value is actually not what the loan amount basically is commensurate with the value of the gold that is given to you or deposited with you, what are the systems basically to check that? What is the periodicity of those systems if you can broadly highlight? I don't want to take too much of your time, but broadly just want to understand that.

Pralay Mondal: Let me put it this way. I understand your question fully & what you are asking. That is exactly what we have worked in the last two years.

s. It starts with intent. It starts with compliance. It starts with what we want to do. Then next part is what is being done on the ground. If we take timely action on anybody who is not following the process right, if we have a strong audit periodicity in every branch, if we have a science of identifying where more fraud prone things happen, and if we take tough action the way we need to do it, then you have a much better control.

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Let me put it this way, I think we have strong controls on our gold loan business at this point of time. Obviously, the kind of pedigree, which our management has, intent will never be an issue. The kind of board we have, the kind of promoters we have, from an intent perspective, we are 150% there. From a process, policy, taking action, controls, audit perspective etc, we are 100% there.

Still can I commit that there will be zero fraud or there will be scale of finance, something going wrong in some branch here and there in a distributed setup that can always happen. However, our view is that we catch that and we take action, which deters such happenings, and the deterrent is the biggest thing, which deters from doing wrong things. But if management looks the other way when something is happening, then there is a problem. Our bank doesn't believe in that. Hence, that is the best way to handle this business and we are doing it that way.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Pralay Mondal: Thank you, Shiva ji, and thank you, everybody, for asking relevant and good set of questions, I must say. We are very excited the way the bank is turned around in this quarter, and we are committed to hopefully show even better performance next quarter. Thank you very much and have a good evening.

Moderator: On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

"CSB Bank Limited
Q3 FY2025 Earnings Conference Call"

January 28, 2025, 05.30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to CSB Bank's Q3 FY25 Earnings Conference Call hosted by YES Securities.

As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Sejal. Good evening and a warm welcome to all those who have joined the call. The CSB Bank Management is represented by Mr. Pralay Mondal – Managing Director and CEO; Mr. B. K. Divakara – Executive Director and Mr. Satish Gundewar – Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I will now invite the Management to make their "Opening Remarks". Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, and good evening to everybody on this call.

This is regarding the Q3 performance of CSB Bank. Before that, let us see the economic scenario, especially because the world is a volatile place right now, especially in terms of financials. Just a quick summary of what we think is the global scenario. After the US election results, markets globally have reacted to a stronger dollar and probable sanction on US imports contributing to inflation. A concomitant sell off has happened in Indian equities by FPIs. The resultant depreciation of the INR, along with the RBI's efforts to contain volatility, has caused a rupee liquidity deficit. The RBI has already taken necessary steps to address this, including a 50 bps CRR cut in two phases earlier and the announcement of OMOs, longer-term VRRs, and INR swaps yesterday to inject durable liquidity into the system.

The RBI has revised its growth estimate in the last few weeks to 6.6%. While the MFI space shows signs of overheating, rural and government consumption are picking up. Cooling inflation, at 5.22% in December, gives the RBI and the Ministry of Finance room to take further steps to inject liquidity and boost economic growth.

Under the circumstances, the chances of the RBI cutting the repo rate are evenly balanced. With the new US President and the Dollar Index at an all-time high, we expect pressure on emerging

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market equities and currencies to continue for some more time. However, with the recent steps taken by the RBI and its intent to address liquidity issues, we expect liquidity to improve this quarter, along with continued softening of yields.

Coming to key highlights of CSB's specific performance for the quarter, on the profitability

front, net profit of Rs 152 Cr for the quarter, marginally up YoY and improved by 10% QoQ . Operating profit of the bank is Rs 221 Crs with a growth of 13% and 10% on a YoY & QoQ basis respectively. Other income registered a 75% growth on a YoY basis and 10% on a sequential quarter basis. Other income constituted ~19% of the total income, which is a significant improvement from what the bank used to do two years back. Cost to income ratio marginally improved from Q2 FY 25 level and is at 62.90%. It was around 65% in the previous quarter. NIM could be sustained above 4% both on a quarterly and on YTD basis despite the tight liquidity conditions and higher interest rate cost looming large in the system. NIM for the quarter stood at 4.11%. RoA stood at 1.52%. Bank is holding the contingency provisions intact and is continuing with the accelerated loan provisioning

g policy. We can talk about it a little more during the Q&A session

On the liabilities , we know that market is going through difficult situation due to the tight liquidity conditions. We have a robust deposit growth of 22% YoY amidst a slow-paced industry growth of around 10% . CASA grew by 7% YoY and the CASA ratio stands at 24.07% . We complimented our funding with FCY borrowings and Refinance based on cost considerations, which helped us in maintaining LCR at comfortable levels. We ended the quarter with an LCR of over 130% as on 31.12.24 & 119% on an average basis, which is marginally higher than the previous quarter.

On the asset growth, Net advance growth of 26% YoY – Higher than 2x times over Industry growth of 12 % YoY . Gold portfolio registered a growth of 36% YoY and Other retail by 32% SME growth has been steady at 29%. On the corporate side, we have started to pick up very well and our core corporate book recorded a growth of over 30%. However, the overall WSB growth was at 5% mainly on account of the liquidation of DA portfolio and few exits we opted for as part of our coverage strategy/risk appetite. The increased disbursements that have started in the core corporate book will show up in the top line during next quarter and the coming financial year. Between gold, retail, SME and core corporate book, all segments are showing organic growth pretty well.

On the asset quality matrices, slippages have been contained effectively and recorded lower NPA ratios sequentially over September quarter. GNPA & NNPA ratios for the quarter was at 1.58% and 0.64% as against 1.68% and 0.69% for Q2 FY 25. PCR now stands at 60.12% without PWO, which is marginally higher than the previous quarter and we would like to take it to 70% plus eventually. Bank is holding a provisioning buffer of about Rs 181 Crs, over and above regulatory requirements. We continue to hold the provision of Rs 106 Crs, which we created during the Covid period and later moved it to contingency provision. A large chunk of that- Rs 34 Crs- was CSB Bank Limited
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mapped to one large account, which we now exited, however we still hold the provision as against other accounts and that is the conservative approach that we take.

On a capital base, our CRAR is at 21.08% and Tier-1 ratio is 19.73 % - this will improve when the profits are reckoned at the end of fourth quarter. We have low proportion of risk-weighted assets compared to industry, which is marginally higher than 40%.

On the shareholder value creation side, book value per share is at Rs 236, EPS for the quarter is Rs 34.68 and ROE is at 15.28% . You can see that most of the guided parameters other than NIM, we have in a way achieved all the ratios/numbers this quarter .

On the distribution front , currently we have a network of 807 branches and 777 ATMs. We have added 34 new branches till 31.12.2024 and as part of the branch rationalization merged six branches during the year. The rest of the branch expansion as planned will happen this quarter. In conclusion, I would like to say that we had a decent quarter both from a deposit and advance growth perspective- registering a growth of almost 2x times over the industry. Though the advance growth outpaced the deposit growth, the gap was effectively bridged through diversified funding sources such as FCY borrowings, Refinance etc. We are well placed in terms of the liquidity/capital ratios and have sufficient room for further growth.

Coming to profitability, while our NII growth is relatively flat, the operating profit grew reasonably well both on a YoY and sequential basis. Other income recorded a robust growth of 75% on a YoY basis and other income to total income share improved by 5% to 19%. Net profit recorded a growth of 10%

The proactive decisions taken in terms of slowing down the growth in unsecured loans, MFI etc is helpful

ng us with a minimal impact compared to industry on the As set quality front. Our NPA ratios are lower on a sequential quarter basis.

We have been generally able to hold on to our guidance on g rowth, ratios and asset quality and this can be taken as an indication that our compounding execution story is playing out well as per the SBS 2030 vision.

In the current quarter, the credit growth will be largely dependent on how the liability growth evolves. For smaller players like us, where the deposit franchise is yet to be fully built and we are working on it, the deposit mobilization at reasonable costs will hav e to be over managed and we have clear action plans there.

On the tech transformation side, FY 26 will be a big year for us be cause post this , we will almost have nothing left in terms of transformation within the bank and will m ove from a very average tech capacity to a probably best- in-class tech capacity during the FY . A lot of work is happening on this front. Last time, our CIO, Rajesh, had given a briefing on this o n the call. If you have

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any questions, we would be happy to answer on that front, but we are completely on track in terms of what we want to do.

Our CBS migration along with OGL, OFSAA and some of the other pieces, w hich we are putting together, will be expected to be completed in Q1 FY26 stabilized by Q2 FY26 and leveraged from Q3 FY 26 onwards . This is a big development for us and we are all excited to look forward to that.

Our distribution strategy is working well. Once the products and process es stabilize post CB S migration, the distribution would look at leveraging more opportunit ies leading to granular growth, helping the bank to deliver consistently in line with the stak eholder expectations. As we talk, we have also started planning our retail assets franchise. This is the one franchise, which we deliberately did not pick up so far. A-because we saw the ma rkets seeing some stress. B is because we are not fully ready in terms of liability acquisition, the entire eco systems and processes have to be in place. Now that we have visibility of the tec h piece, tech transformation in the next 6 to 9 months, we have started our retail assets transformation jo urney now, which will be visible in the next one year, and we can talk about it as we go through the call.

With that, I hand over the call back to the coordinator. Thank you.

Moderator: Thank you very much . We will now begin the question-and-answer session. Anyone who wishes to ask a question may press “*” and “1” on their touchtone telephone. If you wish to remove yourself from the question queue, you may press “*” and “2”. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will w ait for a moment while the question queue assembles. The first question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Thanks for the opportunity and congratulations on a good set of numbers. Couple of questions .

Sir, on the yield side, so on a QoQ basis, if I see your yield has fallen by around 15 to 20 basis point and this is despite the growth being higher on the QoQ basis on the non-corporate segment on gold loan and your retail loans. Your gold loan yield is anyway much higher than your overall blended yield. Sir, what is causing this fall in yield on an overall basis, if you can explain?

Pralay Mondal: Thank you, Suraj, for your question. You are right that the grow th in gold loan has been 36%, which is higher than the bank growth, which is 26%. At the same time, we grew on retail as well as in SME, reasonably close to either 30% or higher than 30%. I thin k the critical part is wholesale, if you take out the DA portfolio and take out the LCBD an d the one or two accounts, which we exited, which were high-yielding, then they have grow n by 30%. What it mean

s is that

we are now looking at low risk businesses and hence necessarily need not be very high yielding business- especially in a cycle like this where we want to be carefu l. If you look at the details of our assets book, degrowth has happened in 3- 4 products, which are all high-yielding products viz, Two-wheeler, Personal loans, Agri, MFI etc. Unsecured portfolio, we h ave degrown big time. All these businesses are somewhere, anything between 12% to 16% kind of a yield or may

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be even higher. Given that perspective, we decided to de-risk o ur portfolio around a year back, and that is accelerating as we are going, leading to some of the high -yielding portfolios moving out. In wholesale, one account itself that moved out was more than Rs. 200 crores, which was yielding us anywhere close to 13%. It was not an NPA & we were earning well. However, as a de-risking strategy, we have moved that portfolio out. When you look at all this, the prudent call, whic h we are taking, be it retail, be it gold, be it SME, or even in SME, our yields have remained

kind of a similar as it was before. We are playing in that range where 90%- 95% of our incremental portfolio is yielding between 8% to less than 12%, including gold where the yield is little less than 12%. That is a conscious strategy indicating that yield maximization or NIM maximization in an environment where there is enough risk in the system is not prudent. Based on our board guidance, we are looking at businesses, which are long-term franchise building and just not NIM accretive. That is the reason we have done this. However, yield has gone down slightly across all the products. More importantly, the NIM compression has also happened because of higher cost of funds and because of that penal interest impact where we lost around 25 basis points and that continues every quarter. While we are getting part of that as penal charges and accounted under other income but that is more or less the reason. In spite of the fact that things are not that positive in the environment, we have managed a 4.11% NIM at this point. I think we are quite happy with this risk-averse kind of strategy, which we have played out.

Suraj Das: Sure sir, thanks for the elaborate answer. In addition, sir, on the gold loan piece, in terms of reporting numbers, have you changed any classification? Because last time PPT versus this time PPT, I think in terms of numbers of the gold loan vertical and retail, I think there has been some reclassification in terms of numbers, both on AUM and disbursement numbers. So, I mean, has there been any reclassification? Then if you can explain that also.

Pralay Mondal: There has been no change compared to last quarter. Some changes we had made in the previous quarter because of regulatory and other reasons. We had moved a business of around Rs. 1,600 crores from Gold loan to loan against securities and we had disclosed that in the call and various conversations. There also the collateral security is fully backed by gold only.

Suraj Das: Okay, sure. Now I was actually looking at Slide #17, which is the disbursement number. I think last quarter in the Gold loan vertical you mentioned that Rs. 6,944 crores was the disbursement. But this quarter, I think Q2FY25 number has been reclassified to Rs. 5,752 crores. So, second quarter number I am saying.

Pralay Mondal: That could be on account of that LAS reclassification that we did last quarter. Probably in the disbursement, we might have changed it this time.

Suraj Das: Sure. And sir, is that the reason that of this, number of accounts in the gold loan business also fallen from earlier reported number of around seven lakh to now 4.8 lakh? Is that the reason also?

Pralay Mondal: Quite possible. Reclassification of LAS could be the reason.

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Suraj Das:

And last two questions sir, one, just a clarification. This CRAR number does not include the interim PAT, right?

Satish Gundewar: For the first three quarters, it is a limited review by the statutory auditors. The annual statutory audit gets over at the end of the year and is signed off. Once the annual audit is completed after the fourth quarter, the profit number will be reckoned for the CRAR computation.

Suraj Das: Understood and the last clarification is in the contingency provision that you were talking about 100 odd crores is that included in the PCR or that is over and above PCR?

Pralay Mondal: Contingency provision is not considered in PCR. We could have easily moved that Rs 34 crores into normal provisions and could have taken the PCR benefit. We said that let us retain it and be risk averse. We will add more accounts to the list if necessary, in future. That is the way we have managed it.

Satish Gundewar: The contingency provision is against standard advances. It is not against NPA. Therefore, we cannot take it in PCR.

Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Capital Investment Advisory LLP. Please go ahead.

Sonal Minhas: Hi sir, this is Sonal Minhas. Good evening, sir. Hope all is good. I wanted to understand the behavior of customers in an increasing gold price scenario. So, typically, as these products, the gold product is low in tenure, what happens for loans which basically reach their termination in an increasing gold price scenario. Do typically customers prepay the loans and they take a new loan for a higher cover and how do you handle LTV for these kind of loans? Just trying to understand that as we speak.

Pralay Mondal: I think it is a great question. There are all kinds of behaviors. In a retail scenario, not everybody does so much of calculation and does things like that. Typically, what happens in a gold price rising scenario, some part of the LTV starts coming down, as we have been taking those loans when gold price was low. In one such scenario, our LTV had moved down from 74% to 70%. It proves that obviously not all customers does that because LTV is going down as gold price is going up. At the same time, there will be some customers who will open new account to take benefit of the LTV by closing the existing one. There are a few customers like that and we have no problem with that because once they are opening, we will get a processing fee again. They are willing to give that because they are getting a higher LTV. Even if you say no to it, they will

go to the next branch and do it from another bank. We do not have a choice. We have to do this. There is a third category- where they sell the gold. They take it away. The reason is that they see the maximization and would like to capitalize that. When I see a sudden spike in gold price, I sometimes see that we lose some customers, or some takeout happens from the portfolio itself. All these things happen. Not necessarily when gold price goes up, business goes up immediately; it goes up after a while. Initially, sometimes it falls as well, which means that some customers

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exit. The fourth type of customers are those who are on the higher LTV band and we exit them making use of this opportunity. Suppose somebody is in an 85%, 90% bracket, we also exit them so that we can bring down our LTV. Like this, a combination of 4-5 things happen concurrently. It is a very dynamic scenario. In general, with gold price going up, LTV comes down.

Sonal Minhas: So, what would be your BT-out equivalent like in the current quarter or in general, when gold prices are up like what would the number be?

Pralay Mondal: I do not have that number and sometimes we will not even know BT because it is not like a BT where people will come and take it out like that. They will just take the gold and

go. Whether he

is going to another bank or he is selling it, he is consuming it, we do not know. However, generally in both scenarios our renewals are similar. We have not done that kind of analysis of how much is BT-out, as it is very difficult to do that. It is a very physical business. We do not know which one is BT and which one is actual closure.

Sonal Minhas: Got it, sir. And any guidance on LTV as we speak? Because just as a precaution, the gold prices are increasing up and the outlook is weak. So, any guidance on LTV?

Pralay Mondal: Whether outlook is weak or not is debatable, because whenever I read various things, almost 70%, 80% of people say that gold prices still can go up internationally. We are not getting into prediction of gold prices. As the tenor of the loan is generally low, this LTV management through prices does not happen that much. I can say that we hover anywhere between 68% to 75%. As a part of our business is Agri portfolio, we can go up to 85% as per the internal policy. Given that, it goes closer to 75%. Generally, it remains between 70% to 75%.

Sonal Minhas: Understand that sir. I will come back in the queue. I have three more questions. Thank you.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Thank you for giving me the opportunity. My question was on LTV only, so what is our disbursement LTV, in retail gold and in agri gold loans?

Pralay Mondal: As per regulatory norms, LTV in Retail Gold Loans has to be below 75%. For Agri, there is no cap from a regulatory perspective. Generally, as per our internal guideline, we try to keep it within 85% and when we say LTV for retail, we include the interest as well. Hence, it is a conservative LTV calculation that we do. On an average, it is well below 70%, for retail. For Agri, it will be somewhere around 75% to 85%.

Shreepal Doshi: One more question here, within the gold lending portfolio, there has been a sharp decline in number of loan accounts. So, just wanted to understand what is the ticket size that we are focusing on in the retail and in agri loan? Is there a focus on ticket size or we are open to taking any sort of ticket size?

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Pralay Mondal: If you look at the decline between Q3 FY24 and Q3 FY25, on a year-on-year basis, it could be due to the reclassification of LAS portfolio from Gold to retail, though the loans have gold as collateral

Shreepal Doshi: All right, got it sir. This is helpful. Sir, just one last part. So, in gold, what would be the average ticket size for retail products and for the Agri gold loan?

Pralay Mondal: I think our gold loan ticket size is somewhere around Rs 2 lakhs.

Shreepal Doshi: Yes, got it. Just one last question. As a policy or as a strategy in the gold financing, do we try to maintain 75% LTV throughout the loan tenure or only at the time of disbursement we keep an upper cap of 75% and then we do not really track it during the tenure of the gold loan?

Pralay Mondal: Gold loan is a very complex business to run on a day-to-day basis. Let me first clarify on the ticket size, which you talked about previously. I suddenly remembered that now as per RBI regulation, agri gold loan cannot be below Rs. 2 lakhs as we cannot take security; previously this used to be Rs. 1.6 lakhs. Accordingly, anything below Rs. 2 lakhs we are taking under general category as agri gold loan has to be necessarily above Rs 2 lakhs as per regulation. Coming to your question on LTV management, yes, while it is done at the time of initial disbursement but RBI regulation is that it has to be maintained throughout the tenor. Hence, we have to keep monitoring it and whenever it is going above 75% for retail gold loans, we have to go back to

the customer and either take more gold or take more money to reduce the LTV.

Having said that,

that is why we keep some buffer in the system, so that we do not have to keep going for Rs. 100

up and Rs. 100 down . For Agri, this LTV stipulation is not there. We manage it accordingly

Shreepal Doshi: Yes, right. Just a follow up there. So, we would have a bullet repayment option for agri whereas for retail bullet it will be typically EMI structure, right?

Pralay Mondal: Bullet repayment has nothing to do with agri or non-agri. We can have bullet repayment on both because we are calculating the LTV accordingly . For our internal reasons we generally like to keep it within 85% for Agri Gold Loans because that is our own way of managing risk.

Shreepal Doshi: Got it. Thank you so much sir for answering all my questions and good luck for next quarter.

Moderator: Thank you. The next question is from the line of Mona Khetan from Dolat Capital. Please go ahead.

Mona Khetan: Hi sir, good evening and thanks for taking up my question . So, firstly, on the corporate book, now that I believe that the corporate book rejig is nearly done with, I was just looking for some color on the book, like where is our average ticket size on this book and what would be the average yield and also maybe how many exposures are above Rs. 100 crore at this point. And where would you like to maintain your average ticket size in the corporate book?

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Pralay Mondal: The average yield varies between 9% to 9.5%. Rest of the questions, which you are asking, is very much detailed. We generally do not share that level of detail like how many customers are above Rs 100 Cr etc in the public domain. Given the perspective that our overall book itself is so small, it is not that too many customers will be above Rs 100 and 200 Crores. We do not have that data in the public domain, so we will not be able to share it.

Mona Khetan: Sure. But some color on average ticket size will really help or the range of your ticket sizes?

Pralay Mondal: Our norms within the bank is that generally anything above Rs. 50 crores and above Rs 75 Crs for better rated companies goes to our Management Committee of the Board for approval . Most of our corporate loans goes to Management Committee. Then rest you can deduct.

Mona Khetan: Got it. Secondly, on the fee side, so again this quarter we have seen very strong growth as you highlighted. So, I just want to understand how much of it is retail granular fees and is there some component of corporate fee as well in this thing and where would this ratio remain on the fee side? And could this sort of growth trend continue on the fee side for first half this year. Thank you.

Pralay Mondal: You have seen that our fee growth has continued and has been consistent. On the growth, we grew by over 75%. Around 19% to 20 % of our overall income is coming through fees. The core fee, which is granular and scalable, is around 15% of that. Another 4%, it depends on things like PSLC commission, some one-off here and there, etc. Hence, 4 % is one time, it is not even one time, every quarter we will get it, but it's not a business linked kind of a fees, it is not granular kind of a fees. Therefore , on that I can tell you that 15% is very clearly granular fees, which will have a compounding growth story. Broad heads are processing fee, commission on bancassurance, some credit card related fees etc. These are the broad larger lines, which are there. TFX is also there. There is no chunky corporate fee as such out there. Mostly it is granular and mostly scalable which we will see in fourth quarter also . Our fee business will be good.

Mona Khetan: Sir, this entire Rs. 200 crore, there is no corporate component but there is only 4% of the fee that is probably one time.

Pralay Mondal: PSLC commission is one of those incomes, which is the largest income in that 4%. PSLC income can come every quarter also.

However, PSLC is not a business fee. That is why I do not consider it as core fee.

Mona Khetan: Got it. And just finally, on the gold loan book, so any impact on the growth that you're anticipating in view of alignment with RBI norms in the same quarter?

Pralay Mondal: I had responded to the same question last time and I am repeating it. We had done so much of work on our gold loan portfolio in the last 1 or 2 years that we could have implemented that 30th September circular in the next seven days itself . Because we were almost ready on all the points which were communicated there. Only one part of that is a continuous process, which is how

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many audits you are doing, what are the operational efficiencies you are creating, what controls you are building on a day-to-day basis etc. Other than that, we are ready with almost everything. As on 31st December , as per the timelines stipulated in the circular, we have also communicated to RBI about our compliance to all the points . Hence , it has not impacted us last quarter, I do not

think that the circular will impact us this quarter or in future. We are quite comfortable in adhering to it.

Mona Khetan: Sure. And what would be the risk weight on Agri gold loans versus retail gold loans? Is there any difference?

Pralay Mondal: Actually, there is hardly any risk weight on gold loan business and it will not be material

Mona Khetan: What are the risk weights against gold loans, just to refresh?

Satish Gundewar: Mona, the RWA consumption on the gold is minimal, because we get a set off on the value of the gold after doing a haircut. Now, in the overall portfolio also, we always maintain an LTV of 75%. After we do a haircut, that value is compared to the outstanding and only whatever is remaining as balance that is risk weighted. After doing haircut also, generally there is no exposure, which is in excess of the collateral that we are holding. At the overall portfolio level also, the RWAs are very low, so the capital consumption is minimal in gold loan.

Mona Khetan: Okay. And then I look at the slide 16, there is a sharp decline in number of gold loan account, even as the gold book has grown from 5.2 lakhs to 4.9 lakhs.

Pralay Mondal: I answered it before, I do not know, you might have joined a little late. Let me quickly answer this. The reason is, if you remember last quarter, we had showed that roughly Rs. 1,600 crores of portfolio moved from gold loan business to LAS, Loan against Security, for some regulatory compliance reasons. We do not classify them under gold loan; neither have we taken benefits of gold loan under that. For that reason, those accounts also moved from gold loan to retail. That is the difference. That happened last quarter.

Mona Khetan: Yes, sir. I get that. So, that number was about 7 lakhs. The earlier reported gold loan account, which has come down in the new reporting to 5 lakhs. So, even adjusted for that, the number of gold accounts were actually fallen year-on-year. So, how do I read this? It's based on the new reporting, both these numbers, the year ago as well as this quarter number?

Satish Gundewar: Last quarter, this slide on the gold loan included LAS portfolio whereas now we have re-categorized the LAS portfolio included in this slide

Mona Khetan: Sir, I totally get that. I am referring to today's, this quarter's presentation, where you have given last year's number, which is at 5.2 lakh number of accounts and this quarter, which is Q3, it has fallen to 4.9 lakh account. So, I am assuming both these are referred to new reporting adjusted for the last quarter. If I look at Q3FY24 presentation, this number was above seven lakh

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accounts. So, it has anyways come down based on your new reporting because you have also reclassified the loan book.

Pralay Mondal: Let

us do one thing. Let us clarify this offline, as we are not able to understand the exact thing.

There could be other reasons. Let us figure it out. She is saying if you have corrected the number that would have been corrected from both periods. Let us find out what is the reason. Mona. I will check this out.

Mona Khetan: Sure. Thank you. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Shivaji Thapliyal from YES Securities. Please go ahead.

Shivaji Thapliyal: Yes, thank you. My question is again on the gold loan market as such. So, this RBI advisory that we had seen as of September end, I just wanted to understand what is the early feedback in terms of is there any market share shift going on, maybe from NBFCs to the regional banks because this RBI advisory is kind of targeted or maybe it is affecting NBFCs more because they are the ones which have not so far properly followed, fallen in line in terms of the processes or what is your reading of the gold loan market as such?

Pralay Mondal: Thanks, Shivaji. Before answering, let me just try to address Mona's question once because I think I got the response. What could have happened is, you are right, that there has been drop.

The reason could be that RBI circular I think covered that accounts less than Rs 2 lakhs cannot be considered as agri gold loan anymore because you cannot hold collateral against that.

Accordingly, we might have exited accounts; but it did not impact the book. What typically happens is such small ticket may not impact your overall portfolio, or some of those customers could have brought in larger value to come under this new guideline. Because of that, some numbers would have exited because we could not have classified them under Agri gold loan anymore. If we did not give it as Agri gold loan, they would have exited us because he will not get the LTV what he wants. Given that perspective, there could have been some exits. That is what I am guessing, but we will do a more detailed analysis of this question. This looks to be the most obvious reason because we did exit many accounts from a below Rs 2 lakh collateral perspective. This happened this quarter, so it could be that number.

Now coming to your question, Shivaji, we do our business, so we do not necessarily try to capture market share based on some regulatory reasons or some arbitrage here or somewhere else. We just follow execution, and our market share is not that big that if there is an impact like

that in the market, we will get a lot of business. Frankly speaking, the answer is I do not know. What we know is our business has not been impacted because we were ready with most of the measures, which were taken as indicated in our various supervisory reviews, audits, inspections etc. From that perspective, we are comfortable that these measures, which have been prescribed as of 30th, September has not impacted us overall as a business, which we will show in the fourth quarter. Yes, for example, what Mona was asking about the dip in number of accounts that could

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have been exited because they are small ticket accounts, which were classified as Agra i. That would not have impacted the portfolio and on the portfolio size, we have grown. Like that, some small little impacts will be there, but otherwise broadly I do not think positive or negative, we do not look at it, and we just focus on execution. In the process what business comes, comes. We do not try to find that gap in the market and try to address that, those are too much strategic thinking, we just focus on execution.

Moderator: Thank you. The next question is from the line of Parag Shah from Knightstone Capital. Please go ahead.

Parag Shah: Thank you for the opportunity. So, my question was on the tech side. I understand that the tech transformation is going to take something like

2-3 years. But in this phase, how will the cost to income look like? So, while this transformation happens, OPEX has been already incurred, or will it be incurred over the next 2-3 years linearly. So, how will the cost to income look like for the next 2-3 years while this transformation is taking place?

Pralay Mondal: Yes, great question. Typically, what happens from this transformation is; whatever can be taken as CAPEX is taken as CAPEX. Not everything can be CAPEX. Typically our tech spend has been somewhere around 8% to 9% of our overall OPEX. We believe that some of these CAPEX when they move to OPEX, along with that comes AMC also, which comes as an additional OPEX. When you do that calculation, we look at the TCO ownership and we look at it how it impacts our cost to income over the next five years, because CAPEX generally we do it for five years. Given that perspective, we have seen that it will remain in that range of anything between 8% to 10% of our overall OPEX, because once it moves from CAPEX to OPEX, AMC comes, and it all adds up. Finally, we have to keep our tech investments planned in between 8% to 10%. We are somewhere around 9% right now.

Parag Shah: Got it. And this will remain in the 8% to 10% range till FY27, I presume?

Pralay Mondal: Probably forever. We do not know.

Parag Shah: And next question was on the retail side. So, you said that you have de-grown or then conservative in the unsecured part. So, which side of the segment you are looking to grow? Like is it LAP or affordable housing or are you looking to grow in the unsecured as and when the scenario changes?

Pralay Mondal: See, the way we are doing right now is, we are not growing that much in retail except for few strategic businesses like in CV/CE on strategic segments where you don't get that kind of a yield but we want to be playing in that space. Hence, CV/CE is growing. LAP is growing because that is a segment, which will continue to grow forever, and it is like a SME business. Wherever we have visibility of the end-use, end-customer, collateral, everything, we do those businesses more aggressively. We try to do business through the in-house channel. We do not believe too much into DSA businesses, though there are some DSAs doing businesses in LAP, but we will

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gradually decrease it over a period. However, the roadmap in the long run is not product-centric. Roadmap on the long term is that we will have all businesses and all products, and based on the liability franchise and the customer acquisition we build it in and around the branches. Customer deepening will happen to get a decent wallet share. That is the way we want to build our retail assets business. We do not need retail assets business to show or to build at 25%-30% growth. Our liability franchise will not grow if you do not give them payments products, if you do not build wealth businesses, if you do not build retail asset businesses. That is why the entire bouquet of products has to be there. That is the way to go. Growth will come from LAP, CV, CE as we grow, auto inventory funding, because we want to have a visibility of the end use and the end collateral. Only when we know the customer well, will we do businesses little more like auto, then personal loans and all of this. That is the long-term plan of the bank. Even if we do this right, because the acquisition will be so huge, FY27 onwards, that cross sell there itself will build our retail assets portfolio, which is not on the productive asset side, but on consumption asset side. That will go to the existing customers based on the new acquisition we do. That is a clear roadmap and clear strategy laid out. We are starting to build our strategy on credit

collections, products, processes, technology, everything on the retail asset side and that story has just started now. It will take a year for

us, and we will take off once the entire tech transformation happens, when the customer acquisition side of the story starts picking up and then the retail assets will grow.

Parag Shah: Got it, that was helpful. And sorry for repeating the question, but again on the cost to income side, so you said that you will continue to incur around 8% to 10% OPEX. So, how will the cost to income trajectory go below 50? It's not clear to me. Can you just explain that?

Pralay Mondal: I will explain. I think if you have to run an efficient bank and if you have to actually bring down your cost to income, you have to incur 8% to 10% of your technology cost because you have to automate everything. Because people, productivity, all of that will happen only when we are making the person productive through on the go, mobility on his hand, better customer service. Why should the customer come to us and ask for more products? Why will he build more balances? He has three other options in his hand, in his wallet. It will only happen provided I am able to give a better service. I am able to cross sell better. I am able to on the go, understand what the customer needs. I am able to do better analytics. I am having a better turnaround time. All of that stuff will require that kind of investments. Actually, investment in technology prudently will help us in having a multiplier effect on productivity, which will reduce the cost to income. What it effectively means, business per employee will go up, productivity per employee will go up. We will have happier customers and profitability will be much higher. That is the way we want to build that franchise. This is a classical method that larger banks and more successful banks have done. We are not doing anything so special. We are just following the best practices in India as well as globally. I think 8% to 10% technology spends prudently is a great strategy by reducing operational costs. If you have more products per customer, whether it is the wholesale side or on the retail side or on the SME side, automatically your operating expense comes down because cost of servicing and cost of manpower comes down. That is the way we also want to build the franchise.

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Parag Shah: Got it. And just to put this another way, so are there any one-time expense which you have taken this year or are going to take next year?

Pralay Mondal: Most of our heavy lifting is sort of done now. Now, you will see primarily the trickling down effect through the CAPEX to OPEX route only. There is no one-time expense. All our leadership is in place right now. We do not have any more leadership to be hired in the bank right now at a senior level. Most of the heavy lifting has been done. Now they have to deliver.

Parag Shah: Okay, thank you. Those were all my questions. Thank you.

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening sir, I just wanted to better understand your medium term sort of an ROA. So, the way I look at it is that right now you are very heavily focused into gold loans and there you are incurring minimal credit cost. So, your credit cost is like 0.1% for 9 M or something like that.

So, now as you grow and you increase your mix into other products, whereas of now your yield is lower, so your yield is probably going to come down overall because your gold loans are at a higher yield. Your cost to income is sticky and looks like it will remain at the same level. And your credit cost is also probably going to increase as you grow into other products. So, what are the levers you are seeing to increase this ROA if at all you have the aspiration of increasing or do we feel that this can be maintained also?

Pralay Mondal: I will try to explain this. I think our ROA, what I have told is somewhere around 1

.5% to 1.8 %

range. I think given the overall environmental challenge right now, we will stick to somewhere around 1.5 to 1.6 % at this point of time. It will start going up from FY28 onwards again. I will tell you how. When gold loan is slated to be around 20% of the portfolio eventually by 2030, which is around 45% right now. The reason it will happen is along with gold loan, which is low on loss, high on yield, and operating cost is also very high, thus leading to higher Opex.

One of the reasons our business per employee, which is Rs 8 lac, is one of the lowest in the industry is also because of this gold loan business. Gold loan related opex is also apportioned to the branch cost. The fact is that in wholesale business, our Group Head in Wholesale Manish tells me that he can do 2% ROA business. It is possible that every business, when I was doing my retail assets business many years back, I used to do RoA business which was much higher than 2%. The reason the way it happens is that one customer has to have multiple products. In wholesale, for example, you will get an account or get into a relationship at maybe 8% or even lesser. But then you build the entire ecosystem banking there, cross-sell and other products, other businesses, collection accounts, so many other things, and then supply chain, i.e., you'll get more

business. In the process, over that account level, you will get ROA. Similarly, in a corporate salary business, which we do not do here now, but we will launch that once we are ready. Corporate salary business, you do not make money through liability, by the way. You make money through cross-sell on fees, on assets, cards, and all of this. The banking business is not

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about a single product business. Unfortunately, we have become a product company because we are 50% gold or 45% gold loan. Eventually we have to travel the journey and the whole reason of investing in this kind of technology and leadership and distribution and customer acquisition, all of this, is to move from a kind of a single product to a multi-product system. Because then you have a bouquet of products to customers and the whole idea is to get better cross-sell, better penetration per customer, whether it is wholesale, SME or retail, and then get the ROA up. Let me tell you, by the end of FY28-29, once technology has gone live and is chugging along very well, that is the time we will launch Wealth Business. Wealth Business will make a lot of money provided you start addressing the medium to top end of the pyramid. There is a lot of money to be made there as well. Most of the retail banks, 20% of the customers contribute to 80% or 100% of the profit of those banks. We are non-existent out there. We will build those portfolios also by FY29 onwards. We will start building that. There are many levers to create an ROA tree. We have done it in the past in other banks. It is not that we have not done it. We know how to do it. It is difficult to have a visibility right now because we are seeing CSB as a single product bank, which will not be the case after FY 27-28.

Sarvesh Gupta: And for building all these new lines of products and businesses, generally, again, for every business, it becomes a multi-year journey where you start with more than 100% cost to income, and it will take some while for it to become profitable. So, will that not impact your profitability, as you want to develop into Omni product and multi-channel sort of bank?

Pralay Mondal: I am glad you asked this question, because this is exactly the mind set of a product company. You can look at a product company or you can look at a franchise. When you look at a franchise, I am not looking at product profitability; I am looking at a customer. My model is; I will give the customer what he wants. I will not go to a DSA and tell him to build an auto loan

business

for me. I will not go to a dealership and say, build an auto loan business for me, or go to a DSA and build a personal loans business. That may never be profitable as far my experience goes and in a cycle, you will lose that business. The way we will do it is that all products will be there. There will be a single channel, which will deliver to the customer. There will be other support teams, whether it is an asset team or cards team or a fees team, which will help. Customer will be at the branch level. The monitoring will be for customer-level profitability and not at a product-level. Unfortunately, many places I have seen that people work in silos and in silos; these products take time to breakeven. But the day we work with customer franchise, through branches and internal channels, that is the day you do not incur those costs, which you otherwise incur. Our model will be like this. Everybody else will support the front end who is meeting the customer or servicing the customer. If you take that model, then that is a shift from product-centric mindset to customer-centric mindset. I have built this model in past in other banks, and this is how it works. I have no doubt that our growth will be faster from FY27-28 onwards because liability acquisition and other cross-sell will accelerate. Liability also is not a different business. Liability happens because other things are happening and hence liability is an outcome. That is how we have to build the franchise. I am talking about retail because I know that more. WSB and SME team also will work like this. The more we leverage, the more we penetrate the customer, the more money we make. Even if one product does not make money that does not

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matter, overall impact will be seen. We will build a franchise model. Today, unfortunately, we are a product bank. That is the reason why even a 1.5% to 1.8% ROA is also looking difficult. Sarvesh Gupta: Understood. Finally, on your margins, so now, if I look at last 12 months, obviously, now there are constraints on the CD ratio and hence you had to take a lot of bulk deposits, which has probably hurt your NIM. Instead of growing at such a rapid pace to achieve the same result thereby taking more risk and incurring higher operational cost, would it be better to grow at a slower pace without taking bulk deposits because the end result in terms of absolute profitability would probably remain the same.

Pralay Mondal: I am glad that you asked this question. It gives me an opportunity to explain our strategy again. Our strategy here is not to maximize short-term profits or NIMs. Three years down the line, four years down the line, what people will see is the franchise that we have built. If there is an opportunity to do a business, if there is an opportunity to penetrate a corporate account, if that is

penetrated to build a market where I can acquire customers, we will take that. If there is an opportunity to get into SME segment where I want to be, should I stop doing that just because I do not have a liability franchise today? We have to fund such businesses, which are a long-term franchise strategically. However, do we want to show business by going to a DSA and doing a personal loan business or some other business just to show a top line? The answer is no. Because for engaging them, I agree with your view that if I do that, I will end up in higher costs. We are prioritising liquidity and safety. After all of this, we have still achieved a NIM of 4.11%, which is not so bad. In my previous stint in one of the larger banks, NIM used to be in the range of 3.9% to 4.2% all my life. Look at our LCR- it is above 130% on the quarter end and 119% on average. Our CD ratio, where many large banks are struggling, is 86%, which is not so bad when we are sitting on a borrowing, which is 12% of our portfolio. Just think how

much liquidity we

are sitting on. We do not want a liquidity risk and I do not want a situation where if Manish and Shyam tomorrow tells me that I want to do this business, it has to be supported from a liability perspective. I have to support them because they are building a franchise, we are building a franchise. Once we build that, eventually we will make profits out of that based on the relationships, which we are building. Our strategy is a little different. We are not in the NIM maximization game. We are not in shoring up top line at this point of time. We are building a long-term franchise which we will kind of leverage from FY29 or FY 30 onwards. Our thinking and strategy is slightly larger than our current execution optically. We do not want to play a niche strategy, which I have told many times. This is not our niche strategy saying that we will maximize NIM, we will remain small and we will do this. That can also be a strategy, but that is not what we intend to do.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. I would now like to hand the conference over to the management for closing comments.

Pralay Mondal: Thank you. First of all, to YES Securities, Shivaji and team for hosting us. We had a fabulous set of questions and some questions made me think for a while before I finally gave the answer. I think we have been able to satisfactorily give a response to most of the questions. Thank you

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again for asking very good set of questions and look forward to see you at the end of Q4 again.

Thank you,

Moderator: Thank you. On behalf of YES Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

"CSB Bank Limited
Q4 FY2025 Earnings Conference Call"

April 28, 2025, 05.30 PM IST

MANAGEMENT : MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to CSB Bank's Q4 FY '25 Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you Rutuja. Good evening and a warm welcome to all those who have joined the call. The CSB Bank's management is represented by; Mr. Pralay Mondal, Managing Director and CEO; Mr. B.K. Divakara, Executive Director and Mr. Satish Gundewar, Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you Shivaji and good afternoon, everybody. I will give a brief understanding of the global scenario and then quickly move on to CSB's specifics. Globally, I think all of us know that the uncertainties have risen significantly in the last one quarter. It is reflected in the movement of interest and currency rates and commodity prices.

Bank of England and ECB have cut the policy rates and are likely to cut even further. However, FED may take a wait and watch stance for the time-being. The tariff negotiations are likely to impact global growth adversely and may become inflationary for the US as well.

Indian economy is not insulated either from the global uncertainties and will also be impacted to a considerable extent. RBI has taken proactive steps in managing the liquidity. Banking system has remained in surplus liquidity since the last fortnight of March '25. A series of OMOs aided by benign inflation expectation has also brought the G-Sec yield curve down. The money market curve and CD curve have moved down by 50 to 100 basis points during this period.

The final LCR guidelines have smoothened the liquidity pressure. RBI has also lowered the growth expectation for the financial year to 6.5% from 6.7% earlier and have started to cut repo rates to boost the domestic consumption.

Taking a cue from the ongoing tariff war and consequent uncertainty, IMF and World Bank has lowered GDP estimation to 6.2% and 6.3%, respectively. We expect the liquidity condition to ease further and more reduction in policy rates is on the cards, in this financial year.

Coming to CSB specifics, let us start with profitability. The net profit for the full year FY '25 stood at INR 594 crores, which is 5% growth on a year-on-year basis and Q4 FY 25 on a stand-alone basis was at INR 190 crores, which is 26% growth vs Q4 FY 24.

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Operating profit of the bank for full year is INR 910 crores and Q4 FY '25 is INR 317 crores with a growth of 17% and 39% on a FY and quarterly basis, respectively. Other income registered a 94% growth on a quarterly basis and 66% on an FY basis.

Other income constituted 21% of the total income for FY '25. On the cost-to-income side, the ratio is showing a declining trend on a sequential basis and stood below 60% for Q4 FY '25 at 57.92%. Cost-to-income ratio for the full year stood at 62.82%, which is almost in line with last FY.

NIM could be sustained above 4% on FY basis at 4.13%, in spite of the higher interest rate cost looming in the system. NIM for the quarter is marginally below 4% at 3.75%. I'm sure there will be questions on this, and we will respond to them at the relevant point of time.

ROA stood at 1.79% for the quarter ended 31/3/25 and 1.53% on a full year basis. Bank is holding the contingency provisions intact and is continuing with the accelerated loan provisioning policy.

On the liability side, we had a robust deposit growth of 24% year-on-year; amid a slow-paced industry growth of around 10%. CASA grew by 10% Y-o-Y and CASA ratio stands now at 24.19%. We complemented our funding with FCY borrowings and refinancing based on cost considerations. This helped us in maintaining the LCR at comfortable level. However, some cost escalation happened for a few months because of the hedging cost, which we can cover through the conversations later.

On the liquidity front, we could efficiently manage the liquidity risk. We were careful because of the uncertainties in the ecosystem. CD ratio stood at 86%. Average LCR for the quarter is 124% and NSFR ratio was at 121%.

On the asset growth, net advance grew by 29% Y-o-Y- which is higher than 2x times over industry growth of 12%. All the verticals have started contributing towards the asset growth, and this is the highlight of this quarter and hopefully going ahead. Gold portfolio registered a growth of 35% Y-o-Y. Retail assets excluding gold grew by 24%. SME continued with the growth momentum and registered a growth of 33%. Wholesale banking portfolio grew by 22% despite the impact of liquidation of almost the entire DA portfolio, which degrew by 89%. Corporate loans on a stand-alone basis grew by 44%. Yield on advances for Q4 FY '25 is at 10.98%.

Asset quality ratios are stable. GNPA and NNPA ratios for the quarter was 1.57% and 0.52% as against 1.58% and 0.64% respectively with a mild improvement on a Q-on-Q basis. PCR now stands at 83.71% with PWO and 67.19% without PWO. We have significantly improved on PCR compared to last quarter where it was ~ 60% without PWO. Bank is holding a provisioning buffer of around INR 185 crores over and above the regulatory requirements.

On the capital adequacy front, our CRAR ratio was 22.46% with a Tier 1 ratio of 20.59%. We have a low proportion of risk-weighted assets compared to the industry. On the shareholder value creation, book value per share is at INR 249. EPS for the year is INR 34.23. ROE for the year is 15.44%.

We expanded our distribution network to 829 branches and 791 ATMs as of March end. We have added 56 new branches during the FY and merged 6 branches as a part of branch rationalization.

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In conclusion, I would like to say that our top line, both deposits and advances showed a strong sequential and YTD growth. In Q4, our focus was slightly more on the deposit front given the liquidity conditions prevailing in the system. We could manage the funding part effectively and maintained the liquidity ratios like CD ratio, LCR, etc., at comfortable levels. The asset verticals also contributed to the liability growth by way of self-funding. CASA also registered a yearly growth of 10%. On the advance front, it is heartening to note that all the verticals have shown consistent growth, signaling the journey that we are targeting as a part of our SBS 2030 vision. We are looking forward to modernization of our entire tech stack, and this is the biggest excitement that's going on in the bank right now. And through the call, I'll cover some of this in detail. We are migrating our CBS to Oracle system along with the implementation of various surround systems. Everything in the bank is changing as it comes to the tech stack, and this will help us in targeting new segments, new businesses, transaction banking, wholesale banking, retail assets scale up etc. Going ahead, each vertical will have the levers to grow at a larger pace once the tech transformation is completed.

Building of the customer franchise journey will really start at the end of this tech

transformation,

which at best will be done in the next 3 to 6 months' time. This will be a big year for us, and we'll be laying strong foundation for materializing our long-term goals. Towards executing this right, we are working as one team and ensuring participation of all staff members. From a digital perspective also, we are changing the UI/UX. We are going for the OBDX platform.

This FY is going to be more eventful as we have to do lot of balancing act between growth, cost,

profitability, etc along with the migration process. The pace of network expansion will remain at least at par with the last FY. We will strive to maintain our guidance on key parameters and endeavour to deliver consistently quarter-on-quarter. In short, our SBS journey, which we started in FY '22, is in the last phase of build journey, and our scale journey will start from FY '27. From FY '27 to '30, it is mostly execution and scaling.

With that, I hand it over for questions. Thank you very much.

Moderator: The first question is from the line of Dhaval from DSP Mutual Fund.

Dhaval: Thanks for the opportunity and congratulations on the good performance. I just had two questions.

Moderator: I'm sorry to interrupt you, Mr. Dhaval, we are unable to hear you clearly. We'll move to the next question, which is from the line of Suraj Das from Sundaram Mutual Fund.

Suraj Das: Sir, two - three questions. First one is on the fee income. This quarter, the fee income has been very strong. If you can give some rationale and the sustainability of the same?

Pralay Mondal: You want to ask all the questions together or one by one.

Suraj Das: Okay. So that is one. The second one is on the slippages part, slip pages again, I mean quarter-on-quarter has seen some uptick. Is this because of the MFI book? I think that book was minimal for you.

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Thirdly, I think you were saying something in the opening remarks in terms of hedging and all. So, if you can explain that, I mean, what has been that thing? And is that the rationale behind your cost of funds increasing higher than the cost of deposit this full year?

Pralay Mondal: Thanks for your questions. I will take the first one first, which is the fee income. We had a very strong quarter on fee income. The primary drivers of this fee income is insurance, transaction fees etc. In wholesale, when you see it's a 22% growth, this quarter itself, we have grown from INR 750 crores of disbursement in Q1 to almost INR 1,900 crore disbursement in quarter 4. Along with this, some transaction banking fees has also come in. Thirdly, treasury income has also been good for us this quarter. Fourthly, we also got some PSLC benefits out of our gold loan, Agri and other PSL qualifying portfolios. A combination of all these and other usual income lines like liability, credit cards, retail assets, processing fee etc helped us in overall fees collection. Gold loans also contributed to the processing fee significantly. It is a combination of 7 to 8 items which has contributed to this growth. But within this, gold, wholesale banking, treasury, PSLC and insurance - these are the 5 major items.

On treasury, I will combine this point along with your last question, which is hedging. None of us knew that liquidity would get comfortable by the end of the quarter. Being a very risk averse kind of a bank, we didn't want to take liquidity risk. We created enough buffer in terms of liquidity into the system and this happened (a) through deposits (b) through CDs (c) FCY borrowings and (d) through other borrowings like SIDBI refinance etc. We were sitting on a little bit of excess liquidity for the first 2 months of the quarter. In addition, most of the forecasts, which are expected to happen on the asset side came during quarter end, especially the wholesale business. A part of SME also happened towards

end of the quarter. This excess liquidity created some challenge for us in terms of margins. In the money market, you don't get that kind of a yield. We were effectively working on very low spread there. But during the process, we did some trading and gained on a mark-to-market basis. After growing 30% year-on-year on advances, we are still having an LCR average of 124% for the whole quarter - what we lost on the NIM side, we gained on the other income side. But this is kind of a one-off. It happened because (a) G Sec yield curve came down; and (b) we were sitting on excess liquidity.

Coming to the hedging, we have a funding mix comprising of 13% of borrowings. Out of that, almost 8 to 9% is FCY borrowing. Because of the global uncertainty, tariff war and all of that happened, the hedging costs went up because of which, while we are expecting the FCY borrowing cost to come down as these are all SOFR linked, SOFR didn't come down that much last quarter and hedging costs temporarily went up, which took our cost of funds a little higher. This is one of the reasons for our overall NIM compression. But that we made good through other income, through the treasury.

On slippages/provision point, we had some slippages. It is a combination of 2 - 3 things. There are some migration provisions which happened this quarter as part of the planned provisioning. Our unsecured book, which we had stopped sometime back like PL, 2-wheelers, Agri, MFI etc, which we sort of call either unsecured or pseudo unsecured had some slippages. Here we take a larger provision - like 50% immediate provision. The migration provision of this portfolio will also be higher impacting total provision amount. Here the good thing is that this is starting to come down. The retail unsecured book share is less than 3.5% for us right now. We also took some prudent provisions over and above the internal accelerated /RBI policy prescriptions since our overall

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business has been reasonably good. One example is the additional prudent provision hit we took on the security deterioration of few accounts which is not required normally. It's a combination of 3 things. One is the migration provision that significantly increased this quarter and which was planned. Secondly our unsecured book had some slippages between credit cards, MFI, PL and other unsecured book and we took upfront 50 % provision. Third is the prudent provisioning that we took for the security deterioration for few accounts. A combination of these 3 and slightly higher slippages lead to higher NPA provision for the quarter. But we are confident that we should be able to do better than this in FY 26 . Overall slippages were around 1.19% in Q4. But if you look at it previously, our slippages in March quarter last year were 2.16%. June quarter was 1.64%. September was 0.93%, December 0.85%. Despite what we have done, it has come to 1.19% in this quarter . It's not that it is significant, but yes, it was slightly higher, and this will start coming down from next quarter onwards.

Moderator: Next question is from the line of Dhaval from DSP Mutual Fund.

Dhaval: Congrats on a good quarter. I just had a couple of questions. First was relating to the margin trajectory, some of that you explained in the earlier answer. But just directionally, how do you think margins move from here on for, let's say, the full year FY '26, and if you can give some qualitative comment about first half and second half, that would be useful.

And the second one is on the fee income side, you talked about several factors driving the fee income delta last quarter to this quarter. If you could just sort of normalize it from a one-off that you called out. How much of this is sustainable when you think about FY '26 over '25? Like would we see similar to asset growth from this base? Or it should be lower or higher.

Any comments

around that would be quite useful.

Pralay Mondal: Your first question was on NIM. In addition to what I said, our overall business mix is changing. The wholesale business has started picking up. While the total WSB book has grown by 22%, corporate loans grew by 44% on a standalone basis. Incrementally, I just shared that from INR 900 crores of disbursement last quarter, this quarter, we have additionally disbursed almost equal amount or more . That is one impact. Of course, that helps in many other ways, including fees and other income, but it also does not help NIM necessarily. It helps cost to income also, but it doesn't help NIM, that's one.

Second part is that this year, there has been some slippages. Once we have those slightly higher NPA, NIM gets impacted, by way of interest reversals. The third is that we have decisively pulled back on various high-yielding businesses, like PL, Agri, MFI etc considering the systemic stress . When we're de-growing those businesses, the high-yielding businesses is coming down as a proportion. When you look at business to business, like wholesale, what is the yield, SME, what is the yield, retail other than gold what is yield, gold what is yield, all of that is holding, but our overall yield is coming down because of the business mix change . This is a part of a journey, which we had expected and which we are doing decisively.

The fourth point is the higher cost of funds which went up primarily because of liquidity issues. Some of the FD costs were slightly high and also as I just mentioned about FCY borrowing cost and the hedging cost.

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The other thing was the idle cash we had for the initial 2 months of this quarter. Though treasury made some money on the other income side, the interest margins were negatively impacted.

Overall, it neutralized and hence from an ROA perspective, there is no change.

Now giving the perspective on what lies ahead, I think from a NIM perspective, we have definitely hit the bottom. We will not go below where we are right now. But on a year-on-year, the NIM is 4.13% and we need to see. Our NIM for this quarter is 3.75%, and for the full next year, the guidance will be somewhere in between 3.75% and 4.00% and probably somewhere close to 4% is what will be there.

What was your second question?

Dhaval: Sir, second question was just possible to quantify the one-off...

Pralay Mondal: Fees are sustainable. What we didn't do is, we didn't book the full treasury MTM as we are conscious that G-Sec yields will continue to come down . Given that, we will have significant opportunity to book other income in this financial as well, which is FY '26. What we did is, the idle cash, which was lying around was used for some trading which sort of neutralized the impact between NIM and other income. But I think that on a broad basis, we don't see any fee income coming down next year, if at all, we'll grow on top of this fee income quite handsomely .

Dhaval: Understood. Just one final thing on the growth. So, what we saw was a very strong closing of FY '25 and the overall growth, do you see a similar trajectory in FY '26 because we had some tailwinds on gold, etc. But just generally, how would you think about growth for FY '26?

Pralay Mondal: Frankly speaking, the growth is absolutely not a problem for us, except for the funding part. On the asset side, our wholesale has taken off, our SME has taken off, our gold is doing well, our retail will take off this year after our core system migration and everything is scalable because all our systems will be place in the next 3 to 6 months. The problem is now we have to see that whom we will give what funding to grow. On the asset growth, we can do even higher than what we are doing today. Our constraint will be how much liability we can generate. That is what will constrain our

growth. Because of that, we will be in a good place to say which is the franchise growth we want to have and from where we are getting higher risk-adjusted return, that's where we'll do business. We will do a little bit of choosing and picking up the kind of assets, which we want to do next year.

I always say that we play in the range of 8% to 12% on the yield side. That has become true because we have almost stopped most of the businesses, which are above 12% on the yield side and we generally don't go below 8% as well. Hence 8% to 12% is the range. Now we're in a good place to pick and choose. Overall, I think anything between 20% to 25% growth is anticipated as of now. But of course, we have to see.

One strategic call that we took last year was that we will not lock ourselves into long-term deposits, as the interest rates are going to fall. Given that, the repricing of our deposits will start happening in another quarter or 2 quarters. Hence, our ability to manage NIM and then get growth on deposits may not be that difficult. 44% of our asset book, which is gold, is kind of non-elastic to the falling interest rate cycles and that book will remain in the range of 11.5% to 12%, in terms of yield. Given

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that non-elasticity that side and if we will be able to get deposits at lesser rates, we should be able to grow deposits also, is my view. But yes, that's the constraint which will limit the growth. It depends on how much deposit growth we can take.

Dhaval: Just one final thing is on this tech transition. Any interim impact that you see on the performance, etc, or it should be quite smooth is your base scale expectation? Like anything that you want to call out of migration for FY '26? I know '27 onwards, the growth expectation is quite strong, but just '26, anything that you want to call out?

Pralay Mondal: I will be practical to say that we have to see how this transition goes because any Tech transformation of the size and scale that we're doing, probably is one of the first of its kind in the industry. We are doing OGL, OFSAA, Oracle the core system, the entire tech stack, the entire digital stack, the entire OBDX platform, new CMS, LOS systems, supply chain platforms etc. The entire datacentre migration has already happened. Effectively, we are building the bank afresh in the next 6 months. The way the customer sees the bank and the way that we service the customer, the way we build products, the way we create franchise on the transaction banking, wholesale, retail, SME everywhere- is completely going to change. Our main constraint in this bank was that systems are not there/updated. That's why we are not able to do what we wanted to do. We are not ignorant about the complexity. But so far it is smooth. Yesterday was our second dry run and people are very happy with the outcome because we had very little or no incidences. Dry run is like a net practice, and we are going for the main match somewhere in May. We have to see how it goes.

We have done everything possible, including training, development to ensure a smooth process. We ourselves are giving 3 to 4 months for stabilizing it. Starting from Q3, which is second half of this year, we will completely go all out in terms of scaling the bank. That's where we are. There could be some issues here and there, which is unforeseen, and unknown. But broadly, since we have the right people and the right vendors, our OEMs, our partners who are working with us, we don't see too much of an issue as such.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Firstly, again, just touching on the fee base. So, if I look at the fee income for full year at INR 972- versus INR 584 crores or so last year. Could you share the breakup between processing fees, commission, first-party fees, for ex profit? Could you

just give for the full year perspective between this year and last year that would be very helpful?

Pralay Mondal: I don't think we share that level of details. Whatever we have, we have shared already with you. Beyond that, we don't give a breakup of how much is gold loan fee, how much is forex fee etc. I don't think we give that breakup. Do you give that, Satish?

Satish Gundewar: No, we don't give that detail.

Mona Khetan: Okay. But any colour or in terms of how much is coming from corporate related fees that itself could help us understand.

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Pralay Mondal: I just covered that in one of the previous questions in detail. But just to summarize it, overall, 21% is our noninterest income to total income. Generally, what happens is that we are somewhere around 18%. Out of that core fee is around 14% and noncore fee, which is treasury and other related income is around 4%. That has changed a little bit this quarter. Next quarter, it will hopefully come back.

This quarter, I think core fee has remained around 16%, and balance being noncore fee, which is primarily treasury income and PSLC. That's the only change which has happened, and I explained in great detail, why it has happened and why our NIM has got replaced by other income because of this excess fund we were sitting on.

Next year, also, I would assume that decent growth will be there as I know the quantum of G-Sec and the MTM gains that we have as on date and if encashed, that will be much larger than what we had this year. We didn't really encash the AFS last quarter. What we booked was mostly genuine trading profit.

That opportunity will be there next year as well, but that will also be reported under noncore income. Our core fee broadly, if you have to estimate next year as well, will remain around 14% to 15%. Whatever we get on top of that, you can sort of calculate it on every quarter around noncore income, which includes treasury and PSLC.

Mona Khetan: So, sir, I'm only referring to the core fee part, which is ex of treasury.

Pralay Mondal: Yes.

Mona Khetan: Would it be possible to give some understanding how much of this core fee of -- you reported about INR 874 crores of core fees this fiscal at FY '25.

Pralay Mondal: I can broadly tell you. Our core fee has 4 to 5 components. One is gold loan fee, one is insurance, one is credit card, retail assets, forex and wholesale. Then other things will be penal charges and transaction banking fees, forex and all of that stuff. Of these, the heavy weight is picked up by insurance, gold loan fees and to some extent, the forex and the transaction banking fees. Primarily, these will contribute to almost 80% of our fees, and then there's a liability fees, penal charges and all of that stuff. Say 70%, 80%, or almost 100% of this is scalable. If at all, the reason, I think we should do better next year especially, second half of the year, is that we'll launch retail assets. Corporate banking has just started. The transaction banking, once we have the CMS and supply chain, those systems in place, we'll do a lot more on that side. I think our core fees will only improve over a period of time.

Mona Khetan: Got it. Perfect. Secondly, on the gold loan book, are you seeing any impact of the draft circular that has come up from?

Pralay Mondal: Actually, it's too early to comment, because it has not been formally circularised. It is a draft discussion paper and various representations are going on through IBA and other similar bodies. Since these are little operational intensive and things like that, we will not be able to comment now.

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I think impact will be in terms of primarily more process orientation. A lot of changes have to be implemented in the systems to be fully compliant to some of the points. We have already started worki

ng on this and because our new system will come soon in next quarter, so along with that, we'll start making those changes to the system.

It is more on execution, more systems etc. There are a few things, for example, auction and all of that, those things don't worry us too much. Few references on repurchase business and all that, we feel that if they don't come through repurchase, it will come to us directly.

Hence, if you ask me, it won't stop those businesses. The amount of work we have to do is a lot more and has to be a little more detailed with revamped systems from a compliance perspective. Broadly, we don't see too much of an impact of this on our business at this point of time, but we have to wait and watch for the final circular.

Mona Khetan: Sure. Got it. And secondly, on the gold loan book disclosures that you gave around LTV and number of accounts, so I see that the number of accounts has declined Q-on-Q despite the sharp growth in the book. So, what is the reason? And also, LTV has fallen sharply Q-on-Q. So, if you could just throw some light around it.

Pralay Mondal: Lower LTV is good news because, with prices going up so much, we are not very comfortable in

taking the risk of a high LTV on such a high price. We do a very detailed sensitivity analysis of every 10%, 5% drop in gold price and which can happen. Generally, when prices go up, our LTV actually comes down, and that has happened for us. On your question on ticket size or number, one of the primary reasons for that is that we sort of stopped sourcing gold loan business below INR 2 lakh because as per the guidelines, below INR 2 lakhs, you can not have a collateral security. Hence, we moved up and because of that, the ticket sizes improved, or ticket sizes went up. If you look at it, our business growth is slightly lower than the overall industry business growth, and this could be one of the reasons. Second reason, of course is as gold prices have gone up - our LTV has gone down. These are the 2 main reasons.

Moderator: We'll move to the next question, which is from the Chirag Singhal from First Water Fund.

Chirag Singhal: Sir, first question is on the guidance on the credit cost trend. So, you mentioned that there were a couple of one-offs in Q4, and you also did some prudent provisioning. So, for FY '26, how should I look at the credit cost?

Pralay Mondal: I think if you look at our overall credit cost, it is somewhere around 29 basis points. We are keeping our credit cost guidance below 30 basis points for next year. We should be able to comfortably achieve this - is our view.

Chirag Singhal: Okay. And second question is on the other opex. So even that has gone up significantly, if you look at it in Q4 versus previous quarter as well as last year. So, I mean, if you can provide some colour as to how should I look at it for FY '26 and going forward?

Pralay Mondal: If we look at overall, our opex has been reasonably managed, but I think it is at 20% growth. Because of the significant technology costs, opex has gone up. On a quarterly basis from Q3 to Q4, it has gone up by INR 60-odd crores, which is a 17% growth in opex.

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Chirag Singhal: I am talking about other opex.

Pralay Mondal: Other opex has gone up by around 35% primarily because of some of these technology-related expenses, there's a capex and opex there. For example, to give you a data, on IT capex, we have not fully utilized last year. A lot of the execution items comes in to picture as it comes closer to D Day and a lot of opex expense starts manifesting itself on the technology side because we are now very close to the migration. That is one of the reasons.

The other reason is, in the past quarter, we had some PSL buy on the SMF portfolio because we could not achieve our target there. We covered it through PSLC paying premium which is coming on the expense

side. Most of the buy we did in the fourth quarter. These two have contributed to the overall opex increase. But on the overall PSL, we were actually a net positive in terms of income.

Chirag Singhal: Right. And if you can help me with FY '26 guidance, since you said that in first 2 quarters will have some more cost towards the technology. So overall, how should we look at this number for FY '26?

Pralay Mondal: I think we should be okay on our opex broadly because costs are already baked in. We are just executing it right now. When I was doing the budgeting for this year, I didn't see a major opex increase vis-a-vis this year at this point of time. Hence, we should be okay.

In fact, if at all what we plan to do is not in the first 2 quarters, in the next 2 quarters, which is Q3, Q4, once the technology transformation is done and it's working fine. Then say in Q3 and Q4, we will expand significantly on our manpower because if you saw last year, we didn't grow our manpower. We are working on the productivity and all of that and without full technology, we didn't want to unnecessarily invest there. The pending investment on people will come in the second half of this year, and hence, some of the staff costs will start picking up from Q3 and Q4.

Moderator: The next question is from the line of Chinmay Nema from Prescient Capital.

Chinmay Nema: A couple of questions from my end. Firstly, could you give some colour on the health of the unsecured book, which you talked about previously in terms of the asset quality and if you could - you're expecting any more slippages from it in the coming quarters?

Pralay Mondal: Here, we have taken some prudent calls, and we are fortunate because now it's starting to taper down for us, primarily because the portfolio is degrowing. Throughout last year, we have been constantly degrowing the portfolio. We started this degrowth a year back. Currently, our overall retail unsecured book is around 3.3% of the overall book.

Within that also, there is one portion which is credit cards, which while it comes as a credit cost, we are able to ensure that on a net ROA basis, we are neutral. From that perspective, I think while on a percentage basis, it might look high, but the book itself will be so small, barring credit cards it will not have a meaningful impact next year. I think in another 2 quarters between MFI, personal loan, 2-wheeler and all of these products, it will start becoming negligible and it will not have any material impact.

Chinmay Nema: Sir so the incremental provisioning during the quarter, is it entirely attributable to this book?

Pralay Mondal: I explained in great detail that some part of that is the migration provision. Some part of that is because of the unsecured, where we took significant provisions. Third is because of additional provisioning for some security deterioration, which happened in some of the legacy portfolio.

While it is not regulatory guideline to take those calls, but we did it because we said that we'll start the New Year on a clean slate. From that perspective, we took some more prudent provisioning based on securities, which we have. Between these 3, we had slightly higher provisioning in Q4.

Chinmay Nema: Got it, sir. And sir, my second question is on net interest income. If I look at the last 4 to 5 quarters, the net interest income has been somewhat flattish. Previously, you've talked about the competitive intensity that comes in to play if you pass on the increased cost of borrowing. Could you give some more colour on this, essentially trying to understand why it affects CSB more than the industry?

Or where do your borrowers turn to if you increase the yields on the product?

Pralay Mondal: I explained in great details on this a few questions back but let me attempt once again. You're right that our NIM has come down. But on

a stand-alone basis, for a full year basis it is 4.13%. Is it too

bad a number? Probably answer is no because when we mirror like a proper portfolio, eventually in the long run, I'm not proposing anything above 4%, 4.5% kind of a NIM. If at all, it will be closer to 4%. That is the guidance I've been giving all through.

It's just that our NIM was slightly higher because we had a slightly higher gold loan proportion. Incrementally, now other businesses are starting to pick up. But the real reason for our NIM depletion has been because of the liquidity challenge, which was the real one in the ecosystem. We were sitting on excess liquidity for first 2 months of this quarter. We had FCY borrowings where we had a significant hedging cost, which came up during the quarter and which has gone away now because it is linked to dollar index.

Given that perspective, while FCY borrowing costs should have come down, it went up temporarily. Again, this quarter, it is coming down. It was a blip. That's why you saw the huge drop because now our borrowings are 13% of the funding mix. Our borrowings used to be almost nothing a year back. Eventually, that will start tapering down as it will follow the SOFR.

On a trending perspective, I think we have been coming down, and that is what is expected because most of the mix of the businesses are changing. Our deposit franchise and CASA is not that high.

To that extent, our cost of funds is higher than 6% and that will sort of taper down only when the interest rates start falling. The good part is, when interest rates start falling, on a competitive basis, we'll be better off because our fixed rate loans are slightly higher. Like our gold loans and other fixed rate loans share is about 60%. 23% is MCLR linked, which will mirror the overall cost/yield curve. Our book linked to EBLR, and T Bill is around 15% to 16%. Where we have fixed rate loans also, like gold, while they are of shorter tenure, but the sensitivity of the yields is much lesser, like credit cards in a rising cycle and a falling cycle, in both cycles, they remain the same, the interest rate. Gold is also somewhat like that. We'll retain our yield at around 11.5% to 12%.

When you look at 1 year from now, we will be slightly in a better competitive advantage from a NIM perspective, purely based on yield versus the funding cost, which is the spread. Given all this, I think we are confident that because of that one-off that happened last quarter on hedging and

because of this trending which will happen, our cost of funding will also start coming down gradually mirroring the overall G-Sec yield movement.

I think we are hitting our bottom on the NIM. I don't think coming down further anymore. Our overall guidance will be somewhere around 4% - in between what our quarterly NIM and yearly NIM was. Yearly NIM is 4.13%, quarterly NIM is 3.75%. Our next year guidance is somewhere in between of this - around 4%.

Moderator: The next question is from the line of Rohit Priyadarshi from Mittal Analytics.

Rohit Priyadarshi: Congratulations on the good set of numbers. Sir, 2 questions from my side. What is your medium term like 2 to 3 year target for maintaining the return on assets and return on equity?

Pralay Mondal: On return on assets, our guidance is between 1.5% to 1.8% and return on equity between 15% to 17%. RoA will be closer to 1.5% for the immediate 1 or 2 more quarters. This quarter, return on equity went up a little bit. But for the full year basis, we are slightly higher than 15%.

Rohit Priyadarshi: Okay. And sir, next question will be like what are the 2 to 3 key risk areas the management is most focused on mitigating it in FY '26?

Pralay Mondal: One of the risks which is there in the ecosystem was this unsecured book. I think we have broadly mitigated it. Unsecured, including MFI and retail, we have broadly mitigated it.

ted it - some more flow

through will happen, but that will not be that material, maximum 6 more months after that, it should taper down.

Second risk was liquidity risk, which is a bigger risk for a bank like us because we are a small bank and our ability to attract retail deposits is slightly lower compared to some of the larger banks.

Thankfully, the liquidity in the system is much better now. Hence, I think we have passed the most difficult year for the bank last FY. Despite this, we have done reasonably well. Liquidity has improved and getting deposits is a little easier compared to before. One of those risks is starting to get better for us. I mean mitigation is happening automatically in the system. The biggest thing for us is not risk, but the opportunity. How do we manage the opportunity which is staring at us once the system migration happens. Obviously, for 2 - 3 months, once the entire migration and the tech transformation happens, things will take time to settle down. In the process, say 1 or 2 months, people will be busy doing that. Once that is done, which is another maybe 3-4 months from now, the biggest opportunity is to build the business from scratch based on the new stabilised system. If you ask me, the biggest risk for us is this migration and the entire transformation and biggest opportunity is also that and we are waiting for that. Otherwise, I don't see any major risks. The legacy risks are also more or less done because we did the rejig of our SME/WSB portfolios. I don't see too much of a risk there.

Liquidity risk is hopefully not there. But obviously, the global risk, the tariff risk and all of that lingers in the system and as a smaller player, we will always have challenge when the whole ecosystem gets impacted. I don't see any major risk otherwise.

Moderator: The next question is from the line of Rupesh Tatiya from Intel Sense Capital.

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Rupesh Tatiya: Sir, my first question is on cost- to-income ratio. Cost- to-income ratio used to be 57%, 58% annual. I'm talking about the annual number. It has moved up to 62% in last 2 years. So where do you see this number in FY '26 and FY '27? If you can give some view -- I understand that the technology capex is there and then maybe from second half of the year, it will taper down. I understand all of that.

But if you can give some number, it will be very helpful. That is question number one. Question number two, is in terms of philosophy at the AUM level, where do you see the gold loan percentage is at, I think, 44%, if I remember the number right. So where do you see at a philosophy level, where do you see that number in 2, 3 years?

And then the third question, sir, is I mean, despite liquidity, despite negative carry on your book and all of that, you are saying that the NIM will stay at 4%. And then you are still saying that 1.5%, 1.8% ROA is your guidance. So, then I mean, there is no margin for any cost of credit spike. There is no margin for error for any cost- to-income spike. So how do you balance all of that? Because ROA calculation doesn't work, it looks to me at 4% NIM. So those are the 3 questions, sir.

Pralay Mondal: Let me handle the first 2 first. These are more qualitative questions. Cost to income, I had always guided that till FY '27, it will be somewhere around 65%. Once the entire ecosystem of the banking gets built up around the core system transformation and other things we are doing, the whole franchise will start playing out. Very quickly between FY '27 to FY '30, the cost to income will go down to 50%. Hence the journey of cost to income from 65% or 62% to 50% will happen between FY '27 to FY '30. I have articulated this tapering in almost every call, every meeting, which I have with investors.

On your second question on gold, we will continue to do well in gold as long as we can, but other franchises have

started picking up. If you see SME has grown by 33% this year, highest growth for SME ever in this bank. Our wholesale banking, while it has grown by 22%, but if you take the DA portfolio out, which we ran off, and that's a lazy portfolio, effectively wholesale has grown by more than 40%. Retail growth story will start post system migration in H2 of this FY.

This year, if you take Agri and MFI out, retail has grown by more than 40%. But because we degrew in retail, Agri and unsecured, some of this, our overall growth is around 24% or 25%. But actual growth, what we are focusing on and in meaningful portfolios for us in future is growing upwards of 30%, 35%.

All of these will ensure that gold loan as a mix will start tapering down. Gold loan price will not go up like this every year, the way it has gone up now. Sometimes it will stabilize, sometimes it will come down and so on. Given that perspective, our long-term philosophical thinking is wholesale will be 30%, SME will be 20%, retail will be 30% and gold will be 20%. That's our FY 2030 journey.

Meanwhile, because you're also asking the cost- to-income question, to ensure that we are there, we have to have good profit-making product as well, and we understand the gold loan business. That is helping us in building the other businesses at this point of time. FY '27 onwards, we'll see other businesses will start contributing more, and hence we'll have a more meaningful mix.

Your third question was on ROA, I think it's clear that we are a 1.5% minimum ROA bank and ROE between 15% to 18%. You can do 2 things here. Either you can plan for cost of credit, or you can decide good credit in the beginning itself. There are philosophies. I'm not saying what is right, what is wrong. There are philosophies that do high-risk business and provision for higher credit. There are other philosophies by which you do lower-yielding businesses, best risk-adjusted businesses, long-term sustainable growth businesses and better cross-sell business in the long run. What we are building on the wholesale side, for example, right now, we are not generally doing a business above 9.5% or 10%. But our ROA will come there not through NIM, but through fee income and cross-sell and supply chain and all of this for which we are building systems. Same thing with SME. SME is somewhere around 10%, but they are building cross-sell over a period of time. Retail is all a cross-sell game at the end of the day. I don't believe in too much of a high risk, high return kind of a game. We play in that 8% to 12%. There, our margin for error is very limited.

If you look at our last 3, 4 years, you see where our NPA and credit cost has been. This year, it has been a little high because of 2 accounts, and those are all legacy accounts. I said before that most of the legacy accounts are now at the end of the life cycle for our bank because we have been working on them.

Given this perspective, as soon as you start baking in a huge credit cost for the businesses you are doing in your ROA tree, then automatically, you start doing higher-yielding business.

Automatically, you will follow that cycle of higher rates leading to higher loss. It will become a self-fulfilling process, which we don't want to do. From that perspective, we are pretty confident that we should be able to do somewhere around 1.5% ROA and 15% ROE on an average without too much of a problem.

Rupesh Tatiya: Okay. So just one question, sir, through this transformation, right? I mean, what you are trying to do, I totally get the logic. Is it fair to assume that AUM and profitability will grow at 20%, barring any black swan events for multiple years? Is that a fair assumption to make?

Pralay Mondal: Yes, give us another year. Ask us this question in the next annual call. We'll be able to answer more decisively, but that's

the attempt.

Moderator: The next question is from the line of Sagar Shah from Spark PWM

Sagar Shah: Sir, I just had two questions. My first question was regarding liabilities. You had highlighted initially on the call that the main problem is not on the asset growth but is on the liability growth.

This year, in FY '25, we increased branches by around 50. In this particular year, our bulk deposits as compared to total deposits has also increased from 33% to almost 43%. So, going ahead in the next 2, 3 years, what are you seeing -- what steps are you taking to increase your retail base to increase your customer acquisition strategy? That is my first question.

And the second question was related to data keeping that in spite of a sequential growth in the asset side by almost 10% sequentially from Q3 to Q4, our net interest income actually reduced. So, were there any huge interest reversals in this quarter that led to NII decline trend in this quarter? So those are my 2 questions.

Pralay Mondal: The second question I've answered in various ways, so I will keep it short. But let me answer the first question. It's a very good question. You're right. If you look at our branch distribution, currently, we have around 33-34% in Kerala. It was 52%, I think few years back.

What it means is that more and more branches we are building for the future. No longer we are building a branch, which will break even in 1 year, where we'll only do gold loans and those kinds of businesses. These branches are being built for the new transformational technology, products, processes, retail, wholesale, transaction banking, SME- all of this is kept in mind.

Hence, you cannot time it. Can I start doing all this after my tech transformation is over? Then we'll be sitting and waiting for these branches to come up and people to come in, etc. Hence, very strategically, we have put these branches in various locations in North, in West, in rest of South, everywhere. We are well distributed. There is a slide, I think, where we show the branch distribution across the country, and it shows how well distributed we are becoming.

Now each of these branches will be able to get leveraged a lot more once our tech transformation journey is over and the new products and processes are in place. This will help us in building the entire granular liability franchise.

But what happens is until then can we sit quietly and do nothing when we have an asset opportunity.

That's why we are taking some bulk deposits, which comes at a slightly higher cost. That's why we have taken FCY borrowings. This is like a bridge funding for us till our entire retail journey starts on the liability side. That will start in another 12 to 18 months.

The acquisition story, which you are talking about, is very important and that will start in 6 months from now, and we are going to create a full acquisition team. We are just waiting because today, if I do it, we'll not get good customers because we cannot offer the products or services, which some of the larger banks are offering. How will you get good customers.

That's why we have delayed it a bit, but we didn't delay the branch expansion strategy in the right areas, which will leverage this entire transformation, which we are doing. So that's the first answer.

If I can add something more to that, just not the branch distribution and liability, retail assets will happen around those customers because to the same customer we will cross-sell. We'll not go much externally to get business. Most of our asset businesses, fee businesses, everything will happen internally to our liability customers and hence, acquisition strategy will become very big, and that will help us in our asset fees and everything else.

That's why I'm saying that our journey is just beginning now, if you ask me. Coming to the second question on

growth versus NIM, I think I explained it 2 times actually. The lower NIM, was primarily because of higher funding cost, a little bit of a carrying cost- which we had used in trading and compensating it on the other income side. Hence, we had a little bit of an issue there.

I think further going down in NIM from the present levels is behind us. That's why I'm saying that we have sort of bottomed out on NIM right now. From here on, we'll only improve, and we'll be somewhere between 3.75% to 4.14%, and we will play in that range for the whole of next year.

Sagar Shah: Right, sir. Can you quantify the interest reversal in this quarter, sir?

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Pralay Mondal: I mean there will be probably some reversal, but don't think it is meaningful. Satish, you want to add to that.

Satish Gundewar: When there are slippages, there will be interest reversals. That kind of information is not given. What you should ultimately see is in terms of what is the credit cost that is there because whether there is interest reversal or everything or there are provisions, ultimately, everything will be captured in the provisions number. And for the full year, our credit cost is 29 basis points, which is reasonable.

Pralay Mondal: Then if you look at it, gross NPA is 1.57%, which is lower than last quarter. Net NPA is 0.52%, which is less than last quarter. From a slippage perspective, except for what I already explained I think we are broadly okay with 29 basis points, and we'll go below this next year.

Sagar Shah: Great, sir. So last one from my end. So at least from FY '26 and FY '27, will we see the expansion of branches, the pace to be higher than what we saw in FY '25?

Pralay Mondal: We have every year, grown by anything between 50 to 100 branches. We will retain that kind of a pace for our acquisition because we cannot invest at a very large scale till, we have the product services and processes. You will see a significant expansion from FY '27 onwards.

We already have 829-odd branches right now and that is a large enough branch distribution to leverage for at least 1 more year. FY '27 onwards, we'll start expanding because otherwise, we will be expanding and keeping it idle for systems to come or products to come. I think we have invested enough and larger investment into branches will start only after FY '27. This year, we'll expand similar to last year.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan: So, my question was related to the corporate account that has slipped about a year ago. Any update on the recovery there? And what sort of provisions you hold against it?

Pralay Mondal: Unfortunately, it has gone into a little bit of a legal tangle right now and that's why we could not recover it. But we have a fair bit of assets out there, which is secured with us. Hence, we should be able to recover at some stage. Since it went into a little bit of a litigation at this point of time, we are going through the entire legal process at this point of time.

Having said that, we have taken provision as per our Board guidelines, which is around 50% and we have taken a little bit more prudent provision against security deterioration etc as we thought that we'll be able to recover some money this year but we couldn't. Net-net, if you look at the PCR, the PCR has improved to 67% now from 60% last quarter, and that is one of the reasons for that.

Moderator: The next question is from the line of Saikiran Pulavarthi, an Individual Investor.

Saikiran Pulavarthi: Just a couple of questions, sir, before you enter from the build phase for scale phase, do you feel that any gaps exist in the top management? Or do you feel some gaps over there to get filled up?

That's question number one.

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And question number two, how do you ensure th

at you can get yo ur liabilities to grow in excess of 25% when the systems deposit growth itself is very low. What kind of initiatives you are taking and how you ensure that on a sustainable basis to grow the balance sh eet much significantly higher than the industry?

Pralay Mondal: On the management, we have no major gaps as of now. Every senior position starting from CXO level to CXO plus 1 to regional head to distribution head to product heads is in place. Further even on the wholesale , entire team is growing at a very rapid pace. The SME team is already in p lace. Transaction banking team is in place. Every team and every senior ma nagement are completely in place, and we don't have any attrition in the senior managemen t. Of course, at an entry-level / junior-level, there will be some attrition. That way, we are doing ex tremely well in my view. The team is very engaged in trying to build the bank. The whole moti vation is to build the bank to that extent, I think there is a lot of engagement with the top management tea m out there.

Coming to your question, we are not talking about high teens. I thin k we should do better than that. The reason for that is if you could do it last year with that kind of a liq uidity issue and that kind of a challenge which was there on the liability side, I think it will get a little easier this year for us, primarily because we have a little better experience and post our migra tion, we will have our entire systems and processes and products in place.

Second half of the year, we should start picking up a lot more on t he liability side. That time, hopefully, the reduction will get priced into the liability business as well because we also don't want to book too much into the long-term liability even now. But I think by the second half of the year, when we'll be fully ready with all our products and services, h opefully the liability prices also get rationalized a little bit more. We are pretty confident of a nything between 20% to 25% growth. Last year, we grew by 25% to 30% in a very difficult enviro nment. The management is confident of that.

Moderator: Ladies and gentlemen, that was the last question for today. I would n ow like to hand the conference over to the management for closing comments.

Pralay Mondal: Thank you very much for your questions, and we look forward to o ur next meeting again after a quarter. Till then, hopefully, we should be able to do even better than what we have done this quarter. Thank you very much.

Moderator: On behalf of YES Securities, that concludes this conference. Than k you for joining us, and you may now disconnect your lines.

Call: Aug 2025

"CSB Bank Limited
Q1 FY2026 Earnings Conference Call"

August 13, 2025, 05.30 PM IST

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ANALYST : MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the CSB Bank Q1 FY '26 Earnings Conference Call, hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I would now hand the conference call over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Muskaan. Good evening, and a warm welcome to all those who have joined the call.

The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO;

Mr. B.K. Divakara, Executive Director; and Mr. Satish Gundewar, Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their results call. The management will first be making some opening remarks, after which we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, and thank you, everybody, for joining the Q1 FY '26 call of CSB Bank. I

will start with the global scenario and then get into CSB specifics. Global trade is impacted by uncertainties of U.S. stance on its tariffs with other countries. Though USA has announced the new tariffs, individual countries are still negotiating, making the outcome uncertain.

This uncertainty is getting reflected in currencies, rates and commodity prices. UK and EU have cut rates while U.S. Fed continues to hold on its rates. With weakening data in the U.S., it is likely that FED will cut rates further in the coming months. Global growth forecasts have been revised downward by major forecasters in recent months.

Indian growth has been steady over the quarter. The series of liquidity measures taken and the rate cuts announced by RBI has brought the rates down on assets and liability both - transmission has been good so far. Liquidity in the banking system has remained in surplus, supporting the financial stability. The inflation forecast has been revised lower. However, the projections for the next year are above 4%.

The deposit and credit growth in the system is evenly balanced right now with deposit growth on the rise and credit growth on the decline as compared to previous year. The pattern has impacted the banking sector NIM significantly. We expect the banking sector NIM to stabilize soon and the liquidity to remain comfortable. RBI may cut rates further in this fiscal year in the wake of uncertain trade negotiations with the U.S.

Now coming to CSB specifics. On financials, the quarter gone by will be recorded as one of the most exciting quarters in our SBS 2030 journey in view of the challenges it threw, the efforts and dedication we put in and what we achieved. I am happy to share that we have successfully

migrated to the new CBS Flexcube and rolled out 50-plus surround systems with twelve deployments within the CBS system, which makes it to sixty-two systems without losing sight of the balanced growth in the bank. It has been an extremely exciting quarter for us - from execution of this long-awaited transformation journey on the technology side, and all of us have been busy focusing on this particular aspect this quarter because based on this only, the future of the bank will be rebooted.

Coming to financials, specifically on profitability, net profit for Q1 stood at INR119 crores, up by 5% year-on-year. Operating profit of the bank grew by 28% on a Y-o-Y basis and stood at INR 220 crores. Other income registered a robust growth of 42% on a

Y-o-Y basis and

constituted 19% of total income for Q1 FY '26. Cost to income ratio was lower at 64.70% as on Q1 FY '26 as against 67.69% a year back in Q1 FY '25.

Despite the interest rate transmission dynamics between advances and deposits in a falling rate scenario, NIM could be maintained at 3.54%. We do not expect NIM to go down further from this level. ROA for the quarter ended 30/06/25 stood at 1.03 %. As we know, our bank has a history of continuing to grow the ROA through the quarters and peaks in the Q4 of the year, and this year also we will see the same trend. Bank is holding the contingency provisions intact and is continuing with the accelerated loan provisioning policy.

On the liability side and the funding base, deposit growth momentum continues to be faster than the industry - grew by 20% Y-o-Y amidst an industry growth of around 10%. CASA grew by 13% Y-o-Y, and the CASA ratio stands at 23.49%. We have sufficient liquidity buffers and are maintaining LCR at comfortable levels.

We have been efficiently managing the liquidity risk because in Q4 of last year when liquidity was significantly negative, the bank took a call to manage the liquidity risk carefully. As that risk is coming down, we now see our CD ratio at around 92%. Average LCR for the quarter has been around 123%. NSFR ratio is around 120%.

On the asset side of the business, net advances grew by 31% Y-o-Y, again significantly higher than industry growth of close to 10% Y-o-Y. All the verticals have started contributing towards the asset growth with gold, corporate and SME portfolio registering a Y-o-Y growth of above 30% at 36%, 32% and 31%, respectively. Retail loans other than gold grew by 19% despite a deliberate moderation in agri, MFI and other unsecured loans, and we have been doing it for the last 18 to 24 months. Yield on advances for Q1 FY '26 is 10.73%.

Regarding the asset quality metrics, GNPA and NNPA ratio for the quarter was at 1.84% and 0.66%, respectively, as against 1.69% and 0.68% for Q1 FY '25. PCR now stands at 80.46% with PWO and 64.52% without PWO. Bank is holding a provisioning buffer of around INR194 crores over and above regulatory requirement; out of this, around INR 105 crores is contingency provision. We have a robust capital base, CRAR of 21.71% and a Tier 1 ratio of 19.92%. We have low proportion of risk-weighted assets compared to the industry, which is 40-odd percent. On the shareholder value creation, the book value per share is at INR258 right now. EPS for the year is -- INR27.42. ROE for the year is 10.9%. Like ROA, ROE also progressively grows for CSB Bank Limited

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us quarter-on-quarter, peaking in the fourth quarter and which again, this year will be no exception. On distribution, we have a network of 834 branches now and 800 ATMs as on 30/06/25.

In conclusion, I would like to say that our top line, both deposits and advances, have shown strong Y-o-Y growth of 20% and 31%, respectively. Compared to Q1 FY '25, our CASA book grew by 13%. All the three asset verticals viz retail including gold loan, SME and Wholesale Banking grew by more than 30% over Q1 FY '25.

On the profitability, while our operating profit grew by 28% on a Y-o-Y basis, net profit increase was at 5% due to slightly higher slippage and resulting provisions. However, we have recovered a decent amount subsequently in Q2 and expect portfolio quality to improve in this quarter itself.

If I look back and review the journey we completed in Q1 FY '26, I can proudly say that the CSB team has done a remarkable job in a truly short span of time, duly balancing the tech transformation and growth. We have achieved what we aspired for in building the platform for future. We have built a solid foundation for scaling the bank in terms of business and customer experience as we go along.

Given the complexities involved in such a massive proj

ect, it will take a couple of months more to fully stabilize everything. Once the systems are stable, we will kick-start the scale phase with a lot of confidence as we will be in a better position to serve our customers by providing innovative customized products, straight-through processes, seamless digital experience, higher operational efficiencies, etc.

We will also be benefited with lower costs and additional revenue streams. Thus, we will start the journey of becoming a respectable mid-sized bank by 2030. Hopefully, we can execute to reach that mission ahead of our targeted timeline.

As I have told in the past that as a part of our SBS vision, our sustain and build phase is expected to get over by beginning of FY '27. The real scale phase, which is the most exciting part of the journey is going to start from FY '27 beginning. FY '27, FY '28, FY '29 and FY '30, these 4 years, we will take the bank to a completely different spectrum.

I am happy to inform that with the technology transformation journey, which we have done successfully and one of the best which our partner says they have seen, we are actually ahead of the curve in terms of what we had planned and targeted. Hence, rebooting of the bank from our infrastructure capability, systems, processes, technology, people and products will be complete and our scale journey will be starting from FY '27, and all of us are excited for that journey.

With that, I hand it back for questions. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bhavesh Kanani from Svan Investments.

Bhavesh Kanani: This one is on the non-interest income. Essentially, last 4-5 quarters, we have seen NII remaining flat. It is the non-interest income, which is allowing us to do higher opex and still report the

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growth at the bottom line. However, for some odd reason, the disclosures on non-interest income split have been discontinued in FY '25 itself. Would appreciate if that is available to the public in general. That was one.

Two, within that, if you can add some color on specifically the fees and commission line. While in past, you have shared that a large part of that is driven by insurance distribution income. Some color on the potential penetration that is still pending. Have we reached out to all the branches with ability and skill set to sell insurance or there is still some room left, which can be helpful in FY '26 in terms of growing the fee income?

Lastly on liquidity. While excess liquidity has come off sequentially, one would have imagined a little more reduction given that our loan book growth is quite healthy. Instead on the liability, we see that other liabilities have gone up sharply. Some colour on that would be helpful.

Pralay Mondal: Bhavesh, last question, I did not understand. What does it mean?

Bhavesh Kanani: Sir, essentially, when we met last time, the story was that we had amassed excess liquidity in Q4 given the situation back then. Now that the liquidity situation has improved at system level, that would allow us opportunities to normalize the excess liquidity which will allow us to fund growth without really taking hit on the NIM. That reduction in excess liquidity is quite small. I think, about INR200-odd crores compared to a loan book, which has sequentially grown by a larger extent. It appeared to be the case where we have funded the loan growth by increasing liabilities and that too is coming from -- not from borrowings or deposits, but there is a steep increase in other liabilities, which has crossed some INR2,000 crores odd. I was just wondering what is leading to that increase.

Incrementally, your sense on -- to what level liquidity can be paid down without really disturbing the 5% or 6% kind of liquidity we have usually maintained.

Pralay

Mondal: Got it Bhavesh. Let me try to respond to each of these questions. On the non-interest income and overall income, as you rightly said, that when we met, we were not focused on the non-interest income in this bank around 2-3 years back.

During last 2 years, we have put conscious effort in growing the non-interest income. It is just a matter of cycle of growth at such a rapid pace that, the interest income has not been growing well and there is some contraction of NIM, which you can see.

As I said before, liquidity, given where it was in fourth quarter, we said that we will not take any liquidity risk. From that perspective, we did take excess fund, which ensured the buffers as we did not know at that time that liquidity situation will change in the ecosystem. To that extent, we were carrying that cost through and which is to some extent impacted the NIM. That is the correct estimate.

Coming to non-interest income, insurance income continued to do well. Generally, our PSLC income goes up a little bit in the fourth quarter, and then it normalizes first quarter onwards. Our overall non-interest income is 19% of the total income and it generally varies between 17% to 19%.

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Last to last quarter (Q4) it was 21%. Generally, it is somewhere around 17 % to 19%. Core fee income is around 14% to 15%. We do not reckon the PSLC income as the core income. That is why you will see that this quarter, our overall non-interest income has come down compared to Q4.

Coming to your question that would it be sustainable? I think it is going to be more than sustainable because once we have given the technology transformation news to you, you know that next year onwards we'll start scaling up our transaction banking business and our retail assets business, which are all fee-oriented businesses like transactional fees, processing fees and many other fees. That will grow.

Insurance is a function of penetration into customers. Next year onwards, we will start building our customer acquisition significantly because huge amount of focus will be there. As more customers come in, penetration on a larger base will be higher. We will continue to do well in insurance business.

We are also going to implement CMS, trade and supply chain systems shortly and we are working on that. All of that will help in transaction banking businesses because we have built up a good wholesale team and wholesale portfolio. The transaction banking business will also have two phases.

I think as we grow the overall basic core book, our fee business will continue to grow, and there is no one-off in that. We are sitting on a large, given our size, fairly large AFS book, and we did not fully sell it out this quarter, because we know that yields will come down eventually through the year. From that perspective you will continue to see non-interest income to grow.

On your second question I have already answered on insurance, that we will continue to do well.

On the liquidity question, I agree with you. If you look at our CD ratio this quarter, it has come to 91%. Generally, it was around 83% to 86% - in that range.

One of the points what you are saying, and we have done is that as the liquidity risk in the system is lower, we must start efficiently using the liability and we will use it better. That is why the CD ratio has gone up a little bit, but we will bring it down to somewhere between 85% to 90% - somewhere in that place. Previously, my guidance was between 80% to 85%. Now my guidance is between 85% to 90%. We will keep it in relation to the size of the balance sheet and with in the liquidity comfort, which is there in the ecosystem.

I have always said that our liability franchise is not yet to the level where we want it to be. That journey will start now. We are waiting for the CBS migration to stabilise. After this, the products will

get implemented. Next year onwards, we will see that the liability franchise is growing at a rapid pace.

That will not only help our liability book, but more importantly, we will have more customers through whom we will acquire and build the businesses. That is why we are starting to build our retail asset products and more retail liability products, current account products, trade products, CMS; all these things, ultimately to build that franchise.

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Hence, last year, we did depend on FCY borrowings, CDs, and to that extent this support will be required for another 1 or 2 years. In parallel the liability franchise will be built as you know that it takes 2 to 3 years to build. That is broadly my response to your question.

Bhavesh Kanani: That is certainly helpful, sir. Just repeating the same request that if the mix of non-interest income is disclosed like we used to do in FY '24, that would only add to the wonderful plans that we have, and it will add to the confidence.

Pralay Mondal: Sure. I will check with our CFO on this.

Bhavesh Kanani: The last data-keeping one was the other liabilities. Is there anything to look into that number which has seen sharp increase sequentially?

Pralay Mondal: No, there is not.

Satish Gundewar: The other liability, what we are talking about is the INR2,600 crores that you see on 30 June is transitionally balanced. Because the reconciliation happens with a one-day lag and then it gets adjusted with our balance with RBI. It is not something which is of a permanent nature. It is just a one-day thing. When the reconciliation happens, then it gets settled.

Bhavesh Kanani: Okay. That is helpful. I hope you will share the disclosures on non-interest income on exchanges or on your website.

Pralay Mondal: Okay. Thank you very much for your question, Bhavesh.

Moderator: The next question is from the line of Mona from Dolat Capital.

Mona: Firstly, I missed your opening remarks. Sorry if I am repetitive. On the slippage base, INR139 crores, what would be the quantum of unsecured loans out of this, if any?

Pralay Mondal: Broadly, I can tell you that our unsecured portfolio is around 3% of the overall book. Yes, slippages have increased in the three businesses, which is unsecured personal loan, MFI, a little bit of credit cards. However, slippages will not be more than INR30 crores, INR35 crores. It is not significant.

I think to address your question, this quarter, our slippages have been a little higher in SME. That is primarily due to 3-4 accounts. Let me also add that what has happened this quarter is because we were busy on the migration, we had to take some time to reconcile the NPA and the related data and to get on it. We had the issue of not getting enough time to manage the NPA well in SME business. Recovery has happened in two three accounts subsequently. In another large account, due to the demise of a key person all of a sudden, the next generation is taking over the business and it will take some time. Here the good news is that this is almost fully secured and will not fully go bad at any point of time. Hence, as the business starts picking up, there is nothing much to worry about. Through the year, we should be able to upgrade/recover. Otherwise, there is not much of any exceptional slippage in any other portfolio.

Mona: So, is it fair to say that out of this INR139 crores, INR25 crores got upgraded so far already?

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Pralay Mondal: Yes, Close to INR 25 crores got upgraded so far.

Mona: On the unsecured loans, which is, I guess, PL and some of the MFI portfolios probably had some FLDG cover. Is it the delayed recognition coming because there was some cover initially and now it is above that cover, which is why the recognition?

Pralay Mondal: I do not think that is an issue. In general, FLDG is available

only in one business, which is in

MFI. We have collection efficiency related incentives linked to that. Some costs will come down. We have been consistent in retail loans if I look at it over the 4 quarters - 5 quarters. It is not that we have seen any major escalation happening suddenly.

Agri and MFI has also been more or less similar numbers across the last three quarters. There is not much aberration in any other product. If you look at it, our slippage in June 24 was INR103 crores, and now it is INR136 crores. Out of the INR136 crores, already INR25 crores recovered. To that extent, there is no exception anywhere.

Yes, we had 2, 3 strange situations in the SME portfolio, which had nothing to do with credit underwriting, trend, or an industry situation. It is just pure accidental kind of a situation. We are working with them, and these accounts are adequately covered. Hence, I am not so worried about the slippage this quarter. Yes, on the retail loans, what goes, that will not come back fully- but that has been the story for the last five quarters.

Mona: Got it. Secondly, when I look at the cost of deposits, I understand a large part of it was bulk deposits. Given the sharp decline in rates on the bulk front, I believe the expectation was that the cost of deposits will come down and yet seeing it rising, which is unlike what we are seeing for the rest of industry in general. How do I read this? I mean, I was really surprised to see the cost of deposits rise during the quarter, because I would expect on the bulk deposits to reprice at lower levels, right? Your deposit growth has declined. So yes, how do we read this?

Pralay Mondal: Mona, you are absolutely correct in your question. You will see that playing out in our portfolio as well from Q2, Q3 onwards. Two things happened here on the deposits. One is that, we took a lot of these bulk deposits as our assets growth last quarter was at 31%. Retail comes every day. Gold loans come every day, but wholesale and SME comes a little bit rear-ended. To fund that we had taken some bulk deposits towards end of the March quarter. At that time, there was no clarity about the liquidity position and what the RBI was looking at. Given that, the cost in that quarter came hardly for 10 days, 15 days or 20 days maximum. That cost has taken us throughout the whole of quarter i.e., for 90 days in Q1. This has primarily contributed to a five - six basis point increase in cost of funds.

The other thing which has happened, I was analyzing this- we knew that interest rates are going to fall, and we stopped taking long-term deposits like 3 years, 4 years, 5 years, etc. Our existing deposits which started maturing, got repriced at higher rates than what they were initially booked, i.e., their contracted rates a few years back. These two events have happened.

Having said that, our incremental cost for the last quarter, either in term/ CDs or it is on bulk deposits, you are absolutely right-we are doing better off. What it means is Q2, Q3 onwards, we will start seeing a drop in our deposit costs.

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Mona: Okay. Also, if you could share what would be the expectation from a full year perspective on NIM and ROA?

Pralay Mondal: For us, typically, what happens is, let me take the ROA point first. If you look at it, year-on-year, our ROA has come down from 1.27% to 1.03%. On a quarter-on-quarter, it has come down significantly more and that is how it will play out this year also. Our ROA keeps increasing every quarter, and it culminates at a much higher level at the end of the year. For example, last year, in Q1, we were 1.27% and we ended the year with 1.79%. This year also, I think on an average, we should be somewhere around 1.5%. That was my guidance, and we will reach there. On the NIM, we have bottomed out now. We will be anywhere between 3.5% to 4%. I will give a log

ic to this – a) our cost of funds will start coming down because as you rightly said, bulk and CD rates are coming down and our bulk is around 40%. From that perspective, it will, in a way, help us because retail will not come down that much compared to bulk. We think that our cost of funds will start showing better trends.

On your previous question, I wanted to also add that we tactically moved out some of the current accounts out of our base because we said that we want to build a proper current account franchise based on transaction banking, etc. That also increased our cost of funds a little bit. Now through transaction banking, wholesale, and other businesses we will start building the current account. That will also give us a little better cost of funds.

Thirdly, our EBLR plus T Bill portfolio, is around 17% and MCLR book is around 20%, which will reprice downwards through the year in the current scenario. However, our fixed book is around 60% and hence we will have a dual advantage on that front that yields will not come down strongly, and our cost of funds will come down. Given that I am confident that we will be in the range of 3.5% to 4%.

Mona: Sorry, how much is the EBLR which you have mentioned?

Pralay Mondal: EBLR plus T Bill linked loans which has a similar impact from a cost of funds perspective – when it comes down, the interest rate comes down – it is around 17%.

Mona: Just one question. If I look at your fee lines, the core fee lines ex of the treasury gains, are there any one-offs in the last fiscal, not this quarter, but in the last fiscal, in terms of syndication income or something because it looks like fee to assets is settling at a lower level?

Pralay Mondal: We had three syndications done so far. We have got a good wholesale team now and quality wholesale business has started coming into the bank, and that is seen with the kind of growth, which you have got both on the corporate banking and in the mid-market side this year, in a year when we actually almost run up INR1,000 crores of DA portfolio, which we represented in the wholesale book of the bank

This team did three syndications, one more syndication as we are talking, we are doing. Now we are doing those kinds of deals, because given the size of our balance sheet, we cannot take INR500 crore kind of exposure. We generally do not take more than INR150 crores or INR100 crores and rest we sell down and this happens through larger banks as well.

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We had some syndication fees last year. As you know, we are net sellers in PSLC market and a lot of such transactions we do in the last quarter of the year. That is one of the reasons why our ROA and fee income is significantly higher in the Q4.

Mona: Got that. Just one last clarification. What would be the income from these three syndication deals for last fiscal?

Pralay Mondal: I shared as much as I could, we have done three syndication deals. We are working on the fourth one.

Moderator: The next question is from the line of Yash Dantewadia from Dante Capital.

Yash Dantewadia: Sir, my first question is regarding the NIM guidance that you just gave. Don't you think your guidance is very wide?

Pralay Mondal: Yash, I can only tell you that we live in a world today where we do not know what happens after few days. In that kind of a scenario with global turmoil and global uncertainties, it is better to be safe than feel sorry later. It is wide. If you want me to be sharper, I will say that we will be somewhere in between that curve, but it will vary from quarter to quarter. If you take for the full year, I am hopeful that we should be somewhere in between, which is closer to 3.7% or so.

Yash Dantewadia: Sir, can you please tell me if you factored in rate cut in this? If you have, what kind of rate cut have you factored in with the NIM guidance -- the current NIM guidance?

Pralay Mond

al: See, people are saying that given where the inflation is, it will normalize for the base effect. Given that there is global uncertainty and we do not know which way it will play out. Everybody

says that there is a reasonable chance of one rate cut somewhere between September to November 25. If that plays out, we have factored that in because we are lucky that our EBLR linked and T Bill linked portfolio is only 17%. The rate cut, even if it happens, its impact on MCLR will go to next financial year.

Yash Dantewadia: I am assuming you factored in fifty basis points, right?

Pralay Mondal: Twenty-five basis points.

Yash Dantewadia: Okay. Yes, my next question is regarding your loan book sort of -- by the end of this year, how do you think the mix is going to look between gold loan -- between all the sort of gold loan, LAP, etc, SME, secured/unsecured. Could you just give some guidance on how you are kind of envisioning the loan book to look like by the end of this year?

Pralay Mondal: What has happened this year, 1% has gone up in the gold, and that has got reduced from MFI and Agri business as we slowed down those segments. I mean, by that mix percentage formula, it went to gold. What I see now onwards is wholesale may go up by another 1% or 1.5% or even 2% this year.

Wholesale is around 23% now. It may go up to 25%. I do not see our MFI, agri and retail going up that much. If at all, it will remain at this level, maybe a few basis points here and there it can

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come down also. Because our real retail journey will start from next year. We will not take risk in this environment at this point of time.

Our SME may go up by 50-odd basis points compared to where it is today, it is around 13% right now. We should be seeing somewhere between 13% to 14%.

I must mention here one thing that our retail portfolio, what we show also includes loan against securities, where gold is collateral security. These loans, based on the recent RBI circular, we may have to do differently. We may have to categorise differently. This itself will bring down the retail share further and that may come back to gold. Hence, gold for a very different reason, may go up a little bit.

In short, what it means is, retail will come down further as LAS will come down which is typically around INR2,000 crores right now for us. Some part of that may move to gold, some to the wholesale and some part to the SME.

Yash Dantewadia: Right. Sir, my last question is regarding your sort of exit ROE and ROA. I know you guided for an exit ROA. If you could just also guide for the exit ROE for this financial year?

Pralay Mondal: This is consistent as I have been telling over the years. ROA of 1.5% and ROE 15% is something, like the Lakshman Rekha for us, we have to achieve it, and we will aim to do that.

Moderator: The next question is from the line of Shivaji Thapliyal from YES Securities.

Shivaji Thapliyal: A few questions from me. Firstly, on asset quality, so well, traditionally, our book was not so mature. Therefore, it is not really throwing up slippages, even now slippages as compared with the broader banking universe is still under control, but nevertheless, some slippages are transpiring. Where would we put the credit cost guidance for the full year? Where would we put it on a steady-state basis, say, from FY '27 onwards? That is question one.

Secondly, from an opex standpoint, you have been making guidance in the past in terms of a glide path, I would like some reiteration or if there is any further color on how things are shaping up of late in that regard and where the number might end up for the full year this year and where we are probably going to head FY '27 onwards?

Thirdly, on the loan growth front, there, we have a small base, and I think growing 20% plus has never been a challenge in that sense. Nevertheless, what is the internal

aspiration there from a

3-year perspective? If you could give us some color on that. Those would be my three questions.

Pralay Mondal: Thanks, Shivaji, for the questions. I will go one by one. General guidance on the asset quality has always been that GNPA will be less than 2%, NNPA will be less than 1%, and credit cost will be less than 50 basis points. That has been our overall vision till FY 2030.

We have been, of course, much lesser than that. Even this quarter, we are lesser. Our guidance for this year is GNPA, NNPA and credit cost all will be lower than where we are in Q1. Of course, we do not know the global uncertainty on account of the tariff announcements. I am just not taking that into consideration. If that happens, then we have to recalibrate.

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Second part of your question is on opex glide path. If you look at it carefully, our opex glide path is going down to 50% by 2030. We hold on to that because our real story will emerge from next year as our liability franchise starts building, along with the cross-sell on assets, fees and

transaction banking, wholesale, and SME, all of it together. The real orchestra will start playing out only from next year, and we will start seeing results from FY '28 onwards. Hence, I am pretty much holding onto the glide path of 50% on opex side - cost to income side.

If you look at it, this quarter even, our Y-o-Y growth on operating expense is only 12%. We have been pretty conservative in terms of our operating expense when we are massively investing into technology. To that extent, we are conscious of productivity and operating cost and on a year-on-year basis, it has come down.

On a quarter-on-quarter, cost to income ratio has gone up a little bit, of course, because the income and other income has come down a little bit. Once the ROA starts going up back to 1.5%, this by itself will come down to some extent. The real glide path - sharp glide path will be from FY '28 onwards and we are pretty confident of reaching 50% by 2030.

On the loan growth, on a 3-year basis, I think we will have a reverse trajectory. Every year our loan growth will only go up. Because even now we can grow faster than what we are growing in loans. Our constraint is liability. Once our liability franchise starts building up, the growth will go up at a higher rate. Based on bulk deposits, CDs and FCY borrowings and based on whatever little bit we are doing on the retail side, you cannot have a sustainable growth on the asset side.

Additionally, as the retail part of the franchise starts growing, we are pretty clear that wholesale and SME also has to bring in liability because they have a self-funding target, especially on current accounts, especially on low-cost funds etc. Once that starts playing out, we will be able to grow faster as multiple products will start building traction. Like last year, our wholesale started. SME has been growing for the last 2, 3 years. Retail part of this story will start next year, and gold will continue to grow as it is growing.

In Q1 FY 26, our SME, wholesale, and retail - all three verticals grew by 30% plus and when I say retail I include gold in that. All the three franchise, each of them growing 30% plus, shows that we have the sustainability and that now we have got the rhythm of building those businesses.

Our constraint comes on the liability side, and we are fully focused on that. Once we build that, our credit growth, which is right now somewhere between 20 to 25% safely, maybe well above 25% and as our liability franchise becomes better, we will do better growth on asset side. We are pretty focused. We do not have a capital issue. We have enough room and our CRAR is on the higher side. From all aspects, growth is not a problem for us.

Moderator: The next question is from the line of Rushikesh Bhise, an Individual Investor.

Rushikesh Bhise: I think most of my questions have been answered. Just wanted to ask regarding the ROA guidance. Previously, it was like in the range of 1.5% to 1.8% for the entire FY '26. Right now, you just mentioned that we will be touching around 1.5%. Are we like having 1.5%, I mean essentially reducing the guidance? Is it?

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Pralay Mondal: Thanks, Rushikesh, for your question. What I said was 1.5% ROA and 15% ROE is our Lakshman Rekha. We normally will not go beyond that. If we have that opportunity, we will do higher than that. Having said that, we all know the environment that we are in today. Not only us, if you look at the entire ecosystem, there are challenges in the ecosystem. There are both known unknown challenges and unknown known challenges right now, which are mostly coming from global uncertainty.

Given that, I think we will be happy to be around 1.5% this year. Our guidance of 1.5% to 1.8% is for our SBS 2030 journey. I am 100% confident that we will achieve that vision of 1.5% to 1.8% and maybe we will be closer to 1.8% as our retail assets and other franchisees start picking up, our overall cost to income starts coming down and we leverage the branches and our franchise become better.

Our guidance of 1.5%, 1.8% in the past also is over SBS 2030, which is again the glide path or rise path, whichever way we look at it. This year, given the overall global uncertainty, 1.5% is something, which we should achieve, and we will be happy about it.

Moderator: The next question is from the line of Yash from Dante Capital.

Yash: My question is mainly regarding your gold loan yields. How do you see your gold loan yields moving from here?

Pralay Mondal: Our gold loan yield typically has been in the range of 11.5% to 12%, depending on which products we are offering. Because of the regulatory guidelines that have come now, it is very clear. It is no longer a draft, no longer any guess work, it is in clear black and white. We know what business we can do, what business we cannot do.

Hence, I think our higher-yielding businesses will grow a little more because the loan against securities business, which was more of a re-pledger kind of business that comes slightly at a lower yield will come down and part of it will move to gold loans at a higher rate. From that perspective, I think we should not see a fall in yield in our gold loan. I think we should be

somewhere around 11.8% in that range we will target.

Yash: Yes. Sir, my last question is regarding your cost of funds. What kind of exit in cost of funds do we see by Q4? How do we see this number? You said it is going to come down, but do you have an estimate that you can share?

Pralay Mondal: Very difficult, boss. The way situations are evolving, one day, the benchmark yields are say 6.2%, 6.3%, one day it is 6.5%, 6.6% and so on. Hence, how do I know which way it is going? Broadly, the way we are looking at it, I think from the current level, a twenty basis points drop is the minimum which we can aim for is my view.

Yash: Right. As far as this technology platform and whatever you have been working on in the last maybe, I think, around 2 years, if I am not mistaken. What is this going to kind of help us the most in? What percentage of our collections are online today without the help of physical collections basically?

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Pralay Mondal: I will answer the second question first. Our CIO is sitting here. I will invite him to give you some broad perspective of what we have done and what we plan to do and how it will help because he and his team has worked very hard. Let him also come on this call and inform you on all what we have achieved.

On the collections, I can tell you is that while I understand the digital collections and all that, of course, we are invested into that. We are into

tele calling collections- all of that together. Our

overall retail book is small, which requires all this straight-through process collections and all that. That is small today. While we are building that capability, that opportunity itself is small.

On the credit card side, we do not have our own credit card product, and we do it through Jupiter and all. They have their collection set up, which they do, of course with all online and offline processes. In our case, you cannot do recovery with online alone. Given that, we are preparing for ourselves, but we do not have that portfolio size to test that as much, but we are building that. SME and wholesale and those kinds of businesses, you need mostly legal, technical, all those kinds of things to collect. That is where our legal teams are very strong. Our primary recovery and collection on the SME and wholesale side is handled in an offline mode and on one-to-one transaction. That is the way it works.

On the technology, I will just say one line and then I will hand it over to Rajesh. It will help everybody. We must understand that we are coming off a legacy system where you cannot add one more product and if we do, then the system does not work. In Maerl, we tried to introduce our premium liability product, and it could not be introduced properly.

We did not have transaction banking products. We did not have CMS. We did not have trade.

We did not have supply chain. Our mobile banking, net banking was functional; but now on OBDX, we are moving at a different level. Our entire digital ecosystem, our ServiceNow platform, everything what we are doing is very differently. Today we are having two data centres along with 2 DR, which are most sophisticated and at the best places. We were on 11G on Oracle platform on the database. Now we are in 19C which is the latest.

That kind of a transformation is what we are doing, and it will help every business. On the wholesale side it will help with the transaction banking. On treasury side, also it would help for the transaction banking and some of the other systems that they are implementing. It will be of maximum help in acquisition of new retail customers, STP, onboarding, creating various services, various products etc. Why should the customer come to me if I am not able to give personalized product, STP, different kind of services with a good onboarding system and processes.

We have created an ecosystem around it through our VRM which is virtual relationship management. We have contact centres. We have created everything. We are just waiting for this connectivity to happen through the technology. SME- it will help in a big way. We are going to launch our new corporate net banking in the next 6 to 9 months, which will help us in a big way, both SME and corporate banking. Retail assets, LMS, LOS, all of that - which was not there in CSB Bank Limited

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the bank before. I mean how could we run our retail assets business without these products, without these systems.

All of these are now going to be functional. Given that it will help retail the maximum in my view. Gold loan is a functional business and hence the most touch and feel systems and better efficiency helps. We are also working on Neo; our acquisition platform which is digital. I think

we are going to make significant investment there to upgrade it because our main focus will be on customer acquisition and the retail because liability franchise has to be built up. We are going to launch various current account products now, as we will have the systems and processes. Once we have the corporate net banking in place, it will be a different league altogether, on the kind of current account that we will do. That is a flavour on what we are planning to do on the business side.

Requesting Rajesh Choudhary, who is our CIO, who has led this entire tech transformation

on for

the bank to give a 5-minute snippet on what we have done and what we plan to do and how it would help the bank. Over to you, Rajesh.

Rajesh Choudhary: Thank you, Pralay. I think you covered quite a lot. I think in a quick summary, what we have done is we have an overhaul of the entire technology ecosystem in the bank, setting up 4 data centres, building new core banking, which we just went live in the month of May along with 50-plus different surround systems.

It has been a massive transformation, and that is what all the partners who have been working with us, tell us that they have not seen something of this kind. Of course, there are a lot of core banking transformations, which keeps happening, but so many systems going live together is something unique.

At this point of time, we have systems in place for the business. We are now ready to create products and build capability for doing business for all the respective business lines. We have also built capability to do the right compliance in the regulatory framework. There is a significant amount of regulations what we have to deal with.

Cybersecurity, information security, we have to ensure that the entire ecosystem is safe for our customers, for our employees and for the banking industry as a whole. We have put all the elements in place.

With respect to channels, with respect to payments, everything is overhauled. We have got everything brand new, and we are ready to deliver it to our customers. We will keep optimizing this. We will keep investing further, but the major overhaul has been done, and we are all geared up to do more and more business on this.

Pralay Mondal: While you are talking about the regulatory framework, we have implemented a new FRM system, implemented a new compliance system. Almost everything is fresh and rebooted in the bank from a technology perspective, Yash.

Yash: Yes. Sir, one last question before we drop off. Could you just give me the secured versus unsecured breakup of the book currently?

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Pralay Mondal: Unsecured can be seen in two ways. Retail unsecured is only 3% of the overall bank's book. Then when you look at secured, some of the unsecured businesses are the best secured business. If you do business with Tata, if you do business with Jindal, which we have done, by the way, they are more secured than unsecured businesses. If I give you that ratio that may not be the right representation.

Yash: No, the retail one is more convenient.

Pralay Mondal: Retail one is 3% of the overall book and SME, we normally do not go for unsecured business. That is broadly what it is.

Yash: Out of the entire slippages during the quarter, - you said you have recovered INR25-odd crores, and you think you are going to recover more, right?

Pralay Mondal: That will take time. That will happen through the year because the business has to be restructured. The point is they are all secured businesses; they are well collateralized. Hence, the money will not go anywhere. Obviously, in SME, how you run the business is, normally you do not immediately call back the loan and say that give me the money or I will sell your property. You have to help them in rebuilding the business. That is what we are doing. These are recoverable. That is the point I am making.

Moderator: Ladies and gentlemen, that was the last question for today. I will now hand the conference over to the management for the closing comments. Over to you, sir.

Pralay Mondal: Thank you very much. We had a wonderful conversation, and thanks for patiently listening to us. Look forward to our next quarter analyst call again. Thank you very much. Have a wonderful evening.

Moderator: Thank you. On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

"CSB Bank Limited
Q2 FY2026 Earnings Conference Call"

November 6, 2025, 04.00 PM IST

MANAGEMENT: MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST: MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the CSB Bank's Q2 FY '26 Earnings Conference Call hosted by YES Securities. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, sir.

Shivaji Thapliyal: Thank you, Bhoomika. Good afternoon, and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO; Mr. B.K. Divakara, Executive Director; and Mr. Satish Gundewar, Chief Financial Officer. We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their result call. The management will first be making some opening remarks, after which, we will throw the floor open for questions. I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji, and good evening, everybody. Thank you for joining the call. Firstly, I will cover briefly about the economic scenario and then quickly move on to CSB specifics. We all know that the global trade negotiations across various countries have shown significant improvement in the recent past. It gives financial market some stability and hopes of returning to normalcy in a couple of months. FOMC has cut U.S. rates by 25 basis points. However, the commentary by the FED Chairman was more hawkish than expected, leading to USD appreciation and some correction in the gold prices. Global growth focus remains subdued. Indian growth is expected to add approximately 20 bps over previous projections due to GST rate cuts and steps taken by the Central Bank. The inflation forecast has been revised downwards, however, the projections for the next year are around 4%. The deposit growth lagged the credit growth in the system in September '25, showing signs of credit pickup. The CD ratio for the banking system went above 80% after around 6 months. The continuous lag in deposit growth has impacted the banking sector NIM significantly.

We expect the banking system NIM to stabilize soon and we also expect the liquidity to remain easy once RBI takes decisions on cutting rates further this financial year.

Coming to CSB specifics on our quarterly financial results for Q2, I feel that we have registered an impressive all-around performance on a Y-o-Y as well as Q-o-Q basis, both in terms of top line and bottom line.

On the profitability side, net profit for Q2 FY '26 stood at INR160 crores up by 16% Y-o-Y and 35% Q-o-Q. Operating profit of the bank for Q2 FY '26 grew by 3.9% on a Y-o-Y basis and 27% on Q-o-Q basis and stood at INR279 crores.

NII up by 15% and 12% on a Y-o-Y and Q-o-Q basis, respectively. Other income registered a robust growth of 75% on a Y-o-Y basis and 43% on a Q-o-Q basis and constituted 24% of total CSB Bank Limited

income for Q2 FY '26. Cost- to-income ratio was at 63.86% for Q2 FY '26, a tad lower than Q2 FY '25 and Q1 FY '26. NIM for the quarter improved to 3.81%, up by 27 bps over Q1 FY '26. ROA for the quarter ended September stood at 1.33%, up by 30 basis points over Q1 FY '26. Bank is holding the contingency provisions intact and is continuing with the accelerated loan provisioning policy, which will enable the bank to move quickly towards ECL. On the liabilities front, we are improving the funding base. Deposit growth momentum continues to be faster than the industry and registered an increase of 25% Y-o-Y vis-a-vis a 10% for the industry.

CASA growth was 9% Y-o-Y and the CASA ratio stands at 21.17%. We have sufficient liquidity buffers and are maintaining LCR at comfortable levels. Liquidity is quite efficiently managed. CD ratio stood at 88%, average LCR for the quarter is at 126% and NSFR ratio is at 116%.

On the asset side, total advances grew by 29% Y-o-Y, significantly higher than industry growth of 11.4% Y-o-Y. All the asset verticals continue to contribute to the portfolio growth. The necessary groundwork for diversification of loan portfolio has been initiated and will pave way for balanced growth in the days to come. Yields on advances witnessed an uptick of 22 bps over Q1 FY '26 and currently is at 10.95%.

On the asset quality metrics, GNPA and NNPA ratios for the quarter was at 1.81% and 0.52% as against 1.84% and 0.66%, respectively, for Q1 FY '26. PCR now stands at 84.14% with PWO and 71.62% without PWO, improving over Q1 ratios of 80.46% and 64.52% respectively. Bank is cumulatively holding a provisioning buffer of around INR 199 crores over and above the regulatory requirements.

Robust capital base is what we have been consistently maintaining. We have a CRAR of 20.99% and Tier 1 ratio of 19.19% with a low proportion of credit risk weighted assets compared to the industry, primarily due to the gold loans.

On Shareholder value creation side - Book value per share is improved and stood at INR 261. EPS for the quarter is INR 36.67 and ROE for the quarter is at 14.46%, which is again a significant improvement quarter- on-quarter. On the distribution side, we have a network of 838 branches and 810 ATMs as on 30/9/2025.

In conclusion, I would like to say that we are approaching our scale journey scheduled for FY '27, targeting to emerge as a respectable mid-sized bank by FY 2030. I had mentioned in my last call that our team's highest priority during the previous quarter was on stabilization of the systems and processes that followed our complex CBS migration in May. Now we have almost stabilized and in fact commenced the second phase of the tech transformation with renewed rigor which majorly covers OFSAA, OBTFPM, OBDX enhancements and various other projects we are starting - like CMS, Supply chain, Trade systems etc in addition to the fifty plus surround systems we have already integrated with the Flexcube system - which means that this is one of the major transitions and transformations we have seen in the industry over many years, coming from a legacy system to the most modern system with many surround systems around it. This will pave the way for our future growth.

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The results for Q2 reflect a strong momentum, both in terms of business and profitability, signalling the right advancement towards our vision. Our top line, both deposits and advances showed a strong Y-o-Y growth of 25% and 29%, respectively. The improvement in profitability is visible with the 39% and 16% increase in operating profit and net profit, respectively, over Q2 FY '25, whereas over Q1 FY '26, the growth was 27% and 35%. While our NII grew by 15% on a Y-o-Y basis, the other income ratio registered a 75% increase, as mentioned before.

As we move forward, the development of a profitable customer franchise is essential for the success of our vision. We are actively working to align our teams, products and processes to support this strategic priority, which will be critical in driving growth. Our key focus now will be on rolling out the retail journey with the systems and processes in place, as it will enable us to achieve granularity in our portfolio and unlock valuable cross sell and upsell opportunities.

As part of the preparedness, we have already implemented LOS for majority of the retail asset products. LMS is already in place. Automation/ Scorecards are in place for credit decisioning, wherever feasible. We are enhancing our BIU, which

is business intelligence unit. Digitization of loan journey, product offerings like Loan against securities, end use based consumer loans,

etc are work in progress. While we remain focused on our long-term strategic priorities, we are equally committed to achieving this year's targets and will continue to work diligently to deliver on those expectations.

Finally, I'll say that our 5 pillars on which we are building the Bank for the long term, starting with governance, compliance, customer orientation, technology and people or culture are firmly in place, and I'm very happy to report that these pillars are getting stronger and stronger, especially technology, compliance, culture and governance.

On the customer service side, we got two awards as the No.1 bank in terms of best customer complaint management. These are small achievements at this point of time because the size is small, but we think we will be able to sustain this based on the technology transformation and the culture which we are building in the bank.

With that, I will stop here and we will take questions. I am joined by our Executive Director, Mr. Divakara and our CFO, Satish. I have requested Satish to take data questions as he has better grip on numbers. Over to you, Shivaji.

Moderator: Thank you very much. The first question comes from the line of Akshat Agrawal from Smiths Institutional Research. Please go ahead.

Akshat Agrawal: Congrats on a strong set of numbers. My first question is on margins. What is driving this sharp uptick in yields on advances surging 22 bps sequentially? Is it all because of higher gold loan growth? Or were there higher yields in the segment?

The cost of deposits came down by 6 bps. What kind of deposit repricing is left for third quarter?

In terms of NIM trajectory, how do you see it moving in next 2 quarters? Then will there be a continued expansion if there are no further cuts? Do we see exit NIM by Q4 to be above 4%?

That was my first question, sir.

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Satish Gundewar: Akshat, this is Satish here. We have multiple questions bundled into one single question. I will try to address one by one. In terms of the advances yield, we have businesses divided into 4 segments - Gold being the largest one with 47% composition in our advances. We have not only seen that the portfolio has increased very strongly, at the same time, there has been improvement in our gold yields as well. That is one of the contributors.

Apart from that, our wholesale segment has done exceedingly well and the book has grown very strongly, and we have been able to marginally improve the yields also in the segment.

The next larger book is BLG i.e., Business Lending Group or the SME. There again, we have been able to maintain our yields. Basically, with the combination of these portfolios doing well in terms of the top line as well as the margins in terms of the gross yields, we have been able to improve our overall yield trajectory.

Secondly, in the overall portfolio, only around 38% of the portfolio is linked to some form of the benchmark, which is either MCLR or EBLR. Whenever the rate cut happens, the impact, especially on the gross yields is limited for our overall portfolio compared to other banks where this external benchmark linked portfolio is much higher. Almost 60% of our portfolio is largely fixed rate portfolio. Hence, we get insulated there. Coming to the cost of funds, within cost of funds, we have multiple sources of funding - deposits, refinance etc. We have also resorted to CD as well as FCY borrowing. Overall, our bulk deposit composition is a little larger compared to the industry. Across each of our funding sources, we have seen signs of reduction in our cost of funds. In fact, what we are seeing is that -- the interest rates on the bulk deposit have been falling, I would say sharply compared to the retail deposits.

That has also benefitted us. In terms of the bulk deposits as well as the retail deposits, we have seen that incrementally what we are borrowing today - we have seen a fall in the cost of funds. Basically, that impact has been on both the sides in this quarter - we have been able to improve our yields and at the same time, we have seen an improvement in the cost of funds, and that has had an impact on our net interest margin.

Last quarter, we had made a comment that our NIMs have bottomed out and this has really played out properly. At the moment, we are at 3.81% of NIM. Going forward, probably we will be in this range of about 3.7% to 3.9% for the rest of the year, it may move from quarter-to-quarter. It will be very difficult to really pinpoint the full year NIM, however for the rest of the year, we feel that we will be in the similar range of 3.7% to 3.9%.

Pralay Mondal: On the NIM, I just want to add that natural repricing is happening because of tenor. We had strategically moved from a high tenor to low tenor deposits over the last 18 months in the bank. Hence, our average tenor has reduced. It was a strategic call that we have taken as we knew that interest rates are going to fall eventually. That will help us.

We see that the fixed retail deposit rates are not coming down at this point of time anymore. Maybe it is a temporary phenomenon or permanent- that we will know based on the liquidity

wholesale side. There has been a very highly competitive market. Probably that is bringing the growth also back into the system.

From here on, I think broadly the repricing that is going to happen on deposits and the MCLR has also started kicking in because now it is almost 6-7 months since rate cut. Given that I think it will broadly be in the same range of 3.7% to closer to 4% or 3.90%. That range will be there. It has exactly played out the way we had told last quarter that our NIM will improve, but now we are saying it will stabilize at these kind of levels.

Akshat Agrawal: Very well, sir. On fee income, it was very strong this quarter, doubling year-on-year and 80% Q-o-Q. Can we get some colour on key drivers? Is it sustainable? Treasury income was very weak, so do we see some recovery going forward?

Satish Gundewar: In terms of the fee income, we have got multiple sources. If you track for the last several quarters, our fee income trajectory has been pretty strong. This quarter also, our disbursement track was very good and that has resulted into good processing fee income. One of the main sources of our fee income is processing fee income that has grown to almost 83% year on year.

Second is our insurance business, which is doing very strong, both in terms of the number of policies and the premium income. That has also grown very strongly. Other aspects of fee income - because we are now well establishing our wholesale banking business, transaction banking is a vertical which is also giving us a good fee income. Across various lines, we have seen that fee income has grown, and these are all granular kind of fee income, which we expect will sustain over a period of time.

Your next question was in terms of the treasury income. Treasury income is again a derivation of the yields in the market, and during this quarter we have seen some hardening of yields and that is why for most of the banks, you would not find much of a treasury income. We had booked some treasury income in the first quarter. In this quarter, there was not much of a treasury income. At the moment, it is difficult to comment in terms of the yield trajectory. But let us see how the yields move and basis that treasury income may come in the next quarter.

Pralay Mondal: If I can just add, I think fundamentally treasury income, obviously

is a function of yield. But

even if there are further rate cuts in Q3 or Q4, I do not see too much of an MTM based treasury income in Q3 also. Maybe some will come in Q4 if we are lucky. But we are not fully depending on non-core income like treasury. Around 80% of our fees are granular in nature and hence, sustainable for the long term. With retail assets and other businesses going to take off from next year i.e., FY '27, sustainability of this fee income will only improve from FY '28 onwards,

The other thing I want to mention is fee income from businesses like gold loans. Because of the short tenor of the business - For example, if we have a book of INR16,000 crores rough and ready, our disbursement is upwards of INR10,000 crores and the fees is on disbursements. Similarly, we had a strong disbursement quarter across all businesses, whether it is SME or Wholesale - that also helped us in getting the processing fees in a big way. Hence there are multiple avenues. There are streams like liability fee, TFX fee etc. which also has done well,

and it will continue to do well. Hence, from all of that perspective, I think whatever fee income we are seeing, it may not grow every quarter by 40% and all, but I think we will sustain and we can bake in around 19% to 20% of our overall income as fee income safely right now. That is the momentum we have picked up.

Akshat Agrawal: Right, sir. If I could just squeeze in 1 more question. Opex growth was very high, driven by non-staff expense while cost-to-income ratio looks okay. Cost as a percentage of assets increased to 4%. With technology transformation now broadly complete with focus on stabilization and branches just increasing forward in the quarter. What is driving this elevated opex? How do we see for the rest of the year? In terms of the branch ramp-up, I mean, will we resume like 100 branches a year kind of thing for next year or for the second half?

Pralay Mondal: I think we are somewhere around 23% opex growth for the half year on a year-on-year basis, which is pretty tough when you are growing the balance sheet by 27%. Let us not forget that we are investing into the bank at this point of time and full payback will start happening from FY '27 or FY '28 onwards. Hence the cost to income as per our previous guidance, will be between 60% to 65% for another year or so. After that, it will start coming down and FY '28 onwards, it will sharply start coming down.

Given that perspective, on the operating cost side - 22 % sequential growth quarter on quarter is slightly high. Let us not forget that some of these technology costs are also opex costs. They are not all capex and a fair bit of it is opex, including the AMCs etc which has started kicking in. Typically, somewhere around 8% to 9% of our overall opex will always be technology related and CIR will improve once we start picking up the income by leveraging the systems. I think we will stabilize that.

On the branches, we will add around 50 to 60 branches at this point of time on an average every year because we are pretty much reaching the critical mark of 1,000 branches, which we wanted to reach and then take a stock of situation and then we will think from there.

Moderator: The next question comes from the line of Mona Khetan from Dolat Capital.

Mona Khetan: Firstly, on the fee side, I wanted to understand the contribution of processing fees to this overall fee. The reason I am trying to harp on this is because a 2.8% of assets, it is way higher than what we see in the industry, even for the large banks. Does it include any syndication income as well this quarter?

Pralay Mondal: Mona, Pralay here. As I said before, around 80% is granular and sustainable. We may not be able to grow this much because I answered your question partially by saying that disbursement has been very high th

is quarter and processing fee is a function of disbursement. As the regulatory guidance on re-pledger/s has kicked in for the banks, we have taken a very conservative view and we have started degrowing that portfolio. Hence you will see that our retail advances has come down. One of the reasons I have already disclosed before that retail includes a fair bit of the repledge business, which we called as Loan Against Security. We are running down that portfolio based on our conservative view of the RBI policy interpretation and
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we would like to bring down the portfolio as much as possible by next April. We are not renewing anymore, and it has already started running off. We have got a growth of 37% on gold loan in spite of the fact that a fair bit of runoff has started in LAS, where you do not get much fees. We are replacing it by granular businesses where the fees are much higher. That is one. Secondly, I think our TFX business has started doing extremely well and as on the wholesale side - we have started getting businesses contributing to TFX and some of the other granular fees. Treasury fee is not much. Hence primarily, it is granular fees and it is sustainable. On your specific question on syndication, we are working on some, but this quarter we have not done any syndication.

Mona Khetan: If I could understand, out of this INR 343 Crs, what is the component of processing fee?

Pralay Mondal: We do not give detailed breakup on this.

Mona Khetan: But sir, because there is such a material part of your ROA, if you could start giving some clarity as part of the presentation on your fee bit as well. I think that will clear a lot of doubts as to where this is coming from.

Pralay Mondal: I said this is granular. Like a lot of people had doubts that last quarter when I said that our NIM has bottomed out, but we have proved it. So, trust us, it is granular.

Mona Khetan: Sure. But I mean, this kind of number, we do not see in the industry, even for the stand-alone gold finances, we barely see any material fee line. So, it is a little hard to digest. Secondly, on the ECL transition, just some quick thoughts from you. Also, if you could share the SMA 0/1/2, if possible, that is useful.

Satish Gundewar: Mona, Satish here. On the bank policy on NPA, the provisioning policy that we follow for nonperforming assets is much more accelerated compared to the RBI guidelines. Over and above that, we also carry some contingency provision, which we have specified in our earlier calls. We carry a substantial amount of additional provision compared to what the current norm suggests. We have been also submitting our proforma financials, which are based on IndAS norms to RBI. The draft ECL guidelines also talk about various minimum base level provision, especially on the SMA book and all that. At the same time, we have some excess provisions. Largely, our assessment is that one will set off against the other and there would not be any material impact to start with when the ECL guidelines come into play. Even now, these are draft guidelines, and the banks have submitted their suggestions to the regulator and the final guidelines are yet to come in. At this stage, it will be too premature to really quantify in terms of what is the final impact that is going to come. But our initial assessment suggests that the impact is not going to be material for our bank.

Pralay Mondal: Mona, if I can just add that SMA book, whether stage 1, stage 2 - whatever you call it, you must understand that we have a large gold portfolio in that. If you go theoretically and put exact numbers to the SMA book, primarily based on gold loans, which will not give the real picture.

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Even if you take the real picture theoretically what it is, it has no material impact as it is easily covered

by our contingency/accelerated provision.

Having said that, obviously, once this rule kicks in, we will not have large SMA book in gold because if you can collect on 80th day, we can collect on 30th day also. From that perspective, depending on what the priority of the bank is based on regulation, we will do it. We are still not seeing any major impact on ECL based on our internal calculations here. But let the guidelines get formally firmed up and then it will be a better time to discuss that.

Mona Khetan: Sure. We had 3 SME slippages last quarter. Is it fair to understand that two of them have already been recovered and just some colour on that?

Pralay Mondal: I had said last time that one of the major slippages which we had last time was more technical in nature and within the first 10 or 15 days of the quarter, we had recovered a large amount from those accounts and to that extent, we are seeing that our NPA numbers and related ratios are a little better. We were comfortable and confident, and I do not know whether I told you in the last analyst meet or not, that we will be able to recover, which happened. Conversations are going on for the pending ones and we are pretty positive about it.

Mona Khetan: Got it. Finally, on the PCR, there was a sharp rise. Is it more driven by higher provisioning requirement for unsecured loans or unsecured delinquency or how do we read the rise in PCR?

Satish Gundewar: In the overall portfolio, unsecured retail portfolio share is less than 3%. We have a small portfolio to say - MFI, personal loan, education loan – which are very insignificant portfolio. It is not on account of that. But as a bank, we have taken a call to accelerate our provision on some of these accounts. Hence it was a management decision to accelerate this provision, and that is the reason the PCR has improved.

Moderator: The next question comes from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki: My question is on net worth - you announced having the INR160 crores of profit, but my net worth increased by approx. INR50, INR60 crores only. So is there any one-off or revaluation reserve or something like that, why my net worth has not increased.

Satish Gundewar: If you remember, last year, RBI implemented this new investment guidelines. Earlier, in the AFS portfolio - any MTM used to directly go to the P&L. Now in that AFS portfolio - any MTM goes to AFS reserve and AFS reserve forms part of the Tier 1 capital. Any kind of MTM pluses and minus go and sit into the AFS reserve. This quarter, the yields have gone up. That is the reason while the profit has grown sharply, the impact gets muted at the capital level due to the MTM, which goes into the AFS reserves. That is all temporary because ultimately, it is not a realized gain or loss. This will flow into the P&L only when the realization happens. This will keep happening based on the yield movements of the AFS portfolio.

Vansh Solanki: Yes. the other question is on my TD and incremental cost of borrowing - what is our highest rate of TD as of now?

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Satish Gundewar: On term deposit – somewhere around 7% is our highest rate. That is all in public domain.

Vansh Solanki: Yes. We have also decreased the borrowing by INR1,000 crores from INR5,000 to INR4,000 approx. Is it just strategically in nature or we have got so much term deposits in our bank so that we repay the borrowing, which is at higher cost? Is that the reason for that?

Satish Gundewar: No such specific reason. Ultimately, it is the ALM management based on what is the demand, and we do not want to take deposits or borrowings and keep it in, say, government securities and things like that. But overall, in the borrowings, there are 2 components - One is our refinance borrowing, and other FCY borrowings. Some of the refinance and other borrowings has matured during

the quarter, and that is reason that the overall borrowings probably has seen a fall. But overall, from an ALM perspective, we manage that effectively in terms of whether we want to go in for borrowing or for deposits.

Vansh Solanki: Okay. Just on the credit cost part that we are taking so much additional provisions continuously from last 1, 2 quarters at least. So, what the management is looking at as full year credit cost from quarter 3 and 4 onwards, are we deciding not to take additional provision or our provisions will continue in line of 0.5%, 0.6% credit cost?

Pralay Mondal: Let me take this. Our PCR without write off has always been in the 70% plus range historically. That is where our comfort zone is - 70% to 75% which is what I have guided in past also. Because of these one or two specific slippages which happened last year, the PCR went down to 64% - 65% in that range, which was not comfortable to us. We looked at an opportunity to raise the

PCR back to around 70% to 75%, which is our comfort zone. Once we have reached there - like CD ratio where our comfort zone is 85% to 90% - we have reached around our comfort zone. I think we would like to sustain in this zone at this point of time.

On the credit cost, GNPA has come down by 3 basis points. NNPA has come down quarter-on-quarter from 0.66% to 0.52% and credit cost has remained similar quarter-on-quarter, 53 basis points. We are trying hard to get some recoveries done and bring it down below 50 basis points, but it will probably remain in that range- say between 40 to 50 bps. That is where our attempt is at this point of time.

Vansh Solanki: Okay. So GNPA/NNPA has reduced and also our PCR is approx. 72% as of now. Can you just say from quarter 3 and 4 onwards, the credit cost will not be higher as much as the quarter 1 and 2 in the second half.

Pralay Mondal: It will not reach there because some of the unsecured loans/ MFI and some accounts of the other portfolio have slipped. Though that portion of our portfolio is small, because we have started reducing this portfolio size sometime back - but nevertheless, they continue. From that perspective, I think this year, anything around 40 to 50 bps is where we position ourselves.

Moderator: The next question comes from the line of Shivaji Thapliyal from YES Securities.

Shivaji Thapliyal: I have two questions. I would like to sort of get a sense of how the bank is going to look like on a steady-state basis from an asset quality and from a growth perspective? I mean firstly, on CSB Bank Limited
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growth, we have a small base and we are growing faster than the system. So how far out into the future are we going to grow at relatively faster pace? What kind of CAGR can we really expect from a maybe 3-year standpoint? That is one question.

Secondly, I think we have obviously grown quite healthily on the gold loan front and maybe we are still piloting on retail and other areas. But nevertheless, where can the steady state sort of slippage ratio be settled at for the business model we are trying to build? What will be the steady state credit cost for that business model? Those are my two questions.

Pralay Mondal: Thanks, Shivaji, for your questions. Firstly, on the growth front, it will be primarily driven how well, we can build our liability franchise because growing on the asset side is not challenging for us at this point of time because we already have a strong lever in gold and gold growth is not going anywhere.

The wholesale, specially the real wholesale, which is the corporate banking - Mid market or Commercial banking is growing at a hectic pace because the base is small there. This year, the growth on the wholesale side, which is around 33% on a year-on-year basis actually happened in spite of the fact that our entire DA portfolio has come down to around INR40 crores right now, which will eventually

will not be there at the end of the year, which was more than INR1,000 crores at some point of time.

Our DA and LCBD portfolio has come down significantly. Our FIPS book which is the NBFCs and all, and which used to be a large part of our book, we have not grown this year so far-maybe we will start growing again. We are realigning the entire corporate banking book in a different way. Hence, growth in corporate banking will be higher than what you are seeing right now because of these noises, which are there in the system.

On the SME side, we have been a little cautious in the last one or two quarters because of various ecosystem related issues, deals etc which have talked about with the exports coming under some kind of pressure. Hence, we are watching that space. Growth is anyway coming but we have been a little cautious on that side. Once we have clarity on the deals and the exports and some of the SME markets, we will get back because we have the levers to press that growth again.

On the retail side, we are having the systems now. Hence from next year onwards, we will start building the retail, both on the liability and the asset franchise and the customer acquisition. The real part of the retail banking will start next year, because on the systems that we had, we could not have built those kind of businesses. Now we have it and now we can build it. From an overall perspective, growth of around 25% to 30% is a no-brainer for us from an asset perspective; but it will be constrained by the liquidity and the other situations in the ecosystem. We have to balance between LCR, NIM, growth, etc. That will be the constraint.

If you are able to build up a good deposit franchise, we will be able to grow easily between 25% to 30% for sustainable future. Though future is uncertain, at least till 2030, we will be able to grow because with larger base, the growth levers will become bigger accelerators for our wholesale, retail and SME. That is on the growth front.

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The second question was on credit cost. ON Credit cost, we have given a long-term guidance between 40 to 50 basis points. Sometimes it will be higher, sometimes it will be lower, but broadly, we will be in that range. Now since Wholesale/SME book also being a material part of the portfolio, an account can swing a small balance sheet. But generally, on a yearly basis, we should remain between 40 to 50 basis points, and that has been my long-term guidance.

Moderator: The next question comes from the line of Yash Dantewadia from Dante Equity.

Yash Dantewadia: Congratulations on a great set of numbers. What I would like to know is have you -- I am sorry, I missed the first 10 minutes of the call. Have you given a trajectory for the cost to income for the next financial year?

Pralay Mondal: I think we have always given that we will be between 60% to 65% in that range. From FY '27 onwards it will start coming down sharply.

Yash Dantewadia: Right. With the cost of funds, how is that going to move, especially if you are factoring in one more rate cut?

Pralay Mondal: Two things will happen there. One is the long-term borrowing book will start eventually coming down on the repricing. Deposit cost is also a function of liquidity and if there is enough liquidity in the system then because we are a little more wholesale funded, we will get more benefits in the short term. But that is not our strategy. Our strategy is to build a retail franchise. But in the short term, it is benefitting us. Having said that, I think the cost of funds trajectory will now go down because of the repricing of the deposits. Fresh retail deposit rates are not coming down. I discussed this in the beginning of the call.

The yield drop will follow the rate cut on the EBLR. The dip on the MCLR portfolio will happen irrespective of the rate cut because it is still going

through the 100 basis point rate cut

transmission and it is halfway through. If there is one more rate cut, then EBLR portfolio gets impacted immediately. But the good thing is that our fixed rate business is around 60%. EBLR and MCLR linked portfolio is around 39% - 40%. To that extent, our impact will be slightly lesser. On the balance, I think between cost of funds and yield reduction, it will be sort of moving in parallel line to a great extent.

Yash Dantewadia: All right. I think most of our loan growth is obviously coming from gold loan currently, right? Gold prices have done very well in the last 2 years. So that has obviously been a driver for us to disburse more amount of money. You said gold loan growth is not going anywhere. I heard that particular statement. Let us say gold prices do not move and stay consolidated around here. Are we still expecting the momentum to continue? And if not, where is the next leg of growth going to come for CSB Bank other than gold loan, where else are we focusing and putting our energy towards?

Pralay Mondal: If you look at gold price, it has only gone up in the last 1 or 2 years. But if you look at sustainability of our gold growth over the last 3, 4 years, take aside the FY '22 because of the LTV impact from 90% to 75%. Our sustainability of the gold growth has been uniform.

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What I see in the ecosystem is, ecosystem has run by 120%, we have still grown by, say, 36%, 37%. When ecosystem is growing much lesser, we are still growing at that rate. We do a very planned kind of an activity and we have brought down our LTV based on the sensitivity analysis. We are not chasing the growth on gold loan based on where the markets are. Our tonnage growth on a year-on-year basis is 4%. But I have this theory that tonnage growth will come back once gold prices start going down because ultimately, the customer will need that much money for his cash flow or for his working capital or whatever. A lot of gold loan businesses has started happening on the SME side and working capital side and just not for consumption purpose. Hence the flavour of the gold loan business is changing. I think we are playing to that to a great extent because if you see our number of accounts have come down, but our overall business has gone up significantly, especially in gold loan.

Yash Dantewadia: That is a sign that a huge portion like the tonnage growth that you pointed out. And you also pointed out that the number of accounts have not grown in line with the disbursements. Do you think that is a sign that our loan growth is coming from gold prices, hence, people are borrowing more?

Pralay Mondal: Probably, I could not explain it properly. Please hear me again. I am saying that the tonnage has grown but customers have not grown. What it means is tonnage per customer is also growing at a time when prices are going significantly higher.

My theory here is like this, that a customer needs INR100, he will give lesser tonnage i.e., lesser grams of gold he has to give. But if you need to INR100 when prices come down, customer will give more gold. That is the segment we operate. That is why we are growing at a similar kind of rate at which we were growing before, but the market has grown multiple fold. We have

not chased that growth.

Coming to your impact on growth, the answer is No. On the overall even if price comes down as our LTV is very good - we are not taking any risk on the LTV. Hence, even in a difficult situation, where industry which is growing at a fast pace, in case there is a risk, we will be actually having a risk free kind of a portfolio, and hence, we can continue to grow.

That is one. Secondly, we are not dependent only on gold loan business. Our wholesale is growing, which I just explained, our SME is growing, our retail will start growing from next year. Hence asset growth is least of my worries at this point of time.

Yash Dantewadia: But sir, in retail, what are we going to focus?

Pralay Mondal: Retail – primarily we will focus on vehicles, CV, CE, LAP, LAS and those kind of businesses. Our Agri portfolio has stabilized. Now we will start building our Agri portfolio again, which is KCC/tractors, those kind of businesses. We are still not comfortable that much with the unsecured business and unsecured we will do primarily in-house with our existing customers, which we will start building. That is where the plan is. Basically, productive assets in retail where we have our end use understanding.

Yash Dantewadia: It is right. Where do you see our gold loan by 2030 as a total percentage of our AUM?

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Pralay Mondal: Yes. There, I have changed my view slightly on this one. Previously, I used to say it is around 20%, but a new segment is coming up in gold business, which we want to address, which is the SME segment. That is why when I say ticket size is going up not by value, but by the requirement of the customer. It need not be for personal consumption alone. There could be a specific end use, for which people are taking money through gold loans with higher ticket sizes, viz INR 5 lakh and INR10 lakh things like that. That is a segment which is evolving right now. Given that, I would say that, that is almost like SME business with a loan against collateral. That is a segment which is coming up which we are especially going to focus on now because I think that is a very good segment. The yields may be slightly lower, but that is a good business to be in. I think we should be somewhere upwards of 25%, but below 30% is what our plans are in gold loan by 2030, especially because I think this 5%-7% growth incremental mix will happen from this particular SME kind of a segment who will use gold as a collateral.

Moderator: Ladies and gentlemen, we will take that as the last question for today's call. I would now like to hand the conference over to the management for closing comments.

Pralay Mondal: Thank you for your participation, and thank you for a great set of questions. I believe that we had a very good quarter. But I am more excited with the kind of technology transformation journey we took for completely rebooting the bank again. The kind of work which has happened on the technology side is kind of giving us a lot of satisfaction and happiness. We hope that we can build the bank in a very different trajectory, including franchise businesses, Retail, SME, Wholesale and of course Gold, which remains as a key product for us. Thank you very much for participating and look forward to seeing you again in next quarter. Thank you. Have a good evening.

Moderator: On behalf of YES Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

"CSB Bank Limited
Q3 FY2026 Earnings Conference Call"

January 28, 2026, 05.30 PM IST

MANAGEMENT: MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST: MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to CSB Bank's Q3 FY '26 Earnings Conference Call hosted by YES Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivaji Thapliyal from YES Securities. Thank you, and over to you, Mr. Shivaji.

Shivaji Thapliyal: Thank you, Iqra. Good evening, and a warm welcome to all those who have joined the call. The CSB Bank management is represented by Mr. Pralay Mondal, Managing Director and CEO; Mr. B.K. Divakara, Executive Director; and Mr. Satish Gundewar, Chief Financial Officer.

We specifically thank the management of CSB Bank for giving YES Securities the opportunity to host their results call. The management will first be making some opening remarks, after which, we will throw the floor open for questions.

I now invite the management to make their opening remarks. Pralay, over to you.

Pralay Mondal: Thank you, Shivaji. Good evening to all. Thank you for joining the CSB Q3 analyst call. Let me start with a little bit of a background of the global scenario because, obviously, there is a lot happening there. Then we will come to CSB specifics.

On the global trade scenario, the trade negotiations have deteriorated since last quarter on the U.S. side. But of course, we had some good news coming from the EU front. Hopefully, that will neutralize some of the impacts, which is happening. It has created volatility in the financial markets impacting currency and equity flows into many countries. The issues related to the FED Chairmanship, control over Greenland and unrest in Iran have all added to the uncertainties and heightened the global risk. This has resulted in unilateral appreciation of commodities in the last quarter.

Indian growth forecast has been revised upwards by economists and multilateral agencies like IMF as well. The inflation is expected to remain below the lower threshold of RBI, which is below 4%, despite the expectations of it moving up a little bit now from its current level.

The deposit growth continues to lag credit growth quarter-after-quarter. The CD ratio of banking system is above 80% now, stressing the deposit rates. The continuous lag in deposit growth has impacted the banking sector NIM significantly. The banking system is likely to continue to face deposit stress, which will keep the deposit rates higher and prevent NIMs from improving immediately.

Coming to CSB specifics which is more relevant to us - On the profitability side, we ended the quarter at INR153 crores, kind of flat compared to last year's same quarter. Operating profit of the bank grew by 32% on a Y-o-Y basis for Q3 and stood at INR292 crores. NII grew 21% Y-o-Y and stood at INR453 crores.

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Other income grew by 26% Y-o-Y, constituting 19% of total income for Q3 FY '26. Cost-to-income ratio was around 60% and lower both on sequential as well as Y-o-Y basis. NIM for the quarter was the highest for the current fiscal and stood at 3.86%, supported by marginal reduction in funding costs. ROA for the quarter stood at 1.22%. Contingency provisions are held intact and bank is continuing with the accelerated provisioning policy, which will enable the bank to move quickly towards the ECL framework as and when it is implemented.

On the liability front, the funding base continues to improve. The deposits registered a robust growth of 21% Y-o-Y, much faster than the industry level. CASA grew by 3 % Y-o-Y and CASA ratio was around 20.5%. Sufficient liquidity buffers are being maintained.

On the liquidity front,

we had a reasonably good liquidity risk management. While CD ratio stood at 92%, average LCR for the quarter was at 114% and NSFR ratio was 118%.

On the asset side, the growth of advances registered a Y-o-Y growth of 29%, which again is almost double the systemic growth rate. Yield on advances in Q3 stood at 10.82%. In terms of asset quality matrices, there was a slight deterioration. GNPA and NNPA ratios - although within guidance i.e., below 2% and 1% - were slightly elevated for the quarter at 1.96% and 0.67%, respectively. PCR (without write off) stands at 66.32%. Bank is holding a provisioning buffer of around INR193 crores over and above the regulatory requirements.

On the capital side, we continue to have robust capital with the overall CRAR at 19.41% and Tier 1 ratio at 17.66% as on 31.12.25. Proportion of risk-weighted assets continued to be lower compared to the industry.

On the Shareholder value creation - Book value per share was at INR 269. EPS for the quarter is INR34.91 and ROE for the quarter is 13.38%. On the distribution side, we have a network of 846 branches and 818 ATMs as of 31.12.25.

In conclusion, we continue to outperform the industry growth trends in respect of both deposits and advances. We could grow our deposit portfolio by 21% and advances by 29% as against average industry rate, which is almost half of this level.

Both our gold loan and wholesale banking verticals contributed significantly to our advance growth, registering a growth of more than 40%. We continue to be cautious in terms of unsecured book and have reduced our exposure there. In view of systemic uncertainties, we are exercising vigil while growing the BLG portfolio, which is the SME portfolio, where quality and pricing are of utmost importance. In line with the regulatory prescriptions, we have allowed the loan against security, repurger business, which is primarily collateralised by gold to degrow, thus negatively impacting the overall growth in the retail asset portfolio.

Our operating profit is robust with a 32% growth over Q3 FY '25 and 5% over sequential quarter.

The strong operating performance can be attributed to the NII growth of 21%, other income growth of 26% and disciplined cost management. More than 95% of the income is constituted by core fee income because this time, non-core items like PSLC and treasury incomes were almost next to nothing.

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Our net profit for the current quarter is almost flat compared to Q3. We have conducted a detailed analysis of the underlying causes leading to a slightly higher provision requirement, including certain technical factors, which we can take during the call when there are questions. Corrective actions have been initiated, and we are confident that we will be on track and monitor effectively on both GNPA, NNPA as well as on the credit cost side over the next one or two quarters. CIR has also improved and all regulatory ratios are maintained at comfortable levels.

As we enter the scale phase, the strategic focus is clear – which is building a diversified book, tech driven expansion, granular customer franchise and right execution. Before I end my opening remarks, I want to emphasise on the confidence and experience, the core banking migration along with 52 surround systems has, instilled within the system. Many other systems especially in the TBG domain are work in progress.

We are getting ready technologically to launch the bank effective FY '27 on the scale phase and we are fully geared up to that. On an overall basis, almost on all parameters, except for the slippages and NPA ratios, which we will explain over the call as and when questions come, we have improved significantly over the last 2 quarters.

As we are talking, we are confident that in the coming Q4 and Q1, we will see significant upgrades

and betterment on the NPA ratios as well.

With that, I hand it over to you for the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Parag Jariwala from White Oak Capital.

Parag Jariwala: Pralay, I have two questions. One - if you look at your disbursements on the Slide number 17, retail and BLG numbers have been down considerably. If you look even during the quarter, gold loan growth is the highest. We have been talking about scaling up the non-gold business. What I mean, was it a corroborated decision because gold was growing very fast during the quarter. We decided to slightly keep the segment under check or what exactly was the thought process here? That is number one.

Secondly, on the slippage of around INR200 crores. Can you give us some more granular detail with respect to how many accounts are there? What led to this technical slippage? You also said in your opening remarks that you expect upgrades and recoveries in the following quarters. What gives you that confidence that you will be able to normalize these accounts in the coming quarters?

Pralay Mondal: Thanks, Parag, for your questions. I will respond to the first question, which is business mix and growth in gold. Now two businesses are growing very well for us. One is wholesale and in wholesale also previously we used to do primarily NBFC and financial markets. But now we are doing all other corporate businesses. In fact, financial markets mix, we are keeping it lower and not doing much there as we already have a large portfolio. Still around 35% to 40% of the portfolio is financial markets. But corporate banking and mid-market, which is the commercial banking, both these businesses have started doing extremely well for us.

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In terms of quality, in terms of pedigree of these businesses, quality is really good and we are expanding the teams across the country- North, West, South everywhere. We have in a short span built a good wholesale banking team. This kind of pedigree we not only have in the management team, but also in the Board and our Chairman for MCB - Credit Committee, Mr Deepak Maheshwari, where anything above INR50 crores goes through his and the committee's supervision. Hence, we are pretty confident that business is growing really well.

Coming to the gold, of course, that prices are going up. At the same time, our LTV is constantly coming down. While the quarter end LTV was 63%, overall LTV has gone below 60% right now. We are not taking the price risk on the gold side.

Even tonnage has grown marginally compared to last year. The other thing which has happened in gold is a new segment, which we are focusing on and which is helping us. This year the repurger business, which is higher and classified under retail and having gold as collateral - based on regulatory guidance effective 1st of April, we cannot do that business anymore. Since we cannot do that business anymore, we have started running down the portfolio and it has almost come down to around INR700 crores from around INR 2,000 plus crores. That is what has brought down the retail. Retail as such has not degrown except for two-wheeler, Agri, MFI and other unsecured loans etc because of obvious reasons like stress in the portfolio and we saw it prior. As we did not expand that portfolio; we actually got saved in that portfolio. Whatever slippages are happening there right now is on a small base and the tail is only left for that. Otherwise, I think retail, everything else has grown the way it was happening. But the real retail growth will happen only when the liability franchise starts picking up. We were waiting for the core system migration to happen. Now we are launching the products and retail assets will happen in parallel to retail liability as it is two sides of the same coin.

n. That is how we will build

the granular retail franchise over a period of time. Meanwhile, we are doing good on CV/CE, Healthcare Finance, LAP - all these businesses on the retail side.

On your second question on slippage. Yes, around INR197 crores is the slippage. Out of that, a large part is on the SME side. Our retail slippages is starting to come down and now it has become flat in terms of slippage or NPA and it is going to come down further from the next quarter because the portfolio itself is kind of eroding. As we are not adding on the unsecured side, which is somewhere around 2.4% of our overall portfolio, the denominator itself is reducing. Hence, even if delinquency percentages are high in retail, eventually, it will not be that material in another quarter or two. To that extent, in retail we are getting into a safe zone just because the portfolio size is not that much. Some of the other business in retail is doing well in terms of quality of the portfolio. Stressed accounts in CV and HCF - we have sort of collected and we are doing good there.

We had a challenge in SME because of two reasons. One is the segments which we are operating in SME and second is certain locations which are impacted by the global uncertainties. But the good news is that most of these are not old vintage legacy customers and these are all well collateralized. The slippages are because of business challenges which they are facing, and the intent is not wrong. Hence, we are confident that we will be able to upgrade most of these

accounts. We were expecting upgradation of 4 to 5 accounts in the last quarter of this fiscal itself. But for some reason, it got moved into this quarter. We are confident that these 4 - 5

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accounts will definitely get upgraded this quarter. As we are talking till yesterday, we have already upgraded INR30 crores of these SME slippages. We don't see any fresh slippages because majority of our SMA- 2 account comprises of gold and LAS, which does not lead to any losses eventually.

We are doing a lot of work on the Q3 slippages and we think that we will have a positive surprise by way of upgradations/recoveries. That will also help us in improving our Provision Coverage Ratio (PCR).

Other than slippages, if you look at line by line, all the components up to PPOP level, the bank has done very well, much better than what we did in Q3 FY25. In Q1, you remember that we had a NIM of 3.54%. The expectation was that it will constantly slide down like that. I had said that it will go up and a lot of people had doubts. But we have eventually shown that in 2 quarters from 3.54% we went to 3.81% and now up to 3.86% in a scenario where NIM is under pressure in the ecosystem. This means that we are in control, and we know what we are talking. Having said that, I think NIM sort of will not move beyond this. We will be somewhere between 3.7% to 3.9% range. I don't see it crossing 4% right now, given the overall ecosystem - deposit challenges and liquidity challenges which are there in the market.

Similarly, I am saying that on the NPA side, we are pretty confident that between Q4 and Q1, we will sort of be back to the NPA levels where we used to be in the previous quarters. That is broadly my response to your questions.

Parag Jariwala: Just 1 or 2 questions. You said that may be 4 to 7 accounts you will be able to upgrade, but total slippages is around how many accounts? Is it fair to say that large part of these accounts is mainly to do with tariffs as may be in textile, footwear or such kind of an industry. Is that a fair understanding?

Pralay Mondal: Parag, the number of accounts will be irrelevant because sometimes there are small amounts also. But around 10 to 11 accounts on the SME side will be material. Retail is at a portfolio level and wholesale we don't have any major slippage. We have

only one account of about INR 4

crores on the wholesale side which is expected to get regularized this quarter. Out of the 10 to 11 accounts on the SME side, we are confident that around 40%, 50% will be recovered this quarter. Not everything will get reversed and not everything will get upgraded but a fair bit will get upgraded because some of these have technically moved into NPA this quarter.

Unfortunately, we also did not expect it, but it happened. Proof of it is that we already have upgraded accounts amounting to INR30 crores.

Parag Jariwala: Sure. Just one thing if I can squeeze in. There were 1 or 2 delinquent accounts in first quarter of FY '26 as well. I mean, is that account now upgraded?

Pralay Mondal: That was not in SME. That was a legacy wholesale account, and the recovery is under process. We are sanguine that we will get something out of it in Q1 FY '27. The process got delayed as this went to the legal IBC process and all of that. The full thing cannot be recovered but fair bit of recovery will happen in Q1 '27.

Moderator: The next question is from the line of Natraj Shankar from DSP Mutual Fund.

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Natraj Shankar: Just a contextual question in this journey before we scale from '27 onwards. How do we manage these bumps? Are the systems robust enough to weather this entire journey? At this stage, we are having bumps. So just wanted to contextually understand the risk processes first.

Secondly, you talked about SMEs. Could you just take 2 parts of the question? One, the overall context of the SMEs, what you are observing in general, which pockets are you seeing some bit of stress? Secondly, within your cohorts, how are you placed within that?

Pralay Mondal: To contextualize, when you are talking about bumps, we have 2 bumps. One is NIM going to 3.54% in Q1 and one is GNPA going to 1.97% for Q3. Now, both of these are well within the range, especially GNPA where we always said we will be below 2%. However, in spite of the bumps, we are below the guided range. But that is not where we want to be.

There are no major kind of roadblocks for our SBS 2030 journey. FY '27 onwards, we will see the scale phase. NIM, we have already said that we have gone back to where we wanted to be, closer to 4%. If you look at most of our ratios, there are not too many bumps, and those bumps are also within the range which we have guided to a great extent.

Coming to the SME, I think I explained enough to Parag on his question on slippage and NPA. There is no point repeating that. One addition in SME is that we have consciously gone slow in growth- we have grown SME 20% YoY whereas last year it grew almost by 30%. At least one good thing we have done is, whether it was unsecured retail or MFI or SME now ; whenever we have seen and read the stress scenario, we had slowed down these businesses. We do not keep accelerating the business and increasing the denominator. By the end of this year, we will grow even slower than 20% on a year-on-year basis in SME. That is a deliberate kind of a strategy which we have worked out. Having said that, SME is our growth engine. Once these issues get sorted out, we will look back to growth-oriented SME business model from FY '27 onwards as quickly as Q1 FY '27. For SME, we all know that there are certain segments, which had some issues because of the tariffs, global challenges, etc., which hopefully with the EU deal coming in will look better, but that will take some time to settle down. It is only a conversation right now and on sign-off afterwards, this will materialise. But sentiment is very important. Sentiment starts getting positive once people become hopeful and the business starts picking up. What I can tell you is that most of our SME loans, are highly collateralized. More importantly, intent is very good. None of these guys are putting their business

ss back and diversifying or kind of siphoning of the money here and there - that also happens in some SME businesses.

These two primary problems are seen in the SME business, one is quickly moving out of the business and the other is not having proper collateralization. On both accounts, we are doing good. Earliest by Q1 next year and latest by Q2 next year, I think we should be back in the growth orientation on the SME business as well.

Meanwhile, in assets, growing by 25% plus is not a problem. Of course, how do we fund that in terms of deposit is something to be figured out. We know how to grow at 20% on deposits. But beyond that, how do you grow on the deposit side needs to be seen.

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Natraj Shankar: Just one last quick follow-up on the deposit angle. You talked about system stabilization and glad that is going well. When would you actually start seeing that? What would it take for that to actually fall through in place the deposit growth that you are talking about?

Pralay Mondal: We are looking at 3 levers on deposit growth. One is a long haul, which is creating retail products, CASA and customer acquisition at branch level for which you need the right products, systems and the customer service modules.

In the earlier Maarvel system we could never do that. But now we have the best and the latest systems. We are quickly going to build products. This will take anything between 12 to 18 months. Having said that, obviously, this is a journey. It is not that it will wait for 18 months. We will continue to see some improvements over every quarter.

More importantly, what we have done is we are making all the businesses accountable for self-funding. Whether it is wholesale, SME, Retail - all of them contributed towards liability growth.

In terms of quantum, of course, SME was lower, wholesale was also on a little lower side, retail was larger. But in terms of percentage, all of them are growing equally well. We have kind of mandated the teams that you have to fund so much percentage of your business through self-funding through OPDT and other routes, etc., I mean all owners, promoters, directors, etc on the corporate side.

We will get the funding through TASC as well. We have created a separate vertical for TASC, which is the Trust, Associations, Societies and Clubs. But beyond deposits, CASA and the customer acquisition, we are also doing good on the FCY borrowings and refinance that also has grown for us during the last 1 year.

Thus, we are looking at all sources of funding to fund our growth. LCR, we are pretty confident. Last quarter, we ended at 114% and we should be above 110% this year.

Moderator: The next question is from the line of Akshat Agrawal from SMIFS Institutional Research.

Akshat Agrawal: In terms of opex, other opex declined 22% Q-o-Q. Is it because of technology investment coming out of the base? Was there any headcount reduction? CTI is at 60% now. So, do we think we can maintain this level going forward?

Pralay Mondal: What has happened this quarter is, of course, as a bank, when deposit costs are going up and yields are falling, one has to be conscious of cost management. Hence, we put special cost management practices in the bank. Having said that, none of that shows up so quickly.

It is not on account of technology reason that OPEX has come down, as technology costs have otherwise gone up, because in technology cost, capex is going to opex with AMC and other expenses kicking in. As a percentage, technology costs have always been between 8% to 9% of opex. That will not come down.

We did a detailed analysis of the PSLC income which is part of our fees. After doing an analysis

of last 2 to 3 years trend, we saw the best time to book income and what is the best time to buy PSLC. For example, we need SMF, so we bought it at the right time, which was last quarter.

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This quarter, we did not buy anything. When you buy SMF, it goes into your cost line. Similarly, last quarter we had a good PSLC income. Again, in Q4, we will have a good PSLC income because income is booked as per our analytical tools which predicts the time to book or sell PSLC. Based on that last quarter, we bought PSLC on the SMF side, which hit our cost line and this quarter it was zero.

Similarly, on the income side also, PSLC was effectively zero this quarter. Last time we had a good income. These are one-offs, and these are not really franchise businesses. This is a very tactical play. What it means is that next quarter, again, we may have a good PSLC income on the fee side.

On the cost side also, PSLC may go up a little bit leading to cost to income going slightly above 60%. We may not go back to where we were, but it will probably go up quarter-on-quarter a little bit more. This is a one-off tactical kind of scenario. Overall, had we sold PSLC and bought PSLC, we would have shown better profits on a net basis this quarter. But we decided to keep it for next quarter because we know that next quarter, it will be a better income.

Lastly on the fees, like everybody else, we didn't have treasury income this quarter, because, of the bond yields. We are not even factoring treasury income in fourth quarter. If it happens, it is a bonus. Right now, we have not factored that in.

Akshat Agrawal: Right Sir. The benefits of scale - as far as costs are concerned, are we going to see it something like in the second half next year? Or is it like maybe from FY '28 onwards?

Pralay Mondal: FY '28.

Akshat Agrawal: This technology stack cost, which would have started coming off at some point, as for last 2 or 3 years, it was elevated because we were doing a lot of technology investments. Apart from the BAU tech cost like 8% to 9% or 10% odd for every bank, is it not coming off now? I mean the incremental costs on account of the tech stacking -- shouldn't it come up at some point in next 1 or 2 quarters?

Pralay Mondal: No, it doesn't work like that. Tech costs eventually will probably be slightly lesser than what it is today. Right now, it is slightly elevated as at one go, we had to make the full transformation. However, since it is a capex opex game, finally, it will flow through along with AMC, which is also part of opex.

Hence, I think 8% to 10% of our overall opex will be technology. Maybe it will go down by one odd percentage. That will not be material in terms of overall P&L.

However, even if it goes down, the real cost that we will now incur is in terms of customer acquisition because one of the reasons why our CASA or our granular deposits has not been great so far is because we did not have the products and the systems to get those customers in. Now that the system is there, products will be there and then the cross-sell of retail assets also will happen to those customers.

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All this will play out in the next 2-3 years. I have always said that our cost to income ratio will start the target glide path from FY '28 onwards. Once it starts gliding down, it will be pretty fast, and I think we should be able to go to 50% by FY '30.

Akshat Agrawal: Right. Sir, my next question is on NIM. Yield on advances declined this quarter. It is coming from higher wholesale mix at lower yield, MCLR revision and some repo rate impact. Wouldn't the higher gold proportion with incremental higher yield at 11.83% versus 11.77% kind of offsetting most of the impact on yield on advances?

Pralay Mondal: Right. If you look at it, because of the repo rate decrease, impact of almost 125 basis points happened in the last one or a little more than a year. All of that has flown through the SME business and some in the retail side also, which are linked to RLLR

. Wholesale business is mostly linked to MCLR and that is gradually coming down.

In terms of our mix, almost 60% is fixed rate loans, including gold loans. That is exactly what I said when the NIM was 3.54 % in Q1, which has gone up at 3.86%, and that will sustain at the same range. But yes, with the repo downward revision, SME went down instantly and we have to work on pricing of the new businesses as well.

In addition, we did not grow that much in the SME new business because we were a little

circumspect of the segments we were in at that point of time, given the global challenges. I think things are settling down now and hopefully, we should be able to stabilise the NIM at a similar level where we are right now.

Akshat Agrawal: Right, sir. On the cost of funds, cost of borrowing came down, but cost of deposits was down by just 2 bps. So incremental borrowing cost versus the book borrowing cost – are you seeing benefits there going forward? Or most of it is already in?

Pralay Mondal: Borrowing cost has definitely come down marginally compared to what we had taken.

Borrowing cost is linked to SOFR and unfortunately it has not really come down as expected. Hopefully, it will come down over a period of time. In between, the hedging costs also went up close to 3% for one year and the net landed cost was slightly higher than our estimates.

It is a combination of all of this and this reduction though marginal, helped us in managing the cost of funds and in maintaining the NIM.

Akshat Agrawal: Right, sir. On the asset quality, is this incremental flow from any new accounts? I mean is it all in this quarter and we are just expecting recoveries? Or do we expect some more accounts to slip on the SME? What kind of coverage do you have? You did say that it was well collateralized but if we can get some colour on the overall coverage including collateral on the SME accounts.

Pralay Mondal: If you are talking about SME, we are well collateralized -- almost 80% and above is collateralized. But obviously, if you look at Corporate Banking, it will not be well collateralized as SME. But we don't even have an SMA 1 or 2 account in corporate banking and we don't expect to have. This I said before and it is worth repeating because this quarter, the point in question is why slippages are high, despite everything else looking positive for the bank. The point is that, yes, it happened, as there were certain challenges in the ecosystem with the CSB Bank Limited

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customers. The good part is, none of these customers have left their businesses and gone, instead they are all working hard on reviving it and some have even started paying us. Consequently, some of them are getting upgraded this quarter. As I said earlier, we have already upgraded accounts amounting to about INR30 crores. I think we will positively surprise the way we show our upgrades and recoveries this quarter and Q1 as well.

These are not like 10 year old accounts. We know those customers. We cannot disown them also because we acquired those customers. Hence, the responsibility is squarely on the relationship managers and the businesses to get the money back where we can and we are at it. Unfortunately, three or four accounts, we wanted to upgrade last quarter. For some technical reasons it did not happen in Q3, but it has started now. I was not even expecting to have these discussions on this call, frankly. I think we are pretty much confident that we should be able to upgrade most of these accounts in this quarter itself.

Akshat, in short, it is business as usual for us. As we know these customers and the current situation, we are not so worried on this slippage, internally in the bank.

Moderator: The next question is from the line of Parth M. Gutka from 360 One Capital.

Parth Gupta: Sir, when I look at your Slide 19, the mix between bulk deposits and retail dep

osits, a large part

of the growth within the quarter has come from bulk deposits. Now with bulk deposits or CD rates going up at least by 10 to 20 bps in December end and January, should we expect the cost of funds to be sort of flattish from here on? That is my question one.

Second is some of the peers have raised the term deposit rates i.e., the retail term deposit rates. So, are we also considering anything like that?

Pralay Mondal: On the deposit mix, as you rightly said, our bulk deposit percentage is slightly higher than the ecosystem. We are at around 47% of the overall term deposits. As our overall balance sheet size is so small, once the retail journey starts taking off, this will drastically change in a quick span of time. That is number one.

Number two, on your specific question, whether this is going to impact our cost of funds or it will remain stable. The answer is that we didn't lock in long-term bulk deposits anywhere. The tenor is generally one year or below. What it means is in a falling interest rate scenario, as and when the liquidity situation becomes a little better in the ecosystem, and we have more certainty on that, we will probably see bulk deposit rates falling faster than the retail deposit rates. Hence, in the short run, it will help us. In the long run, obviously, we will go for good quality retail franchise, which is a desirable and preferred option. Right now, we don't have that option and we are building it. If we continue to grow at a much faster pace than the industry, almost at twice the pace, then we don't have a choice but to fund the asset growth opportunities through these various routes. Hence, we have tactically handled it with a lesser tenor so that we don't get locked into this.

Cost of funds, I think should be going down by a few bps. As you rightly said, currently retail deposit costs are going up - not only retail but even bulk deposit rates are also not coming down

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change. If it changes, in the short-term, bulk deposit rates will come down faster than retail as you lock in retail deposits for a slightly longer period. If the liquidity situation does not change, I don't think cost of funds will change drastically from here. It all depends on liquidity in the market.

Moderator: The next question is from the line of Ishmohit from SOIC Research.

Ishmohit: Sir, my question was related to our return on equity. I think in the past, you have always talked about that 15% is the Lakshman Rekha. I think the quarter 4 is always our quarter where ROEs jumped up. But this time in first 9 months, our ROE is close to 13%. So, are we confident of maintaining the 15% guidelines?

Pralay Mondal: We will try to touch the Lakshman Rekha. We will definitely be better than where we are right now.

Ishmohit: Right. Sir, second question was related to the credit costs. I think in the past, we have also spoken about credit cost being close to 50 bps. I think this quarter has been a multi-quarter high in credit cost because of one-off reason that we had. So, do we see the credit cost also falling down as you go into Q4 and Q1? Are we expecting the credit cost to normalize from there?

Pralay Mondal: Our endeavour is to do that. I think we should do a lot better than where we are today. I cannot make a forward-looking statement on a call like this. But I am pretty confident of our overall GNPA, NNPA and credit cost improvements going ahead from where we are now.

Ishmohit: But will it be like fair to understand that this quarter marks the peak of the credit costs.

Pralay Mondal: Yes, Like I said about 3.54 % NIM for Q1, this is peak in terms of credit cost.

Moderator: The next question is from the line of Anusha Raheja from Dalal & Bro

acha.

Anusha Raheja: One thing on the slippage side, given the fact that global macro is still uncertain, how are we confident that the Q3 slippages will not continue in Q4 and going forward? Secondly, what is the broader call in terms of advance growth that you are anticipating in FY '27? Any internal targets for ROA, ROE for FY '27?

Pralay Mondal: We will be growing asset book somewhere at 25% and above and whatever it takes to fund that growth, we will do it through the various routes primarily from deposits. Hence, deposits have to grow by 20% and above. Coming to the slippage and the quality of portfolio question - we know exactly where our customers stand as we are monitoring the SMA portfolio very diligently - SME in particular has given the higher slippages. We also applied breaks on the disbursements in the SME affected sectors as is evident from the lower numbers YoY. Hence, we have adequate grip and visibility on the accounts, and we can assure that things are well under control aided by the proactive actions that we took. Having said that, these cases are not like a micro finance or an unsecured loan where the challenge continues for a while, and things are expected to settle now and start getting better. Once we are confident that things are comfortable, we will start growing this portfolio because we have the entire established

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machinery in place. It is only a matter of time to take a strategic call to grow this business when the overall market scenario improves.

In short, we are not only confident of recovering the slippage and NPA, but we are also confident of the SMA book which we have at this point of time.

Anusha Raheja: Okay sir. Any ROA, ROE targets for FY '27?

Pralay Mondal: I have always said that we want to be somewhere around 1.5% in RoA and around 15% in RoE. This year, we should be coming closer to that and next year, in all probability we should cross that.

Anusha Raheja: One last thing on the slippage side. Out of INR197 crores that slipped during the quarter, what could be any rough estimate, that can get upgraded in Q4?

Pralay Mondal: Well, we can't comment on the exact numbers. However, we will do well there.

Moderator: The next question is from the line of Shivaji Thapliyal from YES Securities.

Shivaji Thapliyal: Yes. Just one question from my side. Just to understand the underlying asset quality a little better. Could you help us understand what could be the exposure to some of the sectors, which are potentially impacted by tariffs, I mean, the textile sector in Tamil Nadu or elsewhere in South India, some of these other sectors like fisheries, shrimps and so on.

Any sense of what that portfolio is? Or is it not sensible to look at it from that lens? And just only it is better to look at it from an account specific perspective. Any thoughts around that,

basically?

Pralay Mondal: Shivaji, we are not a large bank. When you are a large bank, you have to look at the systemic issues more closely. For smaller banks, it would be more prudent to see from an account level, without overlooking the overall ecosystem.

For us, it is a combination of both, but we are more focused at account/ customer level - what is going on in his business, how his cash flow is coming, how he is expanding business, if you are diversifying the business, the impact on the core business and things like that. With this focus, the outlook is positive now.

Having said that, on the macro - our risk department did a detailed analysis for exposure to some of these affected kind of industries in the SME side and they had come out with stress testing formula/scenarios on the potential challenges. We figured out that it is not something which is earth-shattering and not all of that is/will be playing out also. Having said that, certain places where you do not analyse, there it is playing out. For

example, if a person who is supposed to

do exports to a particular country is not doing that and selling the goods within India at cheaper rates, then he becomes competitive, and somebody else gets impacted. Hence, sometimes, formulas don't work that way. Hence, we have to see the bigger picture and say that leave the bigger picture outside and look at specific customers. We now have the count of customers where the challenges are and what the solutions are. We have worked on this and in least 50%

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of the cases, we have visible solutions in our hand at this point of time. Ultimately, as a banker, if you do business, there will be certain times where certain challenges creep up. How to resolve these challenges gives the marks to the department or to the institution. That is what we are focusing on.

At the same time, we did not believe that we should simply expand the denominator and add to the stress. We withdrew from some of these markets and businesses right now, but without losing the relationship so that whenever we want to go back, we can go back and do those businesses full-fledged. Sometimes, when you hold hands of people, it is easy for us to just go and say that I am auctioning a property, then you lose those customers forever. Hence, the intent part in SME side is very important. When you support them, they remain your customers forever.

Hence, I think it is a balancing act. It is not one formula that works everywhere. I think overall, we have got a hang of the whole thing. I don't see the SME portfolio going any worse than where it is today.

Shivaji Thapliyal: So, I mean just a quick follow-up. No material slippages of this quantum, which can take gross slippage to 2 percentage levels should be emerging in the upcoming quarters, basically. I mean whatever stress because of tariffs, etc., have emerged as most of the slippages have been created?

Pralay Mondal: It has been played out. Even if there is a global stress, it will not impact us anymore because we have taken prudent calls and even at the cost of business. I will be extremely surprised if in the next 3 years, we see a 2%, in gross NPA. Though we have given a guidance of 2%, we will remain well below 2%. This is the peak of our slippage in my view.

Moderator: Thank you. The next question is from the line of Yash Dantewadia from Dante Equities.

Yash Dantewadia: I just have one clarification. I think with the recoveries, we gave a number, I think INR30 crores to INR40 crores. Did I hear that right?

Pralay Mondal: Yes, INR 30 crores, not recovery, upgrades.

Yash Dantewadia: Perfect. You said 80% of the NPAs are sort of accounted for. You have assets up to 80% of what you lend. Is that right?

Pralay Mondal: Collateralized, what I meant was collateralised. I am only talking about SME, not wholesale. Wholesale is high-end corporates and cannot have such high collateral coverage.

Yash Dantewadia: That is understood. Coming back to gold loan business, how do you see this kind of the momentum in the next 1 or 2 years, like, let us assume that the gold prices sustain where they are currently. How do you see the gold portfolio growing as a percentage of your total book, maybe 1 or 2 years forward?

Pralay Mondal: See, Gold price movement surprises me almost every day now. Obviously, how long it is sustainable, we don't know. We cannot build our business model based on gold price going up or remaining at this level. We are also taking base case scenario where it will come down also. Based on that, all our projections are derived.

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If it goes up, it is an opportunity, why not do this business. It is also an opportunity to improve

the portfolio and bring down our LTV ratio. Our LTV is below 60% right now. Hence, even if we do an LTV sensitivity analysis, it goes up by 5%, 10%, or even

even 20%, the analysis throws

out a very rosy picture. As these are short-term loans say 6 months, 1-year etc, unless one fine day it falls by say 50%, there is no challenge.

That is on the risk side. On the opportunity side, I think the biggest opportunity that is emerging in the gold loan segment is not necessarily price but a new segment, where it is no longer just a loan against gold jewellery for consumption. It is a 5%, 7% segment, for working capital and the ticket sizes are much higher than what we have done in the past. We are creating separate focus on that within specific service areas. That is one business where irrespective of gold price going up or going down, the growth will sustain because they will get funds cheaper on the collaterals they possess, compared to unsecured loans where there is no guaranteed sanction. They will be using it for their working capital requirement.

Second thing I want to say that at times, we think that if prices have gone up, the portfolio has gone up in ratio of prices. It is not like that because ultimately, propensity to consume is important. People will take what they need for their working capital, for their consumption, etc. So tomorrow, if the need remains the same and gold prices come down, they top it up with more gold if they have. Hence, it is not a direct correlation between price and growth.

With gold price going up, gold portfolio is also going up, obviously, for everybody. Considering this trend, our portfolio growth is much slower because we have been careful in terms of LTV and other things. But if gold prices start going down, certainly, everybody's portfolio growth will start coming down. I think it is a combination of all of this.

Anyways, in the long-term scheme of things, we want the gold to be lesser in terms of business mix. It plays out well because we are not saying that gold price will remain here.

Yash Dantewadia: But you still haven't said a number, maybe as a percentage of your total loan book.

Pralay Mondal: Right now, it is 50%, 51%. If the opportunity is there, it can go up also a little bit. But eventually, by 2030, it will be between 25% to 30%.

Yash Dantewadia: So, when you say 25% to 30% by 2030, which part of your loan book are you looking to scale to that extent to bring this 50% down to 25%?

Pralay Mondal: Wholesale will be a little more than 30%. SME will be somewhere around 18% to 20%. Rest will be retail.

Yash Dantewadia: Under retail, I am assuming gold is 25% and other 25% retail.

Pralay Mondal: Gold is not 25% of retail. Retail is separate. Gold mix on a standalone basis is 25% or 30% with the 5% special segment, which we will create for working capital, where collateral will be gold.

SMEs, let us say between 18% to 20%, wholesale is around 30%. Rest will be retail assets, which will be all other products like your auto, consumer vehicles, HCF, commercial equipment, retail

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LAP, all of this together and mostly, it will be built on the existing customers of the bank and hence building the liability franchise is very important on which we are focusing.

Yash Dantewadia: Just have one last question. Exit ROE for this financial year. The second question is, next year, you said you would be looking to do above 15% right -- so could you please also give us some guidance of cost to income for next year?

Pralay Mondal: I think cost to income will remain elevated somewhere around 60% for another year. After that, it will start coming down sharply.

Yash Dantewadia: On the first question, the 15% ROE for this year

Pralay Mondal: If we say 15% is a Lakshman Rekha and if we come close to that this year, then next year, obviously, we have to cross that.

Yash Dantewadia: So, are you telling me you are confident of closing at 15% this year?

Pralay Mondal: We will come closer. We will be better than where we are today. But

beyond that, I cannot discuss.

Moderator: The next question is from the line of Arush Gupta from Angel One. As there is no response from the current participant, so we will move on to our next participant.

We have the next question from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki: Most of the questions are answered. Only one question about the slippages that we have in Q3. Management does say INR4 crores to INR5 crores was about wholesale. So, can you just give a rough estimate about rest INR190 crores, how much from the retail segment and how much from the SME segment?

Pralay Mondal: I think retail was similar to last quarter. On the wholesale, there is almost nothing. This is a very vintage customer. In wholesale, we do not do INR3 crores, INR4 crores, INR5 crores of business anymore. Broadly, in retail, there will be some in cards, some in personal loans, some in Agri,

some in MFI. Retail is sort of in the same range as last quarter.

Vansh Solanki: In crores if you can say this?

Pralay Mondal: I don't know, we don't give those numbers as such. I am giving you a good flavor of it that a larger part is from SME, retail is similar to last quarter and wholesale, there is almost nothing.

Vansh Solanki: Okay. Just one suggestion from my side that you just mentioned this in last quarter, you had PSLC fees income as well as expenses and also this is about to happen in the quarter 4 also. Can you just give a little more bifurcation in your ppt. It will be more helpful to understand that how much is the granular income and how much is on-off? It will be helpful.

Pralay Mondal: No, we don't give those details. All I can say is that our attempt is to have core fee income somewhere around 14% to 15%, and overall fee income somewhere around 19% to 20%. Hence,

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core will be around 15%, non-core will be 5%. Sometimes the non-core will come from treasury, sometimes it will come from PSLC.

Moderator: The next question is from the line of Akshat Agrawal from SMIFS Institutional Research.

Akshat Agrawal: In terms of coverage, which is down to 66% this quarter. So, you plan to build it back to above 70%. Is it correct?

Pralay Mondal: Yes. Once we start to upgrade the accounts it will automatically come back.

Akshat Agrawal: Right, sir. In terms of branches, which is now 8 branches this quarter versus 7 in the first half. So, are we going to accelerate in the fourth quarter? Or is there any change in the strategy on branches?

Pralay Mondal: I think we are adding somewhere around 40- 50 branches every year. We will remain around that level itself. Right now, we have to first leverage the branches. For this we should invest into products, processes and sales machinery etc, which will enable faster acquisition of new customers.

We have enough branches now say 840 plus branches; it is just how much business is to be done .

Our priority is to first leverage these existing branches and then expand on a larger scale . But yes, we will continue to add 40 to 50 branches every year.

Akshat Agrawal: Right sir. Just if I can squeeze in one more. In terms of fee income, was there any syndication fee?

Pralay Mondal: No syndication fee.

Akshat Agrawal: So, in terms of run rate from here, it will slightly increase due to PSLC income next quarter.

Pralay Mondal: That is the goal.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I now hand the conference over to the management for closing comments.

Pralay Mondal: Thank you very much everyone for joining the call. I can tell you that mood within the bank is positive, and we hope that we will be able to do very well in Q4 and end the year well. Thank you very much and see you for Q4 results. Good evening.

Moderator: Thank you. On behalf of YES Securities, that concludes this conference. Thank you all for joining us

today, and you may now disconnect your lines.

Call: May 2026

"CSB Bank Limited
Q4 FY2026 Earnings Conference Call"

May 4, 2026, 05.30 PM IST

MANAGEMENT: MR. PRALAY MONDAL
MANAGING DIRECTOR & CEO - CSB BANK

MR. B.K. DIVAKARA
EXECUTIVE DIRECTOR - CSB BANK

MR. SATISH GUNDEWAR
CHIEF FINANCIAL OFFICER - CSB BANK

ANALYST: MR. SHIVAJI THAPLIYAL
YES SECURITIES LIMITED

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Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to CSB Bank Limited Earnings Call for Q4 FY2026 financial results hosted by Yes Securities Limited. Please note all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. With that, I hand over the call to Mr. Shivaji Thapliyal from Yes Securities. Thank you and over to you.

Shivaji Thapliyal : Thank you Swapnil. Good evening and a warm welcome to all those who have joined the call. The CSB Bank Management is represented by Mr. Pralay Mondal, Managing Director and CEO, Mr. B. K. Divakara, Executive Director and Mr. Satish Gundewar, Chief Financial Officer. We specifically thank the management of CSB Bank for giving Yes Securities the opportunity to host their result call. Management will first be making some opening remarks, after which we will throw the floor open for questions. I now invite the management to make their opening remarks. Pralay, over to you!

Pralay Mondal : Thank you, Shivaji, and thanks everybody for joining our annual and Q4 analyst call. To start with, we will brief on the global economic scenario. As we all know that the West Asian crisis has been continuing for more than two months now in a row with probability of further escalations being large, though de-escalations cannot be ruled out altogether. Higher crude prices for an unduly long period definitely pose inflation risk. Consequently, Federal Open Market Committee, BOE and EU have kept the rates on hold cautiously with the guidance that they may have to increase it subsequently. Global growth forecast remains subdued and financial markets are likely to remain highly volatile. As a result of higher crude prices, Indian growth is expected to reduce by 50 basis points as per certain estimates. The inflation forecast has been revised upwards and RBI expects the inflation for the next year to be around 4.6%. The deposit growth continues to lag the credit growth, raising the bulk deposits and CD rates in Q4. Surplus liquidity since then has reduced rates slightly, but they are likely to remain elevated due to uncertainties in the economic conditions. The G-Sec yield curve has also moved up sharper due to inflation and CAD concerns. We expect the banking sector NIM to remain under pressure due to rising costs and unabating volatility. We expect the liquidity to remain easy and RBI to stay on hold for longer in this financial year in the wake of impact on domestic and global growth.

Now, coming to CSB specifics. First of all, I want to apologise that my voice is a little bad. So it is little difficult; but hope you can hear me properly. On profitability highlights, Net profit for FY 2026 stood at Rs.633 Crores with 7% growth over FY 2025 and for Q4 2026, Net profit of Rs.202 Crores was registered with a sequential quarterly growth of 32%. Operating profit of the bank grew by 19% on a FY basis and stood at Rs.1085 Crores as on CSB Bank Limited
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Page 3 of 19 March 31, 2026. Net interest income grew by 17% on a full FY basis to Rs.1720 Crores and

NII grew by 25% for Q4 FY2026 versus Q4 FY 2025. Other income grew by 21% and constituted 21% of the total income for FY 2026.

The cost-to-income ratio for FY 2026 stood marginally lower than the previous FY at 62.53%. NIM for FY 2026 stood at 3.76% while Q4 FY2026 NIM was 3.83%. RoA for the quarter ended March 31, 2026 stood at 1.53% - being the highest among the quarters in FY2026. RoA for FY 2026 stood at 1.29%. Contingency provisions are held intact and the bank is continuing with the accelerated loan provisioning policy, which will aid the bank in transitioning towards ECL framework.

On the liability side, the funding base continued to grow. Deposits registered a robust growth

with 20% Y-o-Y and faster than the industry growth of 13.5%. CASA ratio stands around 20%. To aid the liquidity, we also availed both domestic and FCY borrowings based on cost considerations. On the liquidity side, bank has managed liquidity risk efficiently. CD ratio stood at 91%. Average LCR for the quarter is at 109%. NSFR ratio was around 122%. Asset growth was quite robust with 27% Y-o-Y growth as against the industry growth of 16%. Yield on advances for FY 2026 stood at 10.8%.

On asset quality metrics, I think it was a fantastic quarter for us. GNPA and NNPA ratios for the quarter stood at 1.66% and 0.4% respectively, with both ratios being the lowest across the last four quarters. PCR now stands at 76.38% without PWO reflecting a significant improvement as compared to the previous quarters. Bank is holding a provisioning buffer of around Rs.210 crores over and above the regulatory requirements. On the Capital-base - CRAR continues to be well above regulatory requirement and stood at 20.66%. Tier-1 ratio as on March 31, 2026 stood at 18.93%. Proportion of risk-weighted assets continue to be lower compared to the industry. In terms of valuation, book value per share stands at INR 272, EPS for the year is INR 36.5, while in Q4 it was INR 47.12. RoE for the year stood at 14.14%, and for Q4 FY2026 it was 17.66%.

On distribution side, we have a network of 862 branches and 832 ATMs as on March 31, 2026. These are the key numbers which we will further deliberate on the call.

In conclusion, I would like to say that we concluded FY 2026 on a strong and positive note, delivering consistent growth despite facing significant external challenges and going through a massive tech overhaul internally. This performance gives us strong confidence as we enter the final and exciting Scale phase of our SBS 2030 vision, which will play out in the next four years and we are fully aligned with our strategic vision.

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Page 4 of 19 For the fourth consecutive quarter, we outpaced growth of the industry, both in deposits and advances. During FY 2026, we recorded 20% growth in deposits and 27% growth in advances, compared to the industry average of 13.5% and 16.1%, respectively. While our corporate portfolio has progressed as envisaged and planned, our calibrated and cautious approach adopted towards our MSME/BLG business and unsecured portfolios - amidst an adverse operating environment - along with liquidation of the loan against security as per regulatory prescription - where the security has been primarily gold as a collateral, has resulted in a relatively higher share of gold loans during the year. Importantly, our gold loan portfolio has managed to be pretty risk-free with strict oversight on parameters such as LTV, price sensitivity and risk metrics, ensuring a healthy and profitable book. We have successfully migrated to the new core banking system with OGL, OFSAA and 50 and odd surround systems around it. With technology advancement, bank is now in a better position to scale up its activities more meaningfully. We are also planning to implement the entire transaction banking systems in the next three to four months in the form of Vayana in supply chain finance, Aurion pro in CMS and trade products on the core itself from the Oracle. With all of this together along with the ServiceNow platform - we are building various systems around it with LMS, LOS, huge investments in our data center and various other initiatives on the digital side, OBDX on the core etc. I think we are firmly in place to meaningfully scale the bank as a full service bank justifying for the full service license and a scaled bank over the next few years. We are now leveraging the capabilities of the new core system and surround systems to launch the full retail product bouquet - both on the deposit and assets front and with the new/revamped products, we plan

to meaningfully

kickstart our retail franchise journey by Q4 FY 2027 / Q1 FY 2028 - when we will start seeing the portfolio growing on the asset side.

Growth in BLG Group is also expected to resume once the global ecosystem turns favourable. We remain firm on achieving the targeted portfolio mix, which is envisaged under SBS 2030, and we will continue to strive towards this objective.

As advances growth outpaced deposit growth - as was the case for most of the banks during the year - liquidity management and regulatory ratio maintenance remained challenging, further compounded by tight systemic liquidity conditions, which has eased a little bit now. Despite this, we navigated the environment effectively through prudent management of deposit costs and tenors, along with optimization of borrowings. We continue to maintain adequate liquidity buffers and comfortable regulatory ratios, with both cost of deposits and cost of funds declining sequentially.

From a profitability perspective, FY 2026 witnessed a strong operating performance with 19% growth in operating profit over the previous year and a 7% increase in net profit. Q4

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Page 5 of 19 FY2026 was particularly notable, marking our best performance in terms of slippage control and recoveries. Consequently, we closed the year with lowest NPA levels compared to previous quarters with GNPA of 1.66% and NNPA of 0.40%. Non-interest income supported by sustained growth in core fees increased by 21% over last year despite significantly lesser traction in treasury income due to higher bond yields and constituted 21% of the total income. Net interest income growth remained robust, registering 25% Y-o-Y growth on a quarterly basis and 17% for the full year. All key financial ratios remain stable and well above regulatory thresholds.

Delivering this performance in a year marked by significant infrastructure build-out and a large-scale technology transformation further reinforces our confidence as we transition to the Scale phase of our journey, with a clear aspiration to become a mid-sized bank by 2030. We have also revamped our organizational structure with a sharp focus on customer acquisition across verticals, which will be critical to the success of our vision. Leveraging the capabilities we have built, we look forward to a progressive and sustained delivery quarter-on-quarter and year-on-year.

I would like to highlight primarily two points here before we move into the Q&A. There are two or three key things which gives us the confidence about the future. Number one, the entire technology transformation which happened with such seamless ability with minimal challenges as we moved into the advanced core system with so many surround systems has been a fantastic experience and as we talk today, we have minimal issues impacting the transition. It is like a once-in-a-lifetime experience for us, with the entire team working together for this. Congratulations to the team. The second thing is that we have delivered what we had predicted and that requires a lot of confidence on what we are doing as well as in terms of execution what we have done. For example, in Q2, when we spoke about NIM compression and I said that we will improve it in Q3 - we did it. In last quarter, there were significant questions, and rightly so, about the quality of the portfolio in terms of GNPA and NNPA slippages and other things and I gave exact explanation why it happened and how we will ensure that we take care of it and we have done it – which can be as seen in the way the numbers have come out. The critical part is that - we know what we are doing and we are progressing on the right path and most of the predictions which we gave through the year, we have been able to achieve. With that I end my initial comments here. Over to you for Q&A!

Moderator : Thank you so much. Ladies

and gentlemen, we will now begin with the question-and-answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participants tab on your screen. We request participants to restrict to two questions and then return to the queue for more questions. To rejoin the queue, you may click on the raise

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Page 6 of 19 hand icon again. We will wait for a few minutes until the question queue assembles. We have our first question coming in from the line of Suraj Das of Sundaram Mutual Fund. Suraj, please go ahead.

Suraj Das : Hi Pralay sir. Thanks for the opportunity. Sir, I had a few questions. First, on your LCR it has been declining over the past two quarters and probably now in the lowest quartile in the sector. What is the rationale behind it? Why is it declining? Also how do you see the impact of new guidelines on the LCR? More broadly, I think, how should one think about this in the context of growth because especially in your case, the deposit growth is lagging not just for you, but also for the system as you highlighted, but in your case, the deposit growth is increasingly driven by wholesale bulk deposit, which is now almost 50% of the term deposit versus a couple of years back and it has also cost implication. In terms of this, what is your expectation that the share of wholesale deposit will continue to go up and probably

you will continue to deliver maybe 20%, 22% kind of a loan growth. So, that is question one. Question two is on the gold loan portfolio. The number of accounts on the gold loan portfolio is declining consistently in this quarter but also over the past three years coming down from let us say six- seven lakhs to now four lakhs and then tonnage growth is hardly there for the industry as well. It looks like that the growth is largely driven by the higher gold prices rather than underlying volume expansion, so while you have an LTV cushion but want to know what is your strategy in terms of maybe incremental customer acquisition front here? Lastly, if you can comment on the NRI deposit flow, how it is trending, let us say, during the March quarter and if you have seen any slowdown post-March, particularly because of this West Asia crisis. Those are my three questions.

Pralay Mondal : Thank you so much for the questions. Let me cover one by one. On the LCR, average for quarter ended March was around 109% and as we are talking today the number is significantly better compared to that point of time. We all know that at March being a year/quarter end, the kind of deposit rates which were there in the ecosystem. As our bulk deposits are around 50% and our CASA being slightly on the lower side, we had to play tactically on this one while maintaining the average LCR on a comfortable level. We could have easily taken it to 115%, but we have to incur higher cost for that. Besides, when you balance it out - the same deposit when taken in the next quarter, we have to pay a lower cost. Given that, we said that we will keep it somewhere around 110% and ended with 109%. At this point, LCR is not our concern because we are significantly higher than these levels and NSFR is around 122%, which also gives comfort that we are on track on that front. Coming to related question on wholesale deposits, yes - it is around 50% of our overall term deposits. It is a tactical play - we are building our liability franchise now. Without a core system, without all surrounding systems and solutions, building something is difficult and will carry a cost and we did not want to do that earlier. Now we will do it in a CSB Bank Limited

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Page 7 of 19 proper organic way. If you look at our quarter wise deposit cost for the FY, it has been coming down, with significantly higher cost reduction in wholesale deposits. If I remember correctly, our deposit cost came down by 10bps from Q1 levels.

On the wholesale side, it

came down by more than 30 bps or more. As part of strategy, we have locked in ourselves only for a short period in wholesale deposits, with majority of the wholesale deposits maturing within six months - so to that extent, this tactical move will play out. The wholesale deposit cost is slightly higher than the retail cost of deposits, but incremental cost reduction in bulk deposits is better than the retail deposits, which has helped us in our management of cost of funds in the short term in a tactical way. This has not played against us in our execution strategy, but we have to build the liability and before I go to the gold loans, let me tell you what I have been saying on the liability side. Eventually, the main job the bank has to build a good liability franchise, which will help us in quality asset growth. With the core system falling in place now; we have initiated various product launches, with launching of three new products on the liability side this quarter. As we are talking, we launched Smart Save Current account, Smart Save Savings account, Smart Save NRO account - with very good features and it has already started doing well. We have also launched Freedom Current account. There are various products which we plan to launch every quarter, because now we have the system to launch, which we previously did not have. On the current account side with the transaction banking, CMS, supply chain and trade - all of this coming together, will help us in going to both wholesale as well as SME customers and also to TASC customers, which will help us in building our granular long-term customer franchise. With these products in our arsenal, we are launching the sales machinery specially for current accounts and savings account in the metro markets and this is the strategy which will play out. Effectively, the liability franchise building process starts now. In the new LCR guidelines, one of the guidelines which will favour us is the guidelines on TASC (Trust, Association, Societies and Clubs) - where the runoff rate is now 40%, making TASCs LCR friendly. We have created a separate vertical on TASC headed by a very senior person. He will work across wholesale, retail, SME and will see a significant growth in the TASC segment. Other guidelines, because of CASA itself being low and our penetration has still not reached high levels - this is something we want to improve significantly from here. But again, it has not taken away too much of LCR from our side at this point of time, so to that extent we are on the right place. Having said that, the main job will be to build the liability franchise now.

On the next question on gold loans - very relevant point which you have mentioned number of accounts having gone down and tonnage growth not happening. These are two different points for us - Number of accounts went down before and tonnage growth is also going

down now. The reason for that is, on the regulatory guidance there was some challenge before on the collateral free loans, which has now been clarified and changed favourably.

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Page 8 of 19 But, once we moved into the larger ticket size, we realized that on the overall for the bank, it is better in the long run. The risk with respect to LTV etc. is much better there because what we have seen is that high value customers are taking only the loan amount they need against the tonnage. Hence, typically, when prices go down, tonnage will go up and when prices go up, tonnage will go down. As the ticket size increases to beyond 10 lakhs and given our cost and other issues, we also move slightly on the higher end of the curve on the gold loan side and hence, our number of customers have come down. The tonnage growth has gone down because people take what they need, because we are not attempting that segment where they are giving their savings on

on the gold to take some consumption loans; most of our loans go into productive usage and from that perspective, tonnage growth will go up, if at all your gold prices goes down. There is no risk at all in the gold loan portfolio. We have done our analysis - our LTV is pretty low, despite a very large portfolio is on the agri side, which is not governed by the 75% LTV. Given that perspective, I think we are sitting on a fair bit of margin in terms of risk. Even another 10% fall in gold prices will do nothing to the portfolio so to that extent, we are fairly convinced. Our eventual play is to bring gold loan to 30% of our portfolio by 2030. Out of that, at least 5% of that 30% will be working capital loan and we are launching a product, which is targeted towards working capital SME backed by gold as a collateral. This should be around minimum 5% of our portfolio as we go to 30% and hence it will be 25% plus 5% by 2030. Rest around 30% plus will be on the wholesale side, around 18% will be on the SME side and rest will be on the retail side, which will be around 20% to 23%. One of the other things is that our gold portfolio increased by around 9% in the mix - from around 44% to around 53%. When you see on the retail side, the retail portfolio has exactly decreased by that mix. Basically, the loan against security, which was having gold as collateral, has moved from this side to that side. Hence, if we exclude the impact of the portfolio, where gold is a collateral, it has remained below 50%. From that perspective, I think the gold growth, which you are seeing around 53% year-on-year, is slightly artificial and obviously we do not see that next year and if we continue to grow at the levels that we are growing at a bank level on the asset side, provided we can grow the deposit franchise, you will start seeing some of the other businesses growing much faster.

On the NRI deposit flow - we have around 13% of our deposits as NR deposits at this point of time - it is not good and we can do better. We have created a very clear, strong vertical with a very senior person driving it right now. We have applied for our representative office in Dubai which would have been operational, but because of the West Asia crisis we have asked for an extension. We have finished most of our legal paperwork, etc., and we have finalized the CRO i.e., Chief Representative Officer. We have created a separate vertical within the bank now focusing primarily on NRI business. Obviously, in the short run, there has been a little bit of a disruption in the NRI flow in the bank, but these are short-term kind

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Page 9 of 19 of things. In the long run, at least 20% of our deposits /liability must come from NRI and we have created a separate vertical structure for this. I hope I could answer most of your questions.

Suraj Das : Yes, I think that was very elaborative. Just one follow-up Sir. So, this LCR coming down is because of wholesale shorter tenure deposit impacting the denominator of the LCR?

Pralay Mondal : Yes. We are now having higher LCR. Cost of funds was very high in the last 20 days, 15 days, one month of the year, but we know that cost will come down post-March. That is the reason we tactically said we targeted 110, but we achieved 109. They are much higher right now.

Suraj Das : Got it Sir. Thank you so much.

Moderator : Thank you. We will take our next question from the line of Akshat Agrawal of SMIF S Institutional Research. Akshat, please go ahead.

Akshat Agrawal : Good evening, Sir. Thank you for the opportunity. Sir, my first question is on your scale strategy. So, as we enter into the scale phase of SBS 2030 strategy from this year onwards, could you please update on the progress of the retail transformation on the asset side? When do we expect growth to meaningfully pick up in retail and SME and what kind of numbers should we expect

expect in FY2027? My second question is on fee income side, which picked up strongly so I wanted to understand the key drivers, so like last quarter, PSLC income was missing, so has this come back this quarter and was there any syndication fee in the numbers, this quarter and a related question on costs were there any material PSLC-related costs which were largely absent in 3Q which were charged in 4Q and did you see any headcount reduction and how should we think about the cost-to-income ratio trajectory can we see it move below 60% in FY2027? So those are my three questions. Thank you.

Pralay Mondal : Thanks, Akshat for the questions. Starting with the retail assets - we are first focusing on retail liabilities because our retail strategy is very clear. For assets, which are earning assets and the way we define them are businesses like commercial vehicles, commercial equipments, health care and to some extent inventory funding, and auto loans - a consumption business that is secured; are the ones we would grow beyond our liability franchise, which means through dealerships including our internal customers. Any other product which is on the consumption side, we will do it on the back of our liability franchise and primarily it will happen by cross-selling to our existing customers. We have limited set of scored existing customers and hence we are primarily focusing on new customer acquisition this year onwards to have a meaningful growth on the retail side. We

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Page 10 of 19 have been cautious on the unsecured side of the business for the last two, three years and this has helped us well because our delinquencies are same as the markets, but because our portfolio is coming down it is helping us in managing our slippages and managing our credit costs. Prudent decisions were taken here. Now, simple strategy is build the retail assets on the productive assets and this year you will see that those are the products which has grown and what has de-grown are products which are unsecured in nature. There was a cycle on MFI and with the monsoons not being predicted very well for this year so far, we will not take that much risk on Agri business also. Given all this, I think you will not see a meaningful growth on the retail asset side, but we will create the dry gun powder there by creating a good liability franchise, which means basically more customers to whom we will sell the retail assets. Our meaningful growth in retail assets will start from FY2028 onwards. I have already explained it, but I would emphasise that our retail assets growth this year has been negative primarily because of the loan against gold security and as we say, loan against security backed up by gold, that portfolio has come down from more than Rs.2000 Crores to around Rs.300 Crores and that was a regulatory mandate and we compensated it on the gold loan side. That is why you are seeing a negative growth, but core retail assets have not grown negatively. In addition to this, we have launched two products in retail assets. One is the School Fee Financing, which is a very good product and the second one is, again, it is called LAS, Loan Against Security, but the security is now mutual funds. Eventually, we will look for shares, insurance policies and all of this. These two products are very safe products at this point of time and it requires capability, which you have built already. These two products will also see some traction in the bank going ahead. That is about retail assets. Now, coming to your question on fee income, I confirm that there has been no syndication fee in Q4 and frankly, PSLC premium was very low in Q4 this year, which is exceptional. We never felt it will be so low. We did not book much and the quantum was significantly lower than what we booked in Q4 of last year. Additionally, as we all know, interest rate dynamics, which is a

market phenomenon, happened with all banks, and the MTM gain which you had in Q4 of last year in fees/other income was significantly higher and this quarter obviously there was nothing. If at all there was an HFT, there had been something we had to compensate for. Given all this, if you look at Q4 last year and Q4 this year on fees, overall fees is actually lower, but the core fees - what I mean by core is non-PSLC and non-treasury our fees is higher, which is more critical for us because that is sustainable over a period of time. In a worst-case scenario, we have done well and 21% still is not a bad number, when we did not have syndication, we did not have much from PSLC, and we had a negative MTM. Given all the set, I think fee income is a good story here, like our credit cost line. Coming to the cost, yes, there was a significant increase in Q4 over Q3, but again, this is tactical in nature because most of our CSR initiatives played out in the last quarter of the year and hence, that is a one-time kind of a

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Page 11 of 19 cost, which got booked in the last quarter of the year. That is why from Q3 to Q4 cost went up. On the headcount increase, we had an increase of around 570 people over a base of 7600, so it is not even 8% increase in headcount, but the cost increased a little more than

that. This year we invested into high cost and high quality resource s in wholesale banking. Our wholesale banking franchise moved from a barely double-digit nu mber of relationship team to an 80-plus relationship team. We are also investing in the transaction banking franchise. This manpower investment is expected to obviously reduce the cost to income of the bank because they are supposed to get much more income. Hopefully, this will play out for us. On the CTI, I would always say that we will be between 60% to 65% till end of FY2027. FY2028 onwards, the operative leverage will kick in because all said and done, technology upgrade has just come in now. From 2027-2028 onward s, we will start seeing the operating leverage across branches, across products, and across th e technology investments which we have done. Till FY27 end, our CTI will remain between 60% to 65% and we are somewhere in the midway, around 62% there. That is the answer to your four questions. Thank you.

Akshat Agrawal : Very well Sir. Thanks for the detailed answers. Just a follow up on the SME growth, what kind of growth we expect this year and when should it pick up me aningly?

Pralay Mondal : SME and LAP together we call it BLG, which is Business Lending Group. That grew around 2% to 3% last year, year- on-year basis and this is something we did consciously because we saw a strange situation last year. The first half of the ye ar actually and it is still going on, was impacted by the tariff-related issue, but this got overpowere d by the West Asia crisis, which also impacts in a way not only exports now, but also on the su pply chain. Not always do the SMEs have the kind of staying power, a large corporate or even sometimes a mid-corporate has. Given the size of our balance sheet, we did not want to take a risk. We always did it, whether it was in personal loan, whether it was in MFI, and then we did it in SME last year. We deliberately did not focus on SME portfoli o growth, but the same team worked very hard to get the portfolio quality better, an d that has helped us in the Q4. Coming to this year, once we get clarity on this West Asia crisis and h opefully it can come in this quarter or may be next quarter, then we will clearly decide on what is the level of acceleration we want to put on the SME. But as we are talking, we are in vesting more in SME because this thing will come and go, but eventually, the 20 30 commitment of around 18% of SME portfolio into the book remains and it is now around 11 %. A significant roadmap is there for SME, but we will accelerate

only when we feel comfortable in terms of risk. Whatever happened, single-digit growth is given and hopefully we will be back to that 28%-30% growth range in the next two years.

Akshat Agrawal : Thank you very much, Sir. I will rejoin the queue. Thank you .

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Page 12 of 19 Moderator : Thank you so much. We have our next question coming in from Parth Gutka of 360 One Capital. Parth, please go ahead.

Parth Gutka : Thanks a lot for the opportunity, Sir. So first, what is the impact of ECL on the day of transition?

Pralay Mondal : I will give a one-line answer to this and our CFO - Satish will respond in detail. At a high level, what we understand is, though various components are there, th e large impact items are on the SMA front by way of the stage wise provisioning floor norms that ranges from 0.40% to 5% including 1.5% for gold loans. While this will be a large impact item on the negative side. on the positive side, we will be able to or we have to now write back the contingency provision of Rs.105 Crs and the entire Rs.210 crores o f provisions above the regulatory prescriptions should be subtracted from the additional provisions which you have to take. At the end there could be some marginal impact. The calculations are being done and now I will hand over to Satish to answer this question technically.

Satish Gundewar : We already have an ECL model in place as we are reporting our numbe rs as per IFRS to Fairfax. However, that model we are reviewing completely based on the revised ECL guidelines and the work is currently underway. As our model was pre pared some time back, and over a period of time our business model has also changed, we do not know what happens once this entire model refresh happens. It is still one o r two months away when we have the full model. Nevertheless, basis the model that we are using currently for our IFRS reporting and basis the portfolio which we had as at December 2025, we have computed the impact - which we can call as the transition impact. As per the guideli nes, the transition impact on account of ECL guidelines will have to be taken as on April 1, 2027, whereas the transitional adjustment for ECL impact on regulatory capital is phased o ver four years . The transition impact is not a significant number for us at the moment as we h ave some advantage because of the aggressive provisions that we make on th e NPAs and even on standard assets, we have this additional contingency provision created at the time of Covid which is above Rs.105 Crores. These provisions will now get subsumed into the overall provision that we hold. Hence, the transition impact is not a significant number at all,

subject to any significant changes that happen to the model post review. I would not completely say that this is the impact, and this is what will happen because the work is currently underway. Once, we refresh that model and then run that model on March 31, 2026 numbers, then we will have the impact estimate. All along we have been updating the numbers and that impact is not significant for us.

Parth Gutka : Sure. Thanks a lot for the answer. My second question is on the gold loan portfolio; the yields had been coming off at least from Q4 FY2024 to Q4 FY2025 . But over the last 3- 4

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Page 13 of 19 quarters, again, the yields have increased by around 40 to 40 bps at the portfolio level . Is this largely because of the gold loan that we have done under the new segment, which is the working capital against gold loan that we have started. Is that the right understanding?

Pralay Mondal : We are not aggressively pursuing gold in the same way that we have been doing before because now we are looking at larger ticket sizes and hence we must maximize returns . We see that a lot of these customers are coming to us from various NBFCs and other institutions where they are paying higher

than what we are charging . We have an opportunity to improve the returns here and we did that. It is not that it happened only in that portfolio which you just talked about - the working capital, but also in the other portfolios as well. Overall, that strategy has worked out well for us.

Parth Gutka : Thanks a lot for answering my question.

Moderator : Thank you, Parth. We will take our next question from Vibhor Talreja of Nest Amplifier. Please go ahead.

Vibhor Talreja : Thank you for the opportunity. This question is more from a long -term perspective. This is probably your sixth year in CSB and from the start I think the idea was to grow liabilities, which somebody asked and you answered that it has taken its time and on the retail assets, and the business has done well, and we have been beneficiary of gold prices, but on the retail, etc., I look at the last four years, five years, it has been a fairly tepid growth than what we would have thought through or planned for and even now if I understood correctly, what you said was that this will pick up in the Q4 FY2027, Q1 FY2028. So, if you can give me a colour of why exactly it is taking so much time. Because the market exists, there are NBFCs who are able to capture at that small base reasonable pool of assets and profits, but somehow despite our liability advantage, we have been able to do fairly little on the retail side, except the gold loan where which has been a meticulous execution benefited by the increase in gold prices.

Pralay Mondal : As a bank, we do not want to address retail assets similar to an NBFC model, because the whole approach is different when you are in a bank. I have also been on the Board of NBFCs before like HDB and Axis Finance and there was a time when I used to handle both the bank and NBFCs together when I was in HDFC Bank . As a bank, we are not here to build asset book first, but to build a franchise where liability comes first and assets follows and in the process, liability also grows because EMIs and other things happen in their accounts . That is the approach we are taking and hence even if it takes a high road, eventually in the long term, it builds a franchise, which is a compounding growth story. In this kind of a framework, it is a slightly different strategy, based on liability and cross sell.

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Page 14 of 19 Given that perspective, you are right that we took a little time and there is a reason for that.

Our core system migration for many reasons have got little delayed in terms of decision making about the vendor and the roll out timelines. We started the core system migration, for various internal reasons only in FY2025 though the decision was taken in FY2024 . The roll out happened in May 2025 along with the surround systems in a quick and record time. When you look at Maarvel, our old software, it cannot do much and I also realized over a period of time that due to the short comings of Maarvel, you really cannot launch new products or have the required functionalities. Hence our entire story of the bank from a retail franchise is starting now, because the core system is stabilising now only . Now we can launch products. We will also launch a sales team. We tried one sales team before, then we realized that in the absence of products, though customers come, they do not keep balances, and those accounts becomes inactive. There is no point in keeping those accounts and definitely you cannot cross sell them anything. Given this, the retail journey is starting now, and we know how to execute it and take it forward . I am confident that we are not shifting the goalposts from FY2030 to FY2032 or FY2033. We are saying that, if you have lost two years in taking the decision on the core system for whatever internal reasons, we

will work harder to make up for that time and by 2030 we will deliver what we had promised. That is

the real answer. I hope this clarifies.

Vibhor Talreja : Thank you. All the best, Pralay.

Moderator: Thank you so much. We will take our next question from Punit Bahlani of Dolat Capital.

Punit, please go ahead.

Punit Bahlani: Thank you. Sir, just on your NIM, the reported NIM were flat Q-o-Q and advances growth at 9% Q-o-Q and deposit growth is 10%, but the NII growth is only 2% - what am I missing here. That is the only question I have.

Pralay Mondal : NII growth quarter- on-quarter is lower, but year- on-year is 25%. Your question is more on quarter- on-quarter.

Punit Bahlani: Yes, quarter -on -quarter. Like, how do I reconcile this because the loan growth has been 9%, and NII growth is only in the range of 2%

Pralay Mondal : Our quarterly advance growth is 9% and the NIM has fallen by two or three basis points over Q3 . On a year on year basis i.e., vis a vis Q4 FY 25, the NII is up by 25%. Our yields have fallen sharply and cost of deposits or cost of funds has increased, which has impacted the NIM. In spite of a significant improvement on the quality of the portfolio, which is the GNPA and NNPA and credit cost, if the NIM has fallen, then the difference between our
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Page 15 of 19 cost of funds and yields is little more than what it meets the eye and the dip is caused accordingly.

Punit Bahlani: Thank you Sir.

Moderator: Thank you so much, Punit. We will take our next question from the line of Narendra Gandhi of Dante Equity.

Narendra Gandhi: I just wanted to know if your CTO is on the call?

Pralay Mondal : CTO is not on the call, but I will try to answer.

Narendra Gandhi: No, actually, it was regarding this recent AI-related cybersecurity threat that even our FM kind of, came online and spoke about. Just wanted to understand if there are any implications on the new update that we have just rolled out and with regards to Anthropic , a lot of banking software are sort of already said to be under upgrades now in the next two years and since we just rolled out our software, I wanted to understand if you are up to date with that or not?

Pralay Mondal : Yes, certainly. Any other question, I will respond to this?

Narendra Gandhi: We have been talking for the last two concalls and I am really glad that you have been able to deliver on the 1.5 % ROA and 15% ROE in Q4. I think a lot of analysts were very sceptical in the last quarter about you delivering on those numbers and you kind of told that you are going to make sure you end the year above 15% ROE and I think for the quarter you have done around 17% to 18% ROE, which is a great number, so congratulations on that and other than that, just wanted to kind of understand what are we targeting for the next year, in terms of loan growth, I think you said 25%, if I am not mistaken, please correct me and I think ROA and ROE wise, I would like to know where are we targeting because I think the cost to income should start coming down from next quarter onwards, right? So, these are my questions.

Pralay Mondal : On the Claude Anthropic, which you are talking about the AI model Myt hos, the advantage of working in a small bank is that we all have to know everything. There is an advisory dated April 27, which prescribes certain actionable for the banks and within that there are guidance/ directional inputs on the things that the banks needs to put together. Banks have to place an update/plan to the board/ITSC within a period of two months i.e., by end June . ITSC Chairman Mr Sharad Saxena is a practitioner and he is extremely good and he understands the subject well. Both our CTO and CISO also understands it as well . Between
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Page 16 of 19 all of us, we will do the needful . I will also be involved in this because this is too critical- I will not say strategic- but too critical aspect, not to have an eye on and not to have a grip on

.
We have started working on this based on the guidance. I believe that the largest banks in the country are looking at this holistically and also working on it. This is not part of a competitive landscape, but it is about the banking ecosystem , not only for India but for the whole world. I think different countries are talking to each other to understand this, because beyond the banking system, cybersecurity has much larger implications. Lot of clarity will

evolve on this over a period of time. Right now, we are doing what is stipulated in the April 27th advisory and we will update the ITSC /board before June.

Narendra Gandhi: Just one question regarding this. Are we expecting that cost to income dip, which we were expecting from next quarter onwards, might be delayed because of the cost that might come with regards to this particular notification because obviously, this is going to come with added costs, right?

Pralay Mondal: Let me put it this way. We are talking about frameworks and ways to do it because I do not think that there is complete clarity on exactly what is to be done - will there be a cost, what will be the inputs, how this will get shared, etc and we have to figure this out going forward. It is an evolving scenario, both globally as well as in India. Hence, it is premature to answer on this one. However, I just want to clarify one thing. I never said that cost to income will come down from next quarter. I said it will remain for FY2027 in the range of 60 to 65%, hopefully somewhere around where we are. FY2028 onwards it will start coming down and by FY2030, we should be significantly lower than this.

Narendra Gandhi: It will stop going up this year onwards, is what you said, right?

Pralay Mondal: We cannot respond on something where there is no clarity to anyone in the world, forget about us, or in the ecosystem. It is an evolving story. Let us figure it out what it is and how it is to be worked out. It is too premature to answer that. On the second question, this one I can answer with more clarity which is on the loan growth. Loan growth will completely depend on the deposit growth, what we have. We have the ability to grow at similar or even faster rate than what we have grown last year. Even if our gold loan growth comes down a little bit, it may happen, but it all depends on at what cost, what deposits come, and how the liability franchise picks up. This year onwards, we will significantly focus on CASA acquisition. The CASA acquisition will bring in customers. The balances will start growing only after one year. From that perspective, I think loan growth will be a function of our ability to build the liability franchise, but yes, I think 25% is something that we will strive for. We will be disappointed if we do not do that part, that much at least. On the ROA, ROE, you are right. We have delivered what we promised in Q3/ Q2 on NIM, ROA, ROE, CSB Bank Limited
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Page 17 of 19 Asset Quality etc. You can see that we are consistent there. Coming to next year prediction, I think a range of somewhere around 1.5% and 15% for ROA and ROE respectively will sustain.

Moderator: Thank you so much. We have a follow-up question coming in from Akshat Agarwal. Akshat, please go ahead with your question.

Akshat Agarwal: Thank you for the opportunity again, Sir. On margins, would you say NIM has largely bottomed out and what kind of trajectory do we expect from here, if not quantitatively, at least qualitatively and what were the drivers of the yield compression. Was it just higher share of wholesale lending because gold yields increased on a portfolio level or was it coming from the full impact of the December repo rate curve flowing through P&L and MCLR repricing. That was my first question Sir. I have one more.

On the SME book, out of the 10 to 11 accounts that slipped last quarter, how many accounts have been upgr

aded or recovered during this quarter and how many are pending, which could affect the asset quality or credit cost upside next quarter and should we expect most of these to be resolved by 1Q or there is benefit to 2Q as well? Lastly on the levers to ROA and ROE, we have talked about a bit, but just to understand like because this quarter 1.5 ROA was due to low credit cost? So going forward, I mean, the credit costs will slightly move up, and we will have better retail growth and fee income.

Pralay Mondal: Akshat, I think I have understood your question, though the voice is breaking. Let me try and answer that. On the margins, the general guidance which I have always given is that, it will be between 3.75% to 4%. We are right in the middle of it, somewhere at 3.83% in Q4 FY 26. I think it is very difficult to predict in basis points that it will go up or go down, but it will remain in the range of 3.75% to 3.8%. Having said that, I am not so sure if it has bottomed out or not because of two reasons. One is our own internal portfolio, where the business mix will start gradually changing. I do not know whether it will happen in the next year or next quarter- but over a period of time it will happen and whatever business mix changes leading to any interim, even if it is transition fee change in NIM will get compensated on the ROA side by fee and cross sell to those customers unlike in gold loans. In gold loans, for the higher ticket size customers we are planning to do some cross sell. In wholesale, SME and some of these businesses where your yields are lower, we are going big time into transaction banking. We expect cross sell and also liability, which on a long term basis brings down our cost of funds. There is some interim noise here and there, but eventually it is all about building up a franchise and hence, we will look at a NIM which is

similar or higher, we will try to remain between 3.75% to 4%. On yield compression, you are right. Two to three things happened, and you only answered some of them, which is the CSB Bank Limited
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Page 18 of 19 repo rate cut and all. On the BLG portfolio, it immediately impacts, and on wholesale business, it impacts, depending on the MCLR how it is moving, and what is the tenor of the MCLR with the customers. Now everything has almost played out. BLG almost instantly and on wholesale, basis the MCLR. Hence, we could see a completion both on the wholesale side as well as on the BLG side in terms of yield compression which has happened. I think that answers the yield compression part. Coming to your question on SMA book, we do not give this level of details in our past responses, and it is difficult to give the answers at this granular level. But at a high level, for your comfort, I want to tell you that I was looking at the presentations on SMA. Almost at every business or at a bank wide level, our SMA book has constantly been improving and as we are talking on Q4, the SMA book is lowest in the last five quarters.
Akshat Agarwal: Just to interrupt, Sir, actually, I was asking about the 10 to 11 accounts, which slipped last quarter on the SME.

Pralay Mondal : It is not right from a customer perspective or from a disclosure perspective to go this granular. But you can obviously understand that some of them already got upgraded/recovered. I said that in the last quarter itself, that because we are going through migration, some of the MIS, etc., got a little delayed, because of which it was more of a technical default issue. Some of those accounts are related to that. It is obviously coming from the existing slippages. On the levers of RoA, gold loan portfolio degrowth, etc. It is not coming down immediately in terms of percentage. Levers for ROA and ROE are basically cross sell to the lower yielding product customers because why should we do a business where it is lower yielding if we do not have a

visibility of ROA in that business. We are not doing business here only for topline. If we strategize to build a business, it is an entry strategy, whether it is in wholesale, SME or in retail and eventually the ROA tree will play out there. In the transition somewhere it can happen and that will be managed because the gold portfolio is not coming down in one year's time from a 53% to a 30% and we will get that time to manage this. I think we should be able to manage ROA and ROE and you will see that. This year also, let us not forget that we delivered this result this quarter, in spite of the most difficult scenario on the fee business especially on the treasury side. So the upside on this, nobody can see the future, can predict the future, but we have taken a large book on the AFS side, which we could do only one time during that period when RBI came out with the regulation from HTM to AFS, hoping that we will leverage that last year, but instead of leveraging it went the other way - nobody predicted that from 6.6, yield will go to 7.1 whereas everybody thought it will come to 6.1. Eventually that will play out once the crisis gets over. Hopefully on a full year basis next year, there is a significant leverage there on the ROA. With capital consumption going high, that is more technical and more maths,
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Page 19 of 19 obviously, ROE naturally will improve, but that thing, I think you guys should factor in. That is broadly the answer to your questions.

Akshat Agarwal: Very well Sir. Thank you very much and all the best.

Moderator: Thank you so much. Ladies and gentlemen, that was the last question for today. On behalf of CSB Bank Limited, that concludes today's conference call. Thank you for joining us and you can now click on the leave icon to exit the meeting. Thank you all for your participation.

Pralay Mondal : Thank you very much and look forward to everybody joining the call again in Q1. Thank you. Have a good evening.